



DEPARTMENT OF REGULATORY AGENCIES

Division of Insurance

FINANCIAL ISSUES

3 CCR 702-3

[Editor's Notes follow the text of the rules at the end of this CCR Document.]

Regulation 3-1-1 FIDELITY BOND REQUIREMENTS

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Section 1 Authority

This regulation is promulgated and adopted by the Commissioner of Insurance under the authority of §§ 10-1-108(7), 10-1-109, 10-6-129, 10-14-505 and 10-16-109, C.R.S.

Section 2 Scope and Purpose

The purpose of this regulation is to prescribe the minimum amount of fidelity coverage required to be maintained by insurers for money or other property, which may be lost because of theft or dishonest acts of its officers, directors and employees.

Section 3 Applicability

This regulation shall apply to all Colorado domestic insurers, as well as to each Colorado domiciled risk retention group captive insurer, fraternal benefit society, health maintenance organization, public entity self-insurance pool, limited service licensed provider network, and non-profit hospital, medical- surgical and health service corporation.

Section 4 Definitions

- A. "Insurer" means, for the purpose of this regulation, the same as found at § 10-1-102(13), C.R.S.
- B. "Fidelity coverage" means, for the purpose of this regulation, a form of business insurance that provides protection against losses - either monetary or physical - caused by its employees' fraudulent or dishonest actions that are not generally covered under normal theft or burglary policies.

Section 5 Requirement for Fidelity Coverage

All insurers must obtain fidelity coverage for all officers, directors and employees who have access to, or authorize transactions concerning company funds and investments. The amount of coverage shall be determined in accordance with the following schedule:

Minimum Amounts of Fidelity Insurance

Exposure Index		Bracket No	Amount of Bond	
\$ 1,000 -	\$ 25,000	1	\$ 15,000 -	\$ 25,000
25,000 -	125,000	2	25,000 -	50,000
125,000 -	250,000	3	50,000 -	75,000
250,000 -	500,000	4	75,000 -	100,000
500,000 -	750,000	5	100,000 -	125,000
750,000 -	1,000,000	6	125,000 -	150,000
1,000,000 -	1,375,000	7	150,000 -	175,000
1,375,000 -	1,750,000	8	175,000 -	200,000
1,750,000 -	2,125,000	9	200,000 -	225,000
2,125,000 -	2,500,000	10	225,000 -	250,000
2,500,000 -	3,325,000	11	250,000 -	300,000
3,325,000 -	4,175,000	12	300,000 -	350,000
4,175,000 -	5,000,000	13	350,000 -	400,000
5,000,000 -	6,075,000	14	400,000 -	450,000
6,075,000 -	7,150,000	15	450,000 -	500,000
7,150,000 -	9,275,000	16	500,000 -	600,000
9,275,000 -	11,425,000	17	600,000 -	700,000
11,425,000 -	15,000,000	18	700,000 -	800,000
15,000,000 -	20,000,000	19	800,000 -	900,000
20,000,000 -	25,000,000	20	900,000 -	1,000,000
25,000,000 -	50,000,000	21	1,000,000 -	1,250,000
50,000,000 -	87,500,000	22	1,250,000 -	1,500,000
87,500,000 -	125,000,000	23	1,500,000 -	1,750,000
125,000,000 -	187,500,000	24	1,750,000 -	2,000,000
187,500,000 -	250,000,000	25	2,000,000 -	2,250,000
250,000,000 -	333,325,000	26	2,250,000 -	2,500,000
333,325,000 -	500,000,000	27	2,500,000 -	3,000,000
500,000,000 -	750,000,000	28	3,000,000 -	3,500,000
750,000,000 -	1,000,000,000	29	3,500,000 -	4,000,000
1,000,000,000 -	1,250,000,000	30	4,000,000 -	4,500,000
1,250,000,000 -	1,500,000,000	31	4,500,000 -	5,000,000

A. Calculation of Exposure Index and Bond Amount

1. Total Admitted Assets: \$ _____ X 5% =
 \$ _____

2. Gross Income*: \$ _____ X 10% =
 \$ _____

* - Include gross premium written and assumed plus interest and dividend income.

3. Exposure Index**: \$ _____ **

** - The Exposure Index amount is calculated by adding the results of Section 5.A.1. and 5.A.2.

B. Minimum Amount of Bond

The minimum amount of bond required is determined by locating the appropriate bracket based upon the calculated Exposure Index as found in Section 5.A.3. above.

Bracket # _____ \$ _____

Section 6 Severability

If any provision of this regulation or the application of it to any person or circumstance is for any reason held to be invalid, the remainder of this regulation shall not be affected.

Section 7 Enforcement

Noncompliance with this Regulation may result in the imposition of any of the sanctions made available in the Colorado statutes pertaining to the business of insurance, or other laws, which include the imposition of civil penalties, issuance of cease and desist orders, and/or suspensions or revocation of license, subject to the requirements of due process.

Section 8 Effective Date

This amended regulation shall be effective on April 1, 2016.

Section 9 History

Originally effective 1974.
Amended effective April 1, 2000.
Amended effective October 2, 2006.
Amended effective April 1, 2016.

Regulation 3-1-2 STATUTORY DEPOSITS QUARTERLY REPORTS ON MARKET VALUE

Section 1	Authority
Section 2	Scope and Purpose
Section 3	Applicability
Section 4	Filing of Market Value Reports
Section 5	Severability
Section 6	Enforcement
Section 7	Effective Date
Section 8	History

Section 1 Authority

This regulation is promulgated pursuant to the authority of § 10-1-109 C.R.S.

Section 2 Scope and Purpose

The purpose of this regulation is to implement the market valuation requirement of § 10-3-235(4) C.R.S., by the establishment of regular reporting method.

Section 3 Applicability

This regulation shall apply to any domestic insurance company, and any fraternal benefit society, health maintenance organization, non-profit hospital, medical-surgical and health service corporation, prepaid dental care plan organization, public entity self-insurance pool, and title insurance company, which deposits securities with the Commissioner of Insurance.

Section 4 Filing of Market Value Reports

Domestic companies, identified in Section 3, which are required to maintain a joint or statutory deposit with the Commissioner of Insurance, shall file quarterly with the Commissioner of Insurance an itemized statement of market value of securities on joint deposit. Companies using a Denver area bank, which makes such quarterly filings with the Commissioner of Insurance on behalf of the companies, need not make a filing under this regulation. The time of filing is to be within thirty days of the end of each calendar quarter. Reports will be due no later than January 30, April 30, July 30, and October 30 of each year. The statement is to be certified by an officer of the company and is to include the following information for each security evaluated:

1. Identify the source of quotation. If it is taken from a publication, give the name of the publication. If it is supplied by a broker or other source, identify the name and location of the broker or other source.
2. Give both the market quote and its extension as: 10,000 XYZ bonds @ 99, \$99,000.00.
3. If the quotation is that of an actual sale indicate same by the letter "s" and the date of sale after the quote.
4. Include bond ratings and the name of the rating service: e.g., Moody's, S & P, Fitch, etc. If a bond is not rated, indicate this fact by the letters "NR".

Section 5 Severability

If any provision of this regulation or the application of it to any person or circumstance is for any reason held to be invalid, the remainder of this regulation shall not be affected.

Section 6 Enforcement

Noncompliance with this regulation may result in the imposition of any of the sanctions made available in the Colorado statutes pertaining to the business of insurance, or other laws, which include the imposition of civil penalties, issuance of cease and desist orders, and/or suspensions or revocation of license, subject to the requirements of due process.

Section 7 Effective Date

This amended regulation shall be effective on August 1, 2012.

Section 8 History

Originally issued as Regulation 76-3, effective immediately.
Re-codified as Regulation 3-1-2.
Regulation amended, effective October 1, 1999.
Amended regulation effective August 1, 2012.

Regulation 3-1-3 CONCERNING ACTUARIAL OPINIONS

Section 1	Authority
Section 2	Scope And Purpose
Section 3	Applicability
Section 4	Definitions
Section 5	Statement Of Opinion Of Reserves And Other Actuarial Items
Section 6	Requirements/Limitations On Domestic Company Opinions
Section 7	Exemption Or Extension
Section 8	Severability
Section 9	Enforcement
Section 10	Effective Date
Section 11	History

Section 1 Authority

This regulation is promulgated under the authority of § § 10-1-109, 10-5-117, 10-6-129, 10-16-109, C.R.S.

Section 2 Scope And Purpose

The purpose of this regulation is to improve the Colorado Insurance Division's surveillance of the financial condition of companies, for the protection of all policyholders, contractholders and the general public, by requiring an annual opinion of a qualified actuary as to the adequacy of a company's reserves and other actuarial items which ought to be established in the required annual statement filings.

Section 3 Applicability

This regulation shall apply to all companies defined in Section 4 below, excluding those filing pursuant to Colorado Insurance Regulation 3-1-8 (3CCR 702-3). Domestic mutual protective and pure assessment associations operating under Part 1 of Article 12 of Title 10, C.R.S. are exempted from this filing requirement unless an actuarial opinion is specifically requested by the Commissioner.

Section 4 Definitions

The following terms used in this regulation shall have the following meanings:

- A. "Company" means a licensed insurance company, captive insurance company, non-profit hospital, medical-surgical and health service corporation, health maintenance organization, foreign authorized surplus lines insurance company, Pinnacol Assurance, foreign risk retention group operating in this state, title company, or foreign authorized non-admitted reinsurer.
- B. "Qualified actuary" generally means an actuary meeting the qualifications set forth in Colorado Insurance Regulation 1-1-1 (3CCR 702-1). However, for opinions submitted with any financial statement filing required of Property and Casualty insurers, a qualified actuary is a person who is either a member in good standing of the Casualty Actuarial Society or a member in good standing of the American Academy of Actuaries who has been approved as qualified for signing casualty loss reserve opinions by the Casualty Practice Council of the American Academy of Actuaries.

Section 5 Statement Of Opinion Of Reserves And Other Actuarial Items

Each company shall submit with the annual financial statement filing an opinion of a qualified actuary, in a form acceptable to the Commissioner, which must at a minimum meet the recommended standards contained in the NAIC Annual Statement Instructions as to the adequacy of the company's reserves. A non-domestic company that files an opinion with the NAIC in conformity with the requirements of this section shall be exempted from filing a separate opinion with the Colorado Division of Insurance. The actuary shall consider provisions of Colorado statutes, regulations and generally accepted actuarial standards in forming such opinion. Companies that have not filed the actuarial opinion by the due date of the annual financial statement, or written extension date if granted, shall be assessed a late fee of up to \$100.00 per day for each day the opinion is received beyond such date. Such late fee may be assessed in addition to any other fines relating to the annual financial statement filing requirement.

Section 6 Requirements/Limitations On Domestic Company Opinions

Opinions submitted for Colorado domestic companies must comply with the following:

- A. A company's loss and loss adjustment expense reserves reported in any required financial filing to the Commissioner shall reflect the company's best estimate of its insurance obligations, derived from reasonable assumptions, calculated in accordance with appropriate actuarial standards of practice and verified by the opining actuary. A company that establishes an amount less than the actuary's best estimate as indicated in the underlying actuarial report, if applicable, shall submit the underlying actuarial report supporting the actuary's opinion to the Commissioner no later than 30 days following the due date of the opinion. Failure to file the actuarial report within 30 days of a request by the Commissioner may result in a penalty of up to \$100.00 per day. The actuarial report shall be confidential and not available for public inspection. In addition, a summary is required to be filed in accordance with the appropriate NAIC Property and Casualty Annual Statement instructions. This summary shall be confidential and not available for public inspection.
- B. In addition to the items required by any applicable annual statement filing instructions, all company balance sheet amounts that are established through actuarial principles, including loss analysis, mortality, morbidity, discounting or estimation techniques, must be included within the actuarial opinion. These amounts include, but are not limited to: contingent reinsurance commissions, retrospective premium adjustments, premium deficiency reserves, claims-made free tail coverage, and unearned premium reserves which are determined in a manner other than pro-rata.

All items required by the applicable annual statement instructions must be included as part of the opinion's scope, even if the required item has a value of zero.

- C. The actuary should be familiar with the material reinsurance arrangements of the insurer when determining the reasonableness of net reserves. The company shall not reflect any credit for reinsurance ceded in any financial statement filed, unless the reinsurance arrangements comply with the provisions of § 10-3-118, C.R.S. and Colorado Insurance Regulations 3-3-3 and 3-3-5. The actuary's opinion shall not reflect any credit taken for reinsurance ceded if the actuary is aware that reinsurance arrangements violate any provision of § 10-3-118, C.R.S. or Colorado Insurance Regulations 3-3-3 and 3-3-5.
- D. Unless otherwise specified by statute, reserves for outstanding losses may not be discounted, with the exception of reserves established for losses with fixed and determinable future payments, such as those emanating from workers' compensation tabular indemnity reserves and long-term disability claims. The rate of interest, at each valuation date, used in the calculation of the discount shall not exceed the lesser of (i) the company's rate of return on statutory invested assets, and (ii) the 20 year duration valuation rate determined pursuant to §10-7-309.5, C.R.S.

- E. Reserves shall not be reduced for anticipated salvage and subrogation unless such reduction has been evaluated, analyzed and opined upon by the actuary as being reasonable based upon the company's past experience, current and reasonably anticipated activities, and has made due provision for the collection and other expenses associated with the receipt of the salvage and subrogation amounts. The actuary may analyze the reserve data net of salvage and subrogation so long as the actuary is satisfied that such treatment of the data will cause no material distortion.
- F. For all health insurers and Health Maintenance Organizations (HMOs), the annual Statement of Actuarial Opinion shall include a statement that the opining actuary has considered the impact of any risk-sharing arrangements with provider groups on health claim liabilities. If the insurer or HMO has entered into any kind of risk-sharing, usually contractual, arrangements with provider groups providing medical services to enrollees, then it is expected that the opining actuary evaluate these arrangements, and the financial position of each contracting entity. In the development and calculation of health claim reserves and other related actuarial items, due regard shall be given to the types and scopes of these arrangements, and the financial position of each contracting entity, including, but not limited to, the following:
1. Ultimate responsibility for payment of all billed medical services in the event of nonpayment by, or insolvency of, the contracting entity, as required under §10-16-705(5)(a), C.R.S.;
 2. Extent to which these arrangements contain provisions for uncovered expenditures;
 3. Amount of the health claim liabilities allocated for uncovered expenditures;
 4. Existence of any stop-loss provisions;
 5. Retroactive settlements beyond the scope of the contracts;
 6. Financial position of each capitated entity. In addition to the statement required in Subsection G of this section, the Actuarial Opinion should disclose the actuary's knowledge of, and make appropriate provision for, any financially insolvent or troubled provider group that may have a material effect on the health claim liabilities;
 7. Existence of any contractual incentive payments; and
 8. Existence of any risk-sharing arrangements that involve a year-end settlement process.
- G. For all health insurers and HMOs, the annual Statement of Actuarial Opinion should include a statement such as:
- "In establishing the health claim reserves and other related actuarial items, I have evaluated and considered the impact of any and all risk-sharing arrangements with provider groups, as required under Subsection (6)(F) of Colorado Insurance Regulation 3-1-3."
- If no such risk-sharing arrangements exist, the annual Statement of Actuarial Opinion should include a statement such as:
- "I am aware of the requirements of Subsection (6)(F) of Colorado Insurance Regulation 3-1-3, and I am not aware of any risk-sharing arrangements which would have a material impact on the amount of health claim reserves and other related actuarial items which have been established."
- If any liability has not been established in accordance with this subsection, the Actuarial Opinion should disclose the nature of the deviation from this subsection, and the rationale and the effect of such deviation.

- H. Any HMO whose sole business is providing health care services to recipients under the "Colorado Medical Assistance Act", Articles 4 to 6 of Title 25.5, C.R.S., "The Children's Basic Health Plan", Article 8 of Title 25.5, C.R.S., or Medicare under Title XVIII of the federal "Social Security Act", as amended, shall also include the following statement in the annual Statement of Actuarial Opinion, "The company's surplus level and outstanding claims liability meet the requirements of §10-16-411 (1.5), C.R.S."

Section 7 Exemption Or Extension

- A. The Commissioner may consider a written request for exemption or extension for the filing of the statement of actuarial opinion. Any such request must be made no later than 15 days before the due date of such opinion for which the exemption or extension is sought. Such request must contain a statement which sets forth the basis on which such exemption or extension is sought.
- B. Requests for exemptions and extensions will be considered for the following reasons:
1. supervision or conservatorship;
 2. financial hardship;
 3. nature of insurance;
 4. less than \$1,000,000 of direct and assumed premium and less than \$1,000,000 of direct and assumed loss and loss adjustment expense reserves at year-end;
 5. other circumstances that may render an opinion either unnecessary, or unavoidably delayed.
- C. In all cases, however, an exception or extension will only be granted after the commissioner has determined that the non-submission or delay of the actuarial opinion would result in minimal potential harm to policyholders.

Section 8 Severability

If any provision of this regulation or the application thereof to any person or circumstance is for any reason held to be invalid, the remainder of this regulation shall not be affected thereby.

Section 9 Enforcement

Noncompliance with this Regulation may result, after proper notice and hearing, in the imposition of any of the sanctions made available in the Colorado statutes pertaining to the business of insurance or other laws which include the imposition of fines, issuance of cease and desist orders and/or suspension or revocation of license. Among others, the penalties provided for in § 10-3-1108, C.R.S. may be applied.

Section 10 Effective Date

This regulation is hereby amended and restated and shall be effective for any Statement of Actuarial Opinion filed with the Colorado Division of Insurance after October 1, 2007.

Section 11 History

New Regulation 90-1, effective December 31, 1994.
Amended Regulation, effective August 31, 1998.
Amended Regulation, effective December 1, 2005.
Amended Regulation, effective February 1, 2007.

Amended Regulation, effective October 1, 2007.

Regulation 3-1-4 CONCERNING A COMPANY'S ANNUAL AUDITED FINANCIAL REPORTS, AUDIT COMMITTEE AND INTERNAL CONTROL DEPARTMENT REQUIREMENTS

Section 1	Authority
Section 2	Scope and Purpose
Section 3	Applicability
Section 4	Definitions
Section 5	General Requirements Related to Filing and Extensions for Filing of Annual Audited Financial Report and Audit Committee Appointment
Section 6	Contents of Annual Audited Financial Report
Section 7	Designation of Independent Certified Public Accountant
Section 8	Qualifications of Independent Certified Public Accountant
Section 9	Consolidated or Combined Audits
Section 10	Scope of Audit and Report of Independent Certified Public Accountant
Section 11	Notification of Adverse Financial Condition
Section 12	Communication of Internal Control Related Matters Noted in an Audit
Section 13	Accountant's Letter of Qualifications
Section 14	Definition, Availability and Maintenance of Independent Certified Public Accountant Workpapers
Section 15	Requirements for Audit Committees
Section 16	Internal Audit Function Requirements
Section 17	Conduct of Company in Connection with the Preparation of Required Reports and Documents
Section 18	Management's Report of Internal Control over Financial Reporting
Section 19	Exemptions and Effective Dates
Section 20	Canadian and British Companies
Section 21	Severability Provision
Section 22	Incorporated Materials
Section 23	Enforcement
Section 24	Effective Date
Section 25	History

Section 1 Authority

This regulation is promulgated under the authority of §§10-1-108(7), 10-1-109, 10-1-203, 10-3-109, 10-3-118, 10-3-208, 10-5-117, 10-6-114, 10-6-129, 10-14-505, 10-14-602, 10-16-109, 10-16-111 and 8-45-121 C.R.S.

Section 2 Scope and Purpose

The purpose of this regulation is to improve the Division's surveillance of the financial condition of companies by requiring: (1) an annual audit of financial statements reporting the financial position and the results of operations of companies by independent certified public accountants, (2) Communication of Internal Control Related Matters Noted in an Audit, and (3) Management's Report of Internal Control over Financial Reporting.

This regulation shall not prohibit, preclude or in any way limit the Commissioner from ordering or conducting or performing examinations of companies under the rules and regulations of the Division and the practices and procedures of the Division.

Section 3 Applicability

Every company (as defined in Section 4) shall be subject to this regulation. Companies having direct premiums written in this state of less than \$1,000,000 in any calendar year and less than 1,000 policyholders or certificate holders of direct written policies nationwide at the end of the calendar year shall be exempt from this regulation for the year (unless the Commissioner makes a specific finding that compliance is necessary for the Commissioner to carry out statutory responsibilities) except that companies having assumed premiums pursuant to contracts and/or treaties of reinsurance of \$1,000,000 or more will not be so exempt.

Foreign or alien insurers filing the audited financial report in another state, pursuant to that state's requirement for filing of audited financial reports, which has been found by the Commissioner to be substantially similar to the requirements herein, are exempt from Sections 5 through 14 of this regulation if:

- A. A copy of the audited financial report, Communication of Internal Control Related Matters Noted in an Audit, and the Accountant's Letter of Qualifications that are filed with the other state are filed with the Commissioner in accordance with the filing dates specified in Sections 5, 12 and 13, respectively (Canadian insurers may submit accountants' reports as filed with the Office of the Superintendent of Financial Institutions, Canada).
- B. A copy of any Notification of Adverse Financial Condition Report filed with the other state is filed with the Commissioner within the time specified in Section 11.

Foreign or alien insurers required to file Management's Report of Internal Control over Financial Reporting in another state are exempt from filing the Report in this state provided the other state has substantially similar reporting requirements and the Report is filed with the Commissioner of the other state within the time specified.

Section 4 Definitions

- A. "Accountant" or "independent certified public accountant" means, for the purposes of this regulation, an independent certified public accountant or accounting firm in good standing with the American Institute of Certified Public Accountants (AICPA) and in all states in which he or she is licensed to practice; for Canadian and British companies, it means a Canadian chartered or British-chartered accountant.
- B. An "affiliate" of, or person "affiliated" with, a specific person, means, for the purposes of this regulation, a person that directly, or indirectly through one or more intermediaries, controls, or is controlled by, or is under common control with, the person specified.
- C. "Audit committee" means, for the purposes of this regulation, a committee (or equivalent body) established by the board of directors of an entity for the purpose of overseeing: the accounting and financial reporting processes of a company or group of insurers; the internal audit function of a company or group of insurers; and the external audits of financial statements of the company or group of insurers. The Audit committee of any entity that controls a group of insurers may be deemed to be the Audit committee for one or more of these controlled companies solely for the purposes of this regulation at the election of the controlling person. Refer to Section 15.E. for exercising this election. If an Audit committee is not designated by the company, the company's entire board of directors shall constitute the Audit committee.
- D. "Audited financial report" means, for the purposes of this regulation, and includes those items specified in Section 6 of this regulation.

- E. "Commissioner" means, for the purposes of this regulation, the Commissioner of Insurance for the State of Colorado.
- F. "Company" means, for the purposes of this regulation, an insurer, captive insurance company, health maintenance organization or Pinnacol Assurance.
- G. "Division" means, for the purposes of this regulation, the Colorado Division of Insurance.
- H. "Indemnification" means, for the purposes of this regulation, an agreement of indemnity or a release from liability where the intent or effect is to shift or limit in any manner the potential liability of the person or firm for failure to adhere to applicable auditing or professional standards, whether or not resulting in part from knowing of other misrepresentations made by the company or its representatives.
- I. "Insurer" means, for the purposes of this regulation, a licensed insurance company, authorized surplus lines insurance company, authorized non-admitted reinsurer, nonprofit hospital, medical-surgical, and health service corporation or fraternal benefit society.
- J. "Group of insurers" means, for the purposes of this regulation, those licensed insurers included in the reporting requirements of §10-3-801 et seq., C.R.S., or a set of insurers as identified by management, for the purpose of assessing the effectiveness of internal control over financial reporting.
- K. "Internal audit function" means, for the purposes of this regulation, a person or persons that provide independent, objective and reasonable assurance designed to add value and improve an organization's operations and accomplish its objectives by bringing a systematic disciplined approach to evaluate and improve the effectiveness of risk management, control and governance processes.
- L. "Internal control over financial reporting" means, for the purposes of this regulation, a process effected by an entity's board of directors, management and other personnel designed to provide reasonable assurance regarding the reliability of the financial statements, i.e., those items specified in Section 6.B. through 6.G. of this regulation and includes those policies and procedures that:
 - 1. Pertain to the maintenance of records that, in reasonable detail, accurately and fairly reflect the transactions and dispositions of assets;
 - 2. Provide reasonable assurance that transactions are recorded as necessary to permit preparation of the financial statements, i.e., those items specified in Section 6.B. through 6G of this regulation and that receipts and expenditures are being made only in accordance with authorizations of management and directors; and
 - 3. Provide reasonable assurance regarding prevention or timely detection of unauthorized acquisition, use or disposition of assets that could have a material effect on the financial statements, i.e., those items specified in Section 6.B. through 6G of this regulation.
- M. "SEC" means, for the purposes of this regulation, the United States Securities and Exchange Commission.
- N. "Section 404" means, for the purposes of this regulation, Section 404 of the Sarbanes-Oxley Act of 2002 and the SEC's rules and regulations promulgated thereunder.

- O. "Section 404 Report" means, for the purposes of this regulation, management's report on "internal control over financial reporting" as defined by the SEC and the related attestation report of the independent certified public accountant as described in Section 4.A.
- P. "SOX Compliant Entity" means an entity that either is required to be compliant with, or voluntarily is compliant with, all of the following provisions of the Sarbanes- Oxley Act of 2002: (i) the preapproval requirements of Section 201 (Section 10A(i) of the Securities Exchange Act of 1934); (ii) the Audit committee independence requirements of Section 301 (Section 10A(m)(3) of the Securities Exchange Act of 1934); and (iii) the internal control over financial reporting requirements of Section 404 (Item 308 of SEC Regulation S-K).

Section 5 General Requirements Related to Filing and Extensions for Filing of Annual Audited Financial Reports and Audit Committee Appointment

- A. All companies shall have an annual audit by an independent certified public accountant and shall file an audited financial report with the Commissioner on or before June 1 for the year ended December 31 immediately preceding. The Commissioner may require a company to file an audited financial report earlier than June 1 with ninety (90) days advance notice to the company.
- B. Extensions of the June 1 filing date may be granted by the Commissioner for thirty day periods upon a showing by the company and its independent certified public accountant of the reasons for requesting an extension and determination by the Commissioner of good cause for an extension. The request for extension must be submitted in writing not less than ten (10) days prior to the due date in sufficient detail to permit the Commissioner to make an informed decision with respect to the requested extension.
- C. If an extension is granted in accordance with the provisions in Section 5.B., a similar extension of thirty (30) days is granted to the filing of Management's Report of Internal Control over Financial Reporting.
- D. Every company required to file an annual audited financial report pursuant to this regulation shall designate a group of individuals as constituting its audit committee, as defined in Section 4. The audit committee of an entity that controls a company may be deemed to be the company's audit committee for purposes of this regulation at the election of the controlling person.

Section 6 Contents of Annual Audited Financial Report

The annual audited financial report shall report the financial position of the company as of the end of the most recent calendar year and the results of its operations, cash flows and changes in capital and surplus for the year then ended, in conformity with statutory accounting practices prescribed, or otherwise permitted, by the Department of Insurance of the state of domicile.

The annual audited financial report shall include the following:

- A. Report of independent certified public accountant.
- B. Balance sheet reporting admitted assets, liabilities, capital and surplus.
- C. Statement of operations.
- D. Statement of cash flow.
- E. Statement of changes in capital and surplus.

- F. Notes to financial statements. These notes shall be those required by the appropriate NAIC *Annual Statement Instructions* and the NAIC *Accounting Practices and Procedures Manual*. The notes shall include a reconciliation of differences, if any, between the audited statutory financial statements and the annual statement filed pursuant to §§10-3-109, 10-3-208, 10-5-110, 10-6-114, 10-14-602, 10-16-111 or 8-45-117, C.R.S., with a written description of the nature of these differences.
- G. The financial statements included in the audited financial report shall be prepared in a form and using language and groupings substantially the same as the relevant sections of the annual statement of the company filed with the Commissioner, and the financial statement shall be comparative, presenting the amounts as of December 31 of the current year and the amounts as of the immediately preceding December 31. However, in the first year in which a company is required to file an audited financial report, the comparative data may be omitted.

Section 7 Designation of Independent Certified Public Accountant

- A. Each company required by this regulation to file an annual audited financial report must within sixty (60) days after becoming subject to the requirement, register with the Commissioner in writing the name and address of the independent certified public accountant or accounting firm retained to conduct the annual audit set forth in this regulation. Companies not retaining an independent certified public accountant on the effective date of this regulation shall register the name and address of their retained independent certified public accountant not less than six (6) months before the date when the first audited financial report is to be filed.
- B. The company shall obtain a letter from the accountant, and file a copy with the Commissioner stating that the accountant is aware of the provisions of the insurance code and the regulations of the insurance department of the state of domicile that relate to accounting and financial matters and affirming that the accountant will express his or her opinion on the financial statements in terms of their conformity to the statutory accounting practices prescribed or otherwise permitted by that insurance department, specifying such exceptions as he or she may believe appropriate.
- C. If an accountant who was the accountant for the immediately preceding filed audited financial report is dismissed or resigns, the company shall within five (5) business days notify the Commissioner of this event. The company shall also furnish the Commissioner with a separate letter within ten (10) business days of the above notification stating whether in the twenty-four (24) months preceding such event there were any disagreements with the former accountant on any matter of accounting principles or practices, financial statement disclosure, or auditing scope or procedure; which disagreements, if not resolved to the satisfaction of the former accountant, would have caused him or her to make reference to the subject matter of the disagreement in connection with his or her opinion. The disagreements required to be reported in response to this section include both those resolved to the former accountant's satisfaction and those not resolved to the former accountant's satisfaction. Disagreements contemplated by this section are those that occur at the decision-making level, i.e., between personnel of the company responsible for presentation of its financial statements and personnel of the accounting firm responsible for rendering its report. The company shall also in writing request the former accountant to furnish a letter addressed to the company stating whether the accountant agrees with the statements contained in the company's letter and, if not, stating the reasons for which he or she does not agree; and the company shall furnish the responsive letter from the former accountant to the Commissioner together with its own.

Section 8 Qualifications of Independent Certified Public Accountant

- A. The Commissioner shall not recognize a person or firm as a qualified independent certified public accountant if the person or firm:

1. Is not in good standing with the AICPA and in all states in which the accountant is licensed to practice, or, for a Canadian or British company, that is not a chartered accountant; or
 2. Has either directly or indirectly entered into an agreement of indemnity or release from liability (collectively referred to as *indemnification*) with respect to the audit of the company.
- B. Except as otherwise provided in this regulation, the Commissioner shall recognize an independent certified public accountant as qualified as long as he or she conforms to the standards of his or her profession as contained in the Code of Professional Ethics of the American Institute of Certified Public Accountants, and the Rules and Regulations and Code of Ethics and Rules of Professional Conduct of the Colorado State Board of Accountancy.
- C. A qualified independent certified public accountant may enter into an agreement with a company to have disputes relating to an audit resolved by mediation or arbitration. However, in the event of a delinquency proceeding commenced against the company under §10-3-401, et seq., C.R.S., the mediation or arbitration provisions shall operate at the option of the statutory successor.
- D. The lead (or coordinating) audit partner (having primary responsibility for the audit) may not act in that capacity for more than five (5) consecutive years. The person shall be disqualified from acting in that or a similar capacity for the same company or its insurance subsidiaries or affiliates for a period of five (5) consecutive years. A company may make application to the Commissioner for relief from the above rotation requirement on the basis of unusual circumstances. This application should be made at least thirty (30) days before the end of the calendar year. The Commissioner may consider the following factors in determining if the relief should be granted:
1. Number of partners, expertise of the partners or the number of insurance clients in the currently registered firm;
 2. Premium volume of the company; or
 3. Number of jurisdictions in which the company transacts business.
- E. The insurer shall file, with its annual statement filing, the approval for relief from Subsection D.1. with the states that it is licensed in or doing business in and with the NAIC. If the nondomestic state accepts electronic filing with the NAIC, the insurer shall file the approval in an electronic format acceptable to the NAIC.
- F. The Commissioner shall neither recognize as a qualified independent certified public accountant, nor accept an annual audited financial report, prepared in whole or in part by, a natural person who:
1. Has been convicted of fraud, bribery, a violation of the Racketeer Influenced and Corrupt Organizations Act, 18 U.S.C. Sections 1961 to 1968, or any dishonest conduct or practices under federal or state law;
 2. Has been found to have violated the insurance laws of this state with respect to any previous reports submitted under this regulation; or
 3. Has demonstrated a pattern or practice of failing to detect or disclose material information in previous reports filed under the provisions of this regulation.

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- G. The Commissioner of insurance may hold a hearing to determine whether an independent certified public accountant is qualified and, considering the evidence presented, may rule that the accountant is not qualified for purposes of expressing his or her opinion on the financial statements in the annual audited financial report made pursuant to this regulation and require the company to replace the accountant with another whose relationship with the company is qualified within the meaning of this regulation.
- H. The Commissioner shall not recognize as a qualified independent certified public accountant, nor accept an annual audited financial report, prepared in whole or in part by an accountant who provides to a company, contemporaneously with the audit, the following non-audit services:
1. Bookkeeping or other services related to the accounting records or financial statements of the company;
 2. Financial information systems design and implementation;
 3. Appraisal or valuation services, fairness opinions, or contribution-in-kind reports;
 4. Actuarially-oriented advisory services involving the determination of amounts recorded in the financial statements. The accountant may assist a company in understanding the methods, assumptions and inputs used in the determination of amounts recorded in the financial statement only if it is reasonable to conclude that the services provided will not be subject to audit procedures during an audit of the company's financial statements. An accountant's actuary may also issue an actuarial opinion or certification ("opinion") on a company's reserves if the following conditions have been met:
 - a. Neither the accountant nor the accountant's actuary has performed any management functions or made any management decisions;
 - b. The company has competent personnel (or engages a third party actuary) to estimate the reserves for which management takes responsibility; and
 - c. The accountant's actuary tests the reasonableness of the reserves after the company's management has determined the amount of the reserves.
 5. Internal audit outsourcing services;
 6. Management functions or human resources;
 7. Broker or dealer, investment adviser, or investment banking services;
 8. Legal services or expert services unrelated to the audit; or
 9. Any other services that the Commissioner determines, by regulation, are impermissible.
- I. In general, the principles of independence with respect to services provided by the qualified independent certified public accountant are largely predicated on three basic principles, violations of which would impair the accountant's independence. The principles are that the accountant cannot function in the role of management, cannot audit his or her own work, and cannot serve in an advocacy role for the company.

- J. Companies having direct written and assumed premiums of less than \$100,000,000 in any calendar year may request an exemption from Subsection G.1. The company shall file with the Commissioner a written statement discussing the reasons why the company should be exempt from these provisions. If the Commissioner finds, upon review of this statement, that compliance with this regulation would constitute a financial or organizational hardship upon the company, an exemption may be granted.
- K. A qualified independent certified public accountant who performs the audit may engage in other non-audit services, including tax services, that are not described in Subsection G.1. or that do not conflict with Subsection G.2.), only if the activity is approved in advance by the Audit committee, in accordance with Subsection J.
- L. All auditing services and non-audit services provided to a company by the qualified independent certified public accountant of the company shall be preapproved by the Audit committee. The preapproval requirement is waived with respect to non-audit services if the company is a SOX Compliant Entity or a direct or indirect wholly-owned subsidiary of a SOX Compliant Entity or:
 - 1. The aggregate amount of all such non-audit services provided to the company constitutes not more than five percent (5%) of the total amount of fees paid by the company to its qualified independent certified public accountant during the fiscal year in which the non-audit services are provided;
 - 2. The services were not recognized by the company at the time of the engagement to be non-audit services; and
 - 3. The services are promptly brought to the attention of the Audit committee and approved prior to the completion of the audit by the Audit committee or by one or more members of the Audit committee who are the members of the board of directors to whom authority to grant such approvals has been delegated by the Audit committee.
- M. The Audit committee may delegate to one or more designated members of the Audit committee the authority to grant the preapprovals required by Subsection J. The decisions of any member to whom his authority is delegated shall be presented to the full Audit committee at each of its scheduled meetings.
- N. The Commissioner shall not recognize an independent certified public accountant as qualified for a particular company if a member of the board, president, chief executive officer, controller, chief financial officer, chief accounting officer, or any person serving in an equivalent position for that company, was employed by the independent certified public accountant and participated in the audit of that company during the one-year period preceding the date that the most current statutory opinion is due. This section shall only apply to partners and senior managers involved in the audit. A company may make application to the Commissioner for relief from the above requirement on the basis of unusual circumstances.
- O. The company shall file, with its annual statement filing, the approval for relief from Subsection L.1. with the states that it is licensed in or doing business in and the NAIC. If the nondomestic state accepts electronic filing with the NAIC, the company shall file the approval in an electronic format acceptable to the NAIC.

Section 9 Consolidated or Combined Audits

A company may make written application to the Commissioner for approval to file audited consolidated or combined financial statements in lieu of separate annual audited financial statements if the insurer is part of a group of insurance companies that utilizes a pooling or one hundred percent (100%) reinsurance agreement that affects the solvency and integrity of the company's reserves and the company cedes all of its direct and assumed business to the pool. In such cases, a columnar consolidating or combining worksheet shall be filed with the report, as follows:

- A. Amounts shown on the consolidated or combined audited financial report shall be shown on the worksheet;
- B. Amounts for each company subject to this section shall be stated separately;
- C. Noninsurance operations may be shown on the worksheet on a combined or individual basis;
- D. Explanations of consolidating and eliminating entries shall be included; and
- E. A reconciliation shall be included of any differences between the amounts shown in the individual company columns of the worksheet and comparable amounts shown on the annual statements of the companies.

Section 10 Scope of Audit and Report of Independent Certified Public Accountant

Financial statements furnished pursuant to Section 6 shall be examined by the independent certified public accountant. The audit of the company's financial statements shall be conducted in accordance with generally accepted auditing standards. In accordance with AU Section 319 of the Professional Standards of the AICPA, *Consideration of Internal Control in a Financial Statement Audit*, the independent certified public accountant should obtain an understanding of internal control sufficient to plan the audit. To the extent required by AU 319, for those companies required to file a Management's Report of Internal Control over Financial Reporting pursuant to Section 18, the independent certified public accountant should consider (as that term is defined in Statement on Auditing Standards (SAS) No. 102, *Defining Professional Requirements in Statements on Auditing Standards* or its replacement) the most recently available report in planning and performing the audit of the statutory financial statements. Consideration shall be given to the procedures illustrated in the *Financial Condition Examiners Handbook* promulgated by the National Association of Insurance Commissioners as the independent certified public accountant deems necessary.

Section 11 Notification of Adverse Financial Condition

- A. The company required to furnish the annual audited financial report shall require the independent certified public accountant to report, in writing, within five (5) business days to the board of directors or its Audit committee any determination by the independent certified public accountant that the company has materially misstated its financial condition as reported to the Commissioner as of the balance sheet date currently under audit or that the company does not meet the minimum capital and surplus requirement of the Colorado insurance code as of that date. A company that has received a report pursuant to this paragraph shall forward a copy of the report to the Commissioner within five (5) business days of receipt of the report and shall provide the independent certified public accountant making the report with evidence of the report being furnished to the Commissioner. If the independent certified public accountant fails to receive the evidence within the required five (5) business day period, the independent certified public accountant shall furnish to the Commissioner a copy of its report within the next five (5) business days.

- B. No independent certified public accountant shall be liable in any manner to any person for any statement made in connection with the above paragraph if the statement is made in good faith in compliance with Subsection A.
- C. If the accountant, subsequent to the date of the audited financial report filed pursuant to this regulation, becomes aware of facts that might have affected his or her report, the Commissioner notes the obligation of the accountant to take such action as prescribed in Volume 1, AU Section 561 of the Professional Standards of the AICPA.

Section 12 Communication of Internal Control Related Matters Noted in an Audit

- A. In addition to the annual audited financial report, each company shall furnish the Commissioner with a written communication as to any unremediated material weaknesses in its internal control over financial reporting noted during the audit. Such communication shall be prepared by the accountant within sixty (60) days after the filing of the annual audited financial report, and shall contain a description of any unremediated material weakness as of December 31 immediately preceding (so as to coincide with the audited financial report discussed in Section 5.A.) in the company's internal control over financial reporting noted by the accountant during the course of their audit of the financial statements. If no unremediated material weaknesses were noted, the communication should so state. The term material weakness is defined by Statement on Auditing Standard 60, *Communication of Internal Control Related Matters Noted in an Audit*.
- B. The company is required to provide a description of remedial actions taken or proposed to correct unremediated material weaknesses, if the actions are not described in the accountant's communication.

Section 13 Accountant's Letter of Qualifications

The accountant shall furnish the company in connection with, and for inclusion in, the filing of the annual audited financial report, a letter stating:

- A. That the accountant is independent with respect to the company and conforms to the standards of his or her profession as contained in the Code of Professional Ethics and pronouncements of the American Institute of Certified Public Accountants, and the Rules of Professional Conduct of the Colorado State Board of Accountancy;
- B. The background and experience in general, and the experience in audits of companies of the staff assigned to the engagement and whether each is an independent certified public accountant. Nothing within this regulation shall be construed as prohibiting the accountant from utilizing such staff as he or she deems appropriate where use is consistent with the standards prescribed by generally accepted auditing standards;
- C. That the accountant understands the annual audited financial report and his opinion thereon will be filed in compliance with this regulation and that the Commissioner will be relying on this information in the monitoring and regulation of the financial position of companies;
- D. That the accountant consents to the requirements of Section 14 of this regulation and that the accountant consents and agrees to make available for review by the Commissioner, or the Commissioner's designee or appointed agent, the workpapers, as defined in Section 14;
- E. A representation that the accountant is properly licensed by an appropriate state licensing authority and is a member in good standing in the AICPA; and
- F. A representation that the accountant is in compliance with the requirements of Section 8 of this regulation.

Section 14 Definition, Availability and Maintenance of Independent Certified Public Accountants Workpapers

- A. Workpapers are the records kept by the independent certified public accountant of the procedures followed, the tests performed, the information obtained, and the conclusions reached pertinent to the accountant's audit of the financial statements of a company. Workpapers, accordingly, may include audit planning documentation, work programs, analyses, memoranda, letters of confirmation and representation, abstracts of company documents and schedules or commentaries prepared or obtained by the independent certified public accountant in the course of his or her audit of the financial statements of a company and which support the accountant's opinion.
- B. Every company required to file an audited financial report pursuant to this regulation, shall require the accountant to make available for review by insurance department examiners, all workpapers prepared in the conduct of the accountant's audit and any communications related to the audit between the accountant and the company, at the offices of the company, at the insurance department or at any other reasonable place designated by the Commissioner. The company shall require that the accountant retain the audit workpapers and communications until the insurance department has filed a report on examination covering the period of the audit but no longer than seven (7) years from the date of the audit report.
- C. In the conduct of the aforementioned periodic review by the Division examiners, it shall be agreed that photocopies of pertinent audit workpapers may be made and retained by the Division. Such reviews by the Division examiners shall be considered investigations and all working papers and communications obtained during the course of such investigations shall be afforded the same confidentiality as other examination workpapers generated by the Division.

Section 15 Requirements for Audit Committees

This section shall not apply to foreign or alien insurers licensed in this state or a company that is a SOX Compliant Entity or a direct or indirect wholly-owned subsidiary of a SOX Compliant Entity.

- A. The Audit committee shall be directly responsible for the appointment, compensation and oversight of the work of any accountant (including resolution of disagreements between management and the accountant regarding financial reporting) for the purpose of preparing or issuing the audited financial report or related work pursuant to this regulation. Each accountant shall report directly to the Audit committee.
- B. The Audit committee of a company or group of insurers shall be responsible for overseeing the company's internal audit function and granting the person or persons performing the function suitable authority and resources to fulfill their responsibilities if required by Section 16 of this regulation.
- C. Each member of the Audit committee shall be a member of the board of directors of the company or a member of the board of directors of an entity elected pursuant to Subsection F. and Section 4.C.
- D. In order to be considered independent for purposes of this section, a member of the Audit committee may not, other than in his or her capacity as a member of the Audit committee, the board of directors, or any other board committee, accept any consulting, advisory or other compensatory fee from the entity or be an affiliated person of the entity or any subsidiary thereof. However, if law requires board participation by otherwise non-independent members, that law shall prevail and such members may participate in the Audit committee and be designated as independent for Audit committee purposes, unless they are an officer or employee of the company or one of its affiliates.

- E. If a member of the Audit committee ceases to be independent for reasons outside the member's reasonable control, that person, with notice by the responsible entity to the state, may remain an Audit committee member of the responsible entity until the earlier of the next annual meeting of the responsible entity or one year from the occurrence of the event that caused the member to be no longer independent.
- F. To exercise the election of the controlling person to designate the Audit committee for purposes of this regulation, the ultimate controlling person shall provide written notice to the Commissioners of the affected companies. Notification shall be made timely prior to the issuance of the statutory audit report and include a description of the basis for the election. The election can be changed through notice to the Commissioner by the company, which shall include a description of the basis for the change. The election shall remain in effect for perpetuity, until rescinded.
- G. The Audit committee shall require the accountant that performs for a company any audit required by this regulation to timely report to the Audit committee in accordance with the requirements of SAS No. 61, *Communication With Audit Committees*, including:
1. All significant accounting policies and material permitted practices;
 2. All material alternative treatments of financial information within statutory accounting principles that have been discussed with management officials of the company, ramifications of the use of the alternative disclosures and treatments, and the treatment preferred by the accountant; and
 3. Other material written communications between the accountant and the management of the company, such as any management letter or schedule of unadjusted differences.
- H. If a company is a member of an insurance holding company system, the reports required by Subsection G. may be provided to the Audit committee on an aggregate basis for companies in the holding company system, provided that any substantial differences among companies in the system are identified to the Audit committee.
- I. The proportion of independent Audit committee members shall meet or exceed the following criteria:

Prior Calendar Year Direct Written and Assumed Premiums		
\$0 - \$300,000,000	Over \$300,000,000 - \$500,000,000	Over \$500,000,000
No minimum requirements. See also Note A and B.	Majority of members (50% or more) shall be independent. See also Note A and B.	Supermajority of members (75% or more) shall be independent. See also Note A.

Note A: The Commissioner has authority afforded by state law to require the entity's board to enact improvements to the independence of the Audit committee membership if the company is in a RBC action level event, meets one or more of the standards of a company deemed to be in hazardous financial condition, or otherwise exhibits qualities of a troubled company.

Note B: All companies with less than \$500,000,000 in prior year direct written and assumed premiums are encouraged to structure their Audit committees with at least a supermajority of independent Audit committee members.

Note C: Prior calendar year direct written and assumed premiums shall be the combined total of direct premiums and assumed premiums from non-affiliates for the reporting entities.

- J. A company with direct written and assumed premium, excluding premiums reinsured with the Federal Crop Insurance Corporation and Federal Flood Program, less than \$500,000,000 may make application to the Commissioner for a waiver from the Section 15 requirements based upon hardship. The company shall file, with its annual statement filing, the approval for relief from Section 15 with the states that it is licensed in or doing business in and the NAIC. If the nondomestic state accepts electronic filing with the NAIC, the company shall file the approval in an electronic format acceptable to the NAIC.

Section 16 Internal Audit Function Requirements

- A. Exemption – A company is exempt from the requirements of this section if:
1. The company has annual direct written and unaffiliated assumed premium, including international direct and assumed premium but excluding premiums reinsured with the Federal Crop Insurance Corporation and Federal Flood Program, less than \$500,000,000; and
 2. If the company is a member of a group of insurers, the group has annual direct written and unaffiliated assumed premium including international direct and assumed premium, but excluding premiums reinsured with the Federal Crop Insurance Corporation and Federal Flood Program, less than \$1,000,000,000.
- B. Function – The company or group of insurers shall establish an internal audit function providing independent, objective and reasonable assurance to the Audit committee and company management regarding the company's governance, risk management and internal controls. This assurance shall be provided by performing general and specific audits, reviews and tests and by employing other techniques deemed necessary to protect assets, evaluate control effectiveness and efficiency, and evaluate compliance with policies and regulations.
- C. Independence – In order to ensure that internal auditors remain objective, the internal control function must be organizationally independent. Specifically, the internal control function will not defer ultimate judgement on audit matters to others, and shall appoint an individual to head the internal audit function who will have direct and unrestricted access to the board of directors. Organizational independence does not preclude dual-reporting relationships.
- D. Reporting – The head of the internal audit function shall report to the Audit committee regularly, but no less than annually, on the periodic audit plan, factors that may adversely impact the internal audit function's independence or effectiveness, material findings from completed audits and the appropriateness of corrective actions implemented by management as a result of audit findings.
- E. Additional Requirements – If a company is a member of an insurance holding company system or included in a group of insurers, the company may satisfy the internal audit function requirements set forth in this section at the ultimate controlling parent level, an intermediate holding company level or the individual legal entity level.

Section 17 Conduct of Company in Connection with the Preparation of Required Reports and Documents

- A. No director or officer of a company shall, directly or indirectly:
1. Make or cause to be made a materially false or misleading statement to an accountant in connection with any audit, review or communication required under this regulation; or

2. Omit to state, or cause another person to omit to state, any material fact necessary in order to make statements made, in light of the circumstances under which the statements were made, not misleading to an accountant in connection with any audit, review or communication required under this regulation.
- B. No officer or director of a company, or any other person acting under the direction thereof, shall directly or indirectly take any action to coerce, manipulate, mislead or fraudulently influence any accountant engaged in the performance of an audit pursuant to this regulation if that person knew or should have known that the action, if successful, could result in rendering the company's financial statements materially misleading.
- C. For purposes of Subsection B of this section, actions that, "if successful, could result in rendering the company's financial statements materially misleading" include, but are not limited to, actions taken at any time with respect to the professional engagement period to coerce, manipulate, mislead or fraudulently influence an accountant:
1. To issue or reissue a report on a company's financial statements that is not warranted in the circumstances (due to material violations of statutory accounting principles prescribed by the Commissioner, generally accepted auditing standards, or other professional or regulatory standards);
 2. Not to perform audit, review or other procedures required by generally accepted auditing standards or other professional standards;
 3. Not to withdraw an issued report; or
 4. Not to communicate matters to a company's Audit committee.

Section 18 Management's Report of Internal Control over Financial Reporting

- A. Every company required to file an audited financial report pursuant to this regulation that has annual direct written and assumed premiums, excluding premiums reinsured with the Federal Crop Insurance Corporation and Federal Flood Program, of \$500,000,000 or more shall prepare a report of the company's or group of insurers' internal control over financial reporting, as these terms are defined in Section 4. The report shall be filed with the Commissioner along with the Communication of Internal Control Related Matters Noted in an Audit described under Section 12. Management's Report of Internal Control over Financial Reporting shall be as of December 31 immediately preceding.
- B. Notwithstanding the premium threshold in Subsection A, the Commissioner may require a company to file Management's Report of Internal Control over Financial Reporting if the company is in any RBC level event, or meets any one or more of the standards of a company deemed to be in hazardous financial condition as defined in § 10-1-110, C.R.S.

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- C. A company or a group of insurers may file its or its parent's Section 404 Report and an addendum in satisfaction of this Section 18 requirement provided that those internal controls of the company or group of insurers having a material impact on the preparation of the company's or group of insurers' audited statutory financial statements (those items included in Section 6.B. through 6.G. of this regulation) were included in the scope of the Section 404 Report. The addendum shall be a positive statement by management that there are no material processes with respect to the preparation of the company's or group of insurers' audited statutory financial statements (those items included in Section 6.B. through 6.G. of this regulation) excluded from the Section 404 Report. If there are internal controls of the company or group of insurers that have a material impact on the preparation of the company's or group of insurers' audited statutory financial statements and those internal controls were not included in the scope of the Section 404 Report, the company or group of insurers may either file (i) a Section 18 report, or (ii) the Section 404 Report and a Section 18 report for those internal controls that have a material impact on the preparation of the company's or group of insurers' audited statutory financial statements not covered by the Section 404 Report if the company or group of insurers are:
1. Directly subject to Section 404;
 2. Part of a holding company system whose parent is directly subject to Section 404;
 3. Not directly subject to Section 404 but is a SOX Compliant Entity; or
 4. A member of a holding company system whose parent is not directly subject to Section 404 but is a SOX Compliant Entity.
- D. Management's Report of Internal Control over Financial Reporting shall include:
1. A statement that management is responsible for establishing and maintaining adequate internal control over financial reporting;
 2. A statement that management has established internal control over financial reporting and an assertion, to the best of management's knowledge and belief, after diligent inquiry, as to whether its internal control over financial reporting is effective to provide reasonable assurance regarding the reliability of financial statements in accordance with statutory accounting principles;
 3. A statement that briefly describes the approach or processes by which management evaluated the effectiveness of its internal control over financial reporting;
 4. A statement that briefly describes the scope of work that is included and whether any internal controls were excluded;
 5. Disclosure of any unremediated material weaknesses in the internal control over financial reporting identified by management as of December 31 immediately preceding. Management is not permitted to conclude that the internal control over financial reporting is effective to provide reasonable assurance regarding the reliability of financial statements in accordance with statutory accounting principles if there is one or more unremediated material weaknesses in its internal control over financial reporting;
 6. A statement regarding the inherent limitations of internal control systems; and
 7. Signatures of the chief executive officer and the chief financial officer (or equivalent position/title).

- E. Management shall document and make available upon financial condition examination the basis upon which its assertions, required in Subsection D above, are made. Management may base its assertions, in part, upon its review, monitoring and testing of internal controls undertaken in the normal course of its activities.
 - 1. Management shall have discretion as to the nature of the internal control framework used, and the nature and extent of documentation, in order to make its assertion in a cost effective manner and, as such, may include assembly of or reference to existing documentation.
 - 2. Management's Report on Internal Control over Financial Reporting, required by Subsection A above, and any documentation provided in support thereof during the course of a financial condition examination, shall be kept confidential by the Division.

Section 19 Exemptions and Effective Dates

- A. Upon written application of any company, the Commissioner may grant an exemption from compliance with any and all provisions of this regulation if the Commissioner finds, upon review of the application, that compliance with this regulation would constitute a financial or organizational hardship upon the company. An exemption may be granted at any time and from time to time for a specified period or periods. Within ten (10) days from a denial of a company's written request for an exemption from this regulation, the company may request in writing a hearing on its application for an exemption.
- B. Domestic companies retaining a certified public accountant on the effective date of this regulation who qualifies as independent shall comply with this regulation for the year ending December 31, 2009 and each year thereafter unless the Commissioner permits otherwise.
- C. Domestic companies not retaining a certified public accountant on the effective date of this regulation who qualifies as independent may meet the following schedule for compliance unless the Commissioner permits otherwise.
 - 1. For the year ending December 31, 2009, file with the Commissioner an audited financial report.
 - 2. For the year ending December 31, 2010, and each year thereafter, such companies shall file with the Commissioner all reports and communications required by this regulation.
- D. Foreign insurers shall comply with this regulation for the year ending December 31, 2010, and each year thereafter, unless the Commissioner permits otherwise.
- E. The requirements of Section 8.D. shall be in effect for audits of the year beginning January 1, 2010, and thereafter.
- F. The requirements of Section 15 are to be in effect January 1, 2010. A company or group of insurers that is not required to have independent Audit committee members or only a majority of independent Audit committee members (as opposed to a supermajority) because the total written and assumed premium is below the threshold and subsequently becomes subject to one of the independence requirements due to changes in premium shall have one (1) year following the year the threshold is exceeded (but not earlier than January 1, 2010) to comply with the independence requirements. Likewise, a company that becomes subject to one of the independence requirements as a result of a business combination shall have one (1) calendar year following the date of acquisition or combination to comply with the independence requirements.

- G. The requirements of Section 18, and Sections 4, 5, 6, 7, 8, 10, 11, 12, 13, 14, 17, and 20, are effective beginning with the reporting period ending December 31, 2010 and each year thereafter. A company or group of insurers that is not required to file a report because the total written premium is below the threshold and subsequently becomes subject to the reporting requirements shall have two (2) years following the year the threshold is exceeded (but not earlier than December 31, 2010) to file a report. Likewise, a company acquired in a business combination shall have two (2) calendar years following the date of acquisition or combination to comply with the reporting requirements.
- H. The requirements of Section 16 go into effect on January 1, 2017. If a company or group of insurers that is exempt from the requirements contained in Section 16 no longer qualifies for that exemption, it shall have one year after the year the threshold is exceeded to comply with the requirements of this article.

Section 20 Canadian and British Companies

- A. In the case of Canadian and British insurers, the annual audited financial report shall be defined as the annual statement of total business on the form filed by such companies with their supervision authority duly audited by an independent chartered accountant.
- B. For such insurers, the letter required in Section 7.B. shall state that the accountant is aware of the requirements relating to the annual audited financial report filed with the Commissioner pursuant to Section 5 and shall affirm that the opinion expressed is in conformity with those requirements.

Section 21 Severability Provision

If any provision of this regulation or the application of it to any person or circumstance is for any reason held to be invalid, the remainder of this regulation shall not be affected.

Section 22 Incorporated Materials

The Sarbanes-Oxley Act of 2002 (Public Law 107-204, 116 Stat. 745, enacted July 30, 2002), published in United States federal law shall mean Public Law 107-204, 116 Stat. 745, enacted July 30, 2002, as published on the effective date of this regulation and does not include later amendments to or editions of Public Law 107-204, 116 Stat. 745, enacted July 30, 2002. A copy of Public Law 107-204, 116 Stat. 745, enacted July 30, 2002 may be examined during regular business hours at the Colorado Division of Insurance, 1560 Broadway, Suite 850, Denver, Colorado, 80202. A Certified copy of Public Law 107-204, 116 Stat. 745, enacted July 30, 2002 may be requested from the Colorado Division of Insurance, 1560 Broadway, Suite 850, Denver, Colorado, 80202. A charge for certification or copies may apply.

The AU Section 319, published by Auditing Standards Board of the American Institute of Certified Public Accountants shall mean AU Section 319 as published on the effective date of this regulation and does not include later amendments to or editions of AU Section 319. A copy of the AU Section 319 may be examined during regular business hours at the Colorado Division of Insurance, 1560 Broadway, Suite 850, Denver, Colorado, 80202. A Certified copy of AU Section 319 may be requested from the Colorado Division of Insurance, 1560 Broadway, Suite 850, Denver, Colorado, 80202. A charge for certification or copies may apply.

The Statement on Auditing Standards (SAS) No. 102, published by Auditing Standards Board of the American Institute of Certified Public Accountants shall mean SAS No. 102 as published on the effective date of this regulation and does not include later amendments to or editions of SAS No. 102. A copy of the SAS No. 102 may be examined during regular business hours at the Colorado Division of Insurance, 1560 Broadway, Suite 850, Denver, Colorado, 80202. A Certified copy of SAS No. 102 may be requested from the Colorado Division of Insurance, 1560 Broadway, Suite 850, Denver, Colorado, 80202. A charge for certification or copies may apply.

The AU Section 561, published by Auditing Standards Board of the American Institute of Certified Public Accountants shall mean AU Section 561 as published on the effective date of this regulation and does not include later amendments to or editions of AU Section 561. A copy of the AU Section 561 may be examined during regular business hours at the Colorado Division of Insurance, 1560 Broadway, Suite 850, Denver, Colorado, 80202. A Certified copy of AU Section 561 may be requested from the Colorado Division of Insurance, 1560 Broadway, Suite 850, Denver, Colorado, 80202. A charge for certification or copies may apply.

The Statement on Auditing Standards (SAS) No. 60, published by Auditing Standards Board of the American Institute of Certified Public Accountants shall mean SAS No. 60 as published on the effective date of this regulation and does not include later amendments to or editions of SAS No. 60. A copy of the SAS No. 60 may be examined during regular business hours at the Colorado Division of Insurance, 1560 Broadway, Suite 850, Denver, Colorado, 80202. A Certified copy of SAS No. 60 may be requested from the Colorado Division of Insurance, 1560 Broadway, Suite 850, Denver, Colorado, 80202. A charge for certification or copies may apply.

The Statement on Auditing Standards (SAS) No. 61, published by Auditing Standards Board of the American Institute of Certified Public Accountants shall mean SAS No. 61 as published on the effective date of this regulation and does not include later amendments to or editions of SAS No. 61. A copy of the SAS No. 61 may be examined during regular business hours at the Colorado Division of Insurance, 1560 Broadway, Suite 850, Denver, Colorado, 80202. A Certified copy of SAS No. 61 may be requested from the Colorado Division of Insurance, 1560 Broadway, Suite 850, Denver, Colorado, 80202. A charge for certification or copies may apply.

Section 23 Enforcement

Noncompliance with this regulation may result in the imposition of any of the sanctions made available in the Colorado statutes pertaining to the business of insurance, or other laws, which include the imposition of civil penalties, issuance of cease and desist orders, and/or suspensions or revocation of license, subject to the requirements of due process.

Section 24 Effective Date

This regulation shall become effective January 1, 2017.

Section 25 History

This regulation was originally effective December 31, 1990.
Amended regulation effective January 31, 1994.
Amended regulation effective April 1, 2001.
Repealed and repromulgated January 30, 2007.
Repealed and repromulgated January 1, 2010.
Amended regulation effective January 1, 2017.

Regulation 3-1-5 CONCERNING ENTERPRISE ZONE CREDIT AGAINST PREMIUM TAX

Section 1	Authority
Section 2	Scope and Purpose
Section 3	Applicability
Section 4	Filing Requirements
Section 5	Severability
Section 6	Enforcement
Section 7	Effective Date
Section 8	History

Section 1 Authority

This regulation is promulgated under the authority of Sections 10-1-109, and 39-30-108(2), Colorado Revised Statutes

Section 2 Scope and Purpose

The purpose of this regulation is to assure the orderly implementation of the premium tax credit provisions set forth in the Urban and Rural Enterprise Zone Act. This regulation sets forth the criteria for filing and documenting a claim for credit or refund of premium tax.

Section 3 Applicability

This regulation shall apply to any taxpayer who is subject to the tax on insurance premiums established by § 10-3-209, 10-5-111, and 10-6-128, C.R.S. and who is eligible to claim a credit or refund pursuant to Article 30 of Title 39, Colorado Revised Statutes.

Section 4 Filing Requirements

Each taxpayer seeking to claim a credit or refund of premium tax must file the tax form prescribed by the commissioner of insurance. Each such filing must be for the calendar year, and such filing must be received on or before March 1. In addition to the prescribed form, when an enterprise zone credit or refund is sought, a supplementary schedule must be attached to the tax form. This schedule shall itemize and describe each claim for credit or refund and include a statutory citation referencing the pertinent section of Article 30 of Title 39, Colorado Revised Statutes that permits each claim or refund. This schedule shall be attested to by an officer of the company and contain, in a prominent location, the full company name, NAIC company number (if any), corporate seal, printed name and title of officer attesting to the correctness of the claim.

The value of the credit sought shall be further supported by an original certificate issued by the enterprise zone administrator. This certification shall set forth both the value and purpose of the related expenditure for which credit or refund is sought.

Section 5 Severability

If any provision of this regulation or the application of it to any person or circumstance is for any reason held to be invalid, the remainder of this regulation shall not be affected.

Section 6 Enforcement

Noncompliance with this regulation may result in the imposition of the sanctions made available in the Colorado statutes pertaining to the business of insurance or other laws, which include the imposition of fines issuance of cease and desist orders, and/or suspensions or revocation of license.

Section 7 Effective Date

This amended regulation shall become effective on September 1, 2012

Section 8 History

Original regulation effective December 31, 1990
Amended regulation effective September 1, 2012

Regulation 3-1-6 Repealed eff. 10/02/2006

**Regulation 3-1-7 REGULATION TO DEFINE STANDARDS AND COMMISSIONER'S
AUTHORITY FOR COMPANIES DEEMED TO BE IN HAZARDOUS FINANCIAL CONDITION**

Section 1	Authority
Section 2	Scope and Purpose
Section 3	Applicability
Section 4	Standards
Section 5	Commissioner's Authority
Section 6	Severability
Section 7	Enforcement
Section 8	Effective Date
Section 9	History

Section 1 Authority

This regulation is promulgated under the authority of § § 10-1-109, 10-3-201(1)(b), 10-6-129, 10-14-505, and 10-16-109, C.R.S.

Section 2 Scope and Purpose

The purpose of this regulation is to set forth the standards which the Commissioner of Insurance may use for identifying insurers found to be in such condition as to render the continuance of their business hazardous to their policyholders, creditors or the general public. This regulation shall not be interpreted to limit the powers granted the Commissioner by any laws or parts of laws of this state, nor shall this regulation be interpreted to supersede any laws or parts of laws of this state.

Section 3 Applicability

This regulation shall apply to all Colorado licensed insurers as well as to each Colorado licensed group captive insurer, fraternal benefit society, health maintenance organization, prepaid dental care plan organization, and non-profit hospital, medical-surgical and health service corporation.

Section 4 Standards

The following standards, either singly or a combination of two or more, may be considered by the Commissioner to determine whether the continued operation of any company in this state might be deemed to be hazardous to its policyholders, creditors or the general public. The Commissioner may consider, but is not limited to, the following:

- A. Adverse findings reported in financial condition and market conduct examination reports, audit reports, and actuarial opinions, reports or summaries;
- B. The National Association of Insurance Commissioners Insurance Regulatory Information System and its other financial solvency tools and reports;
- C. Whether the company has made adequate provision, according to presently accepted actuarial standards of practice, for the anticipated cash flows required by the contractual obligations and related expenses of the company, when considered in light of the assets held by the company with respect to such reserves and related actuarial items including, but not limited to, the investment earnings on such assets, and the considerations anticipated to be received and retained under such policies and contracts;

- D. The ability of an assuming reinsurer to perform and whether the company's reinsurance program provides sufficient protection for the company's remaining surplus after taking into account the company's cash flow and the classes of business written as well as the financial condition of the assuming reinsurer;
- E. The company's operating loss in the last twelve month period or any shorter period of time, including but not limited to net capital gain or loss, or its change in non-admitted assets, and cash dividends paid to shareholders, is greater than 50% of such company's remaining surplus as regards policyholders in excess of the minimum required;
- F. Whether the insurer's operating loss in the last twelve-month period or any shorter period of time, excluding net capital gains, is greater than 20% of the insurer's remaining surplus as regards policyholders in excess of the minimum required;
- G. Whether a reinsurer, obligor or any entity within the company's holding company system, is insolvent, threatened with insolvency or delinquent in payment of its monetary or other obligations, and which in the opinion of the Commissioner may affect the solvency of the company;
- H. Contingent liabilities, pledges or guarantees which, either individually or collectively, involve a total amount which in the opinion of the Commissioner may affect the solvency of the company;
- I. Whether any "controlling person" of a company is delinquent in transmitting to, or payment of, net premiums or other amounts to such company;
- J. The age and collectability of receivables;
- K. Whether the management of a company, including officers, directors, or any other person who directly or indirectly controls the operation of such company, fails to possess and demonstrate the competence, fitness and reputation deemed necessary to serve the company in such position;
- L. Whether management of a company has failed to respond to inquiries relative to the condition of the company or has furnished false and misleading information concerning an inquiry;
- M. Whether the company has failed to meet financial and holding company filing requirements in the absence of a reason satisfactory to the Commissioner;
- N. Whether management of a company either has filed any false or misleading sworn financial statement, or has released a false or misleading financial statement to lending institutions or to the general public, or has made a false or misleading entry, or has omitted an entry of material amount in the books of the company;
- O. Whether the company has grown so rapidly and to such an extent that it lacks adequate financial and administrative capacity to meet its obligations in a timely manner;
- P. Whether the company has experienced or will experience in the foreseeable future cash flow and/or liquidity problems;
- Q. Whether management has established reserves that do not comply with minimum standards established by state insurance laws, regulations, statutory accounting standards, sound actuarial principles and standards of practice;
- R. Whether management persistently engages in material under-reserving that results in adverse development;

- S. Whether transactions among affiliates, subsidiaries or controlling persons for which the company receives assets or capital gains, or both, do not provide sufficient value, liquidity or diversity to assure the company's ability to meet its outstanding obligations as they mature;
- T. Any other finding determined by the Commissioner to be hazardous to the company's policyholders, creditors or general public.

Section 5 Commissioner's Authority

- A. For the purposes of making a determination of a company's financial condition under this regulation, the Commissioner may, among other things:
 - 1. Disregard any credit or amount receivable resulting from transactions with a reinsurer that is insolvent, impaired or otherwise subject to a delinquency proceeding;
 - 2. Make appropriate adjustments, including disallowance, to asset values attributable to investments in or transactions with parents, subsidiaries, or affiliates consistent with the NAIC Accounting Practices And Procedures Manual, state laws and regulations;
 - 3. Refuse to recognize the stated value of accounts receivable if the ability to collect receivables is highly speculative in view of the age of the account or the financial condition of the debtor;
 - 4. Increase the company's liability in an amount equal to any contingent liability, pledge, or guarantee not otherwise included if there is a substantial risk that the company will be called upon to meet the obligation undertaken within the next 12-month period.
 - 5. Direct the company to submit additional information which may assist the Commissioner in reaching a determination. These include, but are not limited to, actuarial analysis, cash flow testing, asset/liability matching, feasibility analysis, surplus adequacy analysis and portfolio diversification analysis.
- B. If the Commissioner determines that the continued operation of the company licensed to transact business in this state may be hazardous to the policyholders, creditors or the general public, then the Commissioner may, upon a determination, furnish the company with a written explanation of the concerns, request additional information, if necessary, to conclude the investigation or determination and request the position of the company with regard to such findings. The Commissioner may provide a written list of requirements for the company to abate the situation. Alternatively, the company may offer a plan of abatement for review and approval by the Commissioner. Examples of corrective measures or monitoring that the Commissioner may consider include, but are not limited to requiring the company to:
 - 1. Reduce the total amount of present and potential liability for policy benefits by reinsurance;
 - 2. Reduce, suspend or limit the volume of business being accepted or renewed;
 - 3. Reduce general insurance and commission expenses by specified methods;
 - 4. Increase the company's capital and surplus;
 - 5. Suspend or limit the declaration and payment of dividends by a company to its stockholders or to its policyholders;

6. File reports in a form acceptable to the Commissioner concerning the market value of a company's assets;
7. Limit or withdraw from certain investments or discontinue certain investment practices to the extent the Commissioner deems necessary;
8. Document the adequacy of premium rates in relation to the risks insured;
9. File, in addition to regular annual statements, interim financial reports on the form adopted by the National Association of Insurance Commissioners or on such format as promulgated by the Commissioner;
10. Correct corporate governance practice deficiencies, and adopt and utilize governance practices acceptable to the Commissioner.
11. Provide a business plan to the Commissioner in order to continue to transact business in the state.
12. Notwithstanding any other provision of law limiting the frequency or amount of premium rate adjustments, adjust rates for any non-life insurance product written by the company that the Commissioner considers necessary to improve the financial condition of the company.
13. Establish a special deposit for Colorado policyholders;
14. Cease or desist from certain practices or acts which have contributed to or caused the concern; or
15. File actuarial feasibility studies, projections, cash flow analyses or asset/liability matching analyses with assumptions and/or scenarios acceptable to the Commissioner.

If the insurer is a foreign insurer the Commissioner's requirements may be limited to the extent provided by statute.

Section 6 Severability

If any provision of this regulation or the application of it to any person or circumstance is for any reason held to be invalid, the remainder of this regulation shall not be affected.

Section 7 Enforcement

Noncompliance with this regulation may result in the imposition of any of the sanctions made available in the Colorado statutes pertaining to the business of insurance, or other laws, which include the imposition of civil penalties, issuance of cease and desist orders, and/or suspensions or revocation of license, subject to the requirements of due process.

Section 8 Effective Date

This amended regulation shall become effective May 1, 2013.

Section 9 History

Amended, Effective October 1, 1992

Amended, Effective April 1, 2001

Amended, Effective December 1, 2012

Amended, Effective May 1, 2013

Regulation 3-1-8 CONCERNING ACTUARIAL OPINIONS AND MEMORANDUMS FOR LIFE COMPANIES AND FRATERNAL BENEFIT SOCIETIES

Section 1	Authority
Section 2	Scope and Purpose
Section 3	Applicability
Section 4	Definitions
Section 5	General Requirements
Section 6	Statement of Actuarial Opinion Based On Asset Adequacy Analysis
Section 7	Description of Actuarial Memorandum Including an Asset Adequacy Analysis and Regulatory Asset Adequacy Issues Summary
Section 8	Severability
Section 9	Enforcement
Section 10	Effective Date
Section 11	History

Section 1 Authority

This regulation is promulgated and adopted by the Commissioner of Insurance under the authority of §§10-1-108(7), 10-1-109, 10-7-114, and 10-14-505, C.R.S.

Section 2 Scope and Purpose

The purpose of this regulation is to prescribe:

- A. Guidelines and standards for statements of actuarial opinion, which are to be submitted in accordance with §§10-7-114 and 10-14-602, C.R.S. and for memorandums submitted in support thereof;
- B. Rules applicable to the appointment of an appointed actuary; and
- C. Guidance as to the meaning of “adequacy of reserves.”

Section 3 Applicability

This regulation shall apply to all life insurance companies and fraternal benefit societies doing business in this State and to all life insurance companies and fraternal benefit societies that are authorized to reinsure life insurance, annuities or accident and health insurance business in this State. This regulation shall be applied in a manner that allows the appointed actuary to utilize his or her professional judgment in performing the asset adequacy analysis and developing the actuarial opinion and supporting memoranda, consistent with relevant actuarial standards of practice. However, the Commissioner shall have the authority to specify specific methods of actuarial analysis and actuarial assumptions when, in the Commissioner’s judgment, these specifications are necessary for an acceptable opinion to be rendered relative to the adequacy of reserves and related items; see Section 7.D. of this regulation for requirements specific to companies domiciled in the State of Colorado.

This regulation shall be applicable to all annual statements filed with the office of the Commissioner after the effective date of this regulation. A statement of opinion on the adequacy of the reserves and related actuarial items based on an asset adequacy analysis in accordance with Section 6. of this regulation, and a memorandum in support thereof in accordance with Section 7. of this regulation, shall be required each year.

Section 4 Definitions

- A. “Actuarial Opinion” means, for the purposes of this regulation, the opinion of an appointed actuary regarding the adequacy of the reserves and related actuarial items based on an asset adequacy analysis in accordance with Section 6. of this regulation and with applicable Actuarial Standards of Practice.
- B. “Actuarial Standards Board” means, for the purposes of this regulation, the board established by the American Academy of Actuaries to develop and promulgate actuarial standards of practice.
- C. “Actuarial Standards of Practice” means, for the purposes of this regulation, the Actuarial Standards of Practice and Compliance Guidelines as promulgated by the Actuarial Standards Board.
- D. “Annual statement” means, for the purposes of this regulation, that statement required by §§10-3-208 and 10-14-602, C.R.S. to be filed annually, by the company, with the Commissioner.
- E. “Appointed actuary” means, for the purposes of this regulation, an individual who is appointed or retained in accordance with the requirements set forth in Section 5.B. of this regulation to provide the actuarial opinion and supporting memorandum as required by this regulation and §10-7-114, C.R.S.
- F. “Asset adequacy analysis” means an analysis that meets the standards and other requirements referred to in Section 5.C. of this regulation. It may take many forms, including, but not limited to, cash flow testing, sensitivity testing or applications of risk theory.
- G. “Commissioner” means, for the purposes of this regulation, the Insurance Commissioner of the State of Colorado.
- H. “Company” means, for the purposes of this regulation, a life insurance company, fraternal benefit society or reinsurer subject to the provisions of this regulation.
- I. “Qualified actuary” means, for the purposes of this regulation, an individual who meets the requirements set forth in §10-7-114 (1.1), C.R.S.

Section 5 General Requirements

- A. Submission of Statement of Actuarial Opinion
 - 1. There is to be included on or attached to Page 1 of the annual statement for each year beginning with the year in which this regulation becomes effective the statement of an appointed actuary, entitled “Statement of Actuarial Opinion,” setting forth an opinion relating to reserves and related actuarial items held in support of policies and contracts, in accordance with Section 6. of this regulation.
 - 2. Upon written request and showing adequate justification by the company, the Commissioner may grant an extension of the date for submission of the Statement of Actuarial Opinion. Actuarial Opinions not received by the required filing date, or approved extended date, shall be subject to a penalty of up to \$100.00 per day.

- B. Appointed Actuary. An “appointed actuary” is a qualified actuary who is appointed or retained to prepare the Statement of Actuarial Opinion required by this regulation, either directly by or by the authority of the board of directors through an executive officer of the company other than the qualified actuary. The company shall give the Commissioner timely written notice of the name, title (and, in the case of a consulting actuary, the name of the firm) and manner of appointment or retention of each person appointed or retained by the company as an appointed actuary and shall state in the notice that the person meets the requirements set forth in §10-7-114(1.1), C.R.S. Once notice is furnished, no further notice is required with respect to this person, provided that the company shall give the Commissioner timely written notice in the event the actuary ceases to be appointed or retained as an appointed actuary or to meet the requirements set forth in §10-7-114(1.1), C.R.S. If any person appointed or retained as an appointed actuary replaces a previously appointed actuary, the notice shall so state and give the reasons for replacement.
- C. Standards for Asset Adequacy Analysis. The asset adequacy analysis required by this regulation:
1. Shall conform to the Standards of Practice as promulgated from time to time by the Actuarial Standards Board, and on any additional standards under this regulation, which standards are to form the basis of the Statement of Actuarial Opinion in accordance with this regulation; and
 2. Shall be based on methods of analysis as are deemed appropriate for such purposes by the Actuarial Standards Board.
- D. Liabilities to be Covered.
1. Under authority of §10-7-114(1)(b), C.R.S., the Statement of Actuarial Opinion shall apply to all in force business on the statement date, whether directly issued or assumed, regardless of when or where issued, e.g., reserves of Exhibits 5, 6 and 7, and claim liabilities in Exhibit 8, Part 1 of the Annual Statement and equivalent items in the separate account statement or statements.
 2. If the appointed actuary determines, as the result of asset adequacy analysis, that a reserve should be held in addition to the aggregate reserve held by the company, and calculated in accordance with methods set forth in Article 7 of Title 10, C.R.S., the company shall establish the additional reserve.
 3. Additional reserves established under Paragraph (2) above and deemed not necessary in subsequent years may be released. Any amounts released shall be disclosed in the actuarial opinion for the applicable year. The release of such reserves would not be deemed an adoption of a lower standard of valuation.

Section 6 Statement of Actuarial Opinion Based On Asset Adequacy Analysis

- A. General Description. The Statement of Actuarial Opinion submitted in accordance with this section shall consist of:
1. A paragraph identifying the appointed actuary and his or her qualifications (see Subsection B.1. of this regulation);
 2. A scope paragraph identifying the subjects on which an opinion is to be expressed, and describing the scope of the appointed actuary’s work, including a tabulation delineating the reserves and related actuarial items that have been analyzed for asset adequacy and the method of analysis, (see Subsection B.2. of this regulation) and identifying the reserves and related actuarial items covered by the opinion that have not been so analyzed;

-
3. A reliance paragraph describing those areas, if any, where the appointed actuary has deferred to other experts in developing data, procedures or assumptions, (e.g., anticipated cash flows from currently owned assets, including variation in cash flows according to economic scenarios (see Subsection B.3.), supported by a statement of each such expert in the form prescribed by Subsection E.; and
 4. An opinion paragraph expressing the appointed actuary's opinion with respect to the adequacy of the supporting assets to mature the liabilities (see Subsection B.4.) of this regulation).
 5. One or more additional paragraphs will be needed in individual company cases as follows:
 - a. If the appointed actuary considers it necessary to state a qualification of his or her opinion;
 - b. If the appointed actuary must disclose an inconsistency in the method of analysis or basis of asset allocation used at the prior opinion date with that used for this opinion;
 - c. If the appointed actuary must disclose whether additional reserves as of the prior opinion date are released as of this opinion date, and the extent of the release; and/or
 - d. If the appointed actuary chooses to add a paragraph briefly describing the assumptions that form the basis for the actuarial opinion.
- B. Recommended Language. The following paragraphs are to be included in the Statement of Actuarial Opinion in accordance with this section. Language is that which in typical circumstances should be included in a Statement of Actuarial Opinion. The language may be modified as needed to meet the circumstances of a particular case, but the appointed actuary should use language that clearly expresses his or her professional judgment. However, in any event the opinion shall retain all pertinent aspects of the language provided in this section.
1. The opening paragraph should generally indicate the appointed actuary's relationship to the company and his or her qualifications to sign the opinion. For a company actuary, the opening paragraph of the actuarial opinion should include a statement such as:

"I, [name], am [title] of [insurance company name] and a member of the American Academy of Actuaries. I was appointed by, or by the authority of, the Board of Directors of said insurer to render this opinion as stated in the letter to the Commissioner dated [insert date]. I meet the Academy qualification standards for rendering the opinion and am familiar with the valuation requirements applicable to life and health insurance companies."

For a consulting actuary, the opening paragraph should include a statement such as:

"I, [name], a member of the American Academy of Actuaries, am associated with the firm of [name of consulting firm]. I have been appointed by, or by the authority of, the Board of Directors of [name of company] to render this opinion as stated in the letter to the Commissioner dated [insert date]. I meet the Academy qualification standards for rendering the opinion and am familiar with the valuation requirements applicable to life and health insurance companies."

2. The scope paragraph should include a statement such as:

"I have examined the actuarial assumptions and actuarial methods used in determining reserves and related actuarial items listed below, as shown in the annual statement of the company, as prepared for filing with state regulatory officials, as of December 31, 20[]. Tabulated below are those reserves and related actuarial items which have been subjected to asset adequacy analysis.

3. If the appointed actuary has relied on other experts to develop certain portions of the analysis, the reliance paragraph should include a statement such as:

"I have relied on [name], [title] for [e.g., "anticipated cash flows from currently owned assets, including variations in cash flows according to economic scenarios" or "certain critical aspects of the analysis performed in conjunction with forming my opinion"], as certified in the attached statement. I have reviewed the information relied upon for reasonableness."

A statement of reliance on other experts should be accompanied by a statement by each of the experts in the form prescribed by Section 6.E.

4. If the appointed actuary has examined the underlying asset and liability records, the reliance paragraph should include a statement such as:

"My examination included such review of the actuarial assumptions and actuarial methods and of the underlying basic asset and liability records and such tests of the actuarial calculations as I considered necessary. I also reconciled the underlying basic asset and liability records to [exhibits and schedules listed as applicable] of the company's current annual statement."

5. If the appointed actuary has not examined the underlying records, but has relied upon data (e.g., listings and summaries of policies in force or asset records) prepared by the company, the reliance paragraph should include a statement such as:

"In forming my opinion on [specify types of reserves], I relied upon data prepared by [name and title of company officer certifying in force records or other data] as certified in the attached statements. I evaluated that data for reasonableness and consistency. I also reconciled that data to [exhibits and schedules to be listed as applicable] of the company's current annual statement. In other respects, my examination included review of the actuarial assumptions and actuarial methods used and tests of the calculations I considered necessary."

The section shall be accompanied by a statement by each person relied upon in the form prescribed by Subsection 6.E. of this regulation.

6. The opinion paragraph should include a statement such as:

"In my opinion the reserves and related actuarial values concerning the statement items identified above:

- a. Are computed in accordance with presently accepted actuarial standards consistently applied and are fairly stated, in accordance with sound actuarial principles;

- b. Are based on actuarial assumptions that produce reserves at least as great as those called for in any contract provision as to reserve basis and method, and are in accordance with all other contract provisions;
- c. Meet the requirements of the Insurance Law and Regulation of the State of [state of domicile]; and are at least as great as the minimum aggregate amounts required by the state in which this statement is filed;
- d. Are computed on the basis of assumptions consistent with those used in computing the corresponding items in the annual statement of the preceding year-end (with any exceptions noted below); and
- e. Include provision for all actuarial reserves and related statement items which ought to be established.

The reserves and related items, when considered in light of the assets held by the company with respect to such reserves and related actuarial items including, but not limited to, the investment earnings on the assets, and the considerations anticipated to be received and retained under the policies and contracts, make adequate provision, according to presently accepted actuarial standards of practice, for the anticipated cash flows required by the contractual obligations and related expenses of the company.

The actuarial methods, considerations and analyses used in forming my opinion conform to the appropriate Actuarial Standards of Practice as promulgated by the Actuarial Standards Board, which standards form the basis of this statement of opinion.

This opinion is updated annually as required by statute. To the best of my knowledge, there have been no material changes from the applicable date of the annual statement to the date of the rendering of this opinion which should be considered in reviewing this opinion."

or

"The following material change(s) which occurred between the date of the statement for which this opinion is applicable and the date of this opinion should be considered in reviewing this opinion: (Describe the change or changes.)"

Note: Choose one of the above two paragraphs, whichever is applicable.

"The impact of unanticipated events subsequent to the date of this opinion is beyond the scope of this opinion. The analysis of asset adequacy portion of this opinion should be viewed recognizing that the company's future experience may not follow all the assumptions used in the analysis."

Signature of Appointed Actuary

Address of Appointed Actuary

Telephone Number of Appointed Actuary

Date

Note: This table must be included in the actuarial opinion filed.

Asset Adequacy Tested Amounts—Reserves and Liabilities					
Statement Item	Formula Reserves (1)	(a) Additional Actuarial Reserves (2)	(b) Analysis Method	Other Amount (3)	Total Amount (1)+(2)+(3) (4)
Exhibit 5					
A Life Insurance					
B Annuities					
C Supplementary Contracts Involving Life Contingencies					
D Accidental Death Benefit					
E Disability – Active					
F Disability – Disabled					
G Miscellaneous					
Total (Exhibit 5, Item 1, Page 3)					
Exhibit 6					
A Active Life Reserve					
B Claim Reserve					
Total (Exhibit 6, Item 2, Page 3)					
Exhibit 7					
Premium and Other Deposit Funds (Column 5, Line 14)					
Guaranteed Interest Contracts (Column 2, Line 14)					
Other (Column 6, Line 14)					
Supplemental Contracts and Annuities Certain (Column 3, Line 14)					
Dividend Accumulations or Refunds (Column 4, Line 14)					
Total (Exhibit 7, Column 1, Line 14)					
Exhibit 8, Part 1					
Life (Page 3, Line 4.1)					
Health (Page 3, Line 4.2)					
Total (Exhibit 11, Part 1)					
Separate Accounts (Page 3 of the Annual Statement, Line 27)					
TOTAL RESERVES					

IMR (General Account, Page 3, Line 9.4)	
Separate Accounts, (Page 3, Line 27)	
AVR (Page 3, Line 24.1)	(c)
Net Deferred and Uncollected Premium, (Page 2, Lines 13.1 and 13.2)	

Notes:

- (a) The additional actuarial reserves are the reserves established under Paragraph (3) of Section 5.D.

- (b) The appointed actuary should indicate the method of analysis, determined in accordance with the standards for asset adequacy analysis referred to in Section 5.C. of this regulation, by means of symbols that should be defined in footnotes to the table.
- (c) Allocated amount of Asset Valuation Reserve (AVR).

C. Assumptions for New Issues

The adoption for new issues or new claims or other new liabilities of an actuarial assumption that differs from a corresponding assumption used for prior new issues or new claims or other new liabilities is not a change in actuarial assumptions within the meaning of this Section 6.

D. Adverse Opinions

If the appointed actuary is unable to form an opinion, then he or she shall refuse to issue a Statement of Actuarial Opinion. If the appointed actuary's opinion is adverse or qualified, then he or she shall issue an adverse or qualified actuarial opinion explicitly stating the reasons for the opinion. This statement should follow the scope paragraph and precede the opinion paragraph.

E. Reliance on Information Furnished by Other Persons

If the appointed actuary relies on the certification of others on matters concerning the accuracy or completeness of any data underlying the actuarial opinion, or the appropriateness of any other information used by the appointed actuary in forming the actuarial opinion, the actuarial opinion should so indicate the persons the actuary is relying upon and a precise identification of the items subject to such reliance. In addition, the persons on whom the appointed actuary relies shall provide a certification that precisely identifies the items on which the person is providing information and a statement as to the accuracy, completeness or reasonableness, as applicable, of the items. This certification shall include the signature, title, company, address and telephone number of the person rendering the certification, as well as the date on which it is signed.

F. Alternate Option

1. The Standard Valuation Law gives the Commissioner broad authority to accept the valuation of a foreign insurer when that valuation meets the requirements applicable to a company domiciled in this state in the aggregate. As an alternative to the requirements of Subsection 6.B.6.c. of this regulation, the opining actuary may state that the reserves "meet the requirements of the insurance laws and regulations of the State of [state of domicile] and I have verified that the company's request to file an opinion based on the laws of the state of domicile has been approved and that any conditions required by the Commissioner for approval of that request have been met."

The foreign insurer should request a written statement from the Commissioner seeking this approval, prior to March 31 of the year it is to be effective. The statement should be issued no later than March 31 of this year. It shall remain valid until rescinded or modified by the Commissioner. The rescission or modifications shall be issued no later than March 31 of the year they are first effective. Subsequent to that statement being issued, if a company chooses to use this alternative, the company shall file a request to do so, along with justification for its use, no later than April 30 of the year of the opinion to be filed. The request shall be deemed approved on October 1 of that year if the Commissioner has not denied the request by that date.

2. Notwithstanding the above, the Commissioner may reject an opinion based on the laws and regulations of the state of domicile and require an opinion based on the laws of this state. If a company is unable to provide the opinion within sixty (60) days of the request or such other period of time determined by the Commissioner after consultation with the company, the Commissioner may contract an independent actuary at the company's expense to prepare and file the opinion.
- G. Confidentiality. The Statement of Actuarial Opinion is not considered to be a confidential document; however, all related supporting materials and memoranda are confidential pursuant to § 10-7-114, C.R.S. and the Colorado Open Records Act (§ 24-72-201 et seq, C.R.S).

Section 7 Description of Actuarial Memorandum Including an Asset Adequacy Analysis and Regulatory Asset Adequacy Issues Summary

A. General

1. In accordance with §§10-7-114 and 10-14-602, C.R.S., the appointed actuary shall prepare a memorandum to the company describing the analysis done in support of his or her opinion regarding the reserves. The memorandum shall be made available for examination by the Commissioner upon his or her request, but shall be destroyed by the Division of Insurance, or returned to the company, if a written request accompanies the filing of the memorandum, after such examination and shall not be considered a record of the Division of Insurance or subject to automatic filing with the Commissioner.
2. In preparing the memorandum, the appointed actuary may rely on, and include as a part of his or her own memorandum, memoranda prepared and signed by other actuaries who are qualified within the meaning of §10-7-114(1.1), C.R.S., with respect to the areas covered in such memoranda, and so state in the appointed actuary's memorandum.
3. If the Commissioner requests a memorandum and no such memorandum exists or if the Commissioner finds that the analysis described in the memorandum fails to meet the standards of the Actuarial Standards Board or the standards and requirements of this regulation, the Commissioner may designate a qualified actuary to review the opinion and prepare such supporting memorandum as is required for review. The reasonable and necessary expense of the independent review shall be paid by the company but shall be directed and controlled by the Commissioner.
4. The reviewing actuary shall have the same status as the Commissioner for purposes of obtaining data from the company and the work papers and documentation of the reviewing actuary shall be retained by the Commissioner; provided, however, that any information provided by the company to the reviewing actuary and included in the work papers shall be considered as material provided by the company to the Commissioner and shall be kept confidential to the same extent as is prescribed by law with respect to other material provided by the company to the Commissioner pursuant to the statute governing this regulation. The reviewing actuary shall not be an employee of a consulting firm involved with the preparation of any prior memorandum or opinion for the insurer pursuant to this regulation for any one of the current year or the preceding three (3) years.
5. In accordance with §10-7-114(1)(g), C.R.S, the appointed actuary shall prepare a regulatory asset adequacy issues summary, the contents of which are specified in Section 7.C. of this regulation. The regulatory asset adequacy issues summary will be submitted no later than March 15 of the year following the year for which a Statement of Actuarial Opinion based on asset adequacy is required. The regulatory asset adequacy issues summary is to be kept confidential to the same extent and under the same conditions as the actuarial memorandum.

B. Details of the Memorandum Section Documenting Asset Adequacy Analysis

When an actuarial opinion is provided, the memorandum shall demonstrate that the analysis has been done in accordance with the standards for asset adequacy referred to in Section 5.C. of this regulation and any additional standards under this regulation. It shall specify:

1. For reserves:
 - a. Product descriptions including market description, underwriting and other aspects of a risk profile and the specific risks the appointed actuary deems significant;
 - b. Source of liability in force;
 - c. Reserve method and basis;
 - d. Investment reserves;
 - e. Reinsurance arrangements;
 - f. Identification of any explicit or implied guarantees made by the general account in support of benefits provided through a separate account or under a separate account policy or contract and the methods used by the appointed actuary to provide for the guarantees in the asset adequacy analysis; and
 - g. Documentation of assumptions to test reserves for the following:
 - (1) Lapse rates (both base and excess);
 - (2) Interest crediting rate strategy;
 - (3) Mortality;
 - (4) Policyholder dividend strategy;
 - (5) Competitor or market interest rate;
 - (6) Annuitization rates;
 - (7) Commissions and expenses; and
 - (8) Morbidity.

The documentation of the assumptions shall be such that an actuary reviewing the actuarial memorandum could form a conclusion as to the reasonableness of the assumptions;

2. For assets:
 - a. Portfolio descriptions, including a risk profile disclosing the quality, distribution and types of assets;
 - b. Investment and disinvestment assumptions;
 - c. Source of asset data;

- d. Asset valuation bases; and
- e. Documentation of assumptions made for:
 - (1) Default costs;
 - (2) Bond call function;
 - (3) Mortgage prepayment function;
 - (4) Determining market value for assets sold due to disinvestment strategy; and
 - (5) Determining yield on assets acquired through the investment strategy.

The documentation of the assumptions shall be such that an actuary reviewing the actuarial memorandum could form a conclusion as to the reasonableness of the assumptions;

- 3. For the analysis basis:
 - a. Methodology;
 - b. Rationale for inclusion or exclusion of different blocks of business and how pertinent risks were analyzed;
 - c. Rationale for degree of rigor in analyzing different blocks of business (include in the rationale the level of "materiality" that was used in determining how rigorously to analyze different blocks of business);
 - d. Criteria for determining asset adequacy (include in the criteria the precise basis for determining if assets are adequate to cover reserves under "moderately adverse conditions" or other conditions as specified in relevant actuarial standards of practice); and
 - e. Whether the impact of federal income taxes was considered and the method of treating reinsurance in the asset adequacy analysis;
- 4. Summary of material changes in methods, procedures, or assumptions from prior year's asset adequacy analysis;
- 5. Summary of results; and
- 6. Conclusions.

C. Details of the Regulatory Asset Adequacy Issues Summary

- 1. The regulatory asset adequacy issues summary shall include:

- a. Descriptions of the scenarios tested (Section 7.D. of this regulation) and the sensitivity testing done relative to those scenarios. If negative ending surplus results under certain tests in the aggregate, the actuary should describe those tests and the amount of additional reserve as of the valuation date which, if held, would eliminate the negative aggregate surplus values. Ending surplus values shall be determined by either extending the projection period until the in-force and associated assets and liabilities at the end of the projection period are immaterial or by adjusting the surplus amount at the end of the projection period by an amount that appropriately estimates the value that can reasonably be expected to arise from the assets and liabilities remaining in-force;
 - b. The extent to which the appointed actuary uses assumptions in the asset adequacy analysis that are materially different than the assumptions used in the previous asset adequacy analysis;
 - c. The amount of reserves and the identity of the product lines that had been subjected to asset adequacy analysis in the prior opinion but were not subject to analysis for the current opinion;
 - d. Comments on any interim results that may be of significant concern to the appointed actuary. For example, the impact of the insufficiency of assets to support the payment of benefits and expenses and the establishment of statutory reserves during one or more interim periods;
 - e. The methods used by the actuary to recognize the impact of reinsurance on the company's cash flows, including both assets and liabilities, under each of the scenarios tested; and
 - f. Whether the actuary has been satisfied that all options whether explicit or embedded, in any asset or liability (including but not limited to those affecting cash flows embedded in fixed income securities) and equity-like features in any investments have been appropriately considered in the asset adequacy analysis.
2. The regulatory asset adequacy issues summary shall contain the name of the company for which the regulatory asset adequacy issues summary is being supplied and shall be signed and dated by the appointed actuary rendering the actuarial opinion.

D. Required Interest Scenarios

For the purpose of performing the asset adequacy analysis required by this regulation, the qualified actuary is expected to follow all appropriate Actuarial Standards of Practice. In addition, the appointed actuary, for each Colorado domestic insurer, must consider, in any analysis incorporating cash flow testing as the basis for the asset adequacy analysis, the effect of at least the following interest rate scenarios:

1. Level with no deviation;
2. Uniformly increasing over ten (10) years at a half percent per year and then level;
3. Uniformly increasing at one percent per year over five (5) years and then uniformly decreasing at one percent per year to the original level at the end of ten (10) years and then level;
4. An immediate increase of three percent (3%) and then level;

5. Uniformly decreasing over ten (10) years at a half percent per year and then level;
6. Uniformly decreasing at one percent per year over five (5) years and then uniformly increasing at one percent per year to the original level at the end of ten (10) years and then level; and
7. An immediate decrease of three percent (3%) and then level.

For these and other scenarios that may be used, projected interest rates for a five (5) year Treasury Note need not be reduced beyond the point where such five (5) year Treasury Note yield would be at fifty percent (50%) of its initial level.

The beginning interest rates may be based on interest rates for new investments as of the valuation date similar to recent investments allocated to support the product being tested or be based on an outside index, such as Treasury yields, of assets of the appropriate length on a date close to the valuation date. Whatever method is used to determine the beginning yield curve and associated interest rates should be specifically defined. The beginning yield curve and associated interest rates should be consistent for all interest rate scenarios.

E. Conformity to Standards of Practice.

The memorandum shall include this statement:

“Actuarial methods, considerations and analyses used in the preparation of this memorandum conform to the appropriate Standards of Practice as promulgated by the Actuarial Standards Board, which standards form the basis for this memorandum.”

F. Use of Assets Supporting the Interest Maintenance Reserve and the Asset Valuation Reserve.

An appropriate allocation of assets in the amount of the interest maintenance reserve (IMR), whether positive or negative, shall be used in any asset adequacy analysis. Analysis of risks regarding asset default may include an appropriate allocation of assets supporting the asset valuation reserve (AVR); these AVR assets may not be applied for any other risks with respect to reserve adequacy. Analysis of these and other risks may include assets supporting other mandatory or voluntary reserves available to the extent not used for risk analysis and reserve support.

The amount of the assets used for the AVR shall be disclosed in the Table of Reserves and Liabilities of the opinion and in the memorandum. The method used for selecting particular assets or allocated portions of assets shall be disclosed in the memorandum.

G. Documentation.

The appointed actuary shall retain on file, for at least seven (7) years, sufficient documentation so that it will be possible to determine the procedures followed, the analyses performed, the bases for assumptions and the results obtained.

Section 8 Severability

If any provision of this regulation or the application of it to any person or circumstance is for any reason held to be invalid, the remainder of this regulation shall not be affected.

Section 9 Enforcement

Noncompliance with this regulation may result in the imposition of any of the sanctions made available in the Colorado statutes pertaining to the business of insurance, or other laws, which include the imposition of civil penalties, issuance of cease and desist orders, and/or suspensions or revocation of license subject to the requirements of due process.

Section 10 Effective Date

This regulation shall become effective on November 1, 2017.

Section 11 History

New regulation effective September 1, 1992.
Amended regulation effective September 1, 1994.
Amended regulation effective January 1, 2004.
Amended regulation effective November 1, 2010.
Amended Regulation effective November 1, 2017.

Regulation 3-1-9 MINIMUM RESERVE STANDARDS FOR INDIVIDUAL AND GROUP HEALTH INSURANCE CONTRACTS

Section 1	Authority
Section 2	Scope and Purpose
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Section 6	Categories of Reserves
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Section 10	Contract Reserves
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Appendix A	Specific Standards for Morbidity, Interest and Mortality

Section 1 Authority

This regulation is promulgated and adopted by the Commissioner of Insurance under the authority of §§ 10-1-109, 10-16-109 and 10-16-220, C.R.S.

Section 2 Scope and Purpose

The purpose of this regulation is to set forth minimum standards for reserves of insurers providing individual and group health insurance.

Section 3 Applicability

These standards apply to all individual and group health sickness and accident insurance coverages except credit insurance regulated under Article 10 of Title 10 of the Colorado Revised Statutes.

Section 4 Definitions

- A. "Annual statement" means that statement required by §§ 10-3-208 and 10-14-602, C.R.S. to be filed annually, by the insurer, with the Commissioner.
- B. "Commissioner" means the Insurance Commissioner of the State of Colorado.
- C. "Qualified actuary" means an actuary meeting the qualifications set forth in Colorado Insurance Regulation 1-1-1 (3 CCR 702-1).
- D. "2012 GLTD termination table" shall mean termination table presented by the Group Long-Term Disability Valuation Standard Report of the American Academy of Actuaries' Group Long-Term Disability Work Group to the National Association of Insurance Commissioners' Health Actuarial Task Force on August 10, 2012.

Section 5 Adequacy of Reserves

When an insurer determines that adequacy of its health insurance reserves requires reserves in excess of the minimum standards specified herein, such increased reserves must be held and shall be considered the minimum reserves for that insurer.

With respect to any block of contracts, or with respect to an insurer's health business as a whole, a prospective gross premium valuation is the ultimate test of reserve adequacy as of a given valuation date. Such a gross premium valuation will take into account, for contracts in force, in a claims status, or in a continuation of benefits status on the valuation date, the present value as of the valuation date of; all expected benefits unpaid, all expected expenses unpaid, and all unearned or expected premiums, adjusted for future premium increases reasonably expected to be put into effect.

Such a gross premium valuation is to be performed whenever a significant doubt exists as to reserve adequacy with respect to any major block of contracts, or with respect to the insurer's health business as a whole. In the event inadequacy is found to exist, immediate loss recognition shall be made and the reserves restored to adequacy. Adequate reserves (inclusive of claim, premium and contract reserves, if any) shall be held with respect to all contracts, regardless of whether contract reserves are required for such contracts under these standards.

Whenever minimum reserves, as defined in these standards, exceed reserve requirements as determined by a prospective gross premium valuation, such minimum reserves remain the minimum requirement under these standards.

Section 6 Categories of Reserves

The following sections set forth minimum standards for three categories of health insurance reserves: claim reserves, premium reserves and contract reserves.

Adequacy of an insurer's health insurance reserves is to be determined on the basis of all three categories combined. However, these standards emphasize the importance of determining appropriate reserves for each of the three categories separately.

Section 7 Appendices

These standards contain two appendices which are an integral part of the standards, and one additional "supplementary" appendix which is not part of the standards as such, but is included for explanatory and illustrative purposes only.

Appendix A. Specific minimum standards with respect to morbidity, mortality and interest, which apply to claim reserves according to year of incurral and to contract reserves according to year of issue.

Appendix B. Glossary of Technical Terms used.

Appendix C. (Supplementary) Waiver of Premium Reserves.

Section 8 Claim Reserves

A. General

1. Claim reserves are required for all incurred but unpaid claims on all health insurance policies. For contracts with an elimination period, the duration of disablement shall be measured as dating from the time that benefits would have begun to accrue had there been no elimination period.

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2. Appropriate claim expense reserves are required with respect to the estimated expense of settlement of all incurred but unpaid claims.
 3. All such reserves for prior valuation years are to be tested for adequacy and reasonableness along the lines of claim runoff schedules in accordance with the statutory financial statement including consideration of any residual unpaid liability.
 4. For claim reserves on policies that require contract reserves, the claim incurral date is to be considered the "issue date" for determining the table and interest rate to be used for claim reserves.
 5. The maximum interest rate for claim reserves is specified in Appendix A.
 6. With respect to claim reserves for policies issued before the operative date of the Valuation Manual, the requirements for claim reserves on claims incurred after that date shall be as described in the Valuation Manual based on the incurred date of the claim.
- B. Minimum Standards for Claim Reserves
1. Disability Income
 - a. Interest. The maximum interest rate for claim reserves is specified in Appendix A.
 - b. Morbidity. Minimum standards with respect to morbidity are those specified in Appendix A, except that, at the option of the insurer:
 - (1) For all claims with a duration from date of disablement of less than two (2) years, reserves may be based on the insurer's experience, if such experience is considered credible, or upon other assumptions designed to place a sound value on the liabilities.
 - (2) For group disability income claims with a duration from date of disablement of at least two (2) years but less than five (5) years, reserves may, with the prior written approval of the Commissioner, be based on the insurer's experience for which the insurer maintains underwriting and claim administration control. The request for such approval of a plan of modification to the reserve basis must include:
 - (a) An analysis of the credibility of the experience;
 - (b) A description of how all of the insurer's experience is proposed to be used in setting reserves;
 - (c) A description and quantification of the contingent risk margins in the reserves;
 - (d) A summary of the financial impact that the proposed plan of modification would have had on the insurer's last filed annual statement;
 - (e) A copy of the approval of the proposed plan of modification by the commissioner of the state of domicile; and
 - (f) Any other information deemed necessary by the Commissioner.

- (3) Each insurer may elect which of the following to use as the minimum morbidity standard for group long-term disability income claim reserves:
 - (a) The minimum morbidity standard in effect for claim reserves as of the date the claim was incurred, or
 - (b) The standards with respect to morbidity may be based on the 2012 GLTD termination table with considerations of:
 - (i) The insurer's own experience computed in accordance with Actuarial Guideline XLVII, and
 - (ii) An adjustment to include an own experience measurement margin derived in accordance with Actuarial Guideline XLVII, and
 - (iii) A credibility factor derived in accordance with Actuarial Guideline XLVII.

Once an insurer elects to calculate reserves for all open claims on a more recent standard then all future valuations must be on that basis.

- c. Duration of Disablement. For contracts with an elimination period, the duration of disablement should be measured as dating from the time that benefits would have begun to accrue had there been no elimination period.

2. All Other Benefits

- a. Interest. The maximum interest rate for claim reserves is specified in Appendix A.
- b. Morbidity or Other Contingency. The reserve should be based on the insurer's experience, if such experience is considered credible, or upon other assumptions designed to place a sound value on the liabilities.

C. Claim Reserve Methods Generally

Any generally accepted or reasonable actuarial method or combination of methods may be used to estimate all claim liabilities. The methods used for estimating liabilities generally may be aggregate methods, or various reserve items may be separately valued. Approximations based on groupings and averages may also be employed. Adequacy of the claim reserves, however, shall be determined in the aggregate.

Section 9 Premium Reserves

A. General

- 1. Unearned premium reserves are required for all contracts with respect to the period of coverage for which premiums, other than premiums paid in advance, have been paid beyond the date of valuation.
- 2. If premiums due and unpaid are carried as an asset, such premiums must be treated as premiums in force, subject to unearned premium reserve determination. The value of unpaid commissions, premium taxes, and the cost of collection associated with due and

unpaid premiums must be carried as an offsetting liability or as a reduction to the otherwise allowable asset.

3. The gross premiums paid in advance for a period of coverage commencing after the next premium due date which follows the date of valuation may be appropriately discounted to the valuation date and shall be held either as a separate liability or as an addition to the unearned premium reserve which would otherwise be required as a minimum.

B. Minimum Standards for Unearned Premium Reserves

1. The minimum unearned premium reserve with respect to any contract is the pro rata unearned modal premium that applies to the premium period beyond the valuation date, with such premium determined on the basis of:
 - a. The valuation net modal premium on the contract reserve basis applying to the contract; or
 - b. The gross modal premium for the contract if no contract reserve applies.
2. However, in no event may the sum of the unearned premium and contract reserves for any contract of the insurer subject to contract reserve requirements be less than the gross modal unearned premium reserve on any such contract, as of the date of valuation. In addition, such reserve shall never be less than the expected claims for the period beyond the valuation date represented by such unearned premium reserve, to the extent not provided for elsewhere.

C. Premium Reserve Methods Generally

The insurer may employ suitable approximations and estimates; including, but not limited to groupings, averages and aggregate estimation; in computing premium reserves. Such approximations or estimates should be tested periodically to determine their continuing adequacy and reliability.

Section 10 Contract Reserves

A. General

1. Contract reserves are required, unless otherwise specified in Paragraph 2 below, for:
 - a. All individual and group contracts with which level premiums are used; or
 - b. All individual and group contracts with respect to which, due to the gross premium pricing structure at issue, the value of the future benefits at any time exceeds the value of any appropriate future valuation net premiums at that time. This evaluation may be applied on a rating block basis if the total premiums for the block were developed to support the total risk assumed and expected expenses for the block each year, and a qualified actuary certifies the premium development. The actuary should state in the certification that premiums for the rating block were developed such that each year's premium was intended to cover that year's costs without any prefunding. If the premium is also intended to recover costs for any prior years, the actuary should also disclose the reasons for and magnitude of such recovery. The values specified in this subparagraph must be determined on the basis specified in Subsection B of this section.
2. Contracts not requiring a contract reserve are:

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- a. Contracts which cannot be continued after one year from issue; or
 - b. Contracts already in force on the effective date of these standards for which no contract reserve was required under the immediately preceding standards.
 - 3. The contract reserve is in addition to claim reserves and premium reserves.
 - 4. The methods and procedures for contract reserves should be consistent with those for claim reserves for any contract, or else appropriate adjustment shall be made when necessary to assure provision for the aggregate liability. The definition of the date of incurral must be the same in both determinations.
 - 5. For contracts issued on or after January 1, 2013, the total contract reserve established must incorporate provisions for moderately adverse deviations.
- B. Basis for Minimum Standards for Contract Reserves**
- 1. Morbidity or other Contingency. Minimum standards with respect to morbidity are those set forth in Appendix A. Valuation net premiums used under each contract shall have a structure consistent with the gross premium structure at issue of the contract as this relates to advancing age of insured, contract duration and period for which gross premiums have been calculated. Contracts for which tabular morbidity standards are not specified in Appendix A shall be valued using tables established for reserve purposes by a qualified actuary and acceptable to the Commissioner. The morbidity tables shall contain a pattern of incurred claims cost that reflects the underlying morbidity and must not be constructed for the primary purpose of minimizing reserves.
 - a. In determining the morbidity assumptions, the actuary shall use assumptions that represent the best estimate of anticipated future experience, but shall not incorporate any expectation of future morbidity improvement. Morbidity improvement is a change, in the combined effect of claim frequency and the present value of future expected claim payments given that a claim has occurred, from the current morbidity tables or experience that will result in a reduction to reserves. It is not the intent of this provision to restrict the ability of the actuary to reflect the morbidity impact for a specific known event that has occurred and that is able to be evaluated and quantified.
 - b. Business in force as of the effective date of Section 10(B)(3) may be permitted to retain the original reserve basis which may not meet the provisions of item (a) above, subject to the acceptability to the Commissioner.
 - 2. Interest. The maximum interest rate is specified in Appendix A.
 - 3. Termination Rates. Termination rates used in the computation of reserves shall be on the basis of a mortality table as specified in Appendix A except as noted under Subparagraphs (a) and (b) below:
 - a. Under contracts for which premium rates are not guaranteed, and where the effects of insurer underwriting are specifically used by policy duration in the valuation morbidity standard or for return of premium or other deferred cash benefits, total termination rates may be used at ages and durations where these exceed specified mortality table rates, but not in excess of the lesser of:
 - (1) Eighty percent (80%) of the total termination rate used in the calculation of the gross premiums, or

- (2) Eight percent (8%).
 - b. For long-term care individual policies or group certificates issued on or after January 1, 2013, the contract reserves may be established on a basis of separate:
 - (1) Mortality as specified in Appendix A; and
 - (2) Terminations other than mortality, where the termination rate is not to exceed:
 - (a) For policy year one, the lesser of eighty percent (80%) of the voluntary lapse rate used in the calculation of gross premiums or six percent (6%);
 - (b) For policy years two (2) through four (4), the lesser of eighty percent (80%) of the voluntary lapse rate used in the calculation of gross premiums or four percent (4%); and
 - (c) For policy years five (5) and later, the lesser of one hundred percent (100%) of the voluntary lapse rate used in the calculation of gross premiums or two percent (2%), except for group insurance as defined in § 10-19-103(4)(a), C.R.S., where the 2% shall be three percent (3%).
 - c. Where a morbidity standard specified in Appendix A is on an aggregate basis, such morbidity standard may be adjusted to reflect the effect of insurer underwriting by policy duration. The adjustments must be appropriate to the underwriting and be acceptable to the Commissioner.
4. Reserve Method.
- a. For insurance except long-term care and return of premium or other deferred cash benefits, the minimum reserve is the reserve calculated on the two-year full preliminary term method; that is, under which the terminal reserve is zero at the first and also the second contract anniversary.
 - b. For long-term care insurance, the minimum reserve is the reserve calculated on the one-year full preliminary term method.
 - c. For return of premium or other deferred cash benefits, the minimum reserve is the reserve calculated as follows:
 - (1) On the one-year full preliminary term method if such benefits are provided at any time before the twentieth anniversary; or
 - (2) On the two-year full preliminary term method if such benefits are only provided on or after the twentieth anniversary.
 - d. The preliminary term method may be applied only in relation to the date of issue of a contract. Reserve adjustments introduced later, as a result of rate increases, revisions in assumptions (e.g., projected inflation rates) or for other reasons, are to be applied immediately as of the effective date of adoption of the adjusted basis.

5. Negative Reserves. Negative reserves on any benefit may be offset against positive reserves for other benefits in the same contract, but the total contract reserve with respect to all benefits combined may not be less than zero.
6. Nonforfeiture Benefits for Long-Term Care Insurance. The contract reserve on a policy or certificate basis must not be less than the net single premium for the nonforfeiture benefits at the appropriate policy or certificate duration, where the net single premium is computed according to the specifications in this subsection.

C. Alternative Valuation Methods and Assumptions Generally

Provided the contract reserve on all contracts to which an alternative method or basis is applied is not less in the aggregate than the amount determined according to the applicable standards specified above, an insurer may use any reasonable assumptions as to interest rates, termination and/or mortality rates, and rates of morbidity or other contingency. Also, subject to the preceding condition, the insurer may employ methods other than the methods stated above in determining a sound value of its liabilities under such contracts, including, but not limited to the following: the net level premium method; the one-year full preliminary term method; prospective valuation on the basis of actual gross premiums with reasonable allowance for future expenses; the use of approximations such as those involving age groupings, groupings of several years of issue, average amounts of indemnity, grouping of similar contract forms; the computation of the reserve for one contract benefit as a percentage of, or by other relation to, the aggregate contract reserves exclusive of the benefit or benefits so valued; and the use of a composite annual claim cost for all or any combination of the benefits included in the contracts valued.

D. Tests for Adequacy and Reasonableness of Contract Reserves

Annually, an appropriate review shall be made of the insurer's prospective contract liabilities on contracts valued by tabular reserves, to determine the continuing adequacy and reasonableness of the tabular reserves giving consideration to future gross premiums. The insurer shall make appropriate increments to such tabular reserves if such tests indicate that the basis of such reserves is no longer adequate, subject to the minimum standards of Section 10(B).

In the event an insurer has a contract or a group of related similar contracts, for which future gross premiums will be restricted by contract, insurance department regulations, or for other reasons, such that the future gross premiums reduced by expenses for administration, commissions, and taxes will be insufficient to cover future claims, the insurer must establish contract reserves for such shortfall in the aggregate.

Section 11 Reinsurance

Increases to, or credits against reserves carried, arising because of reinsurance assumed or reinsurance ceded, must be determined in a manner consistent with these minimum reserve standards and with all applicable provisions of the reinsurance contracts which affect the insurer's liabilities.

Section 12 Severability

If any provision of this regulation or the application of it to any person or circumstance is for any reason held to be invalid, the remainder of this regulation shall not be affected.

Section 13 Incorporated Materials

Valuations Manual shall mean the January 1, 2022, Edition as published by the National Association of Insurance Commissioners and does not include later amendments or editions of the Valuations Manual. A copy of the Valuations Manual may be examined during regular business hours at the Colorado Division of Insurance, 1560 Broadway, Suite 850, Denver, Colorado, 80202. A certified copy of the Valuations Manual may be requested from the Colorado Division of Insurance, 1560 Broadway, Suite 850, Denver, CO 80202. A charge for certification or copies may apply. A copy may also be obtained online from <https://content.naic.org/>. A copy may also be obtained from the NAIC Central Office, 1100 Walnut Street, Suite 1500, Kansas City, Missouri 64106.

2012 GLTD termination table shall mean the termination table presented by the Group Long-Term Disability Valuation Standard Report of the American Academy of Actuaries' Group Long-Term Disability Work Group to the National Association of Insurance Commissioners' Health Actuarial Task Force on August 10, 2012 and does not include later amendments or editions. A copy of the 2012 GLTD termination table may be examined during regular business hours at the Colorado Division of Insurance, 1560 Broadway, Suite 850, Denver, Colorado, 80202. A certified copy of the 2012 GLTD termination table may be requested from the Colorado Division of Insurance, 1560 Broadway, Suite 850, Denver, CO 80202. A charge for certification or copies may apply. A copy may also be obtained online from <https://www.actuary.org/homepage> and https://www.actuary.org/sites/default/files/files/GLTDWG%20Table%20Report_Final_Version_.pdf. A copy may also be obtained from the American Academy of Actuaries, 1850 M Street NW, Suite 300 Washington, DC 20036.

The Accounting Practices and Procedures Manual, including Actuarial Guideline XLVII, shall mean the 2022 Accounting Practices and Procedures Manual published by the National Association of Insurance Commissioners and does not include later amendments or editions. A copy of the Accounting Practices and Procedures Manual may be examined during regular business hours at the Colorado Division of Insurance, 1560 Broadway, Suite 850, Denver, Colorado, 80202. A certified copy of the Accounting Practices and Procedures Manual may be requested from the Colorado Division of Insurance, 1560 Broadway, Suite 850, Denver, CO 80202. A charge for certification or copies may apply. A copy may also be obtained online from <https://content.naic.org/publications?name=Accounting+Practices+and+Procedures>. A copy shall be available at the state publications depository and distribution center. A copy may also be obtained from the NAIC Central Office, 1100 Walnut Street, Suite 1500, Kansas City, Missouri 64106. A copy of the Accounting Practices and Procedures Manual shall also be available at the state publications depository and distribution center.

The 1964 Commissioners Disability Table shall mean the version published by the Health Insurance Association, copyright 1965, and does not include later amendments or editions. A copy of the 1964 Commissioners Disability Table may be examined during regular business hours at the Colorado Division of Insurance, 1560 Broadway, Suite 850, Denver, Colorado, 80202. A certified copy of the 1964 Commissioners Disability Table may be requested from the Colorado Division of Insurance, 1560 Broadway, Suite 850, Denver, CO 80202. A charge for certification or copies may apply. A copy of the 1964 Commissioners Disability Table shall be available at the state publications depository and distribution center.

The 1985 Commissioners Individual Disability Tables A shall mean the version published in the Transactions of the Society of Actuaries, Volume XXXVII, pp.449-601, and does not include later amendments or editions. A copy of the 1985 Commissioners Individual Disability Tables A may be examined during regular business hours at the Colorado Division of Insurance, 1560 Broadway, Suite 850, Denver, Colorado, 80202. A certified copy of the 1985 Commissioners Individual Disability Tables A may be requested from the Colorado Division of Insurance, 1560 Broadway, Suite 850, Denver, CO 80202. A charge for certification or copies may apply. A copy may also be obtained online from <https://www.soa.org/> and <https://www.soa.org/globalassets/assets/library/research/transactions-of-society-of-actuaries/1985/january/tsa85v3713.pdf>. A copy may also be obtained from the Society of Actuaries, 475 North Martingale #600, Schaumburg, Illinois 60173.

The 1985 Commissioners Individual Disability Tables B shall mean the version published in the Proceedings of the National Association of Insurance Commissioners, Volume 1, 1985, pp. 494-540, and does not include later amendments or editions. A copy of the 1985 Commissioners Individual Disability Tables B may be examined during regular business hours at the Colorado Division of Insurance, 1560 Broadway, Suite 850, Denver, Colorado, 80202. A certified copy of the 1985 Commissioners Individual Disability Tables B may be requested from the Colorado Division of Insurance, 1560 Broadway, Suite 850, Denver, CO 80202. A charge for certification or copies may apply. A copy may also be obtained online from <https://content.naic.org/> and <https://naic.soutrnglobal.net/Portal/Public/en-US/DownloadImageFile.ashx?objectId=5252&ownerType=0&ownerId=17562>. A copy may also be obtained from the NAIC Central Office, 1100 Walnut Street, Suite 1500, Kansas City, Missouri 64106.

DTS Valuation Table exhibits 3a, 3b, 3c, 4, and 5 shall mean the version published by the Transactions of the Society of Actuaries XXXVII, pp. 457-465, and does not include later amendments or editions. A copy of the DTS Valuation Table exhibits 3a, 3b, 3c, 4, and 5 may be examined during regular business hours at the Colorado Division of Insurance, 1560 Broadway, Suite 850, Denver, Colorado, 80202. A certified copy of the DTS Valuation Table exhibits 3a, 3b, 3c, 4, and 5 may be requested from the Colorado Division of Insurance, 1560 Broadway, Suite 850, Denver, CO 80202. A charge for certification or copies may apply. A copy may also be obtained online from <https://www.soa.org/> and <https://www.soa.org/globalassets/assets/library/research/transactions-of-society-of-actuaries/1985/january/tsa85v3713.pdf>. A copy may also be obtained from the Society of Actuaries, 475 North Martingale #600, Schaumburg, Illinois 60173.

The 1974 Medical Expense Tables, Table A, shall mean the version published by the Transactions of the Society of Actuaries XXX, pg. 63 – 64, and does not include later amendments or editions. A copy of the 1974 Medical Expense Tables, Table A may be examined during regular business hours at the Colorado Division of Insurance, 1560 Broadway, Suite 850, Denver, Colorado, 80202. A certified copy of the 1974 Medical Expense Tables, Table A may be requested from the Colorado Division of Insurance, 1560 Broadway, Suite 850, Denver, CO 80202. A charge for certification or copies may apply. A copy may also be obtained online from <https://www.soa.org/> and <https://www.soa.org/globalassets/assets/library/research/transactions-of-society-of-actuaries/1978/january/tsa78v303.pdf>. A copy may also be obtained from the Society of Actuaries, 475 North Martingale #600, Schaumburg, Illinois 60173.

1985 NAIC Cancer Claim Cost Table shall mean the version published in the Proceedings of the National Association of Insurance Commissioners, Volume 1, 1986, pp. 601-624), and does not include later amendments or editions. A copy of the 1985 NAIC Cancer Claims Cost Table may be examined during regular business hours at the Colorado Division of Insurance, 1560 Broadway, Suite 850, Denver, Colorado, 80202. A certified copy of the 1985 NAIC Cancer Claims Cost Table may be requested from the Colorado Division of Insurance, 1560 Broadway, Suite 850, Denver, CO 80202. A charge for certification or copies may apply. A copy may also be obtained online from <https://content.naic.org/> and <https://naic.soutronglobal.net/Portal/Public/en-US/DownloadImageFile.ashx?objectId=5255&ownerType=0&ownerId=17563> . A copy may also be obtained from the NAIC Central Office, 1100 Walnut Street, Suite 1500, Kansas City, Missouri 6410.

2016 Cancer Claim Cost Valuation Tables shall mean the version published by the Joint American Academy of Actuaries and Society of Actuaries Cancer Claims Cost Tables Work Group and does not include later amendments or editions. A copy of the 2016 Cancer Claim Cost Valuation Tables may be examined during regular business hours at the Colorado Division of Insurance, 1560 Broadway, Suite 850, Denver, Colorado, 80202. A certified copy of 2016 Cancer Claim Cost Valuation Tables may be requested from the Colorado Division of Insurance, 1560 Broadway, Suite 850, Denver, CO 80202. A charge for certification or copies may apply. A copy may also be obtained online from <https://www.soa.org/> and <https://www.soa.org/4a520b/globalassets/assets/files/resources/experience-studies/2022/2016-ccc-valuation-tables.pdf>. A copy may also be obtained from the Society of Actuaries, 475 North Martingale #600, Schaumburg, Illinois 60173.

The 1959 Accidental Death Benefits Table shall mean the version published by the Society of Actuaries, copyright 1962, and does not include later amendments or editions. A copy of the 1959 Accidental Death Benefits Table may be examined during regular business hours at the Colorado Division of Insurance, 1560 Broadway, Suite 850, Denver, Colorado, 80202. A certified copy of the 1959 Accidental Death Benefits Table may be requested from the Colorado Division of Insurance, 1560 Broadway, Suite 850, Denver, CO 80202. A charge for certification or copies may apply. A copy may also be obtained online from <https://www.soa.org/> and <https://www.soa.org/globalassets/assets/library/research/transactions-of-society-of-actuaries/1959/january/tsa59v11n3177.pdf>. A copy may also be obtained from the Society of Actuaries, 475 North Martingale #600, Schaumburg, Illinois 60173.

The 1987 Commissioners Group Disability Income Table shall mean the version published by the Transactions of the Society of Actuaries XXXIX, pp. 393-458, and does not include later amendments or editions. A copy of the 1987 Commissioners Group Disability Income Table (87CGDT) may be examined during regular business hours at the Colorado Division of Insurance, 1560 Broadway, Suite 850, Denver, Colorado, 80202. A certified copy of the 1987 Commissioners Group Disability Income Table may be requested from the Colorado Division of Insurance, 1560 Broadway, Suite 850, Denver, CO 80202. A charge for certification or copies may apply. A copy may also be obtained online from <https://www.soa.org/> and <https://www.soa.org/globalassets/assets/library/research/transactions-of-society-of-actuaries/1987/january/tsa87v3913.pdf>. A copy may also be obtained from the Society of Actuaries, 475 North Martingale #600, Schaumburg, Illinois 60173.

Section 14 Enforcement

Noncompliance with this regulation may result in the imposition of any of the sanctions made available in the Colorado statutes pertaining to the business of insurance, or other laws, which include the imposition of civil penalties, issuance of cease-and-desist orders, and/or suspensions or revocation of license, subject to the requirements of due process.

Section 15 Effective Date

This amended regulation shall become effective on March 2, 2023.

Section 16 History

Regulation 3-1-9 effective January 31, 1993.
Amended regulation effective January 1, 2013.
Amended regulation effective March 2, 2023.

APPENDIX A. SPECIFIC STANDARDS FOR MORBIDITY, INTEREST AND MORTALITY

I. MORBIDITY

A. Minimum morbidity standards for valuation of specified individual contract health insurance benefits are as follows:

1. Disability Income Benefits Due to Accident or Sickness

a. Contract Reserves:

- (1) Contracts issued on or after January 1, 1965 and prior to January 1, 1987:

The 1964 Commissioners Disability Table (64 CDT) (published by the Health Insurance Association, copyright 1965).

- (2) Contracts issued on or after January 1, 1996:

(a) The 1985 Commissioners Individual Disability Tables A (85CIDA) (published in the *Transactions of the Society of Actuaries*, Volume XXXVII, pp.449-601); or

(b) The 1985 Commissioners Individual Disability Tables B (85CIDB) (published in the *Proceedings of the National Association of Insurance Commissioners*, Volume 1, 1985, pp. 494-540).

- (3) Contracts issued during the years 1987 through 1995:

Optional use of either the 1964 Table or the 1985 Tables.

- (4) Each insurer shall elect, with respect to all individual contracts issued in any one statement year, whether it will use Tables A or Tables B as the minimum standard. The insurer may, however, elect to use the other tables with respect to any subsequent statement year.

b. Claim Reserves:

- (1) For claims incurred on or after January 1, 2013:

The 1985 Commissioners Individual Disability Tables A (85CIDA) with claim termination rates multiplied by the following adjustment factors:

Duration	Adjustment Factor	Adjusted Duration Rates*
Week 1	0.366	0.04831
2	0.366	0.04172
3	0.366	0.04063
4	0.366	0.04355
5	0.365	0.04088
6	0.365	0.04271

7	0.365	0.04380
8	0.365	0.04344
9	0.370	0.04292
10	0.370	0.04107
11	0.370	0.03848
12	0.370	0.03478
13	0.370	0.03034
Month 4	0.391	0.08758
5	0.371	0.07346
6	0.435	0.07531
7	0.500	0.07245
8	0.564	0.06655
9	0.613	0.05520
10	0.663	0.04705
11	0.712	0.04486
12	0.756	0.04309
13	0.800	0.04080
14	0.844	0.03882
15	0.888	0.03730
16	0.932	0.03448
17	0.976	0.03026
18	1.020	0.02856
19	1.049	0.02518
20	1.078	0.02264
21	1.107	0.02104
22	1.136	0.01932
23	1.165	0.01865
24	1.195	0.01792
Year 3	1.369	0.16839
4	1.204	0.10114
5	1.199	0.07434
6 and later	1.000	**

*The adjusted duration rates derived from the application of the adjustment factors to the DTS Valuation Table duration rates shown in exhibits 3a, 3b, 3c, 4 and 5, *Transactions of the Society of Actuaries* (TSA) XXXVII, pp. 457-463, are displayed.

**Applicable DTS Valuation Table duration rate from exhibits 3c and 4 (TSA XXXVII, pp. 462-463).

The 85CIDA table so adjusted for the computation of claim reserves shall be known as the 85CIDC (The 1985 Commissioners Individual Disability Table C).

(2) For claims incurred prior to January 1, 2013:

(a) The minimum morbidity standard in effect for contract reserves on currently issued contracts, as of the date the claim is incurred, or

- (b) The standard as defined in Item I.A.1.b(1) above, applied to all open claims. Once an insurer elects to calculate reserves for all open claims on the standard defined in Item I.A.1.b(1), all future valuations must be on that basis.
- 2. Hospital Benefits, Surgical Benefits and Maternity Benefits (Scheduled benefits or fixed time period benefits only)
 - a. Contract Reserves:

Contracts issued on or after January 1, 1982:

The 1974 Medical Expense Tables, Table A (published in the *Transactions of the Society of Actuaries* (TSA), Volume XXX, pg. 63. Refer to the paper (in the same volume, pg. 9) to which this table is appended, including its discussions, for methods of adjustment for benefits not directly valued in Table A: "Development of the 1974 Medical Expense Benefits," Houghton and Wolf).
 - b. Claim Reserves:

No specific standard. See Item I.A.5, below.
- 3. Cancer Expense Benefits
 - a. Contract Reserves:
 - (1) Contracts issued on or after January 1, 1986, and before January 1, 2019:

The 1985 NAIC Cancer Claim Cost Tables (published in the *Proceedings of the National Association of Insurance Commissioners*, Volume 1, 1986, pp. 601-624).
 - (2) Contracts issued on or after January 1, 2019:
 - (a) For first occurrence and hospitalization benefits:

The 2016 Cancer Claim Cost Valuation Tables (2016 CCCVT); http://www.naic.org/documents/01_naic_2017_cancer_claim_cost_valuation_table.xlsx
 - (b) For all other benefits:

Assumptions based on company experience, relevant industry experience, and actuarial judgement. Such assumptions should be appropriate for valuation which considers margin for adverse experience.
 - (3) For contracts issued on or after January 1, 2018 and before January 1, 2019, a company may elect to use morbidity basis described in subsection (2) above. Once a company begins use of the 2016 CCCVT for new issues, it may not revert to the 1985 CCCT.
 - b. Claim Reserves: No specific standard. See Item I.A.5, below.

4. Accidental Death Benefits
 - a. Contract Reserves:

Contracts issued on or after January 1, 1965:

The 1959 Accidental Death Benefits Table (1959 ADB) (published by the Society of Actuaries, copyright 1962).
 - b. Claim Reserves:

Actual amount incurred.
 5. Other Individual Contract Benefits.
 - a. Contract Reserves:

For all other individual contract benefits, morbidity assumptions are to be determined as provided in the reserve standards.
 - b. Claim Reserves:

For all benefits other than disability, claim reserves are to be determined as provided in the standards.
- B. Minimum morbidity standards for valuation of specified group contract health insurance benefits are as follows:
1. Disability Income Benefits Due to Accident or Sickness
 - a. Contract Reserves:
 - (1) Contracts issued prior to January 1, 1993:

The same basis, if any, as that employed by the insurer as of January 1, 1993;
 - (2) Contracts issued on or after January 1, 1993:

The 1987 Commissioners Group Disability Income Table (87CGDT) (published in the *Transactions of the Society of Actuaries*, Volume XXXIX, pp. 393-458).
 - b. Claim Reserves:
 - (1) For claims incurred on or after January 1, 1993:

The 1987 Commissioners Group Disability Income Table (87CGDT) (published in the *Transactions of the Society of Actuaries*, Volume XXXIX, pp. 393-458);
 - (2) For claims incurred prior to January 1, 1993:

Use of the 87CGDT is optional.

2. Other Group Contract Benefits

a. Contract Reserves:

For all other group contract benefits, morbidity assumptions are to be determined as provided in the reserve standards.

b. Claim Reserves:

For all benefits other than disability, claim reserves are to be determined as provided in the standards.

II. INTEREST

A. For contract reserves the maximum interest rate is the maximum rate permitted by Article 7 of Title 10, C.R.S., for the valuation of whole life insurance issued on the same date as the health insurance contract.

B. For claim reserves, for which interest discounting is expressly permitted:

1. On policies or certificates that require contract reserves, the maximum interest rate is the maximum rate permitted by Article 7 of Title 10, C.R.S., for the valuation of whole life insurance issued on the same date as the claim incurral date.
2. On policies or certificates not requiring contract reserves, the maximum interest rate is the maximum rate permitted by law in the valuation of single premium immediate annuities issued on the same date as the claim incurral date, reduced by one hundred basis points.

III. MORTALITY

A. Unless Subsection B or C applies, the mortality basis used shall be according to a table (but without use of selection factors) permitted by Article 7 of Title 10, C.R.S. for the valuation of whole life insurance issued on the same date as the health insurance contract.

B. For long-term care individual policies and group certificates issued on or after January 1, 2013, the mortality basis used shall be the 1994 Group Annuity Mortality Static Table with Projection Scale AA (1994 GAR). The 1994 GAR table can be found in Appendix A of Colorado Insurance Regulation 4-1-7.

C. Other mortality tables adopted by the National Association of Insurance Commissioners and promulgated by the Commissioner may be requested to be used in the calculation of the minimum reserves if appropriate for the type of benefits and if approved by the Commissioner. The request for such approval must include the proposed mortality table and the reason that the standard specified in Subsection A is inappropriate.

APPENDIX B. GLOSSARY OF TECHNICAL TERMS USED

As used in this valuation standard, the following terms have the following meaning:

ANNUAL CLAIM COST. The net annual cost per unit of benefit before the addition of expenses, including claim settlement expenses, and a margin for profit or contingencies. For example, the annual claim cost for a \$100 monthly disability benefit, for a maximum disability benefit period of one year, with an elimination period of one week, with respect to a male at age 35, in a certain occupation might be \$12, while the gross premium for this benefit might be \$18. The additional \$6 would cover expenses and profit or contingencies.

CLAIMS ACCRUED. That portion of claims incurred on or prior to the valuation date which result in liability of the insurer for the payment of benefits for medical services which have been rendered on or prior to the valuation date, and for the payment of benefits for days of hospitalization and days of disability which have occurred on or prior to the valuation date, which the insurer has not paid as of the valuation date, but for which it is liable, and will have to pay after the valuation date. This liability is sometimes referred to as a liability for "accrued" benefits. A claim reserve, which represents an estimate of this accrued claim liability, must be established.

CLAIMS REPORTED. When an insurer has been informed that a claim has been incurred, if the date reported is on or prior to the valuation date, the claim is considered as a reported claim for annual statement purposes.

CLAIMS UNACCRUED. That portion of claims incurred on or prior to the valuation date which result in liability of the insurer for the payment of benefits for medical services expected to be rendered after the valuation date, and for benefits expected to be payable for days of hospitalization and days of disability occurring after the valuation date. This liability is sometimes referred to as a liability for unaccrued benefits. A claim reserve, which represents an estimate of the unaccrued claim payments expected to be made, must be established.

CLAIMS UNREPORTED. When an insurer has not been informed, on or before the valuation date, concerning a claim that has been incurred on or prior to the valuation date, the claim is considered as an unreported claim for annual statement purposes.

DATE OF DISABLEMENT. The earliest date the insured is considered as being disabled under the definition of disability in the contract, based on a doctor's evaluation or other evidence. Normally this date will coincide with the start of any elimination period.

ELIMINATION PERIOD. A specified number of days, weeks, or months starting at the beginning of each period of loss, during which no benefits are payable.

GROSS PREMIUM. The amount of premium charged by the insurer. It includes the net premium (based on claim cost) for the risk, together with any loading for expenses, profit or contingencies.

GROUP INSURANCE. The term group insurance includes blanket insurance and franchise insurance and any other forms of group insurance.

GROUP LONG-TERM DISABILITY INCOME. The term group long-term disability income includes group contracts providing group disability income coverage with a maximum benefit duration longer than two years. Group long-term disability income contracts are based on a group pricing structure. The term group long-term disability does not include group short-term disability (coverage with benefit periods of two years or less in maximum duration). It also does not include voluntary group disability income coverage that is priced on an individual risk structure and generally sold in the workplace.

LEVEL PREMIUM. A premium calculated to remain unchanged throughout either the lifetime of the policy, or for some shorter projected period of years. The premium need not be guaranteed; in which case, although it is calculated to remain level, it may be changed if any of the assumptions on which it was based are revised at a later time. Generally, the annual claim costs are expected to increase each year and the insurer, instead of charging premiums that correspondingly increase each year, charges a premium calculated to remain level for a period of years or for the lifetime of the contract. In this case the benefit portion of the premium is more than needed to provide for the cost of benefits during the earlier years of the policy and less than the actual cost in the later years. The building of a prospective contract reserve is a natural result of level premiums.

MODAL PREMIUM. This refers to the gross premium paid on a contract based on a premium term which could be annual, semiannual, quarterly, monthly, or weekly. Thus, if the annual premium is \$100 and if, instead, monthly premiums of \$9 are paid then the modal premium is \$9.

NEGATIVE RESERVE. Normally the terminal reserve is a positive value. However, if the values of the benefits are decreasing with advancing age or duration it could be a negative value, called a negative reserve.

PRELIMINARY TERM RESERVE METHOD. Under this method of valuation, the valuation net premium for each year falling within the preliminary term period is exactly sufficient to cover the expected incurred claims of that year, so that the terminal reserves will be zero at the end of the year. As of the end of the preliminary term period, a new constant valuation net premium (or stream of changing valuation premiums) becomes applicable such that the present value of all such premiums is equal to the present value of all claims expected to be incurred following the end of the preliminary term period.

PRESENT VALUE OF AMOUNTS NOT YET DUE ON CLAIMS. The reserve for "claims unaccrued" (see definition), which may be discounted at interest.

RATING BLOCK. "Rating block" means a grouping of contracts based on common characteristics, such as a policy form or forms having similar benefit designs.

RESERVE. The term "reserve" is used to include all items of benefit liability, whether in the nature of incurred claim liability or in the nature of contract liability relating to future periods of coverage, and whether the liability is accrued or unaccrued.

An insurer under its contracts promises benefits which result in:

- a. Claims which have been incurred, that is, for which the insurer has become obligated to make payment, on or prior to the valuation date. On these claims, payments expected to be made after the valuation date for accrued and unaccrued benefits are liabilities of the insurer which should be provided for by establishing claim reserves; or
- b. Claims which are expected to be incurred after the valuation date. Any present liability of the insurer for these future claims should be provided for by the establishment of contract reserves and unearned premium reserves.

TERMINAL RESERVE. This is the reserve at the end of a contract year, and is defined as the present value of benefits expected to be incurred after that contract year minus the present value of future valuation net premiums.

UNEARNED PREMIUM RESERVE. This reserve values that portion of the premium paid or due to the insurer which is applicable to the period of coverage extending beyond the valuation date. Thus, if an annual premium of \$120 was paid on November 1, \$20 would be earned as of December 31 and the remaining \$100 would be unearned. The unearned premium reserve could be on a gross basis as in this example, or on a valuation net premium basis.

VALUATION NET MODAL PREMIUM. This is the modal fraction of the valuation net annual premium that corresponds to the gross modal premium in effect on any contract to which contract reserves apply. Thus, if the mode of payment in effect is quarterly, the valuation net modal premium is the quarterly equivalent of the valuation net annual premium.

WORKSITE DISABILITY POLICIES. The term worksite disability policy refers to individual short-term disability policies that are sold at the worksite through employer-sponsored enrollment, cover normal pregnancy, and that have benefit periods up to 24 months. Worksite disability policies do not include personal disability policies sold to an individual and not associated with employer-sponsored enrollment. They also do not include business overhead expense, disability buyout, or key person policies, in whatever manner those policies are sold.

APPENDIX C. RESERVES FOR WAIVER OF PREMIUM

(Supplementary explanatory material)

Waiver of premium reserves involve several special considerations. First, the disability valuation tables promulgated by the National Association of Insurance Commissioners are based on exposures that include contracts on premium waiver as in-force contracts. Hence, contract reserves based on these tables are NOT reserves on "active lives" but rather reserves on contracts "in force." This is true for the 1964 CDT and for the 1985CIDA, 1985CIDB and 1985CIDC tables.

Accordingly, tabular reserves using any of these tables should value reserves on the following basis:

Claim reserves should include reserves for premiums expected to be waived, valuing as a minimum the valuation net premium being waived.

Premium reserves should include contracts on premium waiver as in-force contracts, valuing as a minimum the unearned modal valuation net premium being waived.

Contract reserves should include recognition of the waiver of premium benefit in addition to other contract benefits provided for, valuing as a minimum the valuation net premium to be waived.

If an insurer is, instead, valuing reserves on what is truly an active life table, or if a specific valuation table is not being used but the insurer's gross premiums are calculated on a basis that includes in the projected exposure only those contracts for which premiums are being paid, then it may not be necessary to provide specifically for waiver of premium reserves. Any insurer using such a true "active life" basis should carefully consider, however, whether or not additional liability should be recognized on account of premiums waived during periods of disability or during claim continuation.

**Regulation 3-1-10 CONCERNING FINANCIAL STATEMENT FILINGS, ACCOUNTING
STANDARDS AND REPORTING OF LIABILITIES**

Section 1	Authority
Section 2	Scope and Purpose
Section 3	Applicability
Section 4	Rule
Section 5	Severability
Section 6	Enforcement
Section 7	Effective Date
Section 8	History

Section 1 Authority

This regulation is promulgated under the authority of § § 10-1-108, 10-1-109, 10-3-109, 10-3-208, 10-5-117, 10-6-129, 10-14-505, 10-14-602, 10-16-109, and 10-16-111, Colorado Revised Statutes (C.R.S.).

Section 2 Scope and Purpose

Colorado insurance law provides that regulated companies must file financial statements annually with the Commissioner of Insurance. Insurers subject to the provisions of § 10-3-208, C.R.S. are required to file what is known as the convention blank adopted from year to year by the National Association of Insurance Commissioners (NAIC). Colorado law does not specifically prescribe a form of the annual statement filing for nonprofit hospital, medical-surgical, and health service corporations, health maintenance organizations, prepaid dental care plan organizations, group captive insurers and fraternal benefit societies. However, the NAIC does adopt convention blanks for each of these regulated companies and the Commissioner has been provided the authority to designate the form of the annual filing for these entities.

In addition to the annual statements, the NAIC also adopts instruction and procedure manuals for the convention blanks. These manuals include information which contributes to the body of knowledge referred to as statutory accounting practices.

The purpose of this regulation is twofold:

1. To enhance the consistency of the accounting treatment of assets, liabilities, reserves, income and expenses by setting forth the accounting standards, practices and procedures to be followed in completing all of the required annual statements.
2. To set forth the form of the financial statements to be filed for those entities which do not have the form prescribed in statute.

Section 3 Applicability

This regulation shall apply to all Colorado domestic insurers as well as to each domestic group captive insurer, fraternal benefit society, health maintenance organization, prepaid dental care plan organization, and non-profit hospital, medical-surgical and health service corporation.

Section 4 Rule

A. Standards, Practices and Procedures

Statutory financial statements must be completed in accordance with statutory accounting principles and practices as prescribed by Colorado insurance laws, regulations, and rulings, including the instructions, footnotes, annual statement accounting practices and procedures developed by the NAIC. These NAIC documents include the appropriate Annual Statement Instructions Manual and the Accounting Practices and Procedures Manual. These manuals provide direction, procedures, and methods of completing the annual statements and include those categories for which a company is required to establish reserves or liabilities. Liabilities and reserves which are to be established shall include, but are not necessarily limited to, life reserves, active life reserves, unearned premium reserves, loss reserves for claims both known and unknown, loss adjustment expenses both allocated and unallocated, unpaid claims, unpaid claims adjustment expenses, and accounts payable.

B. Filing

1. The form of the annual statement to be filed by a group captive insurer, nonprofit hospital, medical-surgical, and health service corporation, health maintenance organization, prepaid dental care plan organization, and fraternal benefit society is the NAIC convention blank form for each of these types of entities.
2. All entities required to file with the NAIC must file on diskette and pay the NAIC filing fees.

C. Notwithstanding the foregoing, it should be noted that while the NAIC's Accounting Practices and Procedures Manual identifies and establishes generally accepted statutory accounting principles, such principles and procedures do not supersede any specific statutes, regulations, orders or rulings of the state of Colorado or this office.

Section 5 Severability

If any provision of this regulation or the application of it to any person or circumstance is for any reason held to be invalid, the remainder of this regulation shall not be affected.

Section 6 Enforcement

Noncompliance with this regulation may result in the imposition of any of the sanctions made available in the Colorado statutes pertaining to the business of insurance, or other laws, which include the imposition of civil penalties, issuance of cease and desist orders, and/or suspensions or revocation of license, subject to the requirements of due process.

Section 7 Effective Date

This regulation shall be effective July 1, 2012.

Section 8 History

Originally effective November 1, 1992.
Amended effective April 1, 2001.
Amended effective July 1, 2012.

Regulation 3-1-11 RISK BASED CAPITAL (RBC) FOR INSURERS

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Section 1 Authority

This Regulation is promulgated under the authority of §§ 10-1-109, 10-3-201(1)(b), 10-6-129, and 10-14-604, C.R.S.

Section 2 Scope and Purpose

The purpose of this Regulation is to establish standards for the minimum capital and surplus to be maintained by insurers, captive insurers and fraternal benefit societies as provided by §§ 10-3-201(1)(b), 10-6-116, and 10-14-604, C.R.S. These standards provide for the early detection of a potentially hazardous or otherwise dangerous condition of an insurer in order to protect its insureds and the general public. This Regulation additionally provides for reporting, corrective measures, and enforcement actions available to the Commissioner.

Section 3 Applicability

This Regulation shall apply to all insurers as defined in Section 4. below.

Section 4 Definitions

As used in this Regulation, these terms shall have the following meanings:

- A. "Adjusted RBC Report" shall mean, for the purposes of this regulation, an RBC report which has been adjusted by the Commissioner in accordance with Section 5.E.
- B. "Corrective Order" shall mean, for the purposes of this regulation, an order issued by the Commissioner pursuant to § 10-3-404, C.R.S., specifying corrective actions which the Commissioner has determined are required.
- C. "Domestic insurer" shall mean, for the purposes of this regulation, any insurance company or fraternal benefit society domiciled in this State.

- D. "Foreign insurer" shall mean, for the purposes of this regulation, any insurance company or fraternal benefit society that is licensed to do business in this State, but is not domiciled in this State.
- E. "Life and/or health insurer" shall mean, for the purposes of this regulation, any insurance company licensed as a life insurer, health insurer, fraternal benefit society, or a licensed property and casualty insurer writing only accident and health insurance.
- F. "NAIC" shall mean, for the purposes of this regulation, the National Association of Insurance Commissioners.
- G. "Negative trend" shall mean, for the purposes of this regulation, with respect to a life and/or health insurer, a negative trend over a period of time, as determined in accordance with the "Trend Test Calculation" included in the Life RBC Instructions.
- H. "Property and casualty insurer" shall mean, for the purposes of this regulation, any licensed property and casualty insurance company, including a group captive insurance company organized pursuant to the provisions of Article 6 of Title 10, C.R.S., but shall not include monoline mortgage guaranty insurers, financial guaranty insurers, title insurers and county mutual protective associations organized on an assessment basis pursuant to § 10-12-101(2), C.R.S.
- I. "RBC instructions" shall mean, for the purposes of this regulation, the RBC Report, including risk-based capital instructions and procedures adopted by the NAIC, as part of the required annual filing on the NAIC convention blank.
- J. "RBC Level" shall mean, for the purposes of this regulation, an insurer's Company Action Level RBC, Regulatory Action Level RBC, Authorized Control Level RBC, or Mandatory Control Level RBC, where:
 - 1. "Company Action Level RBC" means, with respect to any insurer, the product of 2.0 and its Authorized Control Level RBC;
 - 2. "Regulatory Action Level RBC" means the product of 1.5 and its Authorized Control Level RBC;
 - 3. "Authorized Control Level RBC" means the number determined under the risk based capital formula in accordance with the RBC Instructions;
 - 4. "Mandatory Control Level RBC" means the product of .70 and the Authorized Control Level RBC.
- K. "RBC Plan" shall mean, for the purposes of this regulation, a comprehensive financial plan containing the elements specified in Section 6.B. If the Commissioner rejects the RBC Plan, and it is revised by the insurer, with or without the Commissioner's recommendation, the plan shall be called the "Revised RBC Plan."
- L. "RBC Report" shall mean, for the purposes of this regulation, the report required in Section 5. of this Regulation.
- M. "Total Adjusted Capital" shall mean, for the purposes of this regulation, the sum of:
 - 1. An insurer's statutory capital and surplus as determined in accordance with the statutory accounting applicable to the annual financial statements; and
 - 2. Such other items, if any, as the RBC Instructions may provide.

Section 5 RBC Reports

- A. A domestic insurer shall, on or prior to each March 1 (the “filing date”), prepare and submit to the Commissioner a report of its RBC Levels as of the end of the calendar year just ended, in a form and containing such information as is required by the RBC Instructions. In addition, a domestic insurer shall file its RBC Report:
1. With the NAIC in accordance with the RBC Instructions; and
 2. With the insurance commissioner in any state in which the insurer is authorized to do business, if the insurance commissioner has notified the insurer of its request in writing, in which case the insurer shall file its RBC Report not later than the later of:
 - a. Fifteen (15) days from the receipt of notice to file its RBC Report with that state; or
 - b. The filing date.
- B. A life and/or health insurer’s RBC shall be determined in accordance with the formula set forth in the RBC Instructions. The formula shall take the following into account (and may adjust for the covariance between) determined in each case by applying the factors in the manner set forth in the RBC Instructions:
1. The risk with respect to the insurer’s assets;
 2. The risk of adverse insurance experience with respect to the insurer’s liabilities and obligations;
 3. The interest rate risk with respect to the insurer’s business; and
 4. All other business risks and such other relevant risks as are set forth in the RBC Instructions.
- C. A property and casualty insurer’s RBC shall be determined in accordance with the formula set forth in the RBC Instructions. The formula shall take the following into account (and may adjust for the covariance between) determined in each case by applying the factors in the manner set forth in the RBC Instructions:
1. Asset risk;
 2. Credit risk;
 3. Underwriting risk; and
 4. All other business risks and such other relevant risks as are set forth in the RBC Instructions.
- D. An excess of capital over the amount produced by the risk-based capital requirements contained in this Regulation and the formulas, schedules and instructions referenced in this Regulation is desirable in the business of insurance. Accordingly, insurers should seek to maintain capital above the RBC Levels required by this Regulation. Additional capital is used and useful in the insurance business and helps to secure an insurer against various risks inherent in, or affecting, the business of insurance and not accounted for or only partially measured by the risk-based capital requirements contained in this Regulation.

- E. If a domestic insurer files an RBC Report which in the judgment of the Commissioner is inaccurate, then the Commissioner shall adjust the RBC Report to correct the inaccuracy and shall notify the insurer of the adjustment. The notice shall contain a statement of the reason for the adjustment. An RBC Report as so adjusted is referred to as an "Adjusted RBC Report."

Section 6 Company Action Level Event

- A. "Company Action Level Event" means any of the following events:

1. The filing of an RBC Report by an insurer, which indicates that:
 - a. The insurer's Total Adjusted Capital is greater than or equal to its Regulatory Action Level RBC but less than its Company Action Level RBC;
 - b. If a life and/or health insurer, the insurer has Total Adjusted Capital which is greater than or equal to its Company Action Level RBC but less than the product of its Authorized Control Level RBC and 3.0 and has a negative trend; or
 - c. If a property and casualty insurer, the insurer has Total Adjusted Capital which is greater than or equal to its Company Action Level RBC but less than the product of its Authorized Control Level RBC and 3.0 and triggers the trend test determined in accordance with the trend test calculation included in the Property and Casualty RBC Instructions;
2. The notification by the Commissioner to the insurer of an Adjusted RBC Report that indicates an event in Paragraph 1. of this subsection, provided the insurer does not challenge the Adjusted RBC Report under Section 10.; or
3. If, pursuant to Section 10., an insurer challenges an Adjusted RBC Report that indicates the event in Paragraph 1. of this subsection, the notification by the Commissioner to the insurer that the Commissioner has, after a hearing, rejected the insurer's challenge.

- B. In the event of a Company Action Level Event, the insurer shall prepare and submit to the Commissioner an RBC Plan which shall:

1. Identify the conditions which contribute to the Company Action Level Event;
2. Contain proposals of corrective actions which the insurer intends to take and that would be expected to result in the elimination of the Company Action Level Event;
3. Provide projections of the insurer's financial results in the current year and at least the four (4) succeeding years, both in the absence of proposed corrective actions and giving effect to the proposed corrective actions, including projections of statutory operating income, net income, capital and surplus. (The projections for both new and renewal business might include separate projections for each major line of business and separately identify each significant income, expense and benefit component);
4. Identify the key assumptions impacting the insurer's projections and the sensitivity of the projections to the assumptions; and
5. Identify the quality of, and problems associated with, the insurer's business, including but not limited to its assets, anticipated business growth and associated surplus strain, extraordinary exposure to risk, mix of business and use of reinsurance, if any, in each case.

- C. The RBC Plan shall be submitted:
1. Within forty-five (45) days of the Company Action Level Event; or
 2. If the insurer challenges an Adjusted RBC Report pursuant to Section 10., within forty-five (45) days after notification to the insurer that the Commissioner has, after a hearing, rejected the insurer's challenge.
- D. Within sixty (60) days after the submission by an insurer of an RBC Plan to the Commissioner, the Commissioner shall notify the insurer whether the RBC Plan shall be implemented or is, in the judgment of the Commissioner, unsatisfactory. If the Commissioner determines the RBC Plan is unsatisfactory, the notification to the insurer shall set forth the reasons for the determination, and may set forth proposed revisions which will render the RBC Plan satisfactory, in the judgment of the Commissioner. Upon notification from the Commissioner, the insurer shall prepare a Revised RBC Plan, which may incorporate by reference any revisions proposed by the Commissioner, and shall submit the Revised RBC Plan to the Commissioner:
1. Within forty-five (45) days after the notification from the Commissioner; or
 2. If the insurer challenges the notification from the Commissioner under Section 10., within forty-five (45) days after a notification to the insurer that the Commissioner has, after a hearing, rejected the insurer's challenge.
- E. In the event of a notification by the Commissioner to an insurer that the insurer's RBC Plan or Revised RBC Plan is unsatisfactory, the Commissioner may at the Commissioner's discretion, subject to the insurer's right to a hearing under Section 10., specify in the notification that the notification constitutes a Regulatory Action Level Event.
- F. Every domestic insurer that files an RBC Plan or Revised RBC Plan with the Commissioner shall file a copy of the RBC Plan or Revised RBC Plan with the insurance commissioner or other regulatory authority in any state in which the insurer is authorized to do business if:
1. Such state has a provision substantially similar to Section 11.A.; and
 2. The insurance commissioner of that state has notified the insurer of its request for the filing in writing, in which case the insurer shall file a copy of the RBC Plan or Revised RBC Plan in that state no later than the later of:
 - a. Fifteen (15) days after the receipt of notice to file a copy of its RBC Plan or Revised RBC Plan with the state; or
 - b. The date on which the RBC Plan or Revised RBC Plan is filed under Section 6.C. and 6.D. of this Regulation.

Section 7 Regulatory Action Level Event

- A. "Regulatory Action Level Event" means any of the following events:
1. The filing of an RBC Report by the insurer which indicates that the insurer's Total Adjusted Capital is greater than or equal to its Authorized Control Level RBC but less than its Regulatory Action Level RBC;
 2. Notification by the Commissioner to an insurer of an Adjusted RBC Report that indicates the event in Paragraph 1., provided the insurer does not challenge the Adjusted RBC Report under Section 10.;

3. If, pursuant to Section 10., the insurer challenges an Adjusted RBC Report that indicates the event in Paragraph 1., the notification by the Commissioner to the insurer that the Commissioner has, after a hearing, rejected the insurer's challenge;
 4. The failure of the insurer to file an RBC Report by the filing date, unless the insurer has provided an explanation for such failure which is satisfactory to the Commissioner and has cured the failure within ten (10) days after the filing date;
 5. The failure of the insurer to submit an RBC Plan to the Commissioner within the time period set forth in Section 6.C. of this Regulation;
 6. Notification by the Commissioner to the insurer that:
 - a. The RBC Plan or Revised RBC Plan submitted by the insurer is, in the judgment of the Commissioner, unsatisfactory; and
 - b. Such notification constitutes a Regulatory Action Level Event with respect to the insurer, provided the insurer has not challenged the determination under Section 10.;
 7. If, pursuant to Section 10., the insurer challenges a determination by the Commissioner under Paragraph 6., the notification by the Commissioner to the insurer that the Commissioner has, after a hearing, rejected such challenge;
 8. Notification by the Commissioner to the insurer that the insurer has failed to adhere to its RBC Plan or Revised RBC Plan, but only if the failure has a substantial adverse effect on the ability of the insurer to eliminate the Company Action Level Event in accordance with its RBC Plan or Revised RBC Plan and the Commissioner has so stated in the notification, provided the insurer has not challenged the determination under Section 10.; or
 9. If, pursuant to Section 10., the insurer challenges a determination by the Commissioner under Paragraph 8., the notification by the Commissioner to the insurer that the Commissioner has, after a hearing, rejected the challenge.
- B. In the event of a Regulatory Action Level Event the Commissioner shall:
1. Require the insurer to prepare and submit an RBC Plan or, if applicable, a Revised RBC Plan;
 2. Perform such examination or analysis as the Commissioner deems necessary of the assets, liabilities and operations of the insurer including a review of its RBC Plan or Revised RBC Plan; and
 3. Subsequent to the examination or analysis, issue an order specifying such corrective actions as the Commissioner shall determine are required (a "Corrective Order").
- C. In determining corrective actions, the Commissioner may take into account factors the Commissioner deems relevant with respect to the insurer based upon the Commissioner's examination or analysis of the assets, liabilities and operations of the insurer, including, but not limited to, the results of any sensitivity tests undertaken pursuant to the RBC Instructions. The RBC Plan or Revised RBC Plan shall be submitted:
1. Within forty-five (45) days after the occurrence of the Regulatory Action Level Event;

2. If the insurer challenges an Adjusted RBC Report pursuant to Section 10. and the challenge is not frivolous in the judgment of the Commissioner, within forty-five (45) days after the notification to the insurer that the Commissioner has, after a hearing, rejected the insurer's challenge; or
 3. If the insurer challenges a Revised RBC Plan pursuant to Section 10. and the challenge is not frivolous in the judgment of the Commissioner, within forty-five (45) days after the notification to the insurer that the Commissioner has, after a hearing, rejected the insurer's challenge.
- D. The Commissioner may retain actuaries and investment experts and other consultants as may be necessary in the judgment of the Commissioner to review the insurer's RBC Plan or Revised RBC Plan, examine or analyze the assets, liabilities and operations of the insurer and formulate the Corrective Order with respect to the insurer. The fees, costs and expenses relating to consultants shall be borne by the affected insurer or such other party as directed by the Commissioner.

Section 8 Authorized Control Level Event

- A. "Authorized Control Level Event" means any of the following events:
1. The filing of an RBC Report by the insurer which indicates that the insurer's Total Adjusted Capital is greater than or equal to its Mandatory Control Level RBC but less than its Authorized Control Level RBC;
 2. The notification by the Commissioner to the insurer of an Adjusted RBC Report that indicates the event in Paragraph 1., provided the insurer does not challenge the Adjusted RBC Report under Section 10.;
 3. If, pursuant to Section 10., the insurer challenges an Adjusted RBC Report that indicates the event in Paragraph 1., notification by the Commissioner to the insurer that the Commissioner has, after a hearing, rejected the insurer's challenge;
 4. The failure of the insurer to respond, in a manner satisfactory to the Commissioner, to a Corrective Order (provided the insurer has not challenged the Corrective Order under Section 10.); or
 5. If the insurer has challenged a Corrective Order under Section 10. and the Commissioner has, after a hearing, rejected the challenge or modified the Corrective Order, the failure of the insurer to respond, in a manner satisfactory to the Commissioner, to the Corrective Order subsequent to rejection or modification by the Commissioner.
- B. In the event of an Authorized Control Level Event with respect to an insurer, the Commissioner shall:
1. Take such actions as are required under Section 7. regarding an insurer with respect to which an Regulatory Action Level Event has occurred; or

2. If the Commissioner deems it to be in the best interests of the policyholders and creditors of the insurer and of the public, take such actions as are necessary to cause the insurer to be placed under regulatory control pursuant to § 10-3-501 et seq., C.R.S. In the event the Commissioner takes such actions, the Authorized Control Level Event shall be deemed sufficient grounds for the Commissioner to take action pursuant to § 10-3-501 et seq., C.R.S., and the Commissioner shall have the rights, powers and duties with respect to the insurer as are set forth in § 10-3-501 et seq., C.R.S. In the event the Commissioner takes actions under this paragraph pursuant to an Adjusted RBC Report, the insurer shall be entitled to such protections as are afforded to insurers under the provisions of § 10-3-501 et seq., C.R.S.

Section 9 Mandatory Control Level Event

A. "Mandatory Control Level Event" means any of the following events:

1. The filing of an RBC Report which indicates that the insurer's Total Adjusted Capital is less than its Mandatory Control Level RBC;
2. Notification by the Commissioner to the insurer of an Adjusted RBC Report that indicates the event in Paragraph 1., provided the insurer does not challenge the Adjusted RBC Report under Section 10.; or
3. If, pursuant to Section 10., the insurer challenges an Adjusted RBC Report that indicates the event in Paragraph 1., notification by the Commissioner to the insurer that the Commissioner has, after a hearing, rejected the insurer's challenge.

B. In the event of a Mandatory Control Level Event:

1. With respect to a life and/or health insurer, the Commissioner shall take such actions as are necessary to place the insurer under regulatory control pursuant to § 10-3-501 et seq., C.R.S. In that event, the Mandatory Control Level Event shall be deemed sufficient grounds for the Commissioner to take action under § 10-3-501 et seq., C.R.S., and the Commissioner shall have the rights, powers and duties with respect to the insurer as are set forth in § 10-3-501 et seq., C.R.S.. If the Commissioner takes actions pursuant to an Adjusted RBC Report, the insurer shall be entitled to the protections of § 10-3-501 et seq., C.R.S. pertaining to summary proceedings. Notwithstanding any of the foregoing, the Commissioner may forego action for up to ninety (90) days after the Mandatory Control Level Event if the Commissioner finds there is a reasonable expectation that the Mandatory Control Level Event may be eliminated within the ninety (90) day period.
2. With respect to a property and casualty insurer, the Commissioner shall take such actions as are necessary to place the insurer under regulatory control pursuant to § 10-3-501 et seq., C.R.S., or, in the case of an insurer which is writing no business and which is running-off its existing business, may allow the insurer to continue its run-off under the supervision of the Commissioner. In either event, the Mandatory Control Level Event shall be deemed sufficient grounds for the Commissioner to take action under § 10-3-501 et seq., C.R.S., and the Commissioner shall have the rights, powers and duties with respect to the insurer as are set forth in § 10-3-501 et seq., C.R.S. If the Commissioner takes actions pursuant to an Adjusted RBC Report, the insurer shall be entitled to the protections of § 10-3-501 et seq., C.R.S. pertaining to summary proceedings. Notwithstanding any of the foregoing, the Commissioner may forego action for up to ninety (90) days after the Mandatory Control Level Event if the Commissioner finds there is a reasonable expectation that the Mandatory Control Level Event may be eliminated within the ninety (90) day period.

Section 10 Hearings

Upon the occurrence of any of the following events, the insurer shall have the right to a confidential departmental hearing pursuant to § 24-4-105, C.R.S., on a record, at which the insurer may challenge any determination or action by the Commissioner. The insurer shall notify the Commissioner of its request for a hearing within five (5) days after the notification by the Commissioner under Subsection A., B., C. or D. Upon receipt of the insurer's request for a hearing, the Commissioner shall set a date for the hearing, which shall be no less than ten (10) nor more than thirty (30) days after the date of the insurer's request. The events include:

- A. Notification to an insurer by the Commissioner of an Adjusted RBC Report; or
- B. Notification to an insurer by the Commissioner that:
 - 1. The insurer's RBC Plan or Revised RBC Plan is unsatisfactory; and
 - 2. Such notification constitutes a Regulatory Action Level Event with respect to such insurer; or
- C. Notification to an insurer by the Commissioner that the insurer has failed to adhere to its RBC Plan or Revised RBC Plan and that such failure has a substantial adverse effect on the ability of the insurer to eliminate the Company Action Level Event with respect to the insurer in accordance with its RBC Plan or Revised RBC Plan; or
- D. Notification to an insurer by the Commissioner of a Corrective Order with respect to the insurer.

Section 11 Confidentiality and Prohibition on Announcements

- A. All RBC Reports (to the extent the information therein is not required to be set forth in a publicly available annual statement schedule) and RBC Plans (including the results or report of any examination or analysis of an insurer performed pursuant hereto and any Corrective Order issued by the Commissioner pursuant to examination or analysis) with respect to a domestic insurer or foreign insurer that are in the possession or control of the Commissioner shall be confidential by law and privileged, pursuant to § 24-72-204(3)(a)(IV), C.R.S., and shall not be subject to § 24-72-201, et. seq. C.R.S., shall not be subject to subpoena, and shall not be subject to discovery or admissible in evidence in any private civil action. However, the Commissioner is authorized to use the documents, materials or other information in the furtherance of any regulatory or legal action brought as a part of the Commissioner's official duties.
- B. Neither the Commissioner nor any person who received documents, materials or other information while acting under the authority of the Commissioner shall be permitted or required to testify in any private civil action concerning any confidential documents, materials or information subject to Subsection A.
- C. In order to assist in the performance of the Commissioner's duties, the Commissioner:
 - 1. May share documents, materials or other information, including the confidential and privileged documents, materials or information subject to Subsection A., with other state, federal and international regulatory agencies, with the NAIC and its affiliates and subsidiaries, and with state, federal and international law enforcement authorities, provided that the recipient agrees to maintain the confidentiality and privileged status of the document, material or other information; and

2. May receive documents, materials or information, including otherwise confidential and privileged documents, materials or information, from the NAIC and its affiliates and subsidiaries, and from regulatory and law enforcement officials of other foreign or domestic jurisdictions, and shall maintain as confidential or privileged any document, material or information received with notice or the understanding that it is confidential or privileged under the laws of the jurisdiction that is the source of the document, material or information.
- D. No waiver of any applicable privilege or claim of confidentiality in the documents, materials or information shall occur as a result of disclosure to the Commissioner under this section or as a result of sharing as authorized in Section 11.C.
- E. The comparison of an insurer's Total Adjusted Capital to any of its RBC Levels is a regulatory tool which may indicate the need for possible corrective action with respect to the insurer, and is not intended as a means to rank insurers generally. Therefore, except as otherwise required under the provisions of this Regulation, the making, publishing, disseminating, circulating or placing before the public, or causing, directly or indirectly to be made, published, disseminated, circulated or placed before the public, in a newspaper, magazine or other publication, or in the form of a notice, circular, pamphlet, letter or poster, or over any radio or television station, or in any other way, an advertisement, announcement or statement containing an assertion, representation or statement with regard to the RBC Levels of any insurer, or of any component derived in the calculation, by any insurer, agent, broker or other person engaged in any manner in the insurance business would be misleading and a violation of § 10-3-1104, C.R.S., and is therefore prohibited; provided, however, that if any materially false statement with respect to the comparison regarding an insurer's Total Adjusted Capital to its RBC Levels (or any of them) or an inappropriate comparison of any other amount to the insurers' RBC Levels is published in any written publication and the insurer is able to demonstrate to the Commissioner with substantial proof the falsity of such statement, or the inappropriateness, as the case may be, then the insurer may publish an announcement in a written publication if the sole purpose of the announcement is to rebut the materially false statement.

Section 12 Foreign Insurers

- A. Any foreign insurer shall, upon the written request of the Commissioner, submit to the Commissioner an RBC Report as of the end of the calendar year just ended the later of:
 1. The date an RBC Report would be required to be filed by a domestic insurer under this Regulation; or
 2. Fifteen (15) days after the request is received by the foreign insurer.
- B. Any foreign insurer shall, at the written request of the Commissioner, promptly submit to the Commissioner a copy of any RBC Plan that is filed with the insurance commissioner of any other state.
- C. In the event of a Company Action Level Event, Regulatory Action Level Event or Authorized Control Level Event with respect to any foreign insurer as determined under the RBC statute or regulation applicable in the state of domicile of the insurer (or, if no RBC statute or regulation is in force in that state, under the provisions of this Regulation), if the insurance commissioner of the state of domicile of the foreign insurer fails to require the foreign insurer to file an RBC Plan in the manner specified under that state's RBC statute or regulation (or, if no RBC statute or regulation is in force in that state, under Section 6. hereof), the Commissioner may require the foreign insurer to file an RBC Plan with the Commissioner. In such event, the failure of the foreign insurer to file an RBC Plan with the Commissioner shall be grounds to order the insurer to cease and desist from writing new insurance business in this State.

- D. In the event of a Mandatory Control Level Event with respect to a foreign insurer, if no domiciliary receiver has been appointed with respect to the foreign insurer under the rehabilitation and liquidation statute applicable in the state of domicile of the foreign insurer, the Commissioner may make application to the Denver District Court permitted under § 10-3-501 et. seq., C.R.S., with respect to the liquidation of property of foreign insurers found in this State, and the occurrence of the Mandatory Control Level Event shall be considered adequate grounds for the application.

Section 13 Notices

All notices by the Commissioner to an insurer which may result in regulatory action thereunder shall be effective upon dispatch if transmitted by registered or certified mail, or in the case of any other transmission shall be effective upon the insurer's receipt of such notice.

Section 14 Severability

If any provision of this regulation or the application of it to any person or circumstance is for any reason held to be invalid, the remainder of this regulation shall not be affected.

Section 15 Enforcement

Noncompliance with this regulation may result in the imposition of any of the sanctions made available in the Colorado statutes pertaining to the business of insurance, or other laws, which include the imposition of civil penalties, issuance of cease and desist orders, and/or suspensions or revocation of license, subject to the requirements of due process.

Section 16 Effective Date

This Regulation shall become effective on August 1, 2017.

Section 17 History

Originally effective March 31, 1994.

Amended Regulation, effective August 31, 1997.

Amended Regulation, effective November 1, 1999.

Amended Regulation, effective April 1, 2002.

Repealed and Repromulgated Regulation, effective February 1, 2012

Amended Regulation, effective August 1, 2013

Amended Regulation, effective August 1, 2017

Regulation 3-1-12 RISK BASED CAPITAL (RBC) FOR HEALTH ORGANIZATIONS

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Section 1 Authority

This Regulation is promulgated under the authority of § § 10-16-310(3) and 10-16-411(2), C.R.S.

Section 2 Scope and Purpose

The purpose of this Regulation is to establish standards for the minimum capital and surplus to be maintained by health organizations as provided by § § 10-16-310 and 10-16-411, C.R.S. These standards provide for the early detection of a potentially hazardous or otherwise dangerous condition of a health organization in order to protect its enrollees/members and the general public. This Regulation additionally provides for reporting, corrective measures, and enforcement actions available to the Commissioner.

Section 3 Applicability

This Regulation shall apply to all health organizations defined in Section 4 below.

Section 4 Definitions

As used in this Regulation, these terms shall have the following meanings:

- A. "Adjusted RBC Report" means an RBC report which has been adjusted by the Commissioner in accordance with Section 5E.
- B. "Corrective Order" means an order issued by the Commissioner pursuant to § 10-3-404, C.R.S., specifying corrective actions which the Commissioner has determined are required.
- C. "Domestic health organization" means a health organization domiciled in this State.
- D. "Foreign health organization" means a health organization that is licensed to do business in this State, but is not domiciled in this State.

- E. "Health organization" means a health maintenance organization, nonprofit hospital medical-surgical and health service corporation, or other managed care organization. This definition does not include an organization that is licensed as either a life and health insurer or a property and casualty insurer, and that is otherwise subject to either the life or property and casualty RBC requirements.
- F. "NAIC" means the National Association of Insurance Commissioners.
- G. "RBC instructions" means the RBC Report, including risk-based capital instructions and procedures adopted by the NAIC, as part of the required annual filing on the NAIC convention blank.
- H. "RBC Level" means a health organization's Company Action Level RBC, Regulatory Action Level RBC, Authorized Control Level RBC, or Mandatory Control Level RBC where:
 - 1. "Company Action Level RBC" means, with respect to any health organization, the product of 2.0 and its Authorized Control Level RBC;
 - 2. "Regulatory Action Level RBC" means the product of 1.5 and its Authorized Control Level RBC;
 - 3. "Authorized Control Level RBC" means the number determined under the risk-based capital formula in accordance with the RBC Instructions;
 - 4. "Mandatory Control Level RBC" means the product of .70 and the Authorized Control Level RBC.
- I. "RBC Plan" means a comprehensive financial plan containing the elements specified in Section 6B. If the Commissioner rejects the RBC Plan, and it is revised by the health organization, with or without the Commissioner's recommendation, the plan shall be called the "Revised RBC Plan."
- J. "RBC Report" means the report required in Section 5 of this Regulation.
- K. "Total Adjusted Capital" means the sum of:
 - 1. A health organization's statutory capital and surplus (i.e. net worth) as determined in accordance with the statutory accounting applicable to the annual financial statements; and
 - 2. Such other items, if any, as the RBC Instructions may provide.

Section 5 RBC Reports

- A. A domestic health organization shall, on or prior to each March 1 (the "filing date"), prepare and submit to the Commissioner a report of its RBC Levels as of the end of the calendar year just ended, in a form and containing such information as is required by the RBC Instructions. In addition, a domestic health organization shall file its RBC Report:
 - 1. With the NAIC in accordance with the RBC Instructions; and
 - 2. With the insurance commissioner in any state in which the health organization is authorized to do business, if the insurance commissioner has notified the health organization of its request in writing, in which case the health organization shall file its RBC Report not later than the later of:

- a. Fifteen (15) days from the receipt of notice to file its RBC Report with that state;
or
 - b. The filing date.
- B. A health organization's RBC shall be determined in accordance with the formula set forth in the RBC Instructions. The formula shall take the following into account (and may adjust for the covariance between) determined in each case by applying the factors in the manner set forth in the RBC Instructions.
 - 1. Asset risk;
 - 2. Credit risk;
 - 3. Underwriting risk; except domestic and foreign health organizations having contractual relations which may be subject to § 10-16-705(5)(a), C.R.S. are not permitted to take managed care credit for the arrangement unless they have an approved alternative payment mechanism under § 10-16-705(5)(b), C.R.S.; and
 - 4. All other business risks and such other relevant risks as are set forth in the RBC Instructions.
- C. An excess of capital (i.e. net worth) over the amount produced by the risk-based capital requirements contained in this Regulation, and the formulas, schedules and instructions referenced in this Regulation is desirable in the business of health insurance. Accordingly, health organizations should seek to maintain capital above the RBC Levels required by this Regulation. Additional capital is used and useful in the insurance business and helps to secure a health organization against various risks inherent in, or affecting, the business of insurance and not accounted for or only partially measured by the risk-based capital requirements contained in this Regulation.
- D. If a domestic health organization files an RBC Report which in the judgment of the Commissioner is inaccurate, then the Commissioner shall adjust the RBC Report to correct the inaccuracy and shall notify the health organization of the adjustment. The notice shall contain a statement of the reason for the adjustment. An RBC Report as so adjusted is referred to as an "Adjusted RBC Report."

Section 6 Company Action Level Event

- A. "Company Action Level Event" means any of the following events:
 - 1. The filing of an RBC Report by a health organization, which indicates that the health organization's Total Adjusted Capital is greater than or equal to its Regulatory Action Level RBC but less than its Company Action Level RBC;
 - 2. The filing of an RBC Report by a health organization, which indicates that the health organization's Total Adjusted Capital is greater than or equal to its Company Action Level RBC but less than the product of its Authorized Control Level RBC and 3.0 and triggers the trend test determined in accordance with the trend test calculation included in the Health RBC Instructions;
 - 3. Notification by the Commissioner to the health organization of an Adjusted RBC Report that indicates an event in Paragraphs 1 or 2 of this subsection, provided the health organization does not challenge the Adjusted RBC Report under Section 10; or

4. If, pursuant to Section 10, a health organization challenges an Adjusted RBC Report that indicates an event in Paragraphs 1 or 2 of this subsection, the notification by the Commissioner to the health organization that the Commissioner has, after a hearing, rejected the health organization's challenge.
- B. In the event of a Company Action Level Event, the health organization shall prepare and submit to the Commissioner an RBC Plan that shall:
1. Identify the conditions that contribute to the Company Action Level Event;
 2. Contain proposals of corrective actions that the health organization intends to take and that would be expected to result in the elimination of the Company Action Level Event;
 3. Provide projections of the health organization's financial results in the current year and at least the four (4) succeeding years, both in the absence of proposed corrective actions and giving effect to the proposed corrective actions, including projections of statutory balance sheets, operating income, net income, capital and surplus, and RBC Levels. (The projections for both new and renewal business might include separate projections for each major line of business and separately identify each significant income, expense and benefit component);
 4. Identify the key assumptions impacting the health organization's projections and the sensitivity of the projections to the assumptions; and
 5. Identify the quality of, and problems associated with, the health organization's business, including but not limited to its assets, anticipated business growth, extraordinary exposure to risk, mix of business and use of reinsurance, if any, in each case.
- C. The RBC Plan shall be submitted:
1. Within forty-five (45) days of the Company Action Level Event; or
 2. If the health organization challenges an Adjusted RBC Report pursuant to Section 10, within forty-five (45) days after notification to the health organization that the Commissioner has, after a hearing, rejected the health organization's challenge.
- D. Within sixty (60) days after the submission by a health organization of an RBC Plan to the Commissioner, the Commissioner shall notify the health organization whether the RBC Plan shall be implemented or is, in the judgment of the Commissioner, unsatisfactory. If the Commissioner determines the RBC Plan is unsatisfactory, the notification to the health organization shall set forth the reasons for the determination, and may set forth proposed revisions which will render the RBC Plan satisfactory, in the judgment of the Commissioner. Upon notification from the Commissioner, the health organization shall prepare a Revised RBC Plan, which may incorporate by reference any revisions proposed by the Commissioner, and shall submit the Revised RBC Plan to the Commissioner:
1. Within forty-five (45) days after the notification from the Commissioner; or
 2. If the health organization challenges the notification from the Commissioner under Section 10, within forty-five (45) days after a notification to the health organization that the Commissioner has, after a hearing, rejected the health organization's challenge.

- E. In the event of a notification by the Commissioner to a health organization that the health organization's RBC Plan or Revised RBC Plan is unsatisfactory, the Commissioner may at the Commissioner's discretion, subject to the health organization's right to a hearing under Section 10, specify in the notification that the notification constitutes a Regulatory Action Level Event.
- F. Every domestic health organization that files an RBC Plan or Revised RBC Plan with the Commissioner shall file a copy of the RBC Plan or Revised RBC Plan with the insurance commissioner in any state in which the health organization is authorized to do business if:
 - 1. Such state has a provision substantially similar to Section 11A; and
 - 2. The insurance commissioner of that state has notified the health organization of its request for the filing in writing, in which case the health organization shall file a copy of the RBC Plan or Revised RBC Plan in that state no later than the later of:
 - a. Fifteen (15) days after the receipt of notice to file a copy of its RBC Plan or Revised RBC Plan with the state; or
 - b. The date on which the RBC Plan or Revised RBC Plan is filed under Section 6C and 6D.

Section 7 Regulatory Action Level Event

- A. "Regulatory Action Level Event" means any of the following events:
 - 1. The filing of an RBC Report by the health organization that indicates that the health organization's Total Adjusted Capital is greater than or equal to its Authorized Control Level RBC but less than its Regulatory Action Level RBC;
 - 2. Notification by the Commissioner to a health organization of an Adjusted RBC Report that indicates the event in Paragraph (1), provided the health organization does not challenge the Adjusted RBC Report under Section 10;
 - 3. If, pursuant to Section 10, the health organization challenges an Adjusted RBC Report that indicates the event in Paragraph (1), the notification by the Commissioner to the health organization that the Commissioner has, after a hearing, rejected the health organization's challenge;
 - 4. The failure of the health organization to file an RBC Report by the filing date, unless the health organization has provided an explanation for the failure that is satisfactory to the Commissioner and has cured the failure within ten (10) days after the filing date;
 - 5. The failure of the health organization to submit an RBC Plan to the Commissioner within the time period set forth in Section 6C;
 - 6. Notification by the Commissioner to the health organization that:
 - a. The RBC Plan or revised RBC Plan submitted by the health organization is, in the judgment of the Commissioner, unsatisfactory; and
 - b. Such notification constitutes a Regulatory Action Level Event with respect to the health organization, provided the health organization has not challenged the determination under Section 10;

7. If, pursuant to Section 10, the health organization challenges a determination by the Commissioner under Paragraph (6), the notification by the Commissioner to the health organization that the Commissioner has, after a hearing, rejected the challenge;
 8. Notification by the Commissioner to the health organization that the health organization has failed to adhere to its RBC Plan or revised RBC Plan, but only if the failure has a substantial adverse effect on the ability of the health organization to eliminate the Company Action Level Event in accordance with its RBC Plan or revised RBC Plan and the Commissioner has so stated in the notification, provided the health organization has not challenged the determination under Section 10; or
 9. If, pursuant to Section 10, the health organization challenges a determination by the Commissioner under Paragraph (8), the notification by the Commissioner to the health organization that the Commissioner has, after a hearing, rejected the challenge.
- B. In the event of a Regulatory Action Level Event the Commissioner shall:
1. Require the health organization to prepare and submit an RBC Plan or, if applicable, a Revised RBC Plan;
 2. Perform such examination or analysis as the Commissioner deems necessary of the assets, liabilities and operations of the health organization including a review of its RBC Plan or Revised RBC Plan; and
 3. Subsequent to the examination or analysis, issue an order specifying such corrective actions as the Commissioner shall determine are required (a "Corrective Order").
- C. In determining corrective actions, the Commissioner may take into account factors the Commissioner deems relevant with respect to the health organization based upon the Commissioner's examination or analysis of the assets, liabilities and operations of the health organization, including, but not limited to, the results of any sensitivity tests undertaken pursuant to the RBC Instructions. The RBC Plan or Revised RBC Plan shall be submitted:
1. Within forty-five (45) days after the occurrence of the Regulatory Action Level Event;
 2. If the health organization challenges an Adjusted RBC Report pursuant to Section 10 and the challenge is not frivolous in the judgment of the Commissioner, within forty-five (45) days after the notification to the health organization that the Commissioner has, after a hearing, rejected the health organization's challenge; or
 3. If the health organization challenges a Revised RBC Plan pursuant to Section 10 and the challenge is not frivolous in the judgment of the Commissioner, within forty-five (45) days after the notification to the health organization that the Commissioner has, after a hearing, rejected the health organization's challenge.
- D. The Commissioner may retain actuaries and investment experts and other consultants as may be necessary in the judgment of the Commissioner to review the health organization's RBC Plan or Revised RBC Plan, examine or analyze the assets, liabilities and operations (including contractual relationships) of the health organization and formulate the Corrective Order with respect to the health organization. The fees, costs and expenses relating to consultants shall be borne by the affected health organization or such other party as directed by the Commissioner.

Section 8 Authorized Control Level Event

- A. “Authorized Control Level Event” means any of the following events:
1. The filing of an RBC Report by the health organization that indicates that the health organization’s Total Adjusted Capital is greater than or equal to its Mandatory Control Level RBC but less than its Authorized Control Level RBC;
 2. The notification by the Commissioner to the health organization of an Adjusted RBC Report that indicates the event in Paragraph (1), provided the health organization does not challenge the Adjusted RBC Report under Section 10;
 3. If, pursuant to Section 10, the health organization challenges an Adjusted RBC Report that indicates the event in Paragraph (1), notification by the Commissioner to the health organization that the Commissioner has, after a hearing, rejected the health organization’s challenge;
 4. The failure of the health organization to respond, in a manner satisfactory to the Commissioner, to a Corrective Order (provided the health organization has not challenged the Corrective Order under Section 10); or
 5. If the health organization has challenged a Corrective Order under Section 10 and the Commissioner has, after a hearing, rejected the challenge or modified the Corrective Order, the failure of the health organization to respond, in a manner satisfactory to the Commissioner, to the Corrective Order subsequent to rejection or modification by the Commissioner.
- B. In the event of an Authorized Control Level Event with respect to a health organization, the Commissioner shall:
1. Take such actions as are required under Section 7 regarding a health organization with respect to which an Regulatory Action Level Event has occurred; or
 2. If the Commissioner deems it to be in the best interests of the policyholders and creditors of the health organization and of the public, take such actions as are necessary to cause the health organization to be placed under regulatory control pursuant to § § 10-16-418 and 10-3-501 et seq., C.R.S. In the event the Commissioner takes such actions, the Authorized Control Level Event shall be deemed sufficient grounds for the Commissioner to take action pursuant to § § 10-16-418 and 10-3-501 et seq., C.R.S., and the Commissioner shall have the rights, powers and duties with respect to the health organization as are set forth in § § 10-16-418 and 10-3-501 et seq., C.R.S. In the event the Commissioner takes actions under this paragraph pursuant to an Adjusted RBC Report, the health organization shall be entitled to such protections as are afforded to health organizations under the provisions of § § 10-16-418 and 10-3-501 et seq., C.R.S.

Section 9 Mandatory Control Level Event

- A. “Mandatory Control Level Event” means any of the following events:
1. The filing of an RBC Report which indicates that the health organization’s Total Adjusted Capital is less than its Mandatory Control Level RBC;
 2. Notification by the Commissioner to the health organization of an Adjusted RBC Report that indicates the event in Paragraph (1), provided the health organization does not challenge the Adjusted RBC Report under Section 10; or

3. If, pursuant to Section 10, the health organization challenges an Adjusted RBC Report that indicates the event in Paragraph (1), notification by the Commissioner to the health organization that the Commissioner has, after a hearing, rejected the health organization's challenge.
- B. In the event of a Mandatory Control Level Event, the Commissioner shall take such actions as are necessary to place the health organization under regulatory control under § § 10-16-418 and 10-3-501 et seq., C.R.S. In that event, the Mandatory Control Level Event shall be deemed sufficient grounds for the Commissioner to take action under § § 10-16-418 and 10-3-501 et seq., C.R.S., and the Commissioner shall have the rights, powers and duties with respect to the health organization as are set forth in § § 10-16-418 and 10-3-501 et seq., C.R.S. If the Commissioner takes actions pursuant to an Adjusted RBC Report, the health organization shall be entitled to the protections of § § 10-16-418 and 10-3-501 et seq., C.R.S., pertaining to summary proceedings. Notwithstanding any of the foregoing, the Commissioner may forego action for up to ninety (90) days after the Mandatory Control Level Event if the Commissioner finds there is a reasonable expectation that the Mandatory Control Level Event may be eliminated within the ninety (90) day period.

Section 10 Hearings

Upon the occurrence of any of the following events, the health organization shall have the right to a confidential departmental hearing pursuant to § 24-4-105, C.R.S., on a record, at which the health organization may challenge any determination or action by the Commissioner. The health organization shall notify the Commissioner of its request for a hearing within five (5) days after the notification by the Commissioner under Subsection A, B, C or D. Upon receipt of the health organization's request for a hearing, the Commissioner shall set a date for the hearing, which shall be no less than ten (10) nor more than thirty (30) days after the date of the health organization's request. The events include:

- A. Notification to a health organization by the Commissioner of an Adjusted RBC Report; or
- B. Notification to a health organization by the Commissioner that:
 1. The health organization's RBC Plan or Revised RBC Plan is unsatisfactory; and
 2. Such notification constitutes a Regulatory Action Level Event with respect to such health organization; or
- C. Notification to a health organization by the Commissioner that the health organization has failed to adhere to its RBC Plan or Revised RBC Plan and that the failure has a substantial adverse effect on the ability of the health organization to eliminate the Company Action Level Event with respect to the health organization in accordance with its RBC Plan or Revised RBC Plan; or
- D. Notification to a health organization by the Commissioner of a Corrective Order with respect to the health organization.

Section 11 Confidentiality and Prohibition on Announcements

- A. All RBC Reports (to the extent the information is not required to be set forth in a publicly available annual statement schedule) and RBC Plans (including the results or report of any examination or analysis of a health organization performed pursuant to this statute and any Corrective Order issued by the Commissioner pursuant to examination or analysis) with respect to a domestic or foreign health organization that are in the possession or control of the Commissioner shall be confidential by law and privileged, pursuant to § 24-72-204(3)(a)(IV), C.R.S., and shall not be subject to § 24-72-201, et. seq. C.R.S., shall not be subject to subpoena, and shall not be subject to discovery or admissible in evidence in any private civil action. However, the Commissioner is authorized to use the documents, materials or other information in the furtherance of any regulatory or legal action brought as a part of the Commissioner's official duties.
- B. Neither the Commissioner nor any person who received documents, materials or other information while acting under the authority of the Commissioner shall be permitted or required to testify in any private civil action concerning any confidential documents, materials or information subject to Subsection A.
- C. In order to assist in the performance of the Commissioner's duties, the Commissioner:
1. May share documents, materials or other information, including the confidential and privileged documents, materials or information subject to Subsection A, with other state, federal and international regulatory agencies, with the NAIC and its affiliates and subsidiaries, and with state, federal and international law enforcement authorities, provided that the recipient agrees to maintain the confidentiality and privileged status of the document, material or other information; and
 2. May receive documents, materials or information, including otherwise confidential and privileged documents, materials or information, from the NAIC and its affiliates and subsidiaries, and from regulatory and law enforcement officials of other foreign or domestic jurisdictions, and shall maintain as confidential or privileged any document, material or information received with notice or the understanding that it is confidential or privileged under the laws of the jurisdiction that is the source of the document, material or information.
- D. No waiver of any applicable privilege or claim of confidentiality in the documents, materials or information shall occur as a result of disclosure to the Commissioner under this section or as a result of sharing as authorized in Section 11C.

- E. The comparison of a health organization's Total Adjusted Capital to any of its RBC Levels is a regulatory tool which may indicate the need for corrective action with respect to the health organization, and is not intended as a means to rank health organizations generally. Therefore, except as otherwise required under the provisions of this Regulation, the making, publishing, disseminating, circulating or placing before the public, or causing, directly or indirectly to be made, published, disseminated, circulated or placed before the public, in a newspaper, magazine or other publication, or in the form of a notice, circular, pamphlet, letter or poster, or over a radio or television station, or in any other way, an advertisement, announcement or statement containing an assertion, representation or statement with regard to the RBC Levels of any health organization, or of any component derived in the calculation, by any health organization, agent, broker or other person engaged in any manner in the insurance business would be misleading and is therefore prohibited; provided, however, that if any materially false statement with respect to the comparison regarding a health organization's Total Adjusted Capital to its RBC Levels (or any of them) or an inappropriate comparison of any other amount to the health organizations' RBC Levels is published in any written publication and the health organization is able to demonstrate to the Commissioner with substantial proof the falsity of the statement, or the inappropriateness, as the case may be, then the health organization may publish an announcement in a written publication if the sole purpose of the announcement is to rebut the materially false statement.

Section 12 Foreign Health Organizations

- A. A foreign health organization shall, upon the written request of the Commissioner, submit to the Commissioner an RBC Report as of the end of the calendar year just ended the later of:
1. The date an RBC Report would be required to be filed by a domestic health organization under this Regulation; or
 2. Fifteen (15) days after the request is received by the foreign health organization.
- B. A foreign health organization shall, at the written request of the Commissioner, promptly submit to the Commissioner a copy of any RBC Plan that is filed with the insurance commissioner of any other state.
- C. In the event of a Company Action Level Event, Regulatory Action Level Event or Authorized Control Level Event with respect to a foreign health organization as determined under the RBC statute or regulation applicable in the state of domicile of the health organization (or, if no RBC statute or regulation is in force in that state, under the provisions of this Regulation), if the insurance commissioner of the state of domicile of the foreign health organization fails to require the foreign health organization to file an RBC Plan in the manner specified under that state's RBC statute or regulation (or, if no RBC statute or regulation is in force in that state, under Section 6 of this Regulation), the Commissioner may require the foreign health organization to file an RBC Plan with the Commissioner. In such event, the failure of the foreign health organization to file an RBC Plan with the Commissioner shall be grounds to order the health organization to cease and desist from writing new insurance business in this state.
- D. In the event of a Mandatory Control Level Event with respect to a foreign health organization, if no domiciliary receiver has been appointed with respect to the foreign health organization under the rehabilitation and liquidation statute applicable in the state of domicile of the foreign health organization, the Commissioner may make application to the Denver District Court permitted under § 10-3-501 et. seq., C.R.S., with respect to the liquidation of property of foreign health organizations found in this state, and the occurrence of the Mandatory Control Level Event shall be considered adequate grounds for the application.

Section 13 Severability

If any provision of this Regulation or the application of it to any person or circumstance is for any reason held to be invalid, the remainder of this Regulation shall not be affected.

Section 14 Notices

All notices by the Commissioner to a health organization which may result in regulatory action thereunder shall be effective upon dispatch if transmitted by registered or certified mail, or in the case of any other transmission shall be effective upon the health organization's receipt of such notice.

Section 15 Enforcement

Noncompliance with this regulation may result in the imposition of any of the sanctions made available in the Colorado statutes pertaining to the business of insurance, or other laws, which include the imposition of civil penalties, issuance of cease and desist orders, and/or suspensions or revocation of license, subject to the requirements of due process.

Section 16 Effective Date

This Regulation shall become effective on August 1, 2013.

Section 17 History

New Regulation, effective March 1, 2012.
Amended Regulation, effective August 1, 2013

Regulation 3-1-13 DISCLOSURE OF MATERIAL TRANSACTIONS

Section 1	Authority
Section 2	Scope and Purpose
Section 3	Applicability
Section 4	Report
Section 5	Acquisitions and Dispositions of Assets
Section 6	Nonrenewals, Cancellations or Revisions of Ceded Reinsurance Agreements
Section 7	Confidentiality
Section 8	Severability
Section 9	Enforcement
Section 10	Effective Date
Section 11	History

Section 1 Authority

This regulation is promulgated under the authority of § §10-1-109, 10-6-114, 10-6-129, 10-14-505, 10-16-109 C.R.S.

Section 2 Scope and Purpose

The purpose of this regulation is to establish filing requirements for certain domestic insurers for material transactions, which have the potential of creating a hazardous financial condition. It is necessary to monitor the financial condition and operation of an insurer so as to adequately protect its insureds and the public.

Section 3 Applicability

This regulation shall apply to Colorado domestic insurers licensed under §10-3-102 C.R.S. as well as each risk retention group captive insurer, fraternal benefit society, health maintenance organization, non-profit hospital, medical-surgical and health service corporation, and prepaid dental care plan.

Section 4 Report

- A. Every insurer domiciled in this state shall file a report with the Commissioner disclosing material acquisitions and dispositions of assets or material nonrenewals, cancellations or revisions of ceded reinsurance agreements or material new ceded reinsurance agreements affecting life insurance business unless the acquisitions and dispositions of assets or material nonrenewals, cancellations or revisions of ceded reinsurance agreements or material new ceded reinsurance agreements affecting in force life insurance business have been submitted to the Commissioner for review, approval or information purposes pursuant to other provisions of the insurance laws, regulations, or other requirements.
- B. The report required in Subsection A is due within fifteen (15) days after the end of the calendar month in which any of the foregoing transactions occur.
- C. One complete copy of the report, including any exhibits or other attachments, shall be filed with:
 - 1. The Commissioner; and
 - 2. The National Association of Insurance Commissioners.

Section 5 Acquisitions and Dispositions of Assets

A. Materiality.

No acquisitions or dispositions of assets need be reported pursuant to Section 4 if the acquisitions or dispositions are not material. For purposes of this regulation, a material acquisition (or the aggregate of any series of related acquisitions during any thirty-day period) or disposition (or the aggregate of any series of related dispositions during any thirty-day period) is one that is non-recurring and not in the ordinary course of business and involves more than five percent (5%) of the reporting insurer's total admitted assets as reported in its most recent statutory statement filed with the Commissioner.

B. Scope.

1. Asset acquisitions subject to this regulation include every purchase, lease, exchange, merger, consolidation, succession, or other acquisition other than the construction or development of real property by or for the reporting insurer or the acquisition of materials for such purpose.
2. Asset dispositions subject to this regulation include every sale, lease, exchange, merger, consolidation, mortgage, hypothecation, assignment (whether for the benefit of creditors or otherwise), abandonment, destruction, or other disposition.

C. Information to be reported.

1. The following information is required to be disclosed in any report of a material acquisition or disposition of assets:
 - a. Date of the transaction;
 - b. Manner of acquisition or disposition;
 - c. Description of the assets involved;
 - d. Nature and amount of the consideration given or received;
 - e. Purpose of, or reason for, the transaction;
 - f. Manner by which the amount of consideration was determined;
 - g. Gain or loss recognized or realized as a result of the transaction; and
 - h. Name(s) of the person(s) from whom the assets were acquired or to whom they were disposed.
2. Insurers are required to report material acquisitions and dispositions on a non-consolidated basis unless the insurer is part of a consolidated group of insurers which utilizes a pooling arrangement or one hundred percent (100%) reinsurance agreement that affects the solvency and integrity of the insurer's reserves and the insurer cedes substantially all of its direct and assumed business to the pool. An insurer is deemed to have ceded substantially all of its direct and assumed business to a pool if the insurer has less than \$1,000,000 total direct plus assumed written premiums during a calendar year that are not subject to a pooling arrangement and the net income of the business not subject to the pooling arrangement represents less than five percent (5%) of the insurer's capital and surplus.

Section 6 Nonrenewals, Cancellations or Revisions of Ceded Reinsurance Agreements

Introduction: For purposes of this Section 6, health maintenance organizations, non-profit hospital, medical-surgical and health service corporations, prepaid dental care plans, title companies and group captives shall follow the requirements for property and casualty companies, and fraternal benefit societies shall follow the rules for life insurance companies.

A. Materiality and Scope.

1. No nonrenewals, cancellations or revisions of ceded reinsurance agreements or new ceded reinsurance agreements affecting in force life insurance business need be reported pursuant to Section 4 if the nonrenewals, cancellations or revisions of ceded reinsurance agreements or new ceded reinsurance agreements affecting in force life insurance business are not material. For purposes of this regulation, a material nonrenewal, cancellation or revision of a ceded reinsurance agreement or a material new ceded reinsurance agreement affecting in force life insurance business is one that affects:
 - a. With respect to property and casualty business, including accident and health business written by a property and casualty insurer:
 - (i) More than fifty percent (50%) of the insurer's total ceded written premium; or
 - (ii) More than fifty percent (50%) of the insurer's total ceded indemnity and loss adjustment reserves.
 - b. With respect to life, annuity, and accident and health business: more than fifty percent (50%) of the total reserve credit taken for business ceded, on an annualized basis, as indicated in the insurer's most recent annual statement.
 - c. With respect to either property and casualty or life, annuity, and accident and health business, either of the following events shall constitute a material revision which must be reported:
 - (i) An authorized reinsurer representing more than ten percent (10%) of a total cession is replaced by one or more unauthorized reinsurers; or
 - (ii) Previously established collateral requirements have been reduced or waived with respect to one or more unauthorized reinsurers representing collectively more than ten percent (10%) of a total cession.
2. However, no filing shall be required if:
 - a. With respect to property and casualty business, including accident and health business written by a property and casualty insurer: the insurer's total ceded written premium represents, on an annualized basis, less than ten percent (10%) of its total written premium for direct and assumed business, or
 - b. With respect to life, annuity, and accident and health business: the total reserve credit taken for business ceded represents, on an annualized basis, less than ten percent (10%) of the statutory reserve requirement prior to any cession for all life, annuity and accident and health business combined.

- B. Information to be reported.
- (1) The following information is required to be disclosed in any report of a material nonrenewal, cancellation or revision of ceded reinsurance agreements:
 - a. Effective date of the nonrenewal, cancellation, revision or new agreement;
 - b. The description of the transaction with an identification of the initiator thereof;
 - c. Purpose of, or reason for, the transaction; and
 - d. If applicable, the identity of the replacement reinsurers.
 2. Insurers are required to report all material nonrenewals, cancellations or revisions of ceded reinsurance agreements or material new ceded reinsurance agreements affecting in force life insurance business on a non-consolidated basis unless the insurer is part of a consolidated group of insurers which utilizes a pooling arrangement or 100 percent reinsurance agreement that affects the solvency or integrity of the insurer's reserves and the insurer cedes substantially all of its direct and assumed business to the pool. An insurer is deemed to have ceded substantially all of its direct and assumed business to a pool if the insurer has less than \$1,000,000 total direct plus assumed written premiums during a calendar year that are not subject to the pooling arrangement and the net income of the business not subject to the pooling arrangement represents less than five percent (5%) of the insurer's capital and surplus.

Section 7 Confidentiality

- A. All reports obtained by or disclosed to the Commissioner pursuant to this Regulation in the possession or control of the Division of Insurance, shall be considered confidential and privileged pursuant to §24-72-204(3)(a)(IV), C.R.S., and where applicable §10-3-807, C.R.S. Said reports shall not be subject to subpoena, and shall not be subject to discovery or admissible in evidence in any private civil action without the prior written consent of the insurer to which it pertains. However, the Commissioner is authorized to use the documents, materials or other information in the furtherance of any regulatory or legal action brought as a part of the Commissioner's official duties.
- B. After giving the insurer who would be affected notice and an opportunity to be heard, the Commissioner may determine that the interest of policyholders, shareholders or the public will be served by publication of the information subject to Subsection A, in which event the Commissioner may publish all or any part in the manner the Commissioner may deem appropriate.
- C. Neither the Commissioner nor any person who received documents, materials or other information while acting under the authority of the Commissioner shall be permitted or required to testify in any private civil action concerning any confidential documents, materials or information subject to Subsection A.
- D. In order to assist in the performance of the Commissioner's duties, the Commissioner:
1. May share documents, materials or other information, including the confidential and privileged documents, materials or information subject to Subsection A, with other state, federal and international regulatory agencies, with the NAIC and its affiliates and subsidiaries, and with state, federal and international law enforcement authorities, provided that the recipient agrees to maintain the confidentiality and privileged status of the document, material or other information;

2. May receive documents, materials or information, including otherwise confidential and privileged documents, materials or information, from the NAIC and its affiliates and subsidiaries, and from regulatory and law enforcement officials of other foreign or domestic jurisdictions, and shall maintain as confidential or privileged any document, material or information received with notice or the understanding that it is confidential or privileged under the laws of the jurisdiction that is the source of the document, material or information; and
 3. May enter into agreements governing sharing and use of information consistent with this subsection.
- E. No waiver of any applicable privilege or claim of confidentiality in the documents, materials or information shall occur as a result of disclosure to the Commissioner under this section or as a result of sharing as authorized in Subsection D.

Section 8 Severability

If any provision of this regulation or the application thereof to any person or circumstance is for any reason held to be invalid, the remainder of this regulation shall not be affected thereby.

Section 9 Enforcement

Noncompliance with this Regulation may result, after proper notice and hearing, in the imposition of any of the sanctions made available in the Colorado statutes pertaining to the business of insurance or other laws which include the imposition of fines, issuance of cease and desist orders, and/or suspensions or revocation of license. Among others, the penalties provided for in §10-3-109(3), C.R.S. may be applied.

Section 10 Effective Date

This amended regulation shall be effective for all transactions accomplished on or after October 2, 2006.

Section 11 History

Original effective April 1, 1996.
Amended effective October 2, 2006

**Regulation 3-1-14 ALTERNATIVE MECHANISMS FOR CARRIERS ENTERING INTO
CONTRACTS WITH RISK BEARING ENTITIES**

Section 1	Authority
Section 2	Scope and Purpose
Section 3	Applicability
Section 4	Definitions
Section 5	Determining and Monitoring the Financial Viability of the Risk Bearing Entity
Section 6	Appropriate Management Expertise and Infrastructure
Section 7	Reinsurance/Reserves or other Financial Assurance
Section 8	Risk Bearing Entity/Provider Communication
Section 9	Reports from Carrier to Risk Bearing Entity
Section 10	Corrective Action
Section 11	Resolution of Conflicts through Binding Arbitration
Section 12	Applying for the Alternative Mechanism
Section 13	Severability
Section 14	Enforcement
Section 15	Effective Date
Section 16	History

Section 1 Authority

This regulation is promulgated under the authority of § §10-1-109, 10-16-109 and 10-16-708 C.R.S.

Section 2 Scope and Purpose

Colorado law permits carriers to enter into contracts with risk bearing entities. Section 10-16-705(5)(a), C.R.S. states that in the event of nonpayment by or insolvency of the risk bearing entity the carrier is responsible for the payment of all participating providers that have provided covered health care services to covered persons of the Carrier. In lieu of this automatic requirement to pay, Section 10-16-705(5)(b) provides a Carrier with the option of applying for use of an alternative mechanism to ensure that all participating providers that have provided covered health care services to covered persons of the Carrier pursuant to one or more contracts with such contractors or subcontractors or their intermediaries receive payment due.

The alternative mechanism is approved and operating to exempt the Carrier from the automatic requirement to pay under Section 10-16-705(5)(a) as long as the carrier complies with the provisions of the alternative mechanism for which it is directly responsible and monitors the execution of the provisions of the alternative mechanism for which the Risk Bearing Entity is responsible. If a carrier knew or should have known the Risk Bearing Entity was unable to meet its contractual obligations and did not take reasonable action, then the carrier is deemed not to be in compliance with the alternative mechanism, and therefore is subject to §10-16-705(5)(a), C.R.S.

The purpose for this regulation is to establish an acceptable alternative mechanism pursuant to §10-16-705(5)(b), C.R.S. This regulation establishes the terms of an alternative mechanism, which, if complied with, is deemed approved for purposes of §10-16-705(5)(b), C.R.S. Carriers are not limited to this one alternative mechanism. Other alternative mechanism plans can be submitted for consideration to the commissioner.

Section 3 Applicability

This regulation applies to all carriers requesting approval from the commissioner for the use of an alternative mechanism to ensure that all participating providers receive payment due.

Section 4 Definitions

- A. "Risk Bearing Entity" is any entity assuming risk from a licensed Carrier to provide covered benefits and services under a managed care plan, which risk the entity would not otherwise have the ability and legal authority to provide.
- B. "Start Up Entity" is any Risk Bearing Entity which has less than 24 months operational experience in the Colorado market; or an entity which has experienced a major change in business, including significant market and product expansions; or an entity which has less than 24 months experience in managing its current scope of services.
- C. "Established Entity" is a Risk Bearing Entity which has been operating in the Colorado market under its current operational plan for a minimum of 24 months.
- D. "Carrier" as referenced herein, is an entity as defined in §10-16-102(8), C.R.S. which enters into a risk bearing arrangement with providers of services to members of the Carrier's managed care plan.
- E. "IBNR report" is a report containing sufficient information to assess all of the Risk Bearing Entity's future liabilities under the contract, including all liabilities incurred and reported but not paid and incurred but not reported.

Section 5 Determining and Monitoring the Financial Viability of the Risk Bearing Entity

- A. For a Start Up Entity, a Carrier must receive, review and accept documentation from the Risk Bearing Entity which evidences sufficient ability to accept the risk transfer.
 - 1. Prior to the start of business the Risk Bearing Entity must have a business plan including two years of monthly projections.
 - 2. No less than monthly, the Carrier must review:
 - a. An operating summary with Carrier-specific information broken down by plan;
 - b. Year to date financial statements for the Risk Bearing Entity as a whole, including a statement of cash flows;
 - c. A report of incurred but not reported liabilities ("IBNR report"). The IBNR report must contain sufficient information to assess the Risk Bearing Entity's future liabilities under the contract;
 - d. Total number of referrals, number of referrals per 1000 members and the number of referrals out of the Risk Bearing Entity's network;
 - e. Number of bed days per 1000 members as defined by the contract between the Risk Bearing Entity and the Carrier;
 - f. Information concerning any other material liabilities of the Risk Bearing Entity.
 - 3. Within 180 days from the Risk Bearing Entity's fiscal year end the Carrier shall review audited financial statements for the Risk Bearing Entity.
- B. For an Established Entity a Carrier must receive, review and accept documentation evidencing sufficient ability to accept the risk transfer.

1. No less than monthly, the Carrier must review an IBNR report and a year to date statement of cash flows for the Established Entity.
2. No less than quarterly, the Carrier must review:
 - a. An operating summary with Carrier-specific information broken out by plan;
 - b. Year to date financial statements for the Risk Bearing Entity as a whole, including a statement of cash flows;
 - c. Total number of referrals, number of referrals per 1000 members and the number of referrals out of the Risk Bearing Entity's network;
 - d. Number of bed days per 1000 members as defined by the contract between the Risk Bearing Entity and the Carrier.
3. Within 180 days from the Risk Bearing Entity's fiscal year end, the Carrier shall review audited financial statements for the Risk Bearing Entity.

Section 6 Appropriate Management Expertise and Infrastructure

- A. A Carrier shall ascertain that a Risk Bearing Entity has the management expertise and infrastructure needed to successfully enter into and perform in accordance with the risk contract.
 1. Prior to entering into a contract the Carrier shall review the health care experience of senior management; the composition of the Board and its committees; bylaws; ownership of the Risk Bearing Entity; available financial resources; ownership interests of participating providers; adequacy of transaction systems, utilization management, quality assurance, claims, credentialing, and member services; and copies of provider contracts.
 2. Annually, the Carrier shall review changes in senior management; ownership; ownership interests of participating providers; adequacy of transaction systems, utilization management, quality assurance, claims, credentialing and member services.
 3. The Carrier shall ascertain that the Risk Bearing Entity has a plan to distribute its annual report to all contracted providers and that the report is archived in a manner to which the parties agree.
- B. The Risk Bearing Entity shall notify the Carrier of 1) all material modifications to its plan of operations; 2) changes in ownership structure and 3) material financial or operational concerns regarding the financial viability of the Risk Bearing Entity or of the Carrier's contract which has been brought to the attention of the Risk Bearing Entity's board of directors.

Section 7 Reinsurance/Reserves or other Financial Assurance

- A. A Risk Bearing Entity must maintain cash and cash equivalents at least equal to 45 days of claims liability and capitation payments if claims are administered by the Carrier and 90 days of claims liability and capitation payments if claims are administered by the Risk Bearing Entity. The Commissioner may establish alternative requirements in cases where the contract contains the following terms: 1) The carrier pays the provider directly; 2) The providers are only at risk to provide services which they have the ability and the legal authority to provide; and 3) Neither the carrier nor the risk bearing entity may withhold or redirect funds from these providers to pay for other services.

- B. A Risk Bearing Entity shall have appropriate aggregate and specific reinsurance contracts. At a minimum, aggregate and specific reinsurance in amounts required for Risk Bearing Entities participating in HCFA Medicare + Choice programs is required, even if the Risk Bearing Entity does not participate in a Medicare + Choice program.
- C. Once the Start Up Entity and the Carrier have agreed to a contract, a Start Up Entity shall obtain an actuarial opinion from a mutually agreed upon qualified actuarial firm certifying that the financial arrangements, including initial capitation rates, are actuarially sound.

Section 8 Risk Bearing Entity/Provider Communication

- A. The contract between a Carrier and a Risk Bearing Entity shall include a provision requiring the Risk Bearing Entity to obtain from each provider a statement of understanding at the time the provider enters into a contract with the Risk Bearing Entity and at least annually thereafter. The statement of understanding shall disclose:
 - 1. The level of risk, for every contract, including information on the maximum and minimum possible reimbursements;
 - 2. Identification of what services are being subcontracted out of the Risk Bearing Entity's network;
 - 3. The availability to the provider of the following information, upon request, on line, if possible, but in any event within ten (10) business days from receipt of a written request:
 - a. For a Start Up Entity, its business plan with two years of projections (one time filing requirement only);
 - b. For a Start Up Entity, a statement indicating that the Risk Bearing Entity has complied with the actuarial opinion requirement in Section 6.C.
 - c. A report on the status of the Risk Bearing Entity, including the health care experience of senior management; administrative fees in the event that the claims processing function has been delegated; composition of the Board and its committees; copy of bylaws; names of physicians paid by the Risk Bearing Entity for services not related to patient care; ownership of the Risk Bearing Entity; ownership interests of participating providers; adequacy of transaction systems, utilization management, quality assurance, claims, credentialing, and member services; and
 - d. An annual operating summary; audited financial statements; and Carrier audit results for delegated functions.
- B. The contract between a Carrier and a Risk Bearing Entity shall include a provision requiring the Risk Bearing Entity to provide, no less than quarterly, its participating providers with a financial summary including claims performance versus projections for the Risk Bearing Entity as a whole and by Carrier contract; a report of claims paid by the Carrier and by the Risk Bearing Entity; an IBNR report; the amount of actual cash and cash equivalents compared to the minimum amount required to be owned pursuant to Section 6(A) and material changes in major contracts.
- C. Excluding privileged, member, client and provider specific proprietary information, all of the reports in their standard format described in this regulation will be made available to any provider contracted with the Risk Bearing Entity, upon request, on line, if possible, but in any event within ten (10) business days from receipt of a written request.

Section 9 Reports from Carrier to Risk Bearing Entity

- A. The Carrier shall provide the Risk Bearing Entity reports at least monthly pertaining to the specific contract which includes:
1. Eligibility download;
 2. Claims download, including detail of all claims that are the Risk Bearing Entity's risk;
 3. Operating summary detailing allocation of amounts paid to and on behalf of the Risk Bearing Entity including claims paid and IBNR estimates;
 4. Catastrophic claims summary;
 5. Monthly report of the aggregated amount related to pended claims;
 6. Provider appeal logs; and
 7. Disposition of member and provider appeals.
- B. The Carrier shall notify the Risk Bearing Entity of
1. Changes in reimbursement for providers who are contracted with the Carrier for services that the Risk Bearing Entity has risk and could reasonably be expected to impact the Risk Bearing Entity;
 2. Significant changes in the provider network;
 3. Material changes in the plan design and covered services; and
 4. Changes of 5% or more from the previous quarter in age/sex demographic mix of membership.
 5. Material changes in claims payment turnaround time.

Section 10 Corrective Action

- A. If at any time the Carrier identifies deficiencies and determines that the deficiencies would result in imminent nonpayment to participating providers or inability to provide services to a substantial number of members, the Carrier may immediately deem itself insecure and take back administration of the contract including paying providers directly. Such action can only be taken upon written confirmation by a mutually agreed upon third party named within three business days of notice from the Carrier to the Risk Bearing Entity of imminent nonpayment to participating providers or inability to provide services to a substantial number of members. If the parties are unable to make a determination on a third party within the allowed 3 days, they may seek selection by the Commissioner.
- B. If the Carrier determines that the Risk Bearing Entity is not meeting significant requirements of the contract, the Carrier must notify the Risk Bearing Entity of the deficiency in writing. The Carrier and the Risk Bearing Entity have 30 days to mutually agree upon a reasonable action plan and begin implementation of the action plan.
- C. If the deficiencies continue after the completion of the term of the action plan, and the deficiencies would have a material detrimental financial impact, the Carrier shall deem itself insecure and may take back administration of the contract including paying providers directly.

- D. If the Risk Bearing Entity determines that the Carrier is not meeting significant requirements of the contract, the Risk Bearing Entity must notify the Carrier in writing of the deficiency. The Carrier and the Risk Bearing Entity have 30 days to mutually agree upon a reasonable action plan and begin implementation of the action plan.
- E. If the deficiencies continue after the completion of the term of the action plan, and the deficiencies would have a material detrimental financial impact, the Risk Bearing Entity shall deem itself insecure and must initiate remedies available under the contract.
- F. If 20% or more of providers contracted with the Risk Bearing Entity sign a letter addressed to the Carrier and to the Risk Bearing Entity attesting to the fact that the Risk Bearing Entity or Carrier is not providing payment as required by their contracts or state statute, the Carrier, the Risk Bearing Entity and a representative of these providers have 30 days to mutually agree upon a reasonable action plan to address the providers' issues.
- G. If 50% or more of providers contracted with the Risk Bearing Entity sign a letter addressed to the Carrier and to the Risk Bearing Entity indicating that the deficiencies continue after the completion of the term of the action plan, and a third party, mutually agreed upon by the Carrier, the Risk Bearing Entity and the providers, determines that the deficiencies would have a material detrimental financial impact, the Carrier shall deem itself insecure and shall take back administration of, including paying providers directly, or terminate the contract.
- H. If 50% or more of providers contracted with the Risk Bearing Entity sign a letter addressed to the Carrier and to the Risk Bearing Entity identifying deficiencies that would result in imminent nonpayment to participating providers or inability to provide services to a substantial number of members, the providers may ask that the Carrier deem itself insecure and take back administration of, including paying providers directly, or terminate the contract.
- I. If the above provisions do not result in payment to the providers pursuant to their contracts, the Carrier, the Risk Bearing Entity or a representative of 50% of the providers may seek Alternative Dispute Resolution (ADR).
- J. The Carrier shall provide notice of any deficiency identified under this Section 9, alleging a material detrimental financial impact, to the Financial Affairs Section of the Division of Insurance within five business days from the date the Carrier receives notification from or notifies the Risk Bearing Entity.

Section 11 Resolution of Conflicts through Binding Arbitration

- A. All contracts between or among a Carrier, a Risk Bearing Entity and one or more providers arising under circumstances covered in Section 9, shall contain a provision that conflicts will be resolved through binding arbitration or through any other form of ADR agreed to by all parties.
- B. The purpose of ADR is to provide an allocation of responsibility between providers, Carriers and Risk Bearing Entities with respect to compliance with the alternative mechanism.
- C. The arbitration panel shall be established as follows. One person may be selected if the parties can agree. Otherwise, a three person panel will be selected with one member selected by the Carrier, and one member selected by the provider representative and one member by the Risk Bearing Entity. If any of the three parties do not suggest a panel member, the third panelist will be selected by the other two panelists.

Section 12 Applying for the Alternative Mechanism

- A. When a Carrier and a Risk Bearing Entity enter into a contract, both parties will certify their intention to comply with the alternative mechanism described in this Regulation. The Carrier will maintain a copy of the contractual language or certification on file.
- B. When a Carrier submits its risk based capital report on March 1 of each year, the report will include an attachment to the report identifying each contract for which this alternative mechanism was invoked, the amount of managed care credit taken by contract and the total managed care credit taken for risk based capital purposes.
- C. The Carrier will be responsible to provide the Commissioner with information substantiating compliance with the provisions of the alternative mechanism upon request.

Section 13 Severability

If any provision of this regulation or the application of it to any person or circumstance is for any reason held to be invalid, the remainder of this regulation shall not be affected.

Section 14 Enforcement

Noncompliance with this regulation may result in the imposition of any of the sanctions made available in the Colorado statutes pertaining to the business of insurance, or other laws, which include the imposition of civil penalties, issuance of cease and desist orders, and/or suspensions or revocation of license, subject to the requirements of due process.

Section 15 Effective Date

This amended regulation shall become effective on July 1, 2012.

Section 16 History

New regulation effective on May 1, 2001
Amended regulation effective July 1, 2012

Regulation 3-1-15 PREMIUM DEFICIENCY RESERVE STANDARDS FOR INDIVIDUAL AND GROUP HEALTH BENEFIT PLANS

Section 1	Authority
Section 2	Scope and Purpose
Section 3	Applicability
Section 4	Definitions
Section 5	Calculations
Section 6	Restrictions and Other Guidelines
Section 7	Documentation
Section 8	Severability
Section 9	Enforcement
Section 10	Effective Date
Section 11	History

Section 1 Authority

This regulation is promulgated and adopted by the Commissioner of Insurance under the authority of §§ 10-1-108, 10-1-109, 10-3-109, 10-3-208, 10-16-109, and 10-16-220, C.R.S.

Section 2 Scope and Purpose

The purpose of this regulation is to establish minimum standards for determining when a Premium Deficiency Reserve is necessary, for companies providing individual and group health coverage, and to implement rules for calculating the reserve.

Section 3 Applicability

This regulation applies to all licensed companies conducting business in the State of Colorado, as defined in Section 4, who issue any line of health coverage including, but not limited to, major medical, long-term care, and disability insurance. Each company is required to establish a Premium Deficiency Reserve, when necessary, on each financial statement submitted to the Colorado Division of Insurance. The Premium Deficiency Reserve is in addition to claim and contract reserves, rate stabilization reserves, retroactive premium liabilities, provider reserves, provider withhold or bonus pool reserves, and other reserves not held to specifically make future benefit payments. A reserve similar to the Premium Deficiency Reserve may also be necessary for other types of contractual arrangements, such as administrative services agreements, or any other health benefit contracts in which the administrative fees or compensation received are not sufficient to cover the expenses for the remainder of the deficiency period. This reserve should be calculated using the procedures outlined in this regulation.

Section 4 Definitions

- A. "Claims" means, for purposes of this regulation, all amounts payable for losses incurred under the health benefit contract.
- B. "Company" means, for purposes of this regulation, a carrier as defined in Section 10-16-102(8), C.R.S., and includes, but is not limited to, licensed property and casualty insurance companies; licensed life and health insurance companies; non-profit hospital, medical-surgical, and health service corporations; health maintenance organizations; prepaid dental companies; and limited service licensed provider networks.

- C. "Contract Grouping" means, for purposes of this regulation, a collection of health benefit contracts with similar benefits, such as comprehensive individual major medical plans, Medicaid, or small group health benefit plans. Each grouping should be determined in a manner consistent with how policies are marketed, serviced and measured. Generally, the groupings should reflect how the premium rates are developed. A grouping shall not include multistate ACA business. Instead, the company shall create multiple contract groupings of ACA business for each state in which the company does business, and each line of business with policies that differ significantly from the other lines in how they are marketed, serviced, and measured..
- D. "Contract Period" means, for purposes of this regulation, the period of time for which the company is liable for the provision of benefits as provided in the health benefit contract. This period may include multi-year arrangements.
- E. "Deficiency Period" means, for purposes of this regulation, the period of time for which future earned premiums and current reserves are not sufficient to cover future incurred claim payments and expenses. This period may be for the remainder of the contract period and may include future contract periods.
- F. "Expenses" means, for the purpose of this regulation, a reasonable allocation, by contract grouping, of the company's expenses (including claims adjustment expenses) reasonably assumed to be incurred in the settlement of the claims to be paid in the deficiency period. Fixed expenses need not be allocated to each contract grouping. These expenses may be allocated as determined by the Company and the calculation of the premium deficiency reserve may be performed using the direct costs only. Expenses for functions performed under a management agreement may not be waived and must be considered as part of the company's fixed expenses.
- G. "Investment Income" means, for purposes of this regulation, any income, dividends, or other earnings that can appropriately be attributable to the contract grouping and the time period for which the calculation is being performed. This income normally can be attributed to earnings from earned premium reserves, reserves for known losses, and reserves for incurred but not reported losses.
- H. "Premium" means, for the purpose of this regulation, the amount of compensation received to pay future claims payments and expenses potentially payable during the deficiency period.
- I. "Premium Deficiency Reserve" means, for the purpose of this regulation, a reserve established on the valuation date when, it is probable that, future premiums and current reserves are not sufficient to pay future claim payments and expenses for the remainder of the deficiency period. This reserve should be reviewed at least annually and adjusted as necessary. The procedure for calculating this reserve can be found in Section 5 below.
- J. "Valuation Date" means, for the purpose of this regulation, the beginning of the time period over which the Premium Deficiency Reserve is calculated.

Section 5 Calculations

The Premium Deficiency Reserve must be calculated, according to the following methodology and, if greater than zero, disclosed as a liability on each financial statement filed with the Colorado Division of Insurance, with a corresponding charge to operations. The reserve must be calculated, for each contract grouping, as the sum of the:

Present value of future paid claims through the end of the deficiency period;

Present value of future expenses; and

Present value of the claim and contract reserves at the end of the deficiency period.

Less:

The claim reserves as of the valuation date, including special large claim reserves;

The contract reserves as of the valuation date;

The present value of the future earned premiums and appropriate investment income for the deficiency period; and

Any current balance sheet accruals for future expenses.

Section 6 Restrictions and Other Guidelines

- A. Accuracy Review - Determinations of the reserve may be done monthly, quarterly, annually, or any time the actuary determines is reasonable, or is necessary for statutory reporting purposes, but no less frequently than annually. As of the date of each successive statutory financial statement, the Premium Deficiency Reserve must be re-evaluated and adjusted to reflect the losses that have been realized since the previous financial statement, and any deficiencies that have arisen.
- B. Actuarial Opinions - The Premium Deficiency Reserve amount is expected to be included in each Statement of Actuarial Opinion submitted to the Colorado Division of Insurance.
- C. Assumptions - All underlying assumptions should be specified and supported by as much company data as possible and other supporting data deemed necessary. These include, but are not limited to, the following assumptions; lapse, interest rate, claim and expense trend, premium increases and enrollment changes.
- D. Contract Grouping – Each contract grouping should be large enough to be material relative to the size of the company as a whole. In some cases, considerations of similarity and materiality may result in all health contracts being treated as a single grouping. Each contract grouping should be reviewed to determine if earned premiums and reserves will be sufficient to cover incurred claims and related expenses for each contract period. Each contract grouping should remain relatively consistent from valuation to valuation. A Premium Deficiency Reserve must be recognized for each contract grouping where a premium deficiency is indicated.
- E. Enrollment - The Premium Deficiency Reserve must be calculated using reasonable and supportable enrollment assumptions. Enrollment assumptions should be tied to any anticipated rate increases during the deficiency period. The effect of new business must be considered in the enrollment assumptions.
- F. Expenses - The actuary should disclose whether expenses from a start-up situation, where the entity has just begun to write business, were considered in the Premium Deficiency Reserve calculations. The actuary may only exclude relevant start-up expenses in the calculation if they explicitly identify the expenses excluded, and clearly justify their decision and rationale for doing so.
- G. Interest Rate - The interest rate used in determining the present values should be reasonable and supportable based upon the type of business and the deficiency period. Guidance may be found in Colorado Insurance Regulation 3-1-9.

- H. Investment Income – The calculation may reflect investment income that is appropriately attributable to the contract grouping and the time period for which the calculation is being performed. Investment income should be reflected as a cash inflow in the calculation.
- I. Profit Recognition – Under no circumstances may anticipated future profits from contracts in one contract grouping from future renewal periods be used to reduce or mitigate the calculated Premium Deficiency Reserve for prior periods for contracts in a different contract grouping. Within a contract grouping, if rate increases are on file with the Division of Insurance that increase rates for the new contract period, and these increases will be adequate to cover claims and expenses in the new contract period, the anticipated profits may be used to reduce or mitigate the calculated Premium Deficiency Reserve for prior contract periods. Considerable actuarial judgment, including consideration of all pertinent factors, should be incorporated to determine if it is highly probable that these future profits will offset the calculated deficiencies in the valuation period.

Section 7 Documentation

The company must maintain adequate documentation as to how the Premium Deficiency Reserve was determined or why a Premium Deficiency Reserve was not necessary. The documentation should be maintained in a report or workpaper containing, at a minimum, the following information:

- A. The characteristics of the policies in each contract grouping.
- B. A listing of all of the assumptions underlying the calculation of the Premium Deficiency Reserve. Support for the determination of the assumptions should also be maintained. The listing should include, but not be limited to:
 - 1. Enrollment changes at renewal.
 - 2. Enrollment for any new business.
 - 3. Claim trends (including aging and durational changes as well as inflation and utilization trends).
 - 4. Future premium and expense assumptions.
 - 5. Valuation interest rate.
- C. Documentation as to how the Premium Deficiency Reserve, including all relevant calculations and formulas in spreadsheet format.

All documentation should be made available, upon request, from the Colorado Division of Insurance within 30 days of the date of the request, or within 30 days of the filing date of the financial statements to which the request is directed.

Section 8 Severability

If any provision of this regulation or the application of it to any person or circumstance is for any reason held to be invalid, the remainder of this regulation shall not be affected.

Section 9 Enforcement

Non compliance with this regulation may result in the imposition of any of the sanctions made available in the Colorado statutes pertaining to the business of insurance or other laws, which include the imposition of fines, issuance of cease and desist orders, and/or suspensions or revocation of license.

Section 10 Effective Date

This regulation shall become effective on March 15, 2021.

Section 11 History

New regulation effective March 2, 2002.

Amended regulation effective July 1, 2012.

Amended regulation effective March 15, 2021.

Regulation 3-1-16 CUSTODIAL AGREEMENTS AND THE USE OF CLEARING CORPORATIONS

Section 1	Authority
Section 2	Scope and Purpose
Section 3	Applicability
Section 4	Definitions
Section 5	Custody Agreement; Requirements
Section 6	Severability
Section 7	Enforcement
Section 8	Effective Date
Section 9	History

Section 1 Authority

This regulation is promulgated and adopted by the Commissioner of Insurance under the authority of §§ 10-1-109, and 10-3-1203(2), 10-6-129, 10-14-505 and 10-16-109, C.R.S.

Section 2 Scope and Purpose

The purpose of this regulation is to provide current criteria, procedures and clarification concerning the holding of securities or book-entry securities as investments or in meeting the statutory deposits or guaranty fund deposits pursuant to §§ 10-3-210, 10-6-116, 10-16-310, 10-16-412 and 10-16-505, C.R.S. Only custodial agreements complying with this regulation shall be acceptable to the Commissioner of Insurance.

Section 3 Applicability

This regulation shall apply to all Colorado domestic insurers as well as each Colorado domestic risk retention group captive insurer, fraternal benefit society, health maintenance organization and non-profit hospital, medical-surgical and health service corporation, prepaid dental care plan and Pinnacol Assurance.

Section 4 Definitions

- A. "Agent" means, for the purposes of this regulation, a national bank, state bank, trust company or broker/dealer that maintains an account in its name in a clearing corporation or which is a member of the Federal Reserve System and through which a custodian participates in a clearing corporation, including the Treasury/Reserve Automated Debt Entry Securities System (TRADES) or Treasury Direct systems, except that with respect to securities issued by institutions organized or existing under the laws of a foreign country or securities used to meet the deposit requirements pursuant to the laws of a foreign country as a condition of doing business therein, "agent" may include a corporation which is organized or existing under the laws of a foreign country and that is legally qualified under those laws to accept custody of securities.

- B. "Clearing corporation" means, for the purposes of this regulation, a corporation as defined in Sections 4-8-102(a)(5) and 10-3-1202(1), C.R.S., that is organized for the purpose of effecting transactions in securities by computerized book-entry, except that with respect to securities issued by institutions organized or existing under the laws of a foreign country or securities used to meet the deposit requirements pursuant to the laws of a foreign country as a condition of doing business therein, "clearing corporation" may include a corporation that is organized or existing under the laws of a foreign country and which is legally qualified under those laws to effect transactions in securities by computerized book-entry. Clearing corporation also includes "Treasury/Reserve Automated Debt Entry Securities System" and "Treasury Direct" book-entry securities systems established pursuant to 31 U.S. Code § 3100 *et seq.*, 12 U.S. Code § 391 and 5 U.S. Code § 301.
- C. "Commissioner" means, for the purposes of this regulation, the commissioner of insurance.
- D. "Company" means, for the purposes of this regulation, an insurer, captive insurance company, fraternal benefit society, health maintenance organization, nonprofit hospital, medical-surgical and health service corporation, prepaid dental care plan and Pinnacol Assurance.
- E. "Custodian" means for the purposes of this regulation:
1. A national bank, state bank or trust company that shall at all times during which it acts as a custodian pursuant to this regulation be no less than adequately capitalized as determined by the standards adopted by United States banking regulators and that is regulated by either state banking laws or is a member of the Federal Reserve System and that is legally qualified to accept custody of securities in accordance with the standards set forth below, except that with respect to securities issued by institutions organized or existing under the laws of a foreign country, or securities used to meet the deposit requirements pursuant to the laws of a foreign country as a condition of doing business therein, "custodian" may include a bank or trust company incorporated or organized under the laws of a country other than the United States that is regulated as such by that country's government or an agency thereof that shall at all times during which it acts as a custodian pursuant to this regulation be no less than adequately capitalized as determined by the standards adopted by international banking authorities and that is legally qualified to accept custody of securities; or
 2. A broker/dealer that shall be registered with and subject to jurisdiction of the Securities and Exchange Commission, maintains membership in the Securities Investor Protection Corporation, and has a tangible net worth equal to or greater than two hundred fifty million dollars (\$250,000,000).
- With respect to a custodian designated as the Commissioner's depository to receive and hold securities pursuant to §§ 10-3-210, 10-6-116, 10-16-310, 10-16-412 and 10-16-505, C.R.S., the custodian and its administration of the pledged securities must be physically located in the City and County of Denver.
- F. "Custodied securities" means, for the purposes of this regulation, securities held by the custodian or its agent or in a clearing corporation, including the Treasury/Reserve Automated Debt Equity Securities System (TRADES) or Treasury Direct systems.
- G. "Tangible net worth" means, for the purposes of this regulation, shareholders equity, less intangible assets, as reported in the broker/dealer's most recent Annual or Transition Report pursuant to Section 13 or 15(d) of the Securities Exchange Act of 1934 (S.E.C. Form 10-K) filed with the Securities and Exchange Commission.

- H. "Treasury/Reserve Automated Debt Entry Securities System" ("TRADES") and "Treasury Direct" mean, for the purposes of this regulation, the book entry securities systems established pursuant to 31 U.S. Code § 3100 *et seq.*, 12 U.S. Code § 391 and 5 U.S. Code § 301. The operation of TRADES and Treasury Direct are subject to 31 Code of Federal Regulations § 357 *et seq.*
- I. "Securities" shall have the same meaning as found at § 4-8-102(15), C.R.S.
- J. "Securities' certificate" shall have the same meaning as found at § 4-8-102(16), C.R.S.

Section 5 Custody Agreement Requirements

- A. A company may, by written agreement with a custodian, provide for the custody of its securities with that custodian. The securities that are the subject of the agreement may be held by the custodian or its agent or in a clearing corporation.
- B. Any custodial agreement shall be in writing and shall be authorized by a resolution of the board of directors of the company or of an authorized committee of the board. The terms of the agreement shall comply with the following:
 - 1. Securities' certificates held by the custodian shall be held separate from the securities' certificates of the custodian and of all of its other customers.
 - 2. Securities held indirectly by the custodian and securities in a clearing corporation shall be separately identified on the custodian's official records as being owned by the company. The records shall identify which securities are held by the custodian or by its agent and which securities are in a clearing corporation. If the securities are in a clearing corporation, the records shall also identify where the securities are physically located and if in a clearing corporation, the name of the clearing corporation and if through an agent, the name of the agent.
 - 3. All custodied securities that are registered shall be registered in the name of the company or in the name of a nominee of the company or in the name of the custodian or its nominee or, if in a clearing corporation, in the name of the clearing corporation or its nominee.
 - 4. Custodied securities shall be held subject to the instructions of the company and shall be withdrawable upon the demand of the company, except that custodied securities used to meet the deposit requirements set forth in Sections 10-3-210, 10-6-116, 10-16-310, 10-16-412, and 10-16-505, C.R.S., shall, to the extent required by those sections, be under the control of the Commissioner and shall not be withdrawn by the company without the approval of the Commissioner.
 - 5. The custodian shall be required to send or cause to be sent to the company a confirmation of all transfers of custodied securities to or from the account of the company. In addition, the custodian shall be required to furnish, no less than monthly, the company with reports of holdings of custodied securities at such times and containing such information as may be reasonably requested by the company. The custodian's trust committee's annual reports of its review of the insurer's trust accounts shall also be provided to the insurer. Reports and verifications may be transmitted in electronic or paper form.

6. During the course of the custodian's regular business hours, an officer or employee of the company, an independent accountant selected by the company and a representative of an appropriate regulatory body shall be entitled to examine, on the premises of the custodian, the custodian's records relating to custodied securities, but only upon furnishing the custodian with written instructions to that effect from an appropriate officer of the company.
7. The custodian and its agents shall be required to send to the company:
 - a. All reports which they receive from a clearing corporation on their respective systems of internal accounting control, and
 - b. Reports prepared by outside auditors on the custodian's or its agent's internal accounting control of custodied securities that the company may reasonably request.
8. The custodian shall maintain records sufficient to determine and verify information relating to custodied securities that may be reported in the company's annual statement and supporting schedules and information required in an audit of the financial statements of the company.
9. The custodian shall provide, upon written request from an appropriate officer of the company, the appropriate affidavits, substantially in the form attached to this regulation, with respect to custodied securities.
10. A national bank, state bank or trust company shall secure and maintain insurance protection in an adequate amount covering the bank's or trust company's duties and activities as custodian for the insurer's assets, and shall state in the custody agreement that protection is in compliance with the requirements of the custodian's banking regulator. A broker/dealer shall secure and maintain insurance protection for each insurance company's custodied securities in excess of that provided by the Securities Investor Protection Corporation in an amount equal to or greater than the market value of each respective company's custodied securities. The commissioner may determine whether the type of insurance is appropriate and the amount of coverage is adequate.
11. The custodian shall be obligated to indemnify the company for any loss of custodied securities occasioned by the negligence or dishonesty of the custodian's officers or employees, or burglary, robbery, holdup, theft or mysterious disappearance, including loss by damage or destruction.
12. In the event that there is a loss of custodied securities for which the custodian shall be obligated to indemnify the company as provided in Paragraph 11 above, the custodian shall promptly replace the securities or the value thereof and the value of any loss of rights or privileges resulting from the loss of securities.
13. The agreement may provide that the custodian will not be liable for a failure to take an action required to be taken under the agreement in the event and to the extent that the taking of the action is prevented or delayed by war (whether declared or not and including existing wars), revolution, insurrection, riot, civil commotion, act of God, accident, fire, explosion, stoppage of labor, strikes or other differences with employees, laws, regulations, orders or other acts of any governmental authority, or any other cause whatever beyond its reasonable control.

14. In the event that the custodian gains entry in a clearing corporation through an agent, there shall be an agreement between the custodian and the agent under which the agent shall be subject to the same liability for loss of custodied securities as the custodian. However, if the agent shall be subject to regulation under the laws of a jurisdiction that is different from the jurisdiction the laws of which regulate the custodian, the Commissioner of Insurance of the state of domicile of the company may accept a standard of liability applicable to the agent that is different from the standard of liability applicable to the custodian.
15. The custodian shall provide written notification to the insurer's domiciliary commissioner if the custodial agreement with the insurer has been terminated or if 100% of the account assets in any one custody account have been withdrawn. This notification shall be remitted to the insurance commissioner within three (3) business days of the receipt by the custodian of the insurer's written notice of termination or within three (3) business days of the withdrawal of 100% of the account assets.

Section 6 Severability

If any provision of this regulation or the application of it to any person or circumstance is for any reason held to be invalid, the remainder of this regulation shall not be affected.

Section 7 Enforcement

Noncompliance with this Regulation may result in the imposition of any of the sanctions made available in the Colorado statutes pertaining to the business of insurance, or other laws, which include the imposition of civil penalties, issuance of cease and desist order, and/or suspensions or revocation of license, subject to the requirements of due process.

Section 8 Effective Date

This regulation shall become effective on April 1, 2017.

Section 9 History

New regulation effective October 2, 2006.
Amended Regulation, Effective April 1, 2017.

FORM A

CUSTODIAN AFFIDAVIT

[For use by a custodian where securities entrusted to its care have not been redeposited elsewhere.]

STATE OF _____)
) ss.
COUNTY OF _____)

_____, being duly sworn deposes and says that he or she is
_____ of _____, a corporation organized
under and pursuant to the laws of the _____ with the principal place of business at
_____ (hereinafter called the "corporation");

That his or her duties involve supervision of activities as custodian and records relating thereto;

That the corporation is custodian for certain securities of _____
_____ having a place of business at _____
_____ (hereinafter called the "insurance company") pursuant to an agreement
between the corporation and the insurance company;

That the schedule attached hereto is a true and complete statement of securities (other than those
caused to be deposited with The Depository Trust Company or like entity or a Federal Reserve Bank
under the TRADES or Treasury Direct systems) which were in the custody of the corporation for the
account of the insurance company as of the close of business on _____; that,
unless otherwise indicated on the schedule, the next maturing and all subsequent coupons were then
either attached to coupon bonds or in the process of collection; and that, unless otherwise shown on the
schedule, all such securities were in bearer form or in registered form in the name of the insurance
company or its nominee or of the corporation or its nominee, or were in the process of being registered in
such form;

That the corporation as custodian has the responsibility for the safekeeping of such securities as that
responsibility is specifically set forth in the agreement between the corporation as custodian and the
insurance company; and

That, to the best of his or her knowledge and belief, unless otherwise shown on the schedule, the
securities were the property of the insurance company and were free of all liens, claims or encumbrances
whatsoever.

Subscribed and sworn to
before me this _____ day
of _____, 20____

_____(L.S.)
Vice President [or other authorized officer]

Notary Public _____
Residing in: _____
My Commission Expires: _____

Street Address of Branch or Office

Name of Organization Employing Notary

FORM B

CUSTODIAN AFFIDAVIT

(For use in instances where a custodian corporation maintains securities on deposit with The Depository Trust Company or like entity.)

STATE OF _____)
) ss.
COUNTY OF _____)

_____, being duly sworn deposes and says that he or she is _____ of _____, a corporation organized under and pursuant to the laws of the _____ with the principal place of business at _____ (hereinafter called the "corporation"):

That his or her duties involve supervision of activities of the corporation as custodian and records relating thereto;

That the corporation is custodian for certain securities of _____ having a place of business at _____ (hereinafter called the "insurance company") pursuant to an agreement between the corporation and the insurance company;

That the corporation has caused certain of such securities to be deposited with _____ and that the schedule attached hereto is a true and complete statement of the securities of the insurance company of which the corporation was custodian as of the close of business on _____, and which were so deposited on such date;

That the corporation as custodian has the responsibility for the safekeeping of the securities both in the possession of the corporation or deposited with _____ as is specifically set forth in the agreement between the corporation as custodian and the insurance company; and

That, to the best of his or her knowledge and belief, unless otherwise shown on the schedule, the securities were the property of the insurance company and were free of all liens, claims or encumbrances whatsoever.

Subscribed and sworn to
before me this _____ day
of _____, 20____ (L.S.)

Vice President [or other authorized officer]

Notary Public _____
Residing in: _____
My Commission Expires: _____

Street Address of Branch or Office

Name of Organization Employing Notary

FORM C
CUSTODIAN AFFIDAVIT

(For use where ownership is evidenced by book entry at a Federal Reserve Bank.)

STATE OF _____)
) ss.
COUNTY OF _____)

_____, being duly sworn deposes and says that he or she is
_____ of _____, a corporation
organized under and pursuant to the laws of the _____ with the principal place
of business at _____ (hereinafter called the
"corporation"):

That his or her duties involve supervision of activities of the corporation as custodian and records relating
thereto;

That the corporation is custodian for certain securities of _____
with a place of business at _____ (hereinafter called the "insurance company")
pursuant to an agreement between the corporation and the insurance company;

That it has caused certain securities to be credited to its book entry account with the Federal Reserve
Bank of _____ under the TRADES or Treasury Direct
systems; and that the schedule attached hereto is a true and complete statement of the securities of the
insurance company of which the corporation was custodian as of the close of business on
_____, which were in a "general" book entry account maintained in the name of the
corporation on the books and records of the Federal Reserve Bank of _____ at
such date;

That the corporation has the responsibility for the safekeeping of such securities both in the possession of
the corporation or in the "general" book entry account as is specifically set forth in the agreement between
the corporation as custodian and the insurance company; and

That, to the best of his or her knowledge and belief, unless otherwise shown on the schedule, the
securities were the property of the insurance company and were free of all liens, claims or encumbrances
whatsoever.

Subscribed and sworn to
before me this _____ day
of _____, 20____ (L.S.)

Vice President [or other authorized officer]

Notary Public _____
Residing in: _____
My Commission Expires: _____

Street Address of Branch or Office

Name of Organization Employing Notary

Regulation 3-1-17 CONCERNING CORPORATE GOVERNANCE ANNUAL DISCLOSURES

Section 1	Authority
Section 2	Scope and Purpose
Section 3	Applicability
Section 4	Definitions
Section 5	Filing Procedures
Section 6	Contents of Corporate Governance Annual Disclosure
Section 7	Severability
Section 8	Enforcement
Section 9	Effective Date
Section 10	History

Section 1 Authority

This regulation is promulgated and adopted by the Commissioner of Insurance under the authority of §§ 10-1-109(1), 10-3-1603, 10-3-1604(2), 10-3-1608, 10-5-117, 10-6-129 and 10-16-109, C.R.S.

Section 2 Scope and Purpose

The purpose of these regulations is to set forth the procedures for filing and the required contents of the Corporate Governance Annual Disclosure (CGAD) as required by §§ 10-3-1603 and 10-3-1604, C.R.S.

Section 3 Applicability

This regulation applies to all insurers and all insurance groups of which an insurer is a member subject to the insurance laws of Colorado.

Section 4 Definitions

- A. "Corporate governance annual disclosure" or "CGAD" shall have the same meaning as found at § 10-3-1602(1), C.R.S.
- B. "Insurance group" shall have the same meaning as found at § 10-3-1602(2), C.R.S.
- C. "Insurer" shall have the same meaning as found at § 10-3-1602(3), C.R.S.
- D. "ORSA summary report" shall have the same meaning as found in § 10-3-1502(5), C.R.S., and as referenced in § 10-3-1602(5), C.R.S.
- E. "Senior Management" means, for the purposes of this regulation, any corporate officer responsible for reporting information to the board of directors at regular intervals or providing this information to shareholders or regulators and shall include but is not limited to the Chief Executive Officer ("CEO"), Chief Financial Officer ("CFO"), Chief Operations Officer ("COO"), Chief Procurement Officer ("CPO"), Chief Legal Officer ("CLO"), Chief Information Officer ("CIO"), Chief Technology Officer ("CTO"), Chief Revenue Officer ("CRO"), Chief Visionary Officer ("CVO"), or any other "C" level executive.

Section 5 Filing Procedures

- A. An insurer, or the insurance group of which the insurer is a member, subject to Title 10, article 3, part 16, is required to file a Corporate Governance Annual Disclosure (CGAD) pursuant to § 10-3-1604, C.R.S., no later than June 1 of each calendar year pursuant to § 10-3-1603, C.R.S., and submit to the Commissioner a CGAD that contains the information described in Section 6 of these regulations.
- B. Pursuant to § 10-3-1603(2)(a) and (b), C.R.S., the CGAD must include a signature of the insurer's or insurance group's chief executive officer or corporate secretary attesting to the best of that individual's belief and knowledge that the insurer or insurance group has implemented the corporate governance practices and that a copy of the CGAD has been provided to the insurer's or insurance group's Board of Directors or the appropriate committee thereof.
- C. The insurer or insurance group shall have discretion regarding the appropriate format for providing the information required by these regulations and is permitted to customize the CGAD to provide the most relevant information necessary to permit the Commissioner to gain an understanding of the corporate governance structure, policies and practices utilized by the insurer or insurance group.
- D. For purposes of completing the CGAD, the insurer or insurance group may choose to provide information on governance activities that occur at the ultimate controlling parent level, an intermediate holding company level and/or the individual legal entity level, depending upon how the insurer or insurance group has structured its system of corporate governance. The insurer or insurance group is encouraged to make the CGAD disclosures at the level at which the insurer's or insurance group's risk appetite is determined, or at which the earnings, capital, liquidity, operations, and reputation of the insurer or insurance group are overseen collectively and at which the supervision of those factors are coordinated and exercised, or the level at which legal liability for failure of general corporate governance duties would be placed. If the insurer or insurance group determines the level of reporting based on these criteria, it shall indicate which of the three criteria was used to determine the level of reporting and explain any subsequent changes in level of reporting.
- E. Notwithstanding Section 5.A., and as outlined in § 10-3-1603, C.R.S., if the CGAD is completed at the insurance group level, then it must be filed with the lead state of the group, in accordance with the laws of the lead state, as determined by the procedures outlined in the most recent Financial Analysis Handbook adopted by the NAIC. In these instances, a copy of the CGAD must also be provided to the chief regulatory official of any state in which the insurance group has a domestic insurer, upon request.
- F. An insurer or insurance group may comply with this section by referencing other existing documents (e.g., ORSA Summary Report, Holding Company Form B or F Filings, Securities and Exchange Commission (SEC) Proxy Statements, foreign regulatory reporting requirements, etc.) if the documents provide information that is comparable to the information described in Section 6. The insurer or insurance group shall clearly reference the location of the relevant information within the CGAD and attach the referenced document if it is not already filed or available to the Commissioner.
- G. Each year following the initial filing of the CGAD, the insurer or insurance group shall file an amended version of the previously filed CGAD indicating where changes have been made. If no changes were made in the information or activities reported by the insurer or insurance group, the filing should so state.

Section 6 Contents of Corporate Governance Annual Disclosure

- A. The insurer or insurance group shall be as descriptive as possible in completing the CGAD, with inclusion of attachments or example documents that are used in the governance process, since these may provide a means to demonstrate the strengths of their governance framework and practices.
- B. The CGAD shall describe the insurer's or insurance group's corporate governance framework and structure including consideration of the following:
 - 1. The Board and various committees thereof ultimately responsible for overseeing the insurer or insurance group and the level(s) at which that oversight occurs (e.g., ultimate control level, intermediate holding company, legal entity, etc.). The insurer or insurance group shall describe and discuss the rationale for the current Board size and structure; and
 - 2. The duties of the Board and each of its significant committees and how they are governed (e.g., bylaws, charters, informal mandates, etc.), as well as how the Board's leadership is structured, including a discussion of the roles of Chief Executive Officer (CEO) and Chairman of the Board within the organization.
- C. The insurer or insurance group shall describe the policies and practices of the most senior governing entity and significant committees thereof, which shall include the following factors:
 - 1. How the qualifications, expertise and experience of each Board member meet the needs of the insurer or insurance group;
 - 2. How an appropriate amount of independence is maintained on the Board and its significant committees;
 - 3. The number of meetings held by the Board and its significant committees over the past year as well as information on director attendance;
 - 4. How the insurer or insurance group identifies, nominates and elects members to the Board and its committees, including:
 - a. Whether a nomination committee is in place to identify and select individuals for consideration;
 - b. Whether term limits are placed on directors;
 - c. How the election and re-election processes function; and
 - d. Whether a Board diversity policy is in place and if so, how it functions.
 - 5. The processes in place for the Board to evaluate its performance and the performance of its committees, as well as any recent measures taken to improve performance (including any Board or committee training programs that have been put in place).
- D. The insurer or insurance group shall describe the policies and practices for directing Senior Management, which shall include the following factors:
 - 1. Any processes or practices (i.e., suitability standards) to determine whether officers and key persons in control functions have the appropriate background, experience and integrity to fulfill their prospective roles, including:

- a. Identification of the specific positions for which suitability standards have been developed and a description of the standards employed.
 - b. Any changes in an officer's or key person's suitability as outlined by the insurer's or insurance group's standards and procedures to monitor and evaluate such changes.
 - 2. The insurer's or insurance group's code of business conduct and ethics, the discussion of which shall include, at a minimum, consideration of:
 - a. Compliance with laws, rules, and regulations; and
 - b. Proactive reporting of any illegal or unethical behavior.
 - 3. The insurer's or insurance group's processes for performance evaluation, compensation and corrective action to ensure effective senior management throughout the organization, including a description of the general objectives of significant compensation programs and what the programs are designed to reward. The description shall include sufficient detail to allow the Commissioner to understand how the organization ensures that compensation programs do not encourage and/or reward excessive risk taking. Elements shall include, at a minimum:
 - a. The Board's role in overseeing management compensation programs and practices.
 - b. The various elements of compensation awarded in the insurer's or insurance group's compensation programs and how the insurer or insurance group determines and calculates the amount of each element of compensation paid;
 - c. How compensation programs are related to both company and individual performance over time;
 - d. Whether compensation programs include risk adjustments and how those adjustments are incorporated into the programs for employees at different levels;
 - e. Any clawback provisions built into the programs to recover awards or payments if the performance measures upon which they are based are restated or otherwise adjusted;
 - f. Any other factors relevant in understanding how the insurer or insurance group monitors its compensation policies to determine whether its risk management objectives are met by incentivizing its employees.
 - 4. The insurer's or insurance group's plans for CEO and Senior Management succession.
- E. The insurer or insurance group shall describe the processes by which the Board, its committees and Senior Management ensure an appropriate amount of oversight to the critical risk areas impacting the insurer's business activities, and shall include:
- 1. How oversight and management responsibilities are delegated between the Board, its committees and Senior Management;
 - 2. How the Board is kept informed of the insurer's strategic plans, the associated risks, and steps that Senior Management is taking to monitor and manage those risks;

3. How reporting responsibilities are organized for each critical risk area. The description should allow the Commissioner to understand the frequency at which information on each critical risk area is reported to and reviewed by Senior Management and the Board. This description shall include the following critical risk areas of the insurer:
 - a. Risk management processes (An ORSA Summary Report filer may refer to its ORSA Summary Report pursuant to the Risk Management and Own Risk and Solvency Assessment Model Act);
 - b. Actuarial function;
 - c. Investment decision-making processes;
 - d. Reinsurance decision-making processes;
 - e. Business strategy/finance decision-making processes;
 - f. Compliance function;
 - g. Financial reporting/internal auditing; and
 - h. Market conduct decision-making processes.

Section 7 Severability

If any provision of this regulation or the application of it to any person or circumstances is for any reason held to be invalid, the remainder of this regulation shall not be affected.

Section 8 Incorporated Materials

The Financial Analysis Handbook adopted by the NAIC as published on the effective date of this regulation and does not include later amendments to or editions of the Financial Analysis Handbook adopted by the NAIC. A copy of the Financial Analysis Handbook adopted by the NAIC may be examined during regular business hours at the Colorado Division of Insurance, 1560 Broadway, Suite 850, Denver, Colorado, 80202, or by visiting the NAIC website at https://www.naic.org/prod_serv/FAH-ZU-16-02.pdf. Certified copies of the Financial Analysis Handbook adopted by the NAIC are available from the Colorado Division of Insurance for a fee.

The Risk Management and Own Risk and Solvency Assessment Model Act, published by the NAIC, as published on the effective date of this regulation and does not include later amendments to or editions of the Risk Management and Own Risk and Solvency Assessment Model Act. A copy of the Risk Management and Own Risk and Solvency Assessment Model Act adopted by the NAIC may be examined during regular business hours at the Colorado Division of Insurance, 1560 Broadway, Suite 850, Denver, Colorado, 80202, or by visiting the NAIC website at <https://www.naic.org/store/free/MDL-505.pdf>. Certified copies of the Risk Management and Own Risk and Solvency Assessment Model Act are available from the Colorado Division of Insurance for a fee.

Section 9 Enforcement

Noncompliance with this regulation may result in the imposition of any of the sanctions made available in the Colorado statutes pertaining to the business of insurance, or other laws, which include the imposition of civil penalties, issuance of cease and desist orders, and/or suspensions or revocation of license, subject to the requirements of due process.

Section 9 Effective Date

This regulation shall be effective April 15, 2020.

Section 10 History

New regulation effective April 15, 2020.

Regulation 3-1-18 CONCERNING THE CLIMATE RISK DISCLOSURE SURVEY

Section 1	Authority
Section 2	Scope and Purpose
Section 3	Applicability
Section 4	Definitions
Section 5	Rules
Section 6	Severability
Section 7	Enforcement
Section 8	Effective Date
Section 9	History

Section 1 Authority

This regulation is being promulgated and adopted by the Commissioner of Insurance under the authority of §§ 10-1-109(1), and 10-3-244(1), C.R.S.

Section 2 Scope and Purpose

The purpose of this regulation is to provide the requirements for insurers to participate in and complete the National Association of Insurance Commissioners (NAIC) Insurer Climate Risk Disclosure Survey.

Section 3 Applicability

This regulation applies to all insurers issued a certificate of authority to transact business pursuant to §§ 10-3-101 to 10-3-131, C.R.S., that report more than 100 million dollars on their annual NAIC Schedule T Filings as of January 1, 2023.

Section 4 Definitions

- A. "Group" shall mean, for the purposes of this regulation, those insurers and affiliates that are included within an insurance holding company system, as defined in § 10-3-801(5), C.R.S.
- B. "Insurer" shall have the same meaning as found at § 10-3-801(6), C.R.S.
- C. "NAIC" shall have the same meaning as found at § 10-3-801(7), C.R.S.
- D. "Schedule T Filing" shall mean, for the purpose of this regulation, the NAIC convention blank form, Schedule T "Exhibit of Premiums Written and Allocated by States and Territories", to be filed by insurers as part of their annual statement with NAIC required by Colorado Insurance Regulation 3-1-10.

Section 5 Rules

- A. On or before August 31, 2024, and each year thereafter, insurers shall submit a completed "NAIC Climate Risk Disclosure Survey" ("Survey") to the California Department of Insurance as directed on the Department's website.
- B. Insurers are expected to address the content of the entire Survey to the best of their ability.

- C. Insurers subject to this regulation, as defined in Section 3, that are within the same group with similar policies and practices and whose answers would not be materially different from each other may submit uniform group responses. When submitting group responses, insurers must check the premium amounts for each individual company in the group and submit a Survey response for each company issued a certificate of authority to transact business pursuant to Sections 10-3-101 to 10-3-131, C.R.S. with more than 100 million dollars in direct written premium nationwide.
- D. Insurers that are required to respond to the Survey by one of the partner states and jurisdictions are only required to submit the Survey once.

Section 6 Severability

If any provision of this regulation or the application of it to any person or circumstance is for any reason held to be invalid, the remainder of this regulation shall not be affected.

Section 7 Enforcement

Noncompliance with this regulation may result in the imposition of any of the sanctions made available in the Colorado statutes pertaining to the business of insurance, or other laws, which include the imposition of civil penalties, issuance of cease and desist orders, and/or suspensions or revocation of license, subject to the requirements of due process.

Section 8 Effective Date

This regulation shall become effective on December 30, 2023.

Section 9 History

New regulation effective December 30, 2023.

Regulation 3-2-1 PROXIES, CONSENTS AND AUTHORIZATIONS OF DOMESTIC STOCK INSURERS

Section 1	Authority
Section 2	Scope and Purpose
Section 3	Applicability
Section 4	Definitions
Section 5	Solicitations to Which Regulation Applies
Section 6	Information to Be Furnished To Security Holders
Section 7	Requirements as To Proxy
Section 8	Presentation of Information in Proxy Statement
Section 9	Material Required To Be Filed
Section 10	Mailing Communications for Security Holder
Section 11	Proposals of Security Holders
Section 12	False or Misleading Statement
Section 13	Prohibition of Certain Solicitations
Section 14	Special Provisions Applicable To Election Contest
Section 15	Solicitations and Materials Complying with NAIC Model Regulation and Schedules
Section 16	Severability
Section 17	Enforcement
Section 18	Effective Date
Section 19	History
Schedule A	
Schedule B	
Schedule C	

Section 1 Authority

This regulation is promulgated and adopted by the Commissioner of Insurance under the authority of §§ 10-1-109, and 10-3-121(2), C.R.S.

Section 2 Scope and Purpose

The purpose of this regulation is to set forth rules and procedural requirements which the Commissioner deems necessary to carry out the provisions of Section 10-3-121, C.R.S., regarding domestic stock insurers that solicit proxies, consents or authorizations in respect to any class of equity securities.

Section 3 Applicability

- A. No domestic stock insurer that has any class of equity securities held of record by 100 or more persons, or any director, officer or employee of that insurer, or any other person, shall solicit, or permit the use of the person's name to solicit, by mail or otherwise, any proxy, consent or authorization in respect to any class of equity securities in contravention of this regulation and Schedules A and B, hereby made a part of this regulation. However, this regulation shall not apply to any insurer if ninety-five percent (95%) or more of its equity securities is owned or controlled by a parent or an affiliated insurer and the remaining securities are held of record by less than 500 persons. A domestic stock insurer which files with the Securities and Exchange Commission with respect to any class of securities forms of proxies, consents and authorizations complying with the requirements of the Securities Exchange Act of 1934, as amended, and its applicable regulations, shall be exempt from the provisions of this regulation with respect to that class of securities.

- B. Unless proxies, consents or authorizations in respect of any class of equity securities of a domestic insurer subject to Section 3A are solicited by or on behalf of the management of the insurer from the holders of record of the securities in accordance with this regulation and its schedules prior to any annual or other meeting of the security holders, the insurer shall file with the Commissioner and transmit to every security holder who is entitled to vote in regard to any matter to be acted upon at the meeting and from whom a proxy is not solicited a written information statement containing the information specified in Schedule C.

Section 4 Definitions

- A. "Affiliate" means an "affiliate" of, or a person affiliated with a specified person, is a person that directly, or indirectly through one or more intermediaries, controls, or is controlled by, or is under common control with, the person specified.
- B. "Associate," used to indicate a relationship with any person, means:
1. A corporation or organization (other than the issuer or a majority owned subsidiary of the issuer) of which the person is an officer or partner or is, directly or indirectly, the beneficial owner of ten percent (10%) or more of any class of equity securities;
 2. A trust or other estate in which the person has a substantial beneficial interest or as to which the person serves as trustee or in a similar fiduciary capacity; or
 3. A relative or spouse of that person, or any relative of the spouse, who has the same home as the person or who is a director or officer of the issuer or any of its parents or subsidiaries.
- C. "Beneficial owner" means a person who, directly or indirectly, through a contract, arrangement, understanding, relationship, or otherwise, has or shares:
1. Voting power including the power to vote, or the power to direct voting of, a security; or
 2. Investment power which includes the power to dispose of, or to direct the disposition of, the security.
- D. "Control" (including the terms "controlling", "controlled by" and "under common control with") means the possession, direct or indirect, of the power to direct or cause the direction of the management and policies of a person, whether through the ownership of voting securities, by contract, or otherwise.
- E. "Issuer" means the issuer of the securities in respect of which a proxy is solicited.
- F. "Last fiscal year" of the issuer means the last fiscal year of the issuer ending prior to the date of the meeting for which proxies are to be solicited.
- G. "Officer" means the president, secretary, treasurer, any vice president in charge of a principal business function (such as sales, administration or finance) and any other person who performs similar policymaking functions for the insurer.
- H. "Parent" of a specified person is an affiliate controlling the person directly or indirectly through one or more intermediaries.

- I. "Person" means an individual, a corporation, a partnership, an association, a joint stock company, a trust, an unincorporated organization, or a government or political subdivision thereof. As used in this subsection, the term "trust" shall include only a trust where the interest or interests of the beneficiary or beneficiaries are evidenced by a security.
- J. "Proxy statement" means the statement required by Section 6, whether or not contained in a single document.
- K. Solicitation:
 - 1. The terms "solicit" and "solicitation" include:
 - a. A request for a proxy whether or not accompanied by or included in a form of proxy;
 - b. A request to execute or not to execute, or to revoke, a proxy; or
 - c. The furnishing of a form of proxy or other communication to security holders under circumstances reasonably calculated to result in the procurement, withholding or revocation of a proxy.
 - 2. The terms do not apply, however, to the furnishing of a form of proxy to a security holder upon the unsolicited request of the security holder, the performance by the issuer of acts required by Section 10, or the performance by any person of ministerial acts on behalf of a person soliciting a proxy.

Section 5 Solicitations to Which Regulation Applies

Section 12 of this regulation shall apply to every solicitation that is subject to Section 3. Sections 4 through 11 and Section 13 of this regulation shall apply to every solicitation that is subject to Section 3 except the following:

- A. A solicitation made otherwise than on behalf of the issuer where the total number of persons solicited is not more than ten (10).
- B. A solicitation by a person in respect of securities carried in his name or in the name of his nominee (otherwise than as voting trustee) or held in his or her custody, if the person:
 - 1. Receives no commission or remuneration for the solicitation, directly or indirectly, other than reimbursement of reasonable expenses;
 - 2. Furnishes promptly to the solicited person a copy of all soliciting material with respect to the same subject matter or meeting received from all persons who shall furnish copies thereof for that purpose and who shall, if requested, defray the reasonable expenses to be incurred in forwarding the material; and
 - 3. In addition, does no more than impartially instruct the person solicited to forward a proxy to the person, if any, to whom the person solicited desires to give a proxy, or impartially request from the person solicited instructions as to the authority to be conferred by the proxy and state that a proxy will be given if no instructions are received by a certain date.
- C. A solicitation by a person in respect of securities of which it is the beneficial owner.

- D. A solicitation through the medium of a newspaper advertisement which informs security holders of a source from which they may obtain copies of a proxy statement, form of proxy and any other soliciting material and does no more than:
1. Name the issuer;
 2. State the reason for the advertisement; and
 3. Identify the proposal or proposals to be acted upon by security holders.
- E. Any solicitation which the Commissioner finds for good cause should be exempted from this regulation or any part thereof.

Section 6 Information to Be Furnished To Security Holders

- A. No solicitation subject to this regulation shall be made unless each person solicited is concurrently furnished or has previously been furnished with a written proxy statement containing the information specified in Schedule A.
- B. If the solicitation is made on behalf of the issuer and relates to an annual meeting of security holders at which directors are to be elected, each proxy statement furnished pursuant to Subsection A shall be accompanied or preceded by an annual report to security holders as follows:
1. The report shall contain, in comparative columnar form, such financial statements for the last two (2) fiscal years, prepared on a consistent basis, as will in the opinion of the management adequately reflect the financial position of the issuer at the end of each year and the results of its operations for each year. Consolidated financial statements of the issuer and its subsidiaries shall be included in the report if they are necessary to reflect the financial position and results of operations of the issuer and its subsidiaries, but in that case the individual statements of the issuer may be omitted. The Commissioner may, upon the request of the issuer, permit the omission of financial statements for the earlier of the two (2) fiscal years upon a showing of good cause.
 2. The financial statements for the last two (2) fiscal years required by Subsection B(1) shall be prepared in a manner acceptable to the Commissioner.
 3. The report shall include, in comparative columnar form, a summary of issuer's operations, or the operations of the issuer and its subsidiaries consolidated, or both as appropriate, for each of the last five (5) fiscal years of the issuer (or the life of the issuer and its predecessors, if less).
 4. The report shall contain a brief description of the business or businesses done by the issuer and its subsidiaries during the most recent fiscal year which will, in the opinion of management, indicate the general nature and scope of the business of the issuer and its subsidiaries.
 5. The report shall identify each of the issuer's directors and officers and shall indicate the principal occupation or employment of each person and the name and principal business of any organization by which the person is so employed.
 6. The report shall identify the principal market in which securities of any class entitled to vote at the meeting are traded, stating the range of bid and asked quotations for each quarterly period during the issuer's two (2) most recent fiscal years, and shall set forth each dividend paid during the two (2) year period.

7. Subject to the foregoing requirements, the report may be in any form deemed suitable by management and the information required by Subsections B(3) through B(6) may be presented in an appendix or other separate section of the report, provided that the attention of security holders is called to the presentation.
 8. This Subsection B shall not apply, however, to solicitations made on behalf of the management before the financial statements are available if solicitation is being made at the time in opposition to the management and if the management's proxy statement includes an undertaking in bold face type to furnish the annual report to all persons being solicited, at least twenty (20) days before the date of the meeting.
- C. Two (2) copies of the report sent to security holders pursuant to this section shall be mailed to the Commissioner, solely for the Commissioner's information, not later than the date on which the report was first sent or given to security holders or the date on which preliminary copies of solicitation material are filed pursuant to Section 9, whichever date is later.
- D. If the issuer knows that securities of any class entitled to vote at a meeting with respect to which the issuer intends to solicit proxies, consents or authorizations are held of record by a broker, dealer, bank or voting trustee, or their nominees, the issuer shall inquire of the record holder at least ten (10) days prior to the record date for the meeting of security holders whether other persons are the beneficial owners of the securities and, if so, the number of copies of the proxy and other soliciting material and, in the case of an annual meeting at which directors are to be elected, the number of copies of the annual report to security holders, necessary to supply these materials to beneficial owners. The issuer shall supply the record holder in a timely manner with additional copies assembled in a form and at a place the record holder may reasonably request, in order to address and send one copy to each beneficial owner of securities so held and shall, upon the request of the record holder, pay its reasonable expenses for mailing the materials to security holders to whom the material is sent.

Section 7 Requirements as To Proxy

- A. The form of proxy shall:
1. Indicate in bold face type whether or not the proxy is solicited on behalf of the insurer's board of directors, and if not, by whom it is solicited;
 2. Provide a specifically designated blank space for dating the proxy; and
 3. Identify clearly and impartially each matter or group of related matters intended to be acted upon, whether proposed by the issuer or by security holders.

No reference need be made to proposals as to which discretionary authority is conferred pursuant to Subsection C.

- B. Proxy votes
1. Means shall be provided in the form of proxy whereby the person solicited is afforded an opportunity to specify by ballot a choice between approval or disapproval of, or abstention with respect to, each matter or group of related matters referred to therein as intended to be acted upon, other than elections to office. A proxy may confer discretionary authority with respect to matters as to which a choice is not specified provided the form of proxy states in bold face type how it is intended to vote the shares represented by the proxy in each case.

2. A form of proxy which provides both for the election of directors and for action on other specified matters shall be prepared so as to clearly provide, by a box or otherwise, means by which the security holder may withhold authority to vote for any nominee for election as a director. The form of proxy which is executed by the security holder in a manner as not to withhold authority to vote for the election of all nominees shall be deemed to grant authority for all nominees for which a vote is not withheld, provided the form of proxy so states in bold-face type.
- C. A proxy may confer discretionary authority to vote with respect to any of the following matters:
1. Matters which the persons making the solicitation do not know, a reasonable time before the solicitation, are to be presented at the meeting, if a specific statement to that effect is made in the proxy statement or form of proxy;
 2. Approval of the minutes of the prior meeting if the approval does not amount to ratification of the action taken at that meeting;
 3. The election of any person to any office for which a bona fide nominee is named in the proxy statement and the nominee is unable to serve or for good cause will not serve;
 4. Any proposal omitted from the proxy statement and form of proxy pursuant to Sections 11 or 12;
 5. Matters incident to the conduct of the meeting.
- D. No proxy shall confer authority to vote for the election of any person to any office which a bona fide nominee is not named in the proxy statement, or to vote at any annual meeting other than the next annual meeting (or any adjournment thereof), to be held after the date on which the proxy statement and form of proxy are first sent or given to security holders. A person shall not be deemed to be a bona fide nominee and shall not be named as such unless the person has consented to being named in the proxy statement and to serve if elected.
- E. The proxy statement or form of proxy shall provide, subject to reasonable specified conditions, that the securities represented by the proxy will be voted and that where the person solicited specifies by means of ballot provided pursuant to Subsection B a choice with respect to any matter to be acted upon, the securities will be voted in accordance with the specifications so made.

Section 8 Presentation of Information in Proxy Statement

- A. The information included in the proxy statement shall be clearly presented and the statements made shall be divided into groups according to subject matter and the various groups of statements shall be preceded by appropriate headings.
- B. All proxy statements shall disclose, under an appropriate caption, the date by which proposals of security holders intended to be presented at the next annual meeting must be received by the issuer for inclusion in the issuer's proxy statement and form of proxy relating to that meeting, such date to be calculated in accordance with the provisions of Section 11A. If the date of the next annual meeting is subsequently advanced by more than thirty (30) calendar days or delayed by more than ninety (90) calendar days from the date of the annual meeting to which the proxy statement relates, the issuer shall, in a timely manner, inform security holders of the change, and the date by which proposals of security holders must be received, by any means reasonably calculated to so inform them.

Section 9 Material Required To Be Filed

- A. Two (2) preliminary copies of the proxy statement and form of proxy and any other soliciting material to be furnished to security holders with the proxy (or the information statement pursuant to Schedule C) shall be filed with the Commissioner at least ten (10) days prior to the date final copies of the material are first sent or given to security holders, or a shorter period prior to that date as the Commissioner may authorize upon a showing of good cause.
- B. Two (2) preliminary copies of any additional soliciting material relating to the same meeting or subject matter to be furnished to security holders after the proxy statement shall be filed with the Commissioner at least two (2) days (exclusive of Saturdays, Sundays and holidays) prior to the date copies of the material are first sent or given to security holders, or a shorter period prior to the date as the Commissioner may authorize upon a showing of good cause.
- C. Two (2) definitive copies of the proxy statement, form of proxy and all other soliciting material (or the information statement) in the form in which the material is furnished to security holders, shall be filed with, or mailed for filing to, the Commissioner no later than the date the material is first sent or given to any security holder.
- D. Copies of replies to inquiries from security holders requesting further information and copies of communications that do no more than request that forms of proxy previously solicited be signed and returned do not need to be filed pursuant to this section.
- E. Despite the provisions of Subsections A and B of this section and of Section 14E, copies of soliciting material in the form of speeches, press releases and radio or television scripts may, but need not, be filed with the Commissioner prior to use or publication. Definitive copies, however, shall be filed with or mailed for filing to the Commissioner as required by Subsection C no later than the date the material is used or published. The provisions of Subsections A and B of this section and of Section 14E shall apply, however, to any reprints or reproductions of all or any part of such material.
- F. Where any proxy statement, form of proxy or other material filed pursuant to this regulation is amended or revised, one of the copies of the amended or revised material filed pursuant to this regulation shall be marked to indicate clearly and precisely the changes.

Section 10 Mailing Communications for Security Holders

If the management of the issuer has made or intends to make any solicitation subject to this regulation, the issuer shall perform any of the following acts requested in writing with respect to the same subject matter or meeting by any security holder who is, or security holders who are, entitled to vote at least one percent of the votes entitled to be voted on the matter and who shall defray the reasonable expenses to be incurred by the issuer in the performance of the act or acts requested.

- A. The issuer shall mail or otherwise furnish to a security holder, as promptly as practicable after the receipt of the request:
 - 1. A statement of the approximate number of record owners and, to the extent known to the issuer, the approximate number of beneficial owners of any class of securities, any of whom have been or are to be solicited on behalf of the management, or any group of whom the security holder shall designate.
 - 2. An estimate of the cost of mailing a specified proxy statement, form of proxy or other communication to the owners.

B.

1. Copies of any proxy statement, form of proxy or other communication furnished by the security holder shall be mailed by the issuer to any of the security owners specified in Subsection A(1) as the security holder shall designate.
2. The material furnished by the security holder shall be mailed with reasonable promptness after receipt of the material to be mailed, envelopes or other containers therefor, and postage or payment for postage. The issuer need not, however, mail any material before the first day that solicitation is made on behalf of the issuer.
3. The issuer shall not be responsible for the proxy statement, form of proxy or other communication.

- C. In lieu of performing the acts specified above, the issuer may, at its option, furnish promptly to a security holder a reasonably current list of the names and addresses of the record owners and, to the extent known to the issuer, the beneficial owners the security holder shall designate and a schedule of the handling and mailing costs if the schedule has been supplied to the issuer.

Section 11 Proposals of Security Holders

- A. If any holder or holders of an issuer's securities (hereafter referred to as the "proponent") notifies the issuer in writing not less than ninety (90) days before the issuer's annual meeting of his intention to present a lawful proposal for action at an upcoming meeting of the issuer's security holders and at the time of the notice the proponent is entitled to vote at least one percent of the votes entitled to be voted on the proposal, the issuer shall set forth the proposal in its proxy statement and identify it in its form of proxy and provide for the specification of approval or disapproval of the proposal. The proxy statement shall also include the name and address of the proponent.
- B. If the issuer opposes any proposal received from a proponent, it shall also, at the request of the proponent, include in its proxy statement a statement of the proponent of not more than two hundred (200) words in support of the proposal.
- C. The issuer may omit a proposal and any statement in support thereof from its proxy statement and form of proxy under any of the following circumstances:
1. The proponent has submitted more than one proposal in connection with a particular meeting.
 2. The proposal is more than three hundred (300) words in length.
 3. The proposal or the supporting statement is contrary to any section of this regulation or the schedules attached, including Section 12 which prohibits false or misleading statements in proxy soliciting materials.
 4. The proposal relates to the enforcement of a personal claim or the redress of a personal grievance against the issuer, its management or any other person.
 5. The proposal deals with a matter not significantly related to the issuer's business, a matter beyond the issuer's power to effectuate, a matter relating to the conduct of the ordinary business operations of the issuer or an election to office.

6. The proposal is counter to a proposal to be submitted by the issuer at the meeting, the proposal has been rendered moot or the proposal relates to specific amounts of cash or stock dividends.
 7. The proposal is substantially duplicative of a proposal previously submitted to the issuer by another proponent, which proposal will be included in the management's proxy material for the meeting.
 8. Substantially the same proposal has previously been submitted to security holders in the issuer's proxy statement and form of proxy relating to any annual or special meeting of security holders held within the preceding five (5) calendar years and received less than five percent (5%) of the total number of votes cast at the time of its most recent submission.
- D. If the issuer intends to omit any proposal from its proxy statement or forms of proxy or both, it shall notify the proponent in writing of its intention at least ten (10) days before the issuer's preliminary proxy material is filed pursuant to Section 9A.

Section 12 False or Misleading Statement

No proxy statement, form of proxy, notice of meeting, information statement, or other communication, written or oral, subject to this regulation, shall contain any statement which at the time and in the light of the circumstances under which it is made, is false or misleading with respect to any material fact, or which omits to state any material fact necessary in order to make the statements therein not false or misleading or necessary to correct any statement in any earlier communication with respect to the same meeting or subject matter which has become false or misleading.

Section 13 Prohibition of Certain Solicitations

No person making a solicitation which is subject to this regulation shall solicit any undated or postdated proxy or any proxy which provides that it shall be deemed to be dated as of any date subsequent to the date on which it is signed by the security holder subject to this regulation.

Section 14 Special Provisions Applicable To Election Contest

- A. This section shall apply to any solicitation subject to this regulation by any person or group for the purpose of opposing a solicitation subject to this regulation by any other person or group with respect to the election or removal of directors at any annual or special meeting of security holders.
- B. Participant or Participant in a Solicitation.
1. For purposes of this section the term "participant" and "participant in a solicitation" include:
 - a. The issuer;
 - b. Any director of the issuer, and any nominee for whose election as a director whose proxies are solicited;
 - c. Any other person, acting alone or with one or more other persons, committees or groups, in organizing, directing or financing the solicitation.
 2. For the purposes of this section the terms "participant" and "participant in a solicitation" do not include:

- a. A bank, broker or dealer who, in the ordinary course of business, lends money or executes an order for the purchase or sale of securities and who is not otherwise a participant;
- b. Any person or organization retained or employed by a participant to solicit security holders or any person who merely transmits proxy soliciting material or performs ministerial or clerical duties;
- c. Any person employed in the capacity of attorney, accountant, or advertising, public relations or financial adviser, whose activities are limited to the performance of his duties in the course of such employment;
- d. Any person regularly employed as an officer or employee of the issuer or any of its subsidiaries or affiliates who is not otherwise a participant; or
- e. Any officer or director of, or any person regularly employed by any other participant, if such officer, director, or employee is not otherwise a participant.

C. Filing of Information Required by Schedule B.

- 1. No solicitation subject to this section shall be made by any person other than the issuer unless at least five (5) business days prior, or a shorter period as the Commissioner may authorize upon a showing of good cause, there has been filed with the Commissioner, by or on behalf of each participant in the solicitation, a statement in duplicate containing the information specified by Schedule B and a copy of any material proposed to be distributed to security holders in furtherance of the solicitation.
- 2. Within five (5) business days after a solicitation subject to this section is made by the issuer, or a longer period the Commissioner may authorize upon showing of good cause, there shall be filed with the Commissioner, by or on behalf of each participant in the solicitation other than the issuer, a statement in duplicate containing the information specified by Schedule B.
- 3. If any solicitation on behalf of the issuer or any other person has been made, or if proxy material is ready for distribution, prior to a solicitation subject to this section in opposition, a statement in duplicate containing the information specified in Schedule B shall be filed with the Commissioner, by or on behalf of each participant in the prior solicitation, other than the issuer, as soon as reasonably practicable after the commencement of the solicitation in opposition.
- 4. If after the filing of the statements required by Subsections A, B and C of this section additional persons become participants in a solicitation subject to this section, there shall be filed with the Commissioner, by or on behalf of each such person, a statement in duplicate containing the information specified by Schedule B, within three (3) business days after the person becomes a participant, or a longer period the Commissioner may authorize upon a showing of good cause.
- 5. If any material change occurs in the facts reported in any statement filed by or on behalf of any participant, an appropriate amendment to the statement shall be filed promptly with the Commissioner.
- 6. Each statement and amendment filed pursuant to this paragraph shall be part of the public files of the Commissioner.

D. Solicitations Prior to Furnishing Required Written Proxy Statement.

Notwithstanding the provisions of Section 6A, a solicitation subject to this section may be made prior to furnishing security holders a written proxy statement containing the information specified in Schedule A with respect to such solicitation, provided that:

1. The statements required by Subsection C of this section are filed by or on behalf of each participant in such solicitation.
2. No form of proxy is furnished to security holders prior to the time the written proxy statement required by Section 6A is furnished to these persons. However, this paragraph shall not apply where a proxy statement meeting the requirements of Schedule A has been furnished to security holders.
3. At least the information specified in Paragraphs 2 and 3 of the statements required by Subsection C to be filed by each participant, or an appropriate summary, are included in each communication sent or given to security holders in connection with the solicitation.

A written proxy statement containing the information specified in Schedule A with respect to a solicitation is sent or given security holders at the earliest practicable date.

- E. Solicitations Prior to Furnishing Required Written Proxy Statement Filing Requirements. Two (2) copies of any soliciting material proposed to be sent or given to security holders prior to the furnishing of the written proxy statement required by Section 6A shall be filed with the Commissioner in preliminary form at least five (5) business days prior to the date definitive copies of such material are first sent or given to such persons, or such shorter period as the Commissioner may authorize upon a showing of good cause.
- F. Notwithstanding the provisions of Sections 6B, two (2) copies of any portion of the annual report referred to in Section 6B which comments upon or refers to any solicitation subject to this section, or to any participant in any solicitation, other than the solicitation by the management, shall be filed with the Commissioner as proxy material subject to this regulation. This portion of the report shall be filed with the Commissioner, in preliminary form, at least five (5) business days prior to the date copies of the report are first sent or given to security holders.

Section 15 Solicitations and Materials Complying With NAIC Model Regulation and Schedules

Notwithstanding the foregoing sections, the Commissioner may permit the solicitation of proxies, consents or authorizations, provided that the manner of solicitation and the form of proxy, proxy statement and other documents used in the solicitation comply with the National Association of Insurance Commissioners' (NAIC) model regulation and schedules.

Section 16 Severability

If any provision of this regulation or the application of it to any person or circumstance is for any reason held to be invalid, the remainder of this regulation shall not be affected.

Section 17 Enforcement

Noncompliance with this regulation may result in the imposition of any of the sanctions made available in the Colorado statutes pertaining to the business of insurance, or other laws, which include the imposition of civil penalties, issuance of cease and desist orders, and/or suspensions or revocation of license, subject to the requirements of due process.

Section 18 Effective Date

This amended regulation shall become effective November 15, 2014.

Section 19 History

Effective February 1, 1972.

Amended, Effective December 31, 1992.

Amended, Effective November 15, 2014.

SCHEDULE A

Item 1. Revocability of Proxy

State whether or not the person giving the proxy has the power to revoke it. If the right of revocation before the proxy is exercised is limited, or is subject to compliance with any formal procedure, briefly describe the limitation or procedure.

Item 2. Dissenters' Rights of Appraisal

Outline briefly any rights of appraisal or similar rights of dissenters with respect to any matter to be acted upon and indicate any statutory procedure required to be followed by dissenting security holders in order to perfect their rights. Where these rights may be exercised only within a limited time after the proposal's date of adoption, the filing of a charter amendment or other similar act, indicate whether the person solicited will be notified of the date.

Item 3. Persons Making the Solicitation

A. Solicitations not subject to Section 14

1. State if the solicitation is made by the issuer. Give the name of any director of the issue who has informed the issuer in writing that the director intends to oppose an action intended to be taken by the issuer and indicate the action which the director intends to oppose.
2. If the solicitation is made by someone other than by the issuer, state the names of the persons by whom and on whose behalf it is made.
3. If the solicitation is to be made by other than the use of the mails, describe the methods to be employed. If the solicitation is to be made by specially engaged employees or paid solicitors, state:
 - a. The material features of any contract or agreement for the solicitation and identify the parties; and
 - b. The cost or anticipated cost.
4. State the names of the persons who will bear the cost of solicitation, directly or indirectly.

B. Solicitations subject to Section 14

1. State who will make the solicitation and describe the methods employed to solicit security holders.
2. If regular employees of the issuer or any other participant in a solicitation have been or are to be employed to solicit security holders, describe the class or classes of employees to be so employed, and the manner and nature of their employment for this purpose.
3. If specially engaged employees, representatives or other persons have been or are to be employed to solicit security holders, state:
 - a. The material features of any contract or arrangement for the solicitation and identify the parties;

- b. The cost or anticipated cost; and
 - c. The approximate number of employees or employees of another person (naming the other person) who will solicit security holders.
- 4. State the total amount estimated to be spent and the total expenditures to date for or in connection with the solicitation of security holders.
- 5. State who will bear the cost of the solicitation. If reimbursement will be sought from the issuer, state whether the question of reimbursement will be submitted to a vote of security holders.
- 6. If a solicitation is terminated pursuant to a settlement between the issuer and another participant in the solicitation, describe the terms of the settlement, including the cost or anticipated cost to the issuer.

Item 4. Interest of Certain Persons in Matters to be Acted Upon

- A. Solicitations not subject to Section 14. Describe briefly any substantial interest, direct or indirect, of each of the following persons in a matter to be acted upon, other than elections to office:
 - 1. If the solicitation is made on behalf of the issuer, each current director or officer of the issuer;
 - 2. If the solicitation is made for other than on the issuer's behalf, any person who would be a participant in a solicitation (except the issuer or an officer, director or nominee of the issuer);
 - a. Each nominee for election as a director of the issuer; and
 - b. Each associate of the foregoing persons.
- B. Solicitations subject to Section 14. Describe briefly any substantial interest, direct or indirect, of each participant (except the issuer) in any matter to be acted upon at the meeting. Include, with respect to each participant, the information required by Items 2A, 2D, 3, 4B, and 4C of Schedule B.

Item 5. Voting Securities and Principal Holders Thereof

- A. State for each class of voting securities of the issuer entitled to be voted at the meeting, the number of shares outstanding and the number of votes to which each class is entitled.
- B. Give the date that the record of security holders entitled to vote at the meeting will be determined. If the right to vote is not limited to security holders of record on that date, indicate the conditions under which other security holders may be entitled to vote.
- C. If action is to be taken with respect to the election of directors and if the persons solicited have cumulative voting rights:
 - 1. Make a statement that they have these rights;
 - 2. Describe the rights;
 - 3. State the conditions precedent to the exercise of these rights; and

4. Indicate if discretionary authority to cumulate votes is solicited.
- D. Furnish the following information as of the most practicable date, in substantially the tabular form indicated, with respect to:
1. A person or group of persons who is known to be the beneficial owner of more than five percent (5%) of any class of securities; and
 2. All directors and nominees, naming them, and directors and officers of the issuer as a group, without naming them.

(1) Title of Class	(2) Name of Beneficial Owner	(3) Amount and Nature of Beneficial Ownership	(4) Percent of Class
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- E. If, to the knowledge of the person on whose behalf the solicitation is made, a change in control of the issuer has occurred since the beginning of its last fiscal year, state:
1. The name of the person or persons who acquired control;
 2. The amount and the source of the consideration used by the person or persons,
 3. The basis of the control;
 4. The date and a description of the transactions that resulted in the change of control;
 5. The percentage of voting securities of the issuer now beneficially owned directly or indirectly by the person or persons who acquired control; and
 6. The identity of the person or persons from whom control was assumed. Describe any arrangements which may at a later date result in a change of control of the issuer.

Item 6. Directors and Executive Officers

If action is to be taken with respect to election of directors, furnish the following information, in tabular form to the extent practicable, about each person nominated for election as a director and each person whose term of office will continue after the meeting. However, if the solicitation is made on behalf of persons other than the issuer, the information required should only be furnished as to nominees of the persons making the solicitation.

- A. Identification of directors and officers. List the names and ages of all directors and officers of the issuer and all persons nominated or chosen to become directors or officers. Indicate all positions and offices with the issuer held by each person; state the term of office as director or officer or both and any period during which the person served. Briefly describe any arrangement or understanding between the person and any other person or persons (naming the persons) pursuant to which the person was or is to be selected as a director, officer or nominee. The information regarding officers does not need to be furnished in proxy or information statements provided that the information is furnished in a separate item in the issuer's annual report to stockholders.

- B. Family relationships. State the nature of a family relationship not more remote than first cousin between a director, officer or person nominated or chosen by the issuer to become a director or officer. State the nature of any family relationship between any such person and an officer or director of any of the issuer's parent companies, subsidiaries or other affiliates.
- C. Business experience. State the principal occupations and employment during the past five (5) years of each director and each person nominated or chosen to become a director or officer and the name and principal business of any corporation or other organization in which the occupations and employment were carried on.
- D. Directorships. Indicate other directorships held by each director or person nominated or chosen to become a director.
- E. Involvement in certain legal proceedings. Describe any legal proceedings that have occurred during the past five (5) years or which are pending that are material to an evaluation of the ability or integrity of any director or nominee for director or officer of the issuer.
- F. Describe any of the following relationships that exist:
 - 1. If the nominee or director is, or has within the last two (2) full fiscal years been an officer, director or employee of, or owns, or has within the last two (2) fiscal years owned, directly or indirectly, an equity interest in any firm, corporation or other business in excess of one percent:
 - a. That has made payments to the issuer or its subsidiaries during the issuer's last full fiscal year or that proposes to make payments to the issuer or its subsidiaries during the current fiscal year in excess of one percent of the issuer's consolidated gross revenues for its last full fiscal year;
 - b. To which the issuer or its subsidiaries were indebted at any time during the issuer's last fiscal year in an aggregate amount in excess of one percent of the issuer's total consolidated assets at the end of the fiscal year;
 - c. To which the issuer or its subsidiaries have made payments during the entity's last fiscal year or to which the issuer or its subsidiaries propose to make payments during the entity's current fiscal year in excess of one percent of the entity's consolidated gross revenues for its last full fiscal year;
 - d. In order to determine whether payments made or proposed to be made exceed one percent of the consolidated gross revenues of any entity other than the issuer for the entity's last full fiscal year, it is appropriate to rely on information provided by the nominee or director;
 - e. In calculating payments for property and services the following may be excluded:
 - (1) Payments where the rates or charges involved in the transaction are determined by competitive bids, or the transaction involves the rendering of services as a public utility at rates or charges fixed in conformity with law or governmental authority;
 - (2) Payments that arise solely from the ownership of securities of the issuer and no extra or special benefit not shared on a pro rata basis by all holders of the class of securities is received;

- f. In calculating indebtedness for purposes of Subparagraph (b) above, debt securities that have been publicly offered, admitted to trading on a national securities exchange or quoted on the automated quotation system of a registered securities association may be excluded.
 - 2. The nominee or director is a member or employee of, or is associated with, a law firm which the issuer has retained in the last two (2) full fiscal years or proposes to retain in the current fiscal year where fees paid or anticipated to be paid by the issuer are material to either the law firm, the issuer or both.
 - 3. The nominee or director is a director, partner, officer or employee of any investment banking firm that has performed services for the issuer other than as a participating underwriter in a syndicate in the last two (2) full fiscal years or which the issuer proposes to have perform services in the current year; or
 - 4. The nominee or director is a control person of the issuer (other than solely as a director of the issuer).
 - a. State whether or not the issuer has standing audit, nominating and compensation committees of the board of directors, or committees performing similar functions. If the issuer has these committees, however designated, identify each committee member, state the number of committee meetings held by each committee during the last fiscal year and describe briefly the functions performed by the committees.
 - b. If the issuer has a nominating or similar committee, state whether the committee will consider nominees recommended by shareholders. If so, describe the procedures to be followed by shareholders in submitting the recommendations.
- G. State the total number of meetings of the board of directors (including regularly scheduled and special meetings) that were held during the last full fiscal year. Name each incumbent director who, during the last full fiscal year, attended fewer than seventy-five percent (75%) of the aggregate of:
 - 1. The total number of meetings of the board of directors (held during the period for which he has been a director); and
 - 2. The total number of meetings held by all committees of the board on which he served (during the periods that he served).
- H. If a director has resigned or declined to stand for re-election to the board of directors since the date of the last annual meeting of shareholders because of a disagreement with the issuer on any matter relating to the issuer's operations, policies or practices, and if the director has furnished the issuer with a letter describing that disagreement and requesting that the matter be disclosed, the issuer shall state the date of resignation or declination to stand for re-election and summarize the director's description of the disagreement. If the issuer believes that the description provided by the director is incorrect or incomplete, it may include a brief statement presenting its views of the disagreement.
 - 1. With respect to those classes of voting stock that participated in the election of directors at the most recent meeting where directors were elected:
 - a. State the percentage of shares present at the meeting and voting or withholding authority to vote in the election of directors; and

- b. Disclose in tabular format, the percentage of total shares cast for and withheld from the vote for or, where applicable, cast against, each nominee, which, respectively, were voted for and withheld from the vote for, or voted against, the nominee.
2. When groups of classes or series of classes vote together in the election of a director or directors, they shall be treated as a single class for the purpose of Paragraph (1)(b).

Instructions:

1. Calculate the percentage of shares present at the meeting and voting or withholding authority to vote in the election of directors, referred to in Subsection J(1)(a), by dividing the total shares cast for and withheld from the vote for or, where applicable, voted against, the director for whom the highest aggregate number of shares was cast by the total number of shares outstanding that were eligible to vote as of the record date for the meeting.
2. No information need be given in response to Item 6J unless, with respect to any class of voting stock (or group of classes which voted together), five percent (5%) or more of the total shares cast for and withheld from the votes for or, where applicable, cast against any nominee were withheld from the vote for or cast against the nominee.
3. If an issuer elects less than the entire board of directors annually, disclosure is required for all directors if five percent (5%) or more of the total shares cast for and withheld from, the vote for or, where applicable, cast against an incumbent director were withheld from, or cast against, the vote for the director at the meeting where the person was most recently elected.
4. No information must be given in response to Item 6J if the issuer has previously furnished to its security holders a report of the results of the most recent meeting of security holders where directors were elected which includes:
 - a. A description of each matter voted upon at the meeting and a statement of the percentage of the shares voting that were voted for and against each matter; and
 - b. The information that would be called for by this Item 6J.
 - c. If an issuer has previously furnished the results to its security holders, this fact should be stated in a letter accompanying the filing of preliminary proxy materials with the Commissioner.

Item 7. Remuneration of Directors and Officers

Furnish the following information if action is to be taken concerning (i) the election of directors; (ii) any bonus, profit sharing or other remuneration plan, contract or arrangement that a director, nominee for election as a director or officer of the issuer will participate; (iii) a pension or retirement plan where a person will participate; or (iv) the granting or extension to a person of any options, warrants or rights to purchase securities, other than warrants or rights issued to security holders on a pro rata bases. If the solicitation is made on behalf of persons other than the issuer, the information required need be furnished only as to nominees of the person making the solicitation and associates of the nominees.

- A. Current remuneration. Furnish the information required in the table below, in substantially the tabular form specified, concerning all remuneration of the following persons and groups for services in all capacities to the issuer and its subsidiaries during the issuer's last fiscal year or, in specified instances, certain prior fiscal years:

1. Five (5) officers or directors. Name each of the five (5) most highly compensated officers or directors of the issuer who have a total remuneration required to be disclosed in Columns C1 and C2 below that would exceed \$50,000; and
2. All officers or directors. All officers and directors of the issuer as a group, stating the number of persons in the group without naming them.

3. Specified Tabular Format

(A) Name of individual or number of persons in groups	(B) Capacities in which served	(C) Cash and cash equivalent forms of remuneration	(D) Aggregate of contingent forms of remuneration
		(C-1) Salaries, fees, directors' fees, commissions, and bonuses	(C-2) Securities of property, insurance benefits or reimbursements, personal benefits

4. Information to be Included. Columns C-1, C-2, and D of the table should contain with respect to each person or group of persons specified in Subparagraphs A(1) and A(2) of this Item 7 a dollar amount that reflects the total of all items of remuneration described in the heading to that column including, but not necessarily limited to, those items set forth in the subparagraphs of that column.

COLUMN C Include all cash and cash equivalent forms of remuneration received during the fiscal year and all amounts accrued during the fiscal year which, with reasonable certainty, will be distributed or vested in the future.		COLUMN D Include all contingent forms of remuneration, vesting and measurement of which is subject to future events. Report only amounts relating to the latest fiscal year, not amounts accrued in previous periods.	
COLUMN C-1 Salaries, Bonuses, Fees and Commissions 1. All cash remuneration distributed or accrued in the form of salaries, commissions, bonuses and fees for services rendered. 2. Compensation earned for services performed in the latest fiscal year even if it is deferred for future payment. 3. Payments received in the latest fiscal year but earned in prior years that were deferred until the latest year, if the amounts were not shown in an earlier proxy statement or annual report to stockholders.	COLUMN C-2 Securities, Property Insurance Benefits or Reimbursements, Personal Benefits 1. Spread between the acquisition price, if any, and fair market price of securities or property acquired under any contract, plan or arrangement. 2. Cost of any life insurance premiums, health insurance premiums and medical reimbursement plans. Premiums for nondiscriminatory plans generally available to all salaried employees are excluded. 3. Personal benefits (perquisites) not directly related to job performance, excluding benefits provided on a nondiscriminatory basis, valued on the basis of cost to the issuer of providing the	1. Amount expensed for financial reporting purposes representing non-vested contributions, payments or accruals under any pension or retirement plans, annuities, employment contracts deferred compensation plans including IRS qualified plans, unless the amount for the individual cannot be separated, in which case a footnote is required indicating the percentage that contributions to the plan bear to participants' total remuneration. 2. The amount expensed for financial reporting purposes under any incentive plans (long-term income plans), such as stock	

	benefits. a. If unreasonable effort or expense is required to determine the amounts of personal benefits, they may be omitted if their aggregate value does not exceed \$10,000 for each officer. b. If the amount of personal benefits exceed ten percent (10%) of the total remuneration or \$25,000, whichever is less, the amount and a brief description of the benefits must be disclosed in a footnote. 4. Vested company contributions to thrift, profit, sharing, pension stock purchase and similar plans.	appreciation rights, stock options, performance share plans, where payout is based on objective standards or stock values. In subsequent years, if the corporation credits compensation expense for financial reporting purposes as a result of a decline in the value of contingent compensation, Column D may be reduced by a corresponding amount. A footnote explaining the action should be included 3. The amount expensed for financial reporting purposes for any non-vested contribution payment or accrual to stock purchase plans, profit sharing, and thrift plans whether or not they are qualified under the Internal Revenue Code.
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5. Transactions with third parties. Item 7A, among other things, includes transactions between the issuer and a third party when the primary purpose of the transaction is to furnish remuneration to the persons specified in Item 7A. Other transactions between the issuer and third parties in which persons specified in Item 7A have an interest, or may realize a benefit, generally are addressed by other disclosure requirements concerning the interest of management and others in certain transactions. Item 7A does not require disclosure of remuneration paid to a partnership in which any officer or director was a partner; these transactions should be disclosed pursuant to these other disclosure requirements, and not as a note to the remuneration table presented pursuant to Item 7A.

6. Other permitted disclosure. The issuer may provide additional disclosure through a footnote to the table, through additional columns or otherwise, describing the components of aggregate remuneration in greater detail as is appropriate.

B. Proposed remuneration.

1. Briefly describe all remuneration payments proposed to be made in the future, pursuant to any existing plan or arrangement to the persons and groups specified in Item 7A. As to defined benefit or actuarial plans with respect to amounts not included in the table, include a separate table showing the estimated annual benefits payable upon retirement to persons in specified remuneration and years-of-service classifications.
2. Information does not need to be furnished with respect to any group life, health, hospitalization or medical reimbursement plans that do not discriminate in favor of officers or directors of the issuer and that are available generally to all salaried employees.

C. Remuneration of directors. Describe any standard or special arrangements, stating amounts, by which directors of the issuer are compensated for services as a director.

D. Options, warrants or rights.

Furnish the information required by the following table for all options to purchase securities from the issuer or its subsidiaries that were granted to or exercised by the persons and groups specified in Item 7A since the beginning of the issuer's last fiscal year and as to all options held by these persons as of the latest practicable date:

The following tabulation shows as to certain directors and officers and as to all directors and officers as a group:

1. The amount of options granted since the beginning of the issuer's last full fiscal year;
2. The amount of shares acquired since that date through the exercise of options;
3. The amount of shares of the same class sold during the period; and
4. The amount of shares subject to all unexercised options held as of the most recent possible date.

Title of Securities	Name	Name	Name	All directors and officers as a group
Granted-20[] to date:				
Number of shares				
Average per share option price	\$	\$	\$	\$
Exercised-20[] to date:				
Number of shares				
Aggregate option price of options exercised	\$	\$	\$	\$
Aggregate market value of shares on date options exercised	\$	\$	\$	\$
Sales-20[] to date:				
Number of shares				
Unexercised at 20[]:				
Number of shares				**
Average per share option price	\$	\$	\$	\$

In addition, during the period employees were granted options for ____ shares at an average price per share of \$____.

**Sales by directors and officers who exercised options during the period 20[] to date.

Instructions:

- A. All figures should be adjusted, where applicable, in accordance with the terms of the options to reflect stock splits and to give effect to share dividends.

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- B. Other tabular presentations are acceptable if they include the necessary data. Tabular presentation may not be needed if only a very few options have been granted
1. Where the total market value on the granting dates of the securities called for by all options granted during the period specified does not exceed \$10,000 for any officer or director named in answer to Item 7A, or \$40,000 for all officers and directors as a group, this item need not be answered with respect to options granted to a person or group.
 2. Where the total market value on the dates of purchase of all securities purchased through the exercise of options during the period specified does not exceed \$10,000 for a person or \$40,000 for a group, this item does not need to be answered with respect to options exercised by a person or group.
 3. Where the total market value as of the latest practicable date of the securities called for by all options held at the time does not exceed \$10,000 for a person or \$40,000 for a group, this item does not need to be answered with respect to options held as of the specified date by a person or group.
 - a. The term "options" as used in Subsection D includes all options, warrants or rights, other than those issued to security holders as such on a pro rata basis. Where the average option price per share is called for, the weighted average price per share shall be given.
 - b. The extension, regranting or material amendment of options shall be deemed the granting of options within the meaning of this paragraph.
 - c. If the options relate to more than one class of securities, the information shall be given separately for each class.
- E. Indebtedness of management.
1. State for each director or officer of the issuer, each nominee for election as a director, and each associate of a director, officer or nominee who was indebted to the issuer or its subsidiaries at any time since the beginning of the last fiscal year of the registrant:
 - a. The largest aggregate amount of indebtedness outstanding at any time during the period,
 - b. The nature of the indebtedness outstanding and the transaction in which it was incurred,
 - c. The amount outstanding as of the latest practicable date; and
 - d. The rate of interest paid or charged.
 2. Subsection E does not apply to:
 - a. Any person whose aggregate indebtedness did not exceed \$10,000 or one percent of the issuer's total assets, whichever is less, at any time during the period specified; or
 - b. Indebtedness under an insurance policy.
- F. Transactions with management.

1. Describe briefly any transaction since the beginning of the issuer's last fiscal year or any presently proposed transactions, to which the issuer or any of its subsidiaries was or is to be a party, in which any of the following persons had or is to have a direct or indirect material interest, naming the person and stating the relationship to the issuer, the nature of the interest in the transaction and, where practicable, the amount of the interest.
 - a. A director or officer of the issuer;
 - b. A nominee for election as a director;
 - c. A security holder who is known to the issuer to own of record or beneficially more than ten percent (10%) of any class of the issuer's voting securities; and
 - d. A relative or spouse of any of the foregoing persons, or any relative of the spouse, who has the same home as the person or who is a director or officer of a parent or subsidiary of the issuer.
2. Also, describe briefly any material legal proceedings in which a person is an adverse party to the issuer or any of its subsidiaries or has an adverse material interest to the issuer or any of its subsidiaries.
3. Information does not need to be given in response to this Item 7F as to any remuneration or other transaction reported in response to Item 7A, B, C, D or E, or as to any transaction with respect to which information may be omitted pursuant to these items.
4. Information does not need to be given in answer to this Item 7F for any transaction where:
 - a. The rates or charges involved in the transaction are determined by competitive bids, or at rates or charges fixed in conformity with law or governmental authority;
 - b. The transaction involves services as a bank depository of funds, transfer agent, registrar, trustee under a trust indenture, or similar services;
 - c. The amount involved in the transaction or series of similar transactions, including all periodic installments in the case of any lease or other agreement providing for periodic payments or installments, does not exceed \$40,000; or
 - d. The interest of the specified person arises solely from the ownership of securities of the issuer and the specified person receives no extra or special benefit not shared on a pro rata basis by all holders of securities of the class.
5. It should be noted that this item calls for disclosure of indirect, as well as direct, material interests in transactions. A person who has a position or relationship with a firm, corporation or other entity, which engages in a transaction with the issuer or its subsidiaries, may have an indirect interest in the transaction by reason of the position or relationship. However, a person shall be deemed not to have a material indirect interest in a transaction within the meaning of this Item 7F where:
 - a. The interest arises only (i) from the person's position as a director of another corporation or organization (other than a partnership) which is a party to the transaction, or (ii) from the direct or indirect ownership by the person and all other persons specified in Item 7F of less than a ten percent (10%) equity interest in another person (other than a partnership) which is a party to the transaction, or (iii) from both the position and ownership;

- b. The interest arises only from the person's position as a limited partner in a partnership in which he and all other persons specified in Item 7F had an interest of less than ten percent (10%); or
- c. The interest of the person arises solely from the holding of an equity interest (including a limited partnership interest but excluding a general partnership interest) or a creditor interest in another person which is a party to the transaction with the issuer or any of its subsidiaries and the transaction is not material to the other person.

Instructions:

In describing any transaction involving the purchase or sale of assets by or to the issuer or any of its subsidiaries, other than in the ordinary course of business, state the cost of the assets to the purchaser and, if acquired by the seller within two (2) years prior to the transaction, the cost to the seller. Indicate the principle followed in determining the issuer's purchase or sale price and the name of the person making the determination.

Information shall be furnished in answer to this Item with respect to transactions not excluded above which involve remuneration from the issuer or its subsidiaries, directly or indirectly, to any of the specified persons for services in any capacity unless the interest of these persons arises solely from the ownership individually and in the aggregate of less than ten percent (10%) of any class of equity securities of another corporation furnishing the services to the issuer or its subsidiaries.

G. Transactions with pension or similar plans.

- 1. Describe briefly any transactions since the beginning of the issuer's last fiscal year, or any presently proposed transactions, to which any pension, retirement, savings or similar plan provided by the issuer, or any of its parents or subsidiaries was or is to be a part, in which any of the persons specified in Item 7F or the issuer or any of its subsidiaries had or is to have a direct or indirect material interest naming the person and stating his relationship to the issuer, the nature of his interest in the transaction and, where practicable, the amount of the interest.
- 2. Information does not need to be given in answer to Subsection G with respect to:
 - a. Payments to the plan, or payments to beneficiaries, pursuant to the terms of the plan;
 - b. Payment of remuneration for services not in excess of five percent (5%) of the aggregate remuneration received by the specified person during the issuer's last fiscal year from the issuer and its subsidiaries; or
 - c. Any interest of the issuer or any of its subsidiaries that arises solely from its general interest in the success of the plan.

Instructions:

Subparagraph 3 to Item 7F shall apply to this Item 7G.

Without limiting the general meaning of the term "transaction" there shall be included in the answer to this item any remuneration received or any loans received or outstanding during the period, or proposed to be received.

Item 8. Matters Related to Accounting

If the solicitation is made on behalf of the issuer and relates to an annual meeting of security holders at which directors are to be elected, or financial statements are included, furnish the following information:

- A. State if the issuer's financial statements are not certified by independent public or certified accountants.
- B. State if the board of directors has no audit or similar committee.
- C. If the issuer's financial statements are certified by independent public or certified accountants, state that fact and provide the following information:
 - 1. The name of the principal accountant selected or being recommended to shareholders for election, approval or ratification for the current year. If no accountant has been elected or recommended, so state and briefly describe the reasons.
 - 2. The name of the principal accountant for the fiscal year most recently completed if different from the accountant selected or recommended for the current year or if no accountant has been elected or recommended for the current year.
 - 3. State if a change or changes in accountants have taken place since the date of the proxy statement for the most recent annual meeting of shareholders. If, in connection with the change, a material disagreement in connection with financial disclosure between the accountant and issuer has occurred, the disagreement shall be described. Prior to filing the preliminary proxy materials with the Commissioner that contain or amend the description, the issuer shall furnish the description of the disagreement to the accountant with whom the disagreement has occurred. If that accountant believes that the description of the disagreement is incorrect or incomplete, the accountant may include a brief statement, not to exceed 200 words, in the proxy statement presenting his or her view of the disagreement. This statement shall be submitted to the issuer within ten (10) business days of the date the accountant receives the issuer's descriptions.
 - 4. The proxy statement shall indicate whether or not representatives of the principal accountants for the current year and for the most recently completed fiscal year are expected to be present at the stockholders' meeting with the opportunity to make a statement if they desire to do so and whether or not the representatives are expected to be available to respond to appropriate questions.
 - 5. If a change in accountants has taken place since the date of the proxy statement for the most recent annual meeting of shareholders, state whether the change was recommended or approved by:
 - (a) An audit or similar committee of the board of directors, if the issuer has this committee; or
 - (c) The board of directors, if the issuer has no committee.
- D. For the fiscal year most recently completed, describe each professional service provided by the principal accountant and state the percentage relationship that the aggregate of the fees for all nonaudit services bear to the audit fees and, except as provided below, state the percentage relationship that the fee for each nonaudit service bears to the audit fees. Indicate whether, before each professional service provided by the principal accountant was rendered, it was approved by, and the possible effect on the independence of the accountant was considered by:

1. An audit or similar committee of the board of directors; and
2. The board of directors for a service not approved by an audit or similar committee.

Instructions:

For purposes of this subsection, all fees for services provided in connection with the audit function (e.g. reviews of quarterly reports) may be computed as part of the audit fees. Indicate which services are reflected in the audit fees computation.

If the fee for any non-audit service is less than three percent (3%) of the audit fees, the percentage relationship does not need to be disclosed.

Each service should be specifically described. Broad general categories such as "tax matters" or "management advisory services" are not sufficiently specific.

Describe the circumstances and give details of any services provided by the issuer's independent accountant during the latest fiscal year that were furnished at rates or terms that were not customary.

Describe any existing direct or indirect understanding or agreement that places a limit on current or future years' audit fees, including fee arrangements that provide fixed limits on fees that are not subject to reconsideration if unexpected issues involving accounting or auditing are encountered. Disclosure of fee estimates is not required.

Item 9. Bonus, Profit Sharing and Other Remuneration Plans: Pension and Retirement Plans

If action is to be taken with respect to any bonus, profit sharing or other remuneration plan or any pension or retirement plan, furnish the following information:

- A. Describe briefly the material features of the plan, identify each class of persons who will participate, indicate the approximate number of persons in each class and state the basis of the participation.
- B. Furnish the information, in addition to that required by this item and Item 7, as may be necessary to describe adequately the provisions already made pursuant to all bonus, profit sharing, pension, retirement, stock option, stock purchase, deferred compensation or other remuneration or incentive plans, now in effect or in effect within the past five (5) years, for:
 1. Each director or officer named in answer to Item 7A who may participate in the plan to be acted upon;
 2. All present directors and officers of the issuer as a group, if any director or officer may participate in the plan; and
 3. All employees, if employees may participate in the plan.
- C. If the plan to be acted upon can be amended otherwise than by a vote of stockholders, to increase the cost thereof to the issuer or to alter the allocation of the benefits as between the directors and officers on the one hand and employees on the other, state the nature of the amendments which can be made.
- D. With regard to any bonus, profit sharing or other remuneration plan, on which action is to be taken, furnish the following information:

1. State separately the amounts which would have been distributable under the plan during the last fiscal year of the issuer:
 - a. To directors and officer, and
 - b. To employees if the plan had been in effect.
 2. State the name and position with the issuer of each person specified in Item 7A who will participate in the plan and the amount each person would have received under the plan for the last fiscal year of the issuer if the plan had been in effect.
- E. With regard to any pension or retirement plan on which action is to be taken, furnish the following information:
1. State:
 - a. The approximate total amount necessary to fund the plan with respect to past services, the period over which the amount is to be paid and the estimated annual payments necessary to pay the total amount over the period;
 - b. The estimated annual payment to be made with respect to current services; and
 - c. The amount of the annual payments to be made for the benefit of directors and officers, and
 - d. Employees.
 2. State:
 - a. The name and position with the issuer of each person specified in Item 7A who will be entitled to participate in the plan;
 - b. The amount which would have been paid or set aside by the issuer and its subsidiaries for the benefit of the person for the last fiscal year of the issuer if the plan had been in effect; and
 - c. The amount of the annual benefits estimated to be payable to the person in the event of retirement at normal retirement date.

Instructions:

- A. If action is to be taken with respect to the amendment or modification of an existing plan, the item shall be answered with respect to the plan as proposed to be amended or modified and shall indicate any material differences from the existing plan.
- B. The following instruction shall apply to Subsection B:
 1. Information need only be given with respect to benefits received or set aside within the past five (5) years.
 2. Information does not need to be included as to payments made for, or benefits to be received from, group life or accident insurance, group hospitalization or similar group payments or benefits.

3. If action is to be taken with respect to any plan in which directors or officers may participate, the information called for by Item 7D shall be furnished for the last five (5) fiscal years of the issuer and any period after the end of the latest fiscal year, in aggregate amounts for the entire period for each person and group. If any named person, or any other director or officer, purchased securities through the exercise of options during period, state the aggregate amount of securities of that class sold during the period by the named person and by the named person and other directors and officers as a group. The information called for by this instruction is in lieu of the information since the beginning of the issuer's last fiscal year called for by Item 7D. If employees may participate in the plan to be acted upon, state the aggregate amount of securities called for by all options granted to employees during the five (5) year period and, if the options were other than "restricted" or "qualified" stock options or options granted pursuant to an "employee stock purchase plan," as the quoted terms are defined in Sections 422 through 424 of the Internal Revenue Code, state that fact and the weighted average option price per share. The information called for by this instruction may be furnished in the form of the table set forth in Item 7D.
- C. If the plan to be acted upon is set forth in a written document, three (3) copies shall be filed with the Commissioner at the time preliminary copies of the proxy statement and form of proxy are filed.
- D. The information called for by Subsection E(1)(c) or E(2)(b) of this Item 9 does not need to be given as to payments made on an actuarial basis pursuant to any group pension plan that provides for fixed benefits in the event of retirement at a specified age or after a specified number of years of service.

Item 10. Options, Warrants or Rights

If action is to be taken with respect to the granting or extension of any options to purchase securities of the issuer or any subsidiary, furnish the following information:

- A. State:
 1. The title and amount of securities called for or to be called for by the options;
 2. The prices, expiration dates and other material conditions upon which the options may be exercised;
 3. The consideration received or to be received by the issuer or subsidiary for the granting or extension of the options;
 4. The market value of the securities called for or to be called for by the options as of the latest practicable date; and
 5. In the case of options, the federal income tax consequences of the issuance and exercise of the option to the recipient and to the issuer.
 1. State separately the amount of options received or to be received by the following persons, naming each person:
 - (a) Each director or officer named in answer to Item 7A;
 - (b) Each nominee for election as a director of the issuer;
 - (c) Each associate of the directors, officers, or nominees; and

- (d) Each other person who received or is to receive ten percent (10%) or more of the options.
 - 2. State the total amount of the options received or to be received by all directors and officers of the issuer as a group, without naming them.
- B. Furnish the information, in addition to that required by this item and Item 7, necessary to describe adequately the provisions already made pursuant to all bonus, profit sharing, pension, retirement, stock option, stock purchase, deferred compensation, or other remuneration or incentive plans, now in effect or in effect within the past five (5) years, for:
- 1. Each director or officer named in answer to Item 7A who may participate in the plan to be acted upon;
 - 2. All present directors and officers of the issuer as a group, if any director or officer may participate in the plan; and
 - 3. All employees, if employees may participate in the plan.

Instructions:

- A. For the purpose of this Item 10 the term option includes any option, warrant or right.
- B. Paragraphs B and C do not apply to warrants or rights to be issued to security holders on a pro rata basis.
- C. Instruction 2 to Item 9 shall also apply to Paragraph C of this item.
- D. If the options described in answer to this item are issued pursuant to a plan which is set forth in a written document, three (3) copies shall be filed with the Commissioner at the time preliminary copies of the proxy statement and form of proxy are filed.

Item 11. Authorization or Issuance of Securities Otherwise than for Exchange

If action is to be taken with respect to the authorization or issuance of any securities otherwise than for exchange for outstanding securities of the issuer, furnish the following information:

- A. State the title and amount of securities to be authorized or issued.
- B. If the securities are other than additional shares of common stock of a class outstanding, furnish a brief summary of the following, if applicable: dividend, voting, liquidation, preemptive and conversion rights, redemption and sinking fund provisions, interest rate and date of maturity.
- C. Describe briefly the transaction in which the securities are to be issued, including a statement as to:
 - 1. The nature and approximate amount of consideration received or to be received by the issuer, and
 - 2. The approximate amount devoted to each purpose, as far as is determinable, for which the net proceeds have been or are to be used. If it is impracticable to describe the transaction in which the securities are to be issued, state the reason, indicate the purpose of the authorization of the securities, and state whether further authorization for the issuance of the securities by a vote of security holders will be solicited prior to issuance.

- D. If the securities are to be issued otherwise than in a general public offering for cash, state the reasons for the proposed authorization or issuance and the general effect upon the rights of existing security holders.

Item 12. Modification or Exchange of Securities

If action is to be taken with respect to the modification of any class of securities of the issuer, or the issuance or authorization for issuance of securities of the issuer in exchange for outstanding securities of the issuer, furnish the following information:

- A. If outstanding securities are to be modified, state the title and amount thereof. If securities are to be issued in exchange for outstanding securities, state the title and amount of securities to be so issued, the title and amount of outstanding securities to be exchanged therefor and the basis of the exchange.
- B. Describe any material differences between the outstanding securities and the modified or new securities.
- C. State the reasons for the proposed modification or exchange and the general effect upon the rights of existing security holders.
- D. Furnish a brief statement as to arrears in dividends or as to defaults in principal or interest in respect to the outstanding securities which are to be modified or exchanged and other information appropriate in the particular case to disclose adequately the nature and effect of the proposed action.
- E. Outline briefly any other material features of the proposed modification or exchange. If the plan of proposed action is set forth in a written document, file copies thereof with the Commissioner at the time the preliminary proxy material is filed.

Item 13. Mergers, Consolidations, Acquisitions and Similar Matters

Furnish the following information if action is to be taken with respect to any plan for (i) the merger or consolidation of the issuer into or with another person or of another person into or with the issuer; (ii) the acquisition by the issuer or any of its security holders of securities of another issuer; (iii) the acquisition by the issuer of another going business or of the assets thereof; (iv) the sale or other transfer of all or any substantial part of the assets of the issuer; or (v) the liquidation or dissolution of the issuer:

- A. Outline briefly the material features of the plan. State the reasons therefor and the general effect thereof upon the rights of existing security holders. If the plan is set forth in a written document, file three (3) copies thereof with the Commissioner at the time preliminary copies of the proxy statement and form of proxy are filed.
- B. Furnish the following information as to the issuer and each person which is to be merged into the issuer or into or with which the issuer is to be merged or consolidated or the business or assets that are to be acquired or which is the issuer of securities to be acquired by the issuer in exchange for all or a substantial part of its assets or to be acquired by security holders of the issuer. What is required is information essential to an investor's appraisal of the action proposed to be taken.
 - 1. Describe briefly the business of the person.

2. State the location and describe the general character of the plants and other important physical properties of the person. The description is to be given from an economic and business standpoint, as distinguished from a legal standpoint. Portfolio or investment assets of an insurer do not need to be disclosed.
3. Furnish a brief statement as to dividends in arrears or defaults in principal or interest in respect of any securities of the issuer or of the person, and as to the effect of the plan thereon and other information as may be appropriate in the particular case to disclose adequately the nature and effect of the proposed action.
4. Furnish a tabulation in columnar form showing the existing and the pro forma capitalization.
5. Furnish in columnar form for each of the last five (5) fiscal years a historical summary of earnings and show per share amounts of net earnings, dividends declared for each year and book value per share at the end of the latest period.
6. Furnish in columnar form for each of the last five (5) fiscal years a combined pro forma summary of earnings, as appropriate in the circumstances, indicating the aggregate and pre-share earnings for each year and the pro forma book value per share at the end of the latest period. If the transaction establishes a new basis of accounting for assets of any of the persons included, the pro forma summary of earnings shall be furnished only for the most recent fiscal year and interim period and shall reflect appropriate pro forma adjustments resulting from the new basis of accounting.
7. To the extent material for the exercise of prudent judgment in regard to the matter to be acted upon, furnish the historical and pro forma earnings data specified in (5) and (6) above for interim periods of the current and prior fiscal years, if available.

Instructions:

Subparagraph B of this Item 13 shall not apply if the plan described in answer to Paragraph A involves only the issuer and one or more of its totally-held subsidiaries.

- C. As to each class of securities of the issuer, or of any person specified in Paragraph B, which is admitted to dealing on a national securities exchange or with respect to which a market otherwise exists, and that will be materially affected by the plan, state the high and low sale prices (or, in the absence of trading in a particular period, the range of the bid and asked prices) for each quarterly period within two (2) years. This information may be omitted if the plan involves merely the liquidation or dissolution of the issuer.

Item 14. Financial Statements

- A. If action is to be taken with respect to any matter specified in Items 11, 12, or 13, furnish financial statements of the issuer and its subsidiaries complying with the requirements of Section 4B(1), (2) and (3) of the regulation including schedules of supplementary profit and loss information. The statements may be omitted with respect to a plan described in answer to Item 13 if the plan involves only the issuer and one or more of its totally-held subsidiaries.
- B. If action is to be taken with respect to any matter specified in Item 13B, furnish for each person specified, other than the issuer, financial statements complying with the requirements of Section 4B(1), (2) and (3) of the regulation.

- C. The Commissioner may, upon the request of the issuer, permit the omission of any of the statements herein required where the statements are not necessary for the exercise of prudent judgment in regard to any matter to be acted upon, or may permit the filing in substitution of appropriate statements of comparable character. The Commissioner may also require the filing of other statements in addition to, or in substitution for, the statements required in any case where the statements are necessary or appropriate for an adequate presentation of the financial condition of any person whose financial statements are required, or whose statements are otherwise material for the exercise of prudent judgment in regard to any matter to be acted upon. In the usual case, financial statements are deemed material to the exercise of prudent judgment where the matter to be acted upon is authorization or issuance of a material amount of senior securities, but are not deemed material where the matter to be acted upon is the authorization or issuance of common stock, otherwise than in an exchange, merger or consolidation, acquisition or similar transaction.
- C. The proxy statement may incorporate by reference any financial statements contained in an annual report sent to security holders with respect to the same meeting as that to which the proxy statement relates, provided the financial statements substantially meet the requirements of this item.

Item 15. Acquisition or Disposition of Property

If action is to be taken with respect to the acquisition or disposition of any property, furnish the following information:

- A. Describe briefly the general character and location of the property.
- B. State the nature and amount of consideration to be paid or received by the issuer or any subsidiary. To the extent practicable outline briefly the facts bearing upon the question of the fairness of the consideration.
- C. State the name and address of the transferor or transferee, as the case may be, and the nature of any material relationship of the person to the issuer or an affiliate of the issuer.
- D. Outline briefly any other material features of the contract or transaction.

Item 16. Restatement of Accounts

If action is to be taken with respect to the restatement of any asset, capital or surplus account of the issuer, furnish the following information:

- A. State the nature of the restatement and the date as of which it is to be effective.
- B. Outline briefly the reasons for the restatement and for the selection of the particular effective date.
- C. State the name and amount of each account (including any reserve accounts) affected by the restatement and the effect of the restatement thereon. Tabular presentation of the amounts shall be made when appropriate, particularly in the case of recapitalizations.
- D. To the extent practicable, state whether and the extent, if any, to which the restatement will, as of the date thereof, alter the amount available for distribution to the holders of equity securities.

Item 17. Action with Respect to Reports

If action is to be taken with respect to any report of the issuer or of its directors, officers or committees or any minutes of meetings of its stockholders, furnish the following information:

- A. State whether or not the action is to constitute approval or disapproval of any of the matters referred to in the reports or minutes.
- B. Identify each of the matters which it is intended will be approved or disapproved and furnish the information required by the appropriate item or items of this schedule with respect to each matter.

Item 18. Matters Not Required to be Submitted

If action is to be taken with respect to any matter which is not required to be submitted to a vote of security holders, state the nature of the matter, the reasons for submitting it to a vote of security holders and what action is intended to be taken by the management in the event of a negative vote on the matter by the security holders.

Item 19. Amendment of Charter, Bylaws or Other Documents

If action is to be taken with respect to any amendment of the issuer's charter, bylaws or other documents as to which information is not required above, state briefly the reasons for and general effect of the amendment.

Note: Where the matter to be acted upon is the classification of directors, state whether vacancies which occur during the year may be filled by the board of directors to serve only until the next annual meeting or may be so filled for the remainder of the full term.

Item 20. Other Proposed Action

If action is to be taken with respect to any matter not specifically referred to above describe briefly the substance of each matter in substantially the same degree of detail as is required by Items 5 to 19.

Item 21. Vote Required for Approval

As to each matter that is to be submitted to a vote of security holders, other than elections to office or the selection or approval of auditors, state the vote required for its approval.

SCHEDULE B

**INFORMATION TO BE INCLUDED IN STATEMENTS FILED BY OR ON BEHALF OF A PARTICIPANT
(OTHER THAN THE ISSUER) IN A PROXY SOLICITATION IN AN ELECTION CONTEST**

Item 1. Issuer

State the name and address of the Issuer.

Item 2. Identity and Background

- A. State the following:
1. Your name and business address,
 2. Your present principal occupation or employment and the name, principal business and address of any corporation or other organization in which the employment is carried on.
- B. State the following:
1. Your residence address,
 2. Information as to all material occupations, positions, offices or employments during the last ten (10) years, giving starting and ending dates of each and the name, principal business and address of any business corporation or other business organization in which each occupation, position, office or employment was carried on.
- C. State whether or not you are or have been a participant in any other proxy contest involving this company or other companies within the past ten (10) years. If so, identify the principals, the subject matter and your relationship to the parties and the outcome.
- D. State whether or not, during the past ten (10) years, you have been convicted in a criminal proceeding (excluding traffic violations or similar misdemeanors) and, if so, give dates, nature of conviction, name and location of court, and penalty imposed or other disposition of the case. A negative answer to this sub-item does not need to be included in the proxy statement or other proxy soliciting material.

Item 3. Interest in Securities of the Issuer

- A. State the amount of each class of securities of the issuer that you own beneficially, directly or indirectly.
- B. State the amount of each class of securities of the issuer that you own of record but not beneficially.
- C. State with respect to all securities of the issuer purchased or sold within the past two (2) years, the dates when they were purchased or sold and the amount purchased or sold on each date.
- D. State if any part of the purchase price or market value of any of the securities specified in Subsection C is represented by funds borrowed or otherwise obtained for the purpose of acquiring or holding securities. Indicate the amount of the indebtedness as of the latest practicable date. If funds were borrowed or obtained otherwise than pursuant to a margin account or bank loan in the regular course of business of a bank, broker or dealer, briefly describe the transaction and state the names of the parties.

- E. State whether or not you are a party to any contracts, arrangements or understandings with any person with respect to any securities of the issuer including but not limited to joint ventures, loan or option arrangements, puts or calls guarantees against losses or guarantees of profits, division of losses or profits, or the giving or withholding of proxies. If so, name the persons with whom some contracts, arrangements or understandings exist and give the details thereof.
- F. State the amount of securities of the issuer owned beneficially, directly or indirectly, by each of your associates and the name and address of each associate.
- G. State the amount of each class of securities of any parent, subsidiary or affiliate of the issuer that you own beneficially, directly or indirectly.

Item 4. Further Matters

- A. Describe the time and circumstances under which you became a participant in the solicitation and state the nature and extent of your activities or proposed activities as a participant.
- B. Describe briefly, and where practicable state the approximate amount of any material interest, direct or indirect, of yourself and of each of your associates in any material transactions since the beginning of the company's last fiscal year, or in any material proposed transactions, to which the company or any of its subsidiaries or affiliates was or is to be a party.
- C. State whether or not you or any of your associates have any arrangement or understanding with any person:
1. With respect to any future employment by the issuer or its subsidiaries or affiliates; or
 2. With respect to any future transactions to which the issuer or any of its subsidiaries or affiliates will or may be a party.

If so, describe the arrangement or understanding and state the names of the parties.

Item 5. Signature

The statement shall be dated and signed in the following manner:

I certify that the statements made in this statement are true, complete and correct to the best of my knowledge and belief.

(Date)

(Signature of participant or authorized representative)

SCHEDULE C

INFORMATION REQUIRED IN INFORMATION STATEMENT

Note: Where any item, other than Item 5, calls for information with respect to any matter to be acted upon at the meeting, the item need be answered only with respect to proposals to be made by the issuer.

Item 1. Information Required by Items of Schedule A

Furnish the information called for by all of the items of Schedule A (other than Items 1, 3 and 4) that would be applicable to any matter to be acted upon at the meeting if proxies were to be solicited in connection with the meeting.

Item 2. Statement That Proxies Are Not Solicited

The following statement shall be set forth on the first page of the information statement in bold face type:

“WE ARE NOT ASKING YOU FOR A PROXY AND YOU ARE REQUESTED NOT TO SEND US A PROXY.”

Item 3. Date, Time and Place of Meeting

State the date, time and place of the meeting of security holders, unless the information is otherwise disclosed in material furnished to security holders with the information statement.

Item 4. Interest of Certain Persons in or Opposition to Matters to Be Acted Upon

- A. Describe briefly any substantial interest, direct or indirect, by security holdings or otherwise, of each of the following persons in any matter to be acted upon, other than elections to office:
1. Each person who has been a director or officer of the issuer at any time since the beginning of the last fiscal year;
 2. Each nominee for election as a director of the issuer;
 3. Each associate of the foregoing persons.
- B. Give the name of any director of the issuer who has informed the management in writing that he intends to oppose any action to be taken by the management at the meeting and indicate the action that he intends to oppose.

Item 5. Proposals by Security Holders

If any security holder entitled to vote at the meeting has submitted to the issuer, not less than 90 days before the issuer's annual meeting, a proposal that is accompanied by notice of the security holder's intention to present the proposal "for action at the meeting, make a statement to that effect, identify the proposal" and indicate the disposition proposed to be made of the proposal by the management at the meeting.

Regulation 3-2-2 INSIDER TRADING OF EQUITY SECURITIES OF A DOMESTIC STOCK INSURANCE COMPANY

Section 1	Authority
Section 2	Scope and Purpose
Section 3	Applicability
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Section 5	Transactions Exempted from the Operation of Section 10-3-120, C.R.S.
Section 6	Filing of Statements
Section 7	Ownership of More than Ten Percent of an Equity Security
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Section 10	Exemption from Section 10-3-120, C.R.S., of Securities Purchased or Sold by Odd-Lot Dealers
Section 11	Certain Transactions Subject to Section 10-3-120(1), C.R.S.
Section 12	Ownership of Securities Held in Trust
Section 13	Exemption for Small Transactions
Section 14	Exemption from Section 10-3-120(2), C.R.S., of the Transactions Which Need Not Be Reported Under Section 10-3-120(1), C.R.S.
Section 15	Exemption from Section 10-3-120(2), C.R.S., of Certain Transactions Effected in Connection with Distribution
Section 16	Exemption from Section 10-3-120(2), C.R.S., of Acquisitions of Shares of Stock and Stock Options Exemption from Section 10-3-120(2), C.R.S., of Acquisitions of Shares of Stock and Stock Options under Certain Bonus, Stock Option or Similar Plans
Section 17	Exemption from Section 10-3-120(2), C.R.S., of Certain Transactions in Which Securities Are Received By Redeeming Other Securities
Section 18	Exemption of Long Term Profits Incident to Sales within Six Months of the Exercise of an Option
Section 19	Exemption from Section 10-3-120(2), C.R.S., of Certain Acquisitions and Dispositions of Securities Pursuant to Merger or Consolidations
Section 20	Exemption from Section 10-3-120(2), C.R.S., of Transactions Involving the Deposit or Withdrawal of Equity Securities under a Voting Trust or Deposit Agreement
Section 21	Exemption from Section 10-3-120(2), C.R.S., of Certain Transactions Involving the Conversion of Equity Securities
Section 22	Exemption from Section 10-3-120(2), C.R.S., of Certain Transactions Involving the Sale of Subscription Rights
Section 23	Exemption of Certain Securities from Section 10-3-120(3), C.R.S.
Section 24	Exemption from Section 10-3-120(3), C.R.S., of Certain Transactions Effected in Connection with a Distribution
Section 25	Exemption from Section 10-3-120(3), C.R.S., of Sales of Securities to be Acquired
Section 26	Arbitrage Transactions under Section 10-3-120(5), C.R.S.
Section 27	Severability
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Section 29	Effective Date
Section 30	History
Form 3	Initial Statement of Beneficial Ownership of Securities
Form 3	Instructions
Form 4	Statement of Changes in Beneficial Ownership of Securities
Form 4	Instructions

Section 1 Authority

This regulation is promulgated pursuant to the authority of Section 10-1-109, C.R.S.

Section 2 Scope and Purpose

The purpose of this regulation is to set forth rules and procedural requirements which the Commissioner deems necessary to carry out the provisions of Section 10-3-120, C.R.S., regarding the acquisition or disposition of equity securities of a domestic stock insurance company by a beneficial owner, director or officer.

Section 3 Applicability

This regulation is applicable to each domestic stock insurance company which has any class of equity security held of record by one hundred or more persons; provided, however, that this regulation shall not apply to any insurer which is registered or required to be registered, pursuant to the Securities Exchange Act of 1934, as amended.

Section 4 Definitions

- A. "Insurer" means any domestic stock insurance company with an equity security subject to the provisions of Section 10-3-120, C.R.S., and not exempt thereunder.
- B. "Officer" means a president, vice president, treasurer, actuary, secretary, controller and any other person who performs for the insurer functions corresponding to those performed by the foregoing officers.
- C. "Equity security" means any stock or similar security; or any voting trust certificate or certificate of deposit for such a security; or any security convertible, with or without consideration, into such a security, or carrying any warrant or right to subscribe to or purchase such a security; or any such warrant or right.
- D. Securities "held of record"
 - 1. For the purpose of determining whether the equity securities of an insurer are held of record by one hundred or more persons, securities shall be deemed to be "held of record" by each person who is identified as the owner of such securities on records of security holders maintained by or on behalf of the insurer, subject to the following:
 - a. In any case where the records of security holders have not been maintained in accordance with accepted practice, any additional person who would be identified as such an owner on such records if they had been maintained in accordance with accepted practice shall be included as a holder of record.
 - b. Securities identified as held of record by a corporation, a partnership, a trust whether or not the trustees are named, or other organization shall be included as so held by one person.
 - c. Securities identified as held of record by one or more persons as trustees, executors, guardians, custodians or in other fiduciary capacities with respect to a single trust, estate or account shall be included as held of record by one person.
 - d. Securities held by two or more persons as co-owners shall be included as held by one person.
 - e. Each outstanding unregistered or bearer certificate shall be included as held of record by a separate person, except to the extent that the insurer can establish that, if such securities were registered, they would be held of record, under the provisions of this regulation, by a lesser number of persons.

- f. Securities registered in substantially similar names where the insurer has reason to believe because of the address or other indications that such names represent the same person, may be included as held of record by one person.
- 2. Notwithstanding Paragraph 1:
 - a. Securities held, to the knowledge of the insurer, subject to a voting trust, deposit agreement or similar arrangement shall be included as held of record by the record holders of the voting certificates, certificates of deposit, receipts or similar evidences of interest in such securities, provided however, that the insurer may rely in good faith on such information as is received in response to its request from a nonaffiliated insurer of the certificates or evidences of interest.
 - b. If the insurer knows or has reason to know that the form of holding securities of record is used primarily to circumvent the provisions of Section 10-3-120, C.R.S., the beneficial owners of such securities shall be deemed to be the record owners thereof.
- E. "Class" means all securities of an insurer which are of substantially similar character and the holders of which enjoy substantially similar rights and privileges.

Section 5 Transactions Exempted from the Operation of Section 10-3-120, C.R.S.

Any acquisition or disposition of any equity security by a director or officer of an insurer within six months prior to the date on which Section 10-3-120, C.R.S. first became applicable with respect to the equity securities of such insurer shall not be subject to the operation of Section 10-3-120(2), C.R.S.

Section 6 Filing of Statements

Initial statements of beneficial ownership of equity securities required by Section 10-3-120(1) shall be filed on Form 3 attached hereto. Statements of changes in such beneficial ownership required by Section 10-3-120(1) shall be filed on Form 4 attached hereto. All such statements shall be prepared and filed in accordance with the requirements of the applicable form. Reproduction of the attached forms is advised as the Division of Insurance will not maintain a supply thereof.

Section 7 Ownership of More than Ten Percent of an Equity Security

- A In determining, for the purpose of Section 10-3-120(1) whether a person is the beneficial owner, directly or indirectly, of more than ten percent of any class of any equity security, such class shall be deemed to consist of the total amount of such class outstanding, exclusive of any securities of such class held by or for the account of the insurer or a subsidiary of the insurer; except that for the purpose of determining percentage ownership of voting trust certificates or certificates of deposit for equity securities, the class of voting trust certificates or certificates of deposit shall be deemed to consist of the amount of voting trust certificates or certificates of deposit issuable with respect to the total amount of outstanding equity securities of the class which may be deposited under the voting trust agreement or deposit agreement in question, whether or not all of such outstanding securities have been so deposited. For the purpose of this section, a person acting in good faith may rely on the information contained in the latest Annual Statement filed with the Commissioner with respect to the amount of securities of a class outstanding or in the case of voting trust certificates or certificates of deposit the amount thereof issuable.

- B. In determining for the purpose of Section 10-3-120(1), C.R.S., whether a person is the beneficial owner, directly or indirectly, of more than ten percent of any class of equity securities, such person shall be deemed to be the beneficial owner of securities of such class which such person has the right to acquire through the exercise of presently exercisable options, warrants or rights or through the conversion of presently convertible securities. The securities subject to such options, warrants, right of conversion privileges held by a person shall be deemed to be outstanding for the purpose of computing, in accordance with Subsection A, the percentage of outstanding securities of the class owned by that person, but shall not be deemed outstanding for the purpose of computing the percentage of the class owned by another person. This subsection shall not be construed to relieve any person of any duty to comply with Section 10-3-120(1), C.R.S., with respect to any equity securities consisting of options, warrants, rights or convertible securities which are otherwise subject as a class to Section 10-3-120(1), C.R.S.

Section 8 Disclaimer of Beneficial Ownership

Any person filing a statement may expressly declare therein that the filing of such statement shall not be construed as an admission that such person is, for the purpose of Section 10-3-120, C.R.S., the beneficial owner of any equity securities covered by the statement.

Section 9 Exemptions from Section 10-3-120(1) and (2), C.R.S.

- A. During the period of 12 months following their appointment and qualification, securities held by the following persons shall be exempt from Section 10-3-120(1) and (2), C.R.S.
1. Executors or administrators of the estate of a decedent:
 2. Guardians or committees for an incompetent; and
 3. Receivers, trustees in bankruptcy, assigners for the benefit of creditors, conservators, liquidating agents, and other similar persons duly authorized by law to administer the estate or assets of other persons.
- B. After the 12-month period following their appointment or qualification the foregoing persons shall be required to file reports with respect to the securities held by the estates which they administer under Section 10-3-120(1), C.R.S., and shall be liable for profits realized from trading in such securities pursuant to Section 10-3-120(2), C.R.S., only when the estate being administered is a beneficial owner of more than 10 percent of any class of equity security of an insurer subject to Section 10-3-120, C.R.S.
- C. Securities reacquired by or for the account of an insurer and held by it for its account shall be exempt from Section 10-3-120(1) and (2), C.R.S. during the time they are held by the insurer.

Section 10 Exemption from Section 10-3-120, C.R.S., of Securities Purchased or Sold by Odd-Lot Dealers

Securities purchased or sold by an odd-lot dealer in odd lots so far as reasonably necessary to carry on odd-lot transactions or in round lots to offset odd-lot transactions previously or simultaneously executed or reasonably anticipated in the usual course of business, shall be exempt from the provisions of Section 10-3-120, C.R.S., with respect to participation by such odd-lot dealer in such transactions.

Section 11 Certain Transactions Subject to Section 10-3-120(1), C.R.S.

The acquisition or disposition of any transferable option, put, call, spread or straddle shall be deemed such a change in the beneficial ownership of the security to which such privilege relates so as to require the filing of a statement reflecting the acquisition or disposition of such privilege. Nothing in this section, however, shall exempt any person from filing the statements required upon the exercise of such option, put, call, spread or straddle.

Section 12 Ownership of Securities Held in Trust

- A. Beneficial ownership of a security for the purpose of Section 10-3-120(1), C.R.S., shall include:
1. The ownership of securities as a trustee where either the trustee or members of his immediate family have a vested interest in the income or corpus of the trust,
 2. The ownership of a vested beneficial interest in a trust, and
 3. The ownership of securities as a settlor of a trust in which the settlor has the power to revoke the trust without obtaining the consent of all the beneficiaries.
- B. In the event that ten percent of any class of any equity security of an insurer is held in a trust, that trust and the trustees thereof as such shall be deemed a person required to file the reports specified in Section 10-3-120(1), C.R.S.
- C. No more than one report need be filed to report any holdings or with respect to any transaction in securities held by a trust, regardless of the number of officers, directors or ten percent stockholders who are either trustees, settlors, or beneficiaries of a trust, provided that the report filed shall disclose the names of all trustees, settlors and beneficiaries who are officers, directors or ten percent stockholders. A person having an interest only as a beneficiary of a trust shall not be required to file any such report so long as he relies in good faith upon an understanding that the trustee of such trust will file whatever reports might otherwise be required of such beneficiary.
- D. As used in this section the "immediate family" of a trustee means:
1. A son or daughter of the trustee, or a descendant of either;
 2. A stepson or stepdaughter of the trustee;
 3. The father or mother of the trustee, or an ancestor of either;
 4. A stepfather or stepmother of the trustee;
 5. A spouse of the trustee.
- For the purpose of determining whether any of the foregoing relations exists, a legally adopted child of a person shall be considered a child of such person by blood.
- E. In determining, for the purposes of Section 10-3-120(1), C.R.S., whether a person is the beneficial owner, directly or indirectly, of more than ten percent of any class of any equity security, the interest of such person in the remainder of a trust shall be excluded from the competition.
- F. No report shall be required by any person, whether or not otherwise subject to the requirement of filing reports under Section 10-3-120(1), C.R.S., with respect to his indirect interest in portfolio securities held by:

1. A pension or retirement plan holding securities of an insurer whose employees generally are the beneficiaries of the plan,
 2. A business trust with over 25 beneficiaries.
- G. Nothing in this section shall be deemed to impose any duties or liabilities with respect to reporting any transaction or holding prior to its effective date.

Section 13 Exemption for Small Transactions

- A. Any acquisition of securities shall be exempt from Section 10-3-120, C.R.S., where:
1. The person effecting the acquisition does not within six months thereafter effect any disposition, otherwise than by way of gift, of securities of the same class; and
 2. The person effecting such acquisition does not participate in acquisitions or in dispositions of securities of the same class having a total market value in excess of \$3,000 for any six months' period during which the acquisition occurs.
- B. Any acquisition or disposition of securities by way of gift, where the total amount of such gifts does not exceed \$3,000 in market value for any six months' period, shall be exempt from Section 10-3-120(1), C.R.S., and may be excluded from the computations prescribed in Subsection A(2).
- C. Any person exempted by Subsection A or B shall include in the first report filed by him/her after a transaction within the exemption a statement showing his acquisitions and dispositions for each six months' period or portion thereof which has elapsed since his last filing.

Section 14 Exemption from Section 10-3-120(2), C.R.S., of Transactions Which Need Not Be Reported Under Section 10-3-120(1), C.R.S.

Any transaction which has been or shall be exempted from the requirements of Section 10-3-120(1), C.R.S., shall, insofar as it is otherwise subject to the provisions of Section 10-3-120(2), C.R.S., be likewise exempted from Section 10-3-120(2), C.R.S.

Section 15 Exemption from Section 10-3-120(2), C.R.S., of Certain Transactions Effected in Connection with a Distribution

- A. Any transaction of purchase and sale, or sale and purchase, of a security which is effected in connection with the distribution of a substantial block of securities shall be exempt from the provisions of Section 10-3-120(2), C.R.S., to the extent specified in this section as not comprehended within the purpose of said Section 10-3-120(2), C.R.S., upon the following conditions:
1. The person effecting the transaction is engaged in the business of distributing securities and is participating in good faith, in the ordinary course of such business, in the distribution of such block of securities;
 2. The security involved in the transaction is:
 - a. A part of such block of securities and is acquired by the person effecting the transaction, with a view to the distribution thereof, from the insurer or other person on whose behalf such securities are being distributed or from a person who is participating in good faith in the distribution of such block of securities; or

- b. A security purchased in good faith by or for the account of the person effecting the transaction for the purpose of stabilizing the market price of securities of the class being distributed or to cover an over-allotment or other short position created in connection with such distribution; and
 - 3. Other persons not within the purview of Section 10-3-120(2), C.R.S., are participating in the distribution of such block of securities on terms at least as favorable as those on which such person is participating and to an extent at least equal to the aggregate participation of all persons exempted from the provisions of Section 10-3-120(2), C.R.S., by this section. However, the performance of the functions of manager of a distributing group and the receipt of a bona fide payment for performing such functions shall not preclude an exemption which would otherwise be available under this section.
- B. The exemption of a transaction pursuant to this section with respect to the participation therein of one party thereto shall not render such transaction exempt with respect to participation of any other party therein unless such other party also meets the conditions of this section.

Section 16 Exemption from Section 10-3-120(2), C.R.S., of Acquisitions of Shares of Stock and Stock Options under Certain Bonus, Stock Option or Similar Plans

Any acquisition of shares of stock (other than stock acquired upon the exercise of an option, warrant or right) pursuant to a stock bonus, profit sharing, retirement, incentive, thrift, savings or similar plan, or any acquisition of a qualified or a restricted stock option pursuant to an employee stock purchase plan, by a director or officer of an insurer issuing such stock or stock option shall be exempt from the operation of Section 10-3-120(2), C.R.S., if the plan meets the following conditions:

- A. The plan has been approved, directly or indirectly, (1) by the affirmative votes of the holders of a majority of the securities of such insurer present, or represented, and entitled to vote at a meeting duly held in accordance with the applicable laws of the State of Colorado, or (2) by the written consent of the holders of a majority of the securities of such insurer entitled to vote: provided however, that if such vote or written consent was not solicited substantially in accordance with the proxy rules and regulations prescribed by the National Association of Insurance Commissioners, if any, in effect at the time of such vote or written consent, the insurer shall furnish in writing to the holders of record of the securities entitled to vote for the plan substantially the same information concerning the plan which would be required by any such rules and regulations so prescribed and in effect at the time such information is furnished, if proxies to be voted with respect to the approval or disapproval of the plan were then being solicited, on or prior to the date of the first annual meeting of security holders held subsequent to the later of the date Section 10-3-120, C.R.S., first applies to such insurer, or the acquisition of an equity security for which exemption is claimed. Such written information may be furnished by mail to the last known address of the security holders of record within 30 days prior to the date of mailing. Four copies of such written information shall be filed with, or mailed for filing to the Commissioner not later than the date on which it is first sent or given to security holders of the insurer. For the purposes of this subsection, the term "insurer" includes a predecessor corporation if the plan or obligations to participate thereunder were assumed by the insurer in connection with the succession.
- B. If the selection of any director or officer of the insurer to whom stock may be allocated or to whom qualified, restricted or employee stock purchase plan stock options may be granted pursuant to the plan, or the determination of the number or maximum number of shares of stock which may be allocated to any such director or officer or which may be covered by qualified, restricted or employee stock purchase plan stock options granted to any such director or officer, is subject to the discretion of any person, then such discretion shall be exercised only as follows:
 - 1. With respect to the participation of directors:

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- a. By the board of directors of the insurer, a majority of which board and a majority of the directors acting in the matter are disinterested persons;
 - b. By, or only in accordance with the recommendations of, a committee of three or more persons having full authority to act in the matter, all of the members of which committee are disinterested persons; or
 - c. Otherwise in accordance with the plan, if the plan (i) specifies the number or maximum number of shares of stock which directors may acquire or which may be subject to qualified, restricted or employee stock purchase plan stock options granted to directors and the terms upon which, and the times at which, or the periods within which, such stock may be acquired or such options may be acquired and exercised; or (ii) sets forth, by formula or otherwise, effective and determinable limitations with respect to the foregoing based upon earnings of the insurer, dividends paid, compensation received by participants, option prices, market value of shares, outstanding shares or percentages thereof outstanding from time to time, or similar factors.
 - 2. With respect to the participation of officers who are not directors:
 - a. By the board of directors of the insurer or a committee of three or more directors; or
 - b. By, or only in accordance with the recommendations of, a committee of three or more persons having full authority to act in the matter, all of the members of which committee are disinterested persons.
- For the purpose of this subsection, a director or committee member shall be deemed to be a disinterested person only if such person is not at the time such discretion is exercised eligible and has not at any time within one year prior thereto been eligible for selection as a person to whom stock may be allocated or to whom qualified, restricted or employee stock purchase plan stock options may be granted pursuant to the plan or any other plan of the insurer or any of its affiliates entitling the participants therein to acquire stock or qualified, restricted or employee stock purchase plan stock options of the insurer or any of its affiliates.
- 3. The provisions of this subsection shall not apply with respect to any option granted, or other equity security acquired, prior to the date that Section 10-3-120(1), (2) and (3), C.R.S., first become applicable with respect to any class of equity securities of any insurer.
- C. As to each participant or as to all participants the plan effectively limits the aggregate dollar amount or the aggregate number of shares of stock which may be allocated, or which may be subject to qualified, restricted, or employee stock purchase plan stock options granted, pursuant to the plan. The limitations may be established on an annual basis, or for the duration of the plan, whether or not the plan has a fixed termination date; and may be determined either by fixed or maximum dollar amounts or fixed or maximum numbers of shares or by formulas based upon earnings of the insurer, dividends paid, compensation received by participants, option prices, market value of shares, outstanding shares or percentages thereof outstanding from time to time, or similar factors which will result in an effective and determinable limitation. Such limitations may be subject to any provisions for adjustment of the plan or of stock allocable or options outstanding thereunder to prevent dilution or enlargement of rights.

- D. Unless the context otherwise requires, all terms used in this section shall have the same meaning as in Section 10-3-120, C.R.S., and Section 4 of this regulation. In addition, the following definitions apply:
1. The term "plan" includes any plan, whether or not set forth in any formal written document or documents and whether or not approved in its entirety at one time.
 2. The definition of the terms "qualified stock option" and "employee stock purchase plan" that are set forth in Sections 422 and 423 of the Internal Revenue Code of 1954, as amended, are to be applied to those terms where used in this section. The term "restricted stock option" as defined in Section 424 (b) of the Internal Revenue Code of 1954, as amended, shall be applied to that term as used in this section, provided however, that for the purposes of this section an option which meets all of the conditions of that Section, other than the date of issuance shall be deemed to be a "restricted stock option."
 3. The term "exercise of an option, warrant or right" contained in the parenthetical clause of the first paragraph of this section shall not include (a) the making of any election to receive under any plan an award of compensation in the form of stock or credits therefore, provided, that such election is made prior to the making of the award; and provided further that such election is irrevocable until at least six months after termination of employment; (b) the subsequent crediting of such stock; (c) the making of any election as to a time for delivery of such stock after termination of employment, provided that such election is made at least six months prior to any such delivery; (d) the fulfillment of any condition to the absolute right to receive such stock; or (e) the acceptance of certificates for shares of such stock.

Section 17 Exemption from Section 10-3-120(2), C.R.S., of Certain Transactions in Which Securities Are Received By Redeeming Other Securities

Any acquisition of an equity security (other than a convertible security or right to purchase a security) by a director or officer of the insurer issuing such security shall be exempt from the operation of Section 10-3-120(2), C.R.S., upon condition that:

- A. The equity security is acquired by way of redemption of another security of an insurer substantially all of whose assets other than cash (or Government bonds) consist of securities of the insurer issuing the equity security so acquired, and which
1. Represented substantially and in practical effect a stated or readily ascertainable amount of such equity security;
 2. Had a value which was substantially determined by the value of the equity security; and
 3. Conferred upon the holder the right to receive the equity security without the payment of consideration other than the security redeemed;
- B. No security of the same class as the security redeemed was acquired by the director or officer within six months prior to such redemption or is acquired within six months after such redemption;
- C. The insurer issuing the equity security acquired has recognized the applicability of Subsection A of this section by appropriate corporate action.

Section 18 Exemption of Long Term Profits Incident to Sales within Six Months of the Exercise of an Option

- A. To the extent specified in Subsection B of this section, the Commissioner hereby exempts as not comprehended within the purposes of Section 10-3-120(2), C.R.S., any transaction or transactions involving the purchase and sale, or sale and purchase, of any equity security where such purchase is pursuant to the exercise of an option or similar right either (1) acquired more than six months before its exercise, or (2) acquired pursuant to the terms of an employment contract entered into more than six months before its exercise.
- B. In respect of transactions specified in Subsection A of this section, the profits inuring to the insurer shall not exceed the difference between the proceeds of sale and the lowest market price of any security of the same class within six months before or after the date of sale. Nothing in this section shall be deemed to enlarge the amount of profit which would inure to such insurer in the absence of this section.
- C. The Commissioner also hereby exempts, as not comprehended within the purposes of Section 10-3-120(2), C.R.S., the disposition of security, purchased in a transaction specified in Subsection A of this section pursuant to a plan or agreement or merger or consolidation, or reclassification of the insurer's securities, or for the exchange of its securities for the securities of another person which has acquired its assets, or which is in control, as defined in Section 368 (c) of the Internal Revenue Code of 1954, of a person which has acquired its assets, where the terms of such plan or agreement are binding upon all stockholders of the insurer except to the extent that dissenting stockholders may be entitled, under statutory provisions or provisions contained in the certificate of incorporation, to receive the appraised or fair value of their holdings.
- D. The exemptions provided by this section shall not apply to any transaction made unlawfully by Section 10-3-120(3), C.R.S., or by any rules and regulations thereunder.
- E. The burden of establishing market price of a security for the purpose of this section shall rest upon the person claiming the exemption.

Section 19 Exemption from Section 10-3-120(2), C.R.S., of Certain Acquisitions and Dispositions of Securities Pursuant to Merger or Consolidations

- A. The following transactions shall be exempt from the provisions of Section 10-3-120(2), C.R.S., as not comprehended within the purpose of Section 10-3-120(2), C.R.S.:
 - 1. The acquisition of a security of an insurer, pursuant to a merger or consolidation, in exchange for a security of a company which, prior to said merger or consolidation, owned 85 percent or more of the equity securities of all other companies involved in the merger or consolidation except, in the case of consolidation, the resulting company;
 - 2. The disposition of a security, pursuant to a merger or consolidation of an insurer which, prior to said merger or consolidation, owned 85 percent or more of the equity securities of all other companies involved in the merger or consolidation except, in the case of consolidation, the resulting company;
 - 3. The acquisition of a security of an insurer, pursuant to a merger or consolidation, in exchange for a security of a company which, prior to said merger or consolidation, held over 85 percent of the combined assets of all the companies undergoing merger or consolidation, computed according to their book values prior to the merger or consolidation as determined by reference to their most recent available financial statements for a 12-month period prior to the merger or consolidation.

4. The disposition of a security, pursuant to a merger or consolidation, of an insurer which, prior to said merger or consolidation, held over 85 percent of the combined assets of all the companies undergoing merger or consolidation, computed according to their book values prior to merger or consolidation, as determined by reference to their most recent available financial statements for a 12-month period prior to the merger or consolidation.
- B. A merger within the meaning of this section shall include the sale or purchase of substantially all the assets of one insurer by another in exchange for stock which is then distributed to the security holders of the insurer which sold its assets.
- C. Notwithstanding the foregoing, if an officer, director or stockholder shall make any purchase (other than a purchase exempted by this Section) of a security in any company involved in the merger or consolidation and any sale (other than a sale exempted by this Section) of a security in any other company involved in the merger or consolidation within any period of less than six months during which the merger or consolidation took place, the exemption provided by this Section shall be unavailable to such officer, director, or stockholder to the extent of such purchase and sale.

Section 20 Exemption from Section 10-3-120(2), C.R.S., of Transactions Involving the Deposit or Withdrawal of Equity Securities under a Voting Trust or Deposit Agreement

Any acquisition or disposition of any equity security involved in the deposit of such security under, or the withdrawal of such security from, a voting trust or deposit agreement, and the acquisition or disposition in connection therewith of the certificate representing such security, shall be exempt from the operation of Section 10-3-120(2), C.R.S., if substantially all of the assets held under the voting trust or deposit agreement immediately after the deposit or immediately prior to the withdrawal, as the case may be, consisted of equity securities of the same class as the security deposited or withdrawn: provided, however, that this section shall not apply to the extent that there shall have been either (a) a purchase of an equity security of the class deposited and a sale of any certificate representing an equity security of such class, or (b) a sale of an equity security of the class deposited and purchase of any certificate representing an equity security of such class (otherwise than in a transaction involved in such deposit or withdrawal or in a transaction exempted by any other provision of the regulations under Section 10-3-120(2), C.R.S.), within a period of less than six months which includes the date of the deposit or withdrawal.

Section 21 Exemption from Section 10-3-120(2), C.R.S., of Certain Transactions Involving the Conversion of Equity Securities

- A. Any acquisition or disposition of an equity security involved in the conversion of an equity security which, by its terms or pursuant to the terms of the insurer's charter or other governing instruments, is convertible immediately or after a stated period of time into another equity security of the same insurer, shall be exempt from the operation of Section 10-3-120(2), C.R.S.: provided, however, that this section shall not apply to the extent that there shall have been either (1) a purchase of any equity security of the class convertible (including any acquisition of or change in a conversion privilege) and a sale of any equity security of the class issuable upon conversion, or (2) a sale of any equity security of the class convertible and any purchase of any equity security issuable upon conversion (otherwise than in a transaction involved in such conversion or in a transaction exempted by any other provision of the regulations under Section 10-3-120(2), C.R.S.), within a period of less than six months which includes the date of conversion.
- B. For the purpose of this section, an equity security shall not be deemed to be acquired or disposed of upon conversion of an equity security if the terms of the equity security converted require the payment or entail the receipt, in connection with such conversion, of cash or other property in connection with such conversion, of cash or other property (other than equity securities involved in the conversion) equal in value at the time of conversion to more than 15 percent of the value of the equity security issued upon conversion.

- C. For the purpose of this section, an equity security shall be deemed convertible if it is convertible at the option of the holder or of some other person or by operation of the terms of the security or the governing instruments.

Section 22 Exemption from Section 10-3-120(2), C.R.S., of Certain Transactions Involving the Sale of Subscription Rights

- A. Any sale of a subscription right to acquire any subject security of the same insurer shall be exempt from the provision of Section 10-3-120(2), C.R.S. to the extent prescribed in this section, as not comprehended within the purpose of Section 10-3-120(2), C.R.S., if:
1. Such subscription right is acquired, directly or indirectly, from the insurer without the payment of consideration;
 2. Such subscription right by its terms expires within 45 days after the issuance thereof;
 3. Such subscription right by its terms is issued on a pro rata basis to all holders of the beneficiary security of the insurer; and
 4. A registration statement under the Securities Act of 1933 is in effect as to each subject security, or the applicable terms of any exemption from such registration have been met in respect to each subject security.
- B. When used within this section the following terms shall have the meaning indicated:
1. The term "subscription right" means any warrant or certificate evidencing a right to subscribe to or otherwise acquire an equity security;
 2. The term "beneficiary security" means a security registered pursuant to Section 12 of the Securities Exchange Act, to the holders of which a subscription right is granted;
 3. The term "subject security" means a security which is the subject of a subscription right.
- C. Notwithstanding anything contained herein to the contrary, if a person purchases subscription rights for cash or other consideration, then a sale by such person of subscription rights otherwise exempted by this section will not be so exempted to the extent of such purchases within the six month period preceding or following such sale.

Section 23 Exemption of Certain Securities from Section 10-3-120(3), C.R.S.

Any security shall be exempt from the operation of Section 10-3-120(3), C.R.S., to the extent necessary to render lawful thereunder the execution by a broker of an order for an account in which he has no direct or indirect interest.

Section 24 Exemption from Section 10-3-120(3), C.R.S., of Certain Transactions Effected in Connection with a Distribution

Any security shall be exempt from the operation of Section 10-3-120(3), C.R.S., to the extent necessary to render lawful thereunder any sale made by or on behalf of a dealer in connection with a distribution of a substantial block of securities, upon the following conditions:

- A. The sale is represented by an over-allotment in which the dealer is participating as a member of an underwriting group, or the dealer or a person acting on his behalf intends in good faith to offset such sale with a security to be acquired by or on behalf of the dealer as a participant in an underwriting, selling or soliciting dealer group of which the dealer is a member at the time of the sale, whether or not the security to be so acquired is subject to a prior offering to existing security holders or some other class of persons; and
- B. Other persons not within the purview of Section 10-3-120(3), C.R.S., are participating in the distribution of such block of securities on terms at least as favorable as those under which such dealer is participating and to an extent at least equal to the aggregate participation of persons exempted from the provisions of Section 10-3-120(3), C.R.S., by this section. However, the performance of the functions of the manager of a distributing group and the receipt of a bona fide payment for performing such functions shall not preclude an exemption which would otherwise be available under this section.

Section 25 Exemption from Section 10-3-120(3), C.R.S., of Sales of Securities to be Acquired

- A. Whenever any person is entitled, as an incident to his ownership of an issued security and without the payment of consideration, to receive another security "when issued" or "when distributed," the security to be acquired shall be exempt from the operation of Section 10-3-120(3), C.R.S., provided that:
 - 1. The sale is made subject to the same conditions as those attaching to the right of acquisition, and
 - 2. Such person exercises reasonable diligence to deliver such security to the purchaser promptly after his right of acquisition matures, and
 - 3. Such person reports the sale on the appropriate form for reporting transactions by persons subject to Section 10-3-120(1), C.R.S.
- B. This section shall not be construed as exempting transactions involving both a sale of a security "when issued" or "when distributed" and a sale of the security by virtue of which the seller expects to receive the "when issued" or "when distributed" security, if the two transactions combined result in a sale of more units than the aggregate of those owned by the seller plus those to be received by him pursuant to this right of acquisition.

Section 26 Arbitrage Transactions under Section 10-3-120(5), C.R.S.

It shall be unlawful for any director or officer of an insurer to effect any foreign or domestic arbitrage transaction in any equity security of such insurer, unless he shall include such transaction in the statements required by Section 10-3-120(1), C.R.S., and shall account to such insurer for the profits arising from such transaction, as provided in Section 10-3-120(2), C.R.S. The provisions of Section 10-3-120(3), C.R.S., shall not apply to such arbitrage transactions. The provisions of Section 10-3-120, C.R.S., shall not apply to any bona fide foreign or domestic arbitrage transaction insofar as it is affected by any person other than such director or officer of the insurer.

Section 27 Severability

If any provision of this regulation or the application of it to any person or circumstance is for any reason held to be invalid, the remainder of this regulation shall not be affected.

Section 28 Enforcement

Noncompliance with this regulation may result in the imposition of any of the sanctions made available in the Colorado statutes pertaining to the business of insurance, or other laws, which include the imposition of civil penalties, issuance of cease and desist orders, and/or suspensions or revocation of license, subject to the requirements of due process.

Section 29 Effective Date

This amended regulation shall become effective November 15, 2014.

Section 30 History

New regulation, effective on February 1, 1972
Amended effective December 31, 1992
Amended, effective November 15, 2014.

INSIDER TRADING REPORTING FORMS AND INSTRUCTIONS

FORM 3 INITIAL STATEMENT OF BENEFICIAL OWNERSHIP OF SECURITIES

STATE OF COLORADO
Commissioner of Insurance

FORM 3
INITIAL STATEMENT OF BENEFICIAL OWNERSHIP OF SECURITIES

Filed Pursuant to Section 10-3-120, C.R.S.

[Name of insurance company]

[Name of person whose ownership is reported]

[Business address of such person; street, city, zone, state]

Relationship of such person to company named above.
(See instruction 5)

Date of event which requires the filing of this state.
(See instruction 6)

SECURITIES BENEFICIALLY OWNED

TITLE OF SECURITY (See instruction 7)	NATURE OF OWNERSHIP (See instruction 8)	AMOUNT OWNED BENEFICIALLY (See instruction 9)

REMARKS: (See instruction 10)

I affirm under penalty of perjury that the foregoing is full, true and correct.

Signature

Date of statement: _____

FORM 3 INSTRUCTIONS

1. PERSONS REQUIRED TO FILE STATEMENTS

A statement on this form is required to be filed by every person who is directly or indirectly the beneficial owner of more than 10 percent of any class of any equity security of a Colorado domestic stock insurance company, or who is a director or an officer of such a company.

2. WHEN STATEMENTS ARE TO BE FILED

A. Persons who hold any of the relationships specified in Instruction 1 are required to file a statement within 10 days after assuming such relationship.

B. Statements are not deemed to have been filed with the Commissioner until they have actually been received by the Commissioner.

3. WHERE STATEMENTS ARE TO BE FILED

One signed copy of each statement shall be filed with the Commissioner of Insurance, 1560 Broadway, Suite 850, Denver, Colorado 80202.

4. SEPARATE STATEMENT FOR EACH COMPANY

A separate statement shall be filed with respect to the securities of each company.

5. RELATIONSHIP OF REPORTING PERSON TO COMPANY

Indicate clearly the relationship of the reporting person to the company; for example, "Director," "Director and Vice President," "Beneficial owner of more than 10 percent of the company's common stock," etc.

6. DATE AS OF WHICH BENEFICIAL OWNERSHIP IS TO BE GIVEN

The information as to beneficial ownership of securities shall be given as of [insert month, day, year], or, in the case of persons who subsequently assume any of the relationships specified in Instruction 1, as of the date that relationship was assumed.

7. TITLE OF SECURITY

The statement of the title of a security shall be such as clearly to identify the security even though there may be only one class; for example, "Class A Common Stock," "\$6 Convertible Preferred Stock," "5% Debentures Due 1965," etc.

8. NATURE OF OWNERSHIP

Under "nature of ownership," state whether ownership of the securities is "direct" or "indirect" If the ownership is indirect, i.e., through a partnership, corporation, trust or other entity, indicate in a footnote or other appropriate manner the name or identity of the medium through which the securities are indirectly owned. The fact that securities are held in the name of a broker or other nominee does not, of itself, constitute indirect ownership. Securities owned indirectly shall be reported on separate lines from those owned directly and also from those owned through a different type of indirect ownership.

9. STATEMENT OF AMOUNT OWNED

In stating the amount of securities beneficially owned, give the face amount of debt securities or the number of shares or other units of other securities. In the case of securities owned indirectly, the entire amount of securities owned by the partnership, corporation, trust or other entity shall be stated. The person whose ownership is reported may, if he or she so desires, also indicate in a footnote or other appropriate manner the extent of his interest in the partnership, corporation, trust or other entity.

10. INCLUSION OF ADDITIONAL INFORMATION

A statement may include any additional information or explanation deemed relevant by the person filing the statement.

11. SIGNATURE.

If the statement is filed for a corporation, partnership, trust, etc., the name of the organization shall appear over the signature of the officer or other person authorized to sign the statement. If the statement is filed for an individual, it shall be signed by him or specifically on his behalf by a person authorized to sign for him.

FORM 4 INITIAL STATEMENT OF BENEFICIAL OWNERSHIP OF SECURITIES

STATE OF COLORADO
Commissioner of Insurance

FORM 4
INITIAL STATEMENT OF BENEFICIAL OWNERSHIP OF SECURITIES

Filed Pursuant to Section 10-3-120, C.R.S.

[Name of insurance company]

[Name of person whose ownership is reported]

[Business address of such person; street, city, state, zip code]

Relationship of such person to company named above.
(See instruction 5)

Statement for Calendar Month of _____ 20 _____

CHANGES DURING MONTH AND MONTH-END OWNERSHIP (See instruction 6)

TITLE OF SECURITY (See instr. 7)	DATE OF TRANSACTION (See instr. 8)	AMOUNT BOUGHT OR OTHERWISE ACQUIRED (See instr. 9)	AMOUNT SOLD OR OTHERWISE DISPOSED OF (See instr. 9)	NATURE OF OWNERSHIP (See instr. 10)	AMOUNT OWNED BENEFICIALLY AT END OF MONTH (See instr. 9)

REMARKS: (See instruction 11)

I affirm under penalty of perjury that the foregoing is full, true and correct.

Signature

Date of statement: _____

FORM 4 INSTRUCTIONS

1. PERSONS REQUIRED TO FILE STATEMENTS

Statements on this form are required to be filed by every person who at any time during any calendar month was directly or indirectly the beneficial owner of more than 10 percent of any class of equity security of a domestic stock insurance company, or a director or officer of the company which is the issuer of such securities, and who during such month had any change in his beneficial ownership of any class of equity security of such company.

2. WHEN STATEMENTS ARE TO BE FILED

Statements are required to be filed on or before the 10th day after the end of each month in which any change in beneficial ownership has occurred. Statements are not deemed to have been filed with the Commissioner until they have actually been received by him.

3. WHERE STATEMENTS ARE TO BE FILED

One signed copy of each statement shall be filed with the Commissioner of Insurance, 1560 Broadway, Suite 850, Denver, Colorado 80202.

4. SEPARATE STATEMENT FOR EACH COMPANY

A separate statement shall be filed with respect to the securities of each company.

5. RELATIONSHIP OF REPORTING PERSON TO COMPANY

Indicate clearly the relationship of the reporting person to the company; for example, "Director," "Director and Vice President," "Beneficial owner of more than 10 percent of the company's common stock," etc.

6. TRANSACTIONS AND HOLDINGS TO BE REPORTED

Every transaction shall be reported even though purchases and sales during the month are equal or the change involves only the nature of ownership; for example, from direct to indirect ownership. Beneficial ownership at the end of the month of all classes of securities required to be reported shall be shown even though there has been no change during the month in the ownership of securities of one or more classes.

7. TITLE OF SECURITY

The statement of the title of the security shall be such as clearly to identify the security even though there may be only one class; for example, "Class A Common Stock," "\$6 Convertible Preferred Stock," "5% Debentures Due 1965," etc.

8. DATE OF TRANSACTION

The exact date (month, day and year) of each transaction shall be stated opposite the amount involved in the transaction.

9. STATEMENT OF AMOUNTS OF SECURITIES

In stating the amount of the securities acquired, disposed of, or beneficially owned, give the face amount of debt securities or the number of shares or other units of other securities. In the case of securities owned indirectly, i.e., through a partnership, corporation, trust or other entity, the entire amount of securities involved in the transaction or owned by the partnership, corporation, trust or other entity shall be stated. The person whose ownership is reported may, if he so desires, also indicate in a footnote or other appropriate manner the extent of his interest in the transaction or holdings of the partnership, corporation, trust or other entity.

10. NATURE OF OWNERSHIP

Under "Nature of ownership," state whether ownership of the securities is "direct" or "indirect" If the ownership is indirect, i.e., through a partnership, corporation, trust or other entity, indicate in a footnote, or other appropriate manner, the name or identity of the medium through which the securities are indirectly owned. The fact that securities are held in the name of a broker or other nominee does not, of itself, constitute indirect ownership. Securities owned indirectly shall be reported on separate lines from those owned directly and from those owned through a different type of indirect ownership.

11. CHARACTER OF TRANSACTION

If the transaction was with the issuer of the securities, so state. If it involved the purchase of securities through the exercise of options, so state and give the exercise price per share. If any other purchase or sale was affected otherwise than in the open market, that fact shall be indicated. If the transaction was not a purchase or sale, indicate its character; for example, gift, 5% stock dividend, etc., as the case may be. The foregoing information may be appropriately set forth in the table or under "Remarks" at the end of the table.

12. INCLUSION OF ADDITIONAL INFORMATION

A statement may include any additional information or explanation deemed relevant by the person filing the statement.

13. SIGNATURE

If the statement is filed for a corporation, partnership, trust, etc., the name of the organization shall appear over the signature of the officer or other person authorized to sign the statement. If the statement is filed for an individual, it shall be signed by him or specifically on his behalf by a person authorized to sign for him.

Regulation 3-2-4 PARTICIPATION LOANS

Section 1 Authority

This regulation is promulgated under the authority of § § 10-1-109, 10-6-129, 10-14-505 and 10-16-109, C.R.S.

Section 2 Scope and Purpose

The purpose of this regulation is to implement the provisions of § 10-3-216(1)(f), C.R.S., in regard to participation loans authorized pursuant to statute.

Section 3 Applicability

This regulation shall apply to all Colorado domestic insurers as well as each risk retention group captive insurer, fraternal benefit society, health maintenance organization and non-profit hospital, medical-surgical and health service corporation.

Section 4 Participants

- A. Participation in loans secured by a first lien on real property under § 10-3-216(1)(f), C.R.S. is limited to loans with the following participants:
1. A bank whose depositors are federally insured.
 2. A savings and loan association whose members are federally insured.
 3. A trust for a pension or other benefit plan for employees as provided in § 10-3-216(1)(f)(III), C.R.S.
 4. An insurance company organized in any state of the United States, the District of Columbia, or any province of Canada.
 5. A corporation or association owned wholly by one or more of the entities or one or more wholly owned subsidiaries of the entities specified above.

Section 5 Documentation

Every domestic insurance company participant in a participation loan on real property under § 10-3-216(1)(f), C.R.S., must maintain adequate documentation to evidence its interest as a participant therein. This documentation should consist, as a minimum, of originals or certified copies of the documents listed below. If the document is one that the domestic insurance company would be expected to have in its possession, such as a participation certificate, the original will be required. If the document is one which the domestic insurance company would not be expected to have in its possession, such as the Note in a case where another entity is the lead participant, a certified copy will suffice. Copies may be certified by an officer of the participant having possession of the originals of the documents.

- A. Note evidencing the obligation.
- B. Mortgage or Deed of Trust, properly executed and recorded.
- C. Participation Certificate.
- D. Recorded partial assignment (if recognized under state law).
- E. Any other security taken in connection with the loan.
- F. Appraisal report prepared as a basis for underwriting in the course of committing to make the loan.
- G. Survey of premises (or other satisfactory evidence) identifying the property by address and legal description.
- H. Participation (loan sharing) Agreement.
- I. Title insurance policy or attorney's title opinion.

- J. Hazard insurance policies or certificates.
- K. Statement showing unpaid principal balance on mortgage, amount of periodic installments, and date to which interest is paid.

Section 6 Severability

If any provision of this regulation of the application thereof to any person or circumstance is for any reason held to be invalid, the remainder of this regulation shall not be affected.

Section 7 Enforcement

Noncompliance with this Regulation may result, after proper notice and hearing, in the imposition of any of the sanctions made available in the Colorado statutes pertaining to the business of insurance or other laws which include the imposition of fines, issuance of cease and desist orders, and/or suspensions or revocation of license.

Section 8 Effective Date

This regulation is effective on October 2, 2006.

Section 9 History

This regulation was originally effective in 1975.
Amended, effective December 31, 1992.
Amended, effective April 1, 2001.
Amended, effective October 1, 2001.
Amended, effective October 2, 2006

Regulation 3-2-6 Repealed Effective 08/01/2012.

Regulation 3-2-7 Repealed Effective 12/01/2012.

Regulation 3-2-8 INTERNAL CONTROLS RELATED TO DERIVATIVES

Section 1	Authority
Section 2	Scope and Purpose
Section 3	Applicability
Section 4	Definitions
Section 5	Guidelines and Internal Control Procedures
Section 6	Commissioner Approval
Section 7	Documentation Requirements
Section 8	Trading Requirements
Section 9	Severability
Section 10	Enforcement
Section 11	Effective Date
Section 12	History

Section 1 Authority

This regulation is promulgated and adopted by the Commissioner of Insurance under the authority of §§ 10-1-109(1), and 10-3-243(3), C.R.S.

Section 2 Scope and Purpose

The purpose of this regulation is to set forth rules and procedural requirements which the Commissioner deems necessary to carry out the provisions of Section 10-3-243, C.R.S., regarding domestic insurers that enter into derivative transactions.

Section 3 Applicability

Any domestic insurer that enters into derivative transactions.

Section 4 Definitions

- A. "Business Entity" includes a sole partnership, corporation, limited liability company, association, partnership, joint stock company, joint venture, mutual fund, trust, joint tenancy or similar form of business organization, whether for-profit or not-for-profit.
- B. "Qualified clearinghouse" means a clearinghouse for, and subject to the rules of a qualified exchange or a qualified foreign exchange, which clearinghouse provides clearing services, including acting as a counterparty to each of the parties to a transaction such that the parties no longer have credit risk as to each other.
- C. "Qualified exchange" means:
 - 1. A securities exchange registered as a national securities exchange or a securities market regulated under the Securities Exchange Act of 1934 (15 U.S.C. §§ 78 *et seq.*) as amended;
 - 2. A board of trade or commodities exchange designated as a contract market by the Commodity Futures Trading Commission or any successor thereof;
 - 3. Private Offerings, Resales and Trading through Automated Linkages (PORTAL);
 - 4. A designated offshore securities market as defined in Securities Exchange Commission Regulation S, 17 CFR Part 230, as amended; or

- 5. A qualified foreign exchange
- D. “Qualified foreign exchange” means a foreign exchange, board of trade or contract market located outside the United States, its territories or possessions:
 - 1. That has received regulatory comparability relief pursuant to Commodity Futures Trading Commission Rule 30.10 (as set forth in Appendix C to Part 30 of the CFTC’s Regulations, 17 CFR Part 30);
 - 2. That is, or its members are, subject to the jurisdiction of a foreign futures authority that has received regulatory comparability relief pursuant to Commodity Futures Trading Commission Rule 30.10 (as set forth in Appendix C to Part 30 of the CFTC’s Regulations, 17 C.F.R. Part 30) as to futures transactions in the jurisdiction where the exchange, board of trade or contract market is located; or
 - 3. Upon which foreign stock index futures contracts are listed that are the subject of no-action relief issued by the CFTC’s Office of General Counsel, but an exchange, board of trade or contract maker that qualifies as a “qualified foreign exchange” only under this paragraph shall only be a “qualified foreign exchange” as to foreign stock index futures contracts that are the subject of such no-action relief under this paragraph.

Section 5 Guidelines and Internal Control Procedures

- A. Before engaging in a derivative transaction, an insurance company shall establish written guidelines, approved by the Commissioner which shall be used for effecting and maintaining derivative transactions. The guidelines shall:
 - 1. Specify insurance company objectives for engaging in derivative transactions and derivative strategies and all applicable risk constraints, including credit risk limits;
 - 2. Establish counterparty exposure limits and credit quality standards;
 - 3. Identify permissible derivative transactions and the relationship of those transactions to insurer operations; for example, a precise identification of the risks being hedged by a derivative transaction; and
 - 4. Require compliance with internal control procedures.
- B. An insurer shall have a written methodology for determining whether a derivative instrument used for hedging has been effective.
- C. An insurer shall have written policies and procedures describing the credit risk management process and a credit risk management system for over-the-counter derivative transactions that measures credit risk exposure using the counterparty exposure amount.
- D. An insurer’s board of directors shall:
 - 1. Approve the written guidelines, methodology and policies and procedures required by subsection A, B, and C respectively, of this section and the systems required by subsections B and C of this section; and
 - 2. Determine whether the insurer has adequate professional personnel, technical expertise and systems to implement investment practices involving derivatives.

3. Review whether derivative transactions have been made in accordance with the approved guidelines and consistent with stated objectives.
4. Take action to correct any deficiencies in internal controls relative to derivative transactions.

Section 6 Commissioner Approval

Written documentation explaining the insurer's internal guidelines and controls governing derivative transactions shall be submitted for approval to the Commissioner. The Commissioner shall have the authority to disapprove the guidelines and controls proposed by the insurer if the insurer cannot demonstrate that the proposed internal guidelines and controls would be adequate to manage the risks associated with the derivative transactions the insurer intends to engage in.

Section 7 Documentation Requirements

An insurance company shall maintain documentation and records relating to each derivative transaction, such as:

- A. The purpose or purposes of the transaction;
- B. The assets or liabilities to which the transaction relates;
- C. The specific derivative instrument used in the transaction;
- D. For over-the-counter derivative instrument transactions, the name of the counterparty and the market value; and

For exchange traded derivative instruments, the name of the exchange and the name of the firm that handled the trade and the market value.

Section 8 Trading Requirements

Each derivative instrument shall be:

- A. Traded on a qualified exchange;
- B. Entered into with, or guaranteed by, a business entity;
- C. Issued or written with the issuer of the underlying interest on which the derivative instrument is based; or
- D. Entered into with a qualified foreign exchange.

Section 9 Severability

If any provision of this regulation or the application of it to any person or circumstance is for any reason held to be invalid, the remainder of this regulation shall not be affected.

Section 10 Enforcement

Noncompliance with this regulation may result in the imposition of any of the sanctions made available in the Colorado statutes pertaining to the business of insurance, or other laws, which include the imposition of civil penalties, issuance of cease and desist orders, and/or suspensions or revocation of license, subject to the requirements of due process.

Section 11 Effective Date

This regulation shall become effective on January 1, 2015.

Section 12 History

New Regulation, effective January 1, 2015

Regulation 3-3-1 ASSUMPTION REINSURANCE AGREEMENTS

Section 1	Authority
Section 2	Scope and Purpose
Section 3	Applicability
Section 4	Definitions
Section 5	Notice Requirements
Section 6	Policyholder Rights
Section 7	Effect of Consent
Section 8	Commissioner's Discretion
Section 9	Severability
Section 10	Enforcement
Section 11	Effective Date
Section 12	History
Appendix A	Notice of Transfer

Section 1 Authority

This regulation is promulgated and adopted by the Commissioner of Insurance under the authority of §§ 10-1-108(7) and 10-1-109, C.R.S.

Section 2 Scope and Purpose

The purpose of this regulation is to clarify the filing and other requirements regarding insurers gaining approval to reinsure risks through the transfer and novation of contracts of notice and disclosure insurance by way of assumption reinsurance. It defines assumption reinsurance and establishes notice and disclosure requirements which protect and define the rights and obligations of policyholders, regulators and the parties to assumption reinsurance agreements.

Section 3 Applicability

- A. This regulation applies to any insurer authorized in this state pursuant to § 10-3-105, C.R.S. which either assumes or transfers the obligations and/or risks on contracts of insurance pursuant to an assumption reinsurance agreement.
- B. This regulation does not apply to:
 - 1. Any reinsurance agreement or transaction in which the ceding insurer continues to remain directly liable for its insurance obligations or risks, or both, under the contracts of insurance subject to the reinsurance agreement;
 - 2. The substitution of one insurer for another upon the expiration of insurance coverage pursuant to statutory or contractual requirements and the issuance of a new contract of insurance by another insurer;
 - 3. The transfer of liabilities from one insurer to another under a single group policy upon the request of the group policyholder; and.
 - 4. Any insurer subject to a judicial order of liquidation or rehabilitation.

Section 4 Definitions

- A. “Assuming insurer” means, for the purpose of this regulation, the insurer that acquires an insurance obligation or risk, or both, from the transferring insurer pursuant to an assumption reinsurance agreement.
- B. “Assumption reinsurance agreement” means, for the purpose of this regulation, any contract that:
 - 1. Transfers insurance obligations or risks, or both, of existing or in-force contracts of insurance from a transferring insurer to an assuming insurer; and
 - 2. Is intended to effect a novation of the transferred contract of insurance with the result that the assuming insurer becomes directly liable to the policyholders of the transferring insurer and the transferring insurer’s insurance obligations or risks, or both, under the contracts are extinguished.
 - 3. The definition of assumption reinsurance agreement does not include the transfer of contracts of insurance pursuant to mergers or consolidations of two (2) or more insurers to the extent that those transactions are regulated by statute.
- C. “Contract of insurance” means, for the purpose of this regulation, any written agreement between an insurer and policyholder pursuant to which the insurer, in exchange for premium or other consideration, agrees to assume an obligation or risk, or both, of the policyholder or to make payments on behalf of, or to, the policyholder or its beneficiaries; it shall include all property, casualty, life, health, accident, surety, title and annuity business authorized to be written pursuant to the insurance laws of this state.
- D. “Home service business” means, for the purpose of this regulation, insurance business on which premiums are collected on a weekly or monthly basis by an agent of the insurer.
- E. “Notice of transfer” means, for the purpose of this regulation, the written notice to policyholders required by Section 5.A. of this regulation.
- F. “Policyholder” means, for the purpose of this regulation, any individual or entity which has the right to terminate or otherwise alter the terms of a contract of insurance. It includes any certificate holder whose certificate is in force on the proposed effective date of the assumption, if the certificate holder has the right to keep the certificate in force without change in benefit following termination of the group policy. The right to keep the certificate in force referred to in this section shall not include the right to elect individual coverage under the Consolidated Omnibus Budget Reconciliation Act, (“COBRA”) Section 601, *et seq.*, of the Employee Retirement Income Security Act of 1974, as amended (29 U.S.C. 1161 *et seq.*
- G. “Transferring insurer” means, for the purpose of this regulation, the insurer which transfers an insurance obligation or risk, or both, to an assuming insurer pursuant to an assumption reinsurance agreement.

Section 5 Notice Requirements

A. Notice to Policyholders, Agents and Brokers

1. The transferring insurer shall provide or cause to be provided to each policyholder a Notice of Transfer by first-class mail, addressed to the policyholder's last known address or to the address to which premium notices or other policy documents are sent or, with respect to home service business, by personal delivery with acknowledged receipt. A Notice of Transfer shall also be sent to the transferring insurer's agents or brokers of record on the affected policies.
2. The Notice of Transfer shall state or provide:
 - a. The date the transfer and novation of the policyholder's contract of insurance is proposed to take place;
 - b. The name, address, and telephone number of the assuming and transferring insurer;
 - c. That the policyholder has the right to either consent to or reject the transfer and novation;
 - d. The procedures and time limit for consenting to or rejecting the transfer and novation;
 - e. A summary of any effect that consenting to or rejecting the transfer and novation will have on the policyholder's rights;
 - f. A statement that the assuming insurer is licensed to write the type of business being assumed in the state where the policyholder resides, or is otherwise authorized, as provided herein, to assume such business;
 - g. The name and address of the person at the transferring insurer to whom the policyholder should send its written statement of acceptance or rejection of the transfer and novation;
 - h. The address and phone number of the insurance department where the policyholder resides so that the policyholder may write or call the insurance department for further information regarding the financial condition of the assuming insurer; and
 - i. The following financial data for both companies:
 - (1) Ratings for the last five (5) years if available or for such lesser period as is available from two (2) nationally recognized insurance rating services acceptable to the commissioner including the rating service's explanation of the meaning of the ratings. If ratings are unavailable for any year of the five-year period, this shall also be disclosed;
 - (2) A balance sheet as of December 31 for the previous three (3) years if available or for such lesser period as is available and as of the date of the most recent quarterly statement;
 - (3) A copy of the Management's Discussion and Analysis that was filed as a supplement to the previous year's annual statement; and

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- (4) An explanation of the reason for the transfer.
 - 3. Notice in a form identical or substantially similar to Appendix A attached shall be deemed to comply with the requirements of Section 5.A.2.
 - 4. The Notice of Transfer shall include a pre-addressed, postage-paid response card which a policyholder may return as its written statement of acceptance or rejection of the transfer and novation.
- B. Regulatory Filing and Approval Requirements
- 1. Prior written approval by the Commissioner is required for any transaction where an insurer domiciled in this state assumes or transfers obligations or risks, or both, on contracts of insurance under an assumption reinsurance agreement. An insurer domiciled in this state shall not assume obligations or risks, or both, on contracts of insurance issued to or owned by policyholders residing in any other state unless it is licensed in the other state, or the insurance regulatory official of that state has approved the assumption. The following items shall be filed with the Corporate Affairs section of the Division of Insurance to obtain the required approval:
 - a. A petition to the Commissioner for approval of the proposed transaction. The petition must be executed by an officer of each insurer and contain the following:
 - (1) The full and complete names and addresses of the ceding and assuming insurers, and their states(s) of domicile;
 - (2) A description of the type of business transferred, e.g., life, accident and health, annuity, workers' compensation, professional liability, etc.
 - (3) An analysis of the five (5) considerations delineated in Section 5.B.3. of this regulation;
 - (4) Disclosure of any remuneration paid; and
 - (5) Disclosure of all states in which risks, subject to this transfer, reside and whether the assuming insurer is licensed in each state.
 - b. A complete copy of the Notice of Transfer including all attachments;
 - c. A copy of the executed assumption reinsurance agreement;
 - d. A copy of the proposed assumption certificate to be mailed to all policyholders, which includes a description of the transaction, the name and address of the assuming company, the policyholder name and policy number, and a statement that the certificate should be attached to and become part of the policy;
 - e. The following financial information for each company;
 - (1) The latest annual financial statement if the statement has not been filed with the National Association of Insurance Commissioners;
 - (2) The total number of policyholders affected and the reserves for such risks;

- (3) The number of Colorado policyholders affected and the reserves for such risks;
 - (4) Pro forma risk based capital results prior to and after the transaction.
 - f. Any other documents or information which the Commissioner deems pertinent by the particular terms or circumstances of the reinsurance transaction.
- 2. No insurer licensed in this state shall transfer obligations or risks, or both, on contracts of insurance written in this state or covering risks or property located in this state, or owned by residents of this state, to any insurer that is not licensed in this state. Any licensed foreign insurer that enters into an assumption reinsurance agreement with another foreign insurer shall file or cause to be filed the following with the Corporate Affairs section of the Division of Insurance:
 - a. A copy of the executed reinsurance agreement and the proposed assumption certificate;
 - b. A complete copy of the Notice of Transfer, including all attachments;
 - c. A copy of the approval of each of the states of domicile;
 - d. The number of Colorado policyholders affected by the transfer; and
 - e. An affidavit that the transaction is subject to substantially similar requirements in the state of domicile of both the transferring and assuming insurer. If no such requirements exist in the domicile of either the transferring or assuming insurers, then the prior approval requirements of Section 5.B.1. of this regulation shall apply.
- 3. The following factors, along with such other factors as the Commissioner deems appropriate under the circumstances, shall be considered by the Commissioner in reviewing a request for approval:
 - a. The financial condition of the transferring and assuming insurers and the affect the transaction will have on the financial condition of each company;
 - b. The competence, experience and integrity of those persons who control the operation of the assuming insurer;
 - c. The plans or proposals the assuming party has with respect to the administration of the policies subject to the proposed transfer;
 - d. Whether the transfer is fair and reasonable to the policyholders of both companies; and
 - e. Whether the notice of transfer to be provided by the insurer is fair, adequate and not misleading.

4. Provided the provisions of Section 5.B.1. of this regulation do not apply, and if the Commissioner does not approve or deny the transaction within 60 days of receipt of all the required information, the transaction will be deemed approved after 60 days of receipt by the Commissioner. The Notice of Transfer may not be mailed to Colorado policyholders until formally approved by the Commissioner or the transaction is deemed approved. The assuming and transferring insurers are required to maintain sufficient records to document that the provisions of this regulation have been met, including the detail of all policyholders who have consented to, rejected or have been deemed transferred.
5. If the assumption reinsurance agreement involves the transfer of health insurance obligations or risks, or both, the assuming insurer must submit a rate filing within 60 calendar days after the assumption reinsurance agreement's approval as required by Colorado Insurance Regulation 4-2-11.

Section 6 Policyholder Rights

- A. Policyholders shall have the right to reject the transfer and novation of their contracts of insurance. Policyholders electing to reject the assumption transaction shall return to the transferring insurer the pre-addressed, postage-paid response card or other written notice and indicate thereon that the assumption is rejected (collectively referred to as the "Response Card").
- B. Payment of any premium to the assuming company during the twenty-four-month period after notice is received shall be deemed to indicate the policyholder's acceptance of the transfer to the assuming insurer and a novation shall be deemed to have been effected, provided that the premium notice clearly states that payment of the premium to the assuming insurer shall constitute acceptance of the transfer. However, the premium notice shall also provide a method for the policyholder to pay the premium while reserving the right to reject the transfer. With respect to any home service business or any other business not using premium notices, the disclosures and procedural requirements of this subsection are to be set forth in the Notice of Transfer and in the assumption certificate.
- C. After no fewer than twenty-four (24) months from the mailing of the initial Notice of Transfer, if positive consent to, or rejection of, the transfer and assumption has not been received or consent has not been deemed to have occurred under Section 6.B. of this regulation, the transferring company shall send to the policyholder a second and final Notice of Transfer. If the policyholder does not accept or reject the transfer during the one month period immediately following the date on which the transferring insurer mails the second and final notice of transfer, the policyholder's consent will be deemed to have occurred and novation of the contract will be effected. With respect to the home service business, or any other business not using premium notices, the twenty-four and one month periods shall be measured from the date of delivery of the Notice of Transfer.
- D. The transferring insurer will be deemed to have received the Response Card on the date it is postmarked. A policyholder may also send its Response Card by facsimile or other electronic transmission or by registered mail, express delivery or courier service, in which case the Response Card shall be deemed to have been received by the assuming insurer on the date of actual receipt by the transferring insurer.

Section 7 Effect of Consent

If a policyholder consents to the transfer pursuant to Section 6. of this regulation, or if the transfer is effected under Section 8. of this regulation, there shall be a novation of the contract of insurance subject to the assumption reinsurance agreement with the result that the transferring insurer shall thereby be relieved of all insurance obligations or risks, or both, transferred under the assumption reinsurance agreement and the assuming insurer shall become directly and solely liable to the policyholder for those insurance obligations or risks, or both.

Section 8 Commissioner's Discretion

If an insurer domiciled in this state or in a jurisdiction having a substantially similar law is deemed by the domiciliary Commissioner to be in a hazardous financial condition or an administrative proceeding has been instituted against it for the purpose of reorganizing or conserving the insurer, and the transfer of the contracts of insurance is in the best interest of the policyholders, as determined by the domiciliary Commissioner, a transfer and novation may be effected notwithstanding the provisions of this regulation. This may include a form of implied consent and adequate notification to the policyholder of the circumstances requiring the transfer as approved by the Commissioner.

Section 9 Severability

If any provision of this regulation or the application of it to any person or circumstance is for any reason held to be invalid, the remainder of this regulation shall not be affected.

Section 10 Enforcement

Noncompliance with the regulation may result in the imposition of any of the sanctions made available in the Colorado statutes pertaining to the business of insurance, or other laws, which include the imposition of civil penalties, issuance of cease and desist orders, and/or suspensions or revocation of license, subject to the requirements of due process.

Section 11 Effective Date

This regulation shall become effective on April 1, 2016.

Section 12 History

Original Regulation effective August 1, 1990
Amended Regulation effective August 31, 1994
Repealed and Repromulgated Regulation effective May 1, 2012
Amended Regulation effective April 1, 2016

APPENDIX A NOTICE OF TRANSFER

IMPORTANT: THIS NOTICE AFFECTS YOUR CONTRACT RIGHTS. PLEASE READ IT CAREFULLY.

Transfer of Policy

The [ABC Insurance Company] has agreed to replace us as your insurer under [insert policy/certificate name and number] effective [insert date]. The [ABC Insurance Company's] principal place of business is [insert address] and certain financial information concerning both companies is attached, including (1) ratings for the last five years, if available, or for such lesser period as is available from two nationally recognized insurance rating services; (2) balance sheets, for the previous three years if available, or for such lesser period as is available; and as of the date of the most recent quarterly statement; (3) a copy of the Management's Discussion and Analysis that was filed as a supplement to the previous year's annual statement; and (4) an explanation of the reason for the transfer. You may obtain additional information concerning [ABC Insurance Company] from reference materials in your local library or by contacting your Insurance Commissioner at [insert address and phone number].

The [ABC Insurance Company] is licensed to write this coverage in your state. The Commissioner of Insurance in your state has reviewed the potential effect of the proposed transaction, and has approved the transaction.

Your Rights

You may choose to consent to or reject the transfer of your policy to [ABC Insurance Company]. If you want your policy transferred, you may notify us in writing by signing and returning the enclosed pre-addressed, postage-paid card or by writing to us at:

[Insert name, address and facsimile number of contact person.]

Payment of your premium to the assuming company will also constitute acceptance of the transaction. However, a method will be provided to allow you to pay the premium while reserving the right to reject the transfer.

If you reject the transfer, you may keep your policy with us or exercise any option under your policy. If we do not receive a written rejection you will, as a matter of law, have consented to the transfer. However, before this consent is final you will be provided a second notice of the transfer twenty-four months from now. After the second notice is provided, you will have one month to reply. If you have paid your premium to the [ABC Insurance Company], without reserving your right to reject the transfer, you will not receive a second notice.

Effect of Transfer

If you accept this transfer, [ABC Insurance Company] will be your insurer. It will have direct responsibility to you for the payment of all claims, benefits and for all other policy obligations. We will no longer have any obligations to you.

If you accept this transfer, you should make all premium payments and claims submissions to [ABC Insurance Company] and direct all questions to [ABC Insurance Company].

If you have any further questions about this agreement, you may contact [XYZ Insurance] or [ABC Insurance].

Sincerely,

XYZ Insurance Company
111 No Street
Smithville, USA
555/555-5555

ABC Insurance Company
222 No Street
Jonesville, USA
333/333-3333

For your convenience, we have enclosed a pre-addressed postage-paid response card. Please take time now to read the enclosed notice and complete and return the response card to us.

[Notice Date]

RESPONSE CARD

____ Yes, I accept the transfer of my policy from [name of transferring company] to [name of assuming company].

____ No, I reject the proposed transfer of my policy from [name of transferring company] to [name of assuming company] and wish to retain my policy with [name of transferring company].

Date:	Signature:
Name:	
Street Address:	
City, State, Zip:	

Regulation 3-3-2 – CEDING REINSURANCE AGREEMENTS – REPEALED

[Repealed eff. 1/1/2007. Replaced by Regs. 3-3-3, 3-3-4, and 3-3-5]

Regulation 3-3-3 CREDIT FOR REINSURANCE

Section 1	Authority
Section 2	Scope and Purpose
Section 3	Applicability
Section 4	Credit for Reinsurance—Reinsurer Licensed in this State
Section 5	Credit for Reinsurance—Accredited Reinsurers
Section 6	Credit for Reinsurance—Reinsurer Domiciled in Another State
Section 7	Credit for Reinsurance—Reinsurers Maintaining Trust Funds
Section 8	Credit for Reinsurance—Certified Reinsurers
Section 9	Credit for Reinsurance—Reciprocal Jurisdictions
Section 10	Credit for Reinsurance Required by Law
Section 11	Asset or Reduction from Liability for Reinsurance Ceded to Unauthorized Assuming Insurer Not Meeting the Requirements of Sections 4 Through 10
Section 12	Trust Agreements Qualified Under Section 11
Section 13	Letters of Credit Qualified Under Section 11
Section 14	Other Security
Section 15	Reinsurance Contract
Section 16	Contracts Affected
Section 17	Severability
Section 18	Enforcement
Section 19	Effective Date
Section 20	History
Form AR-1	Certificate of Assuming Insurer
Form CR-1	Certificate of Certified Reinsurer
Form RJ-1	Certificate of Reinsurer Domiciled in Reciprocal Jurisdiction
Form CR-F	
Form CR-S	

Section 1 Authority

This regulation is promulgated pursuant to the authority granted by Sections 10-1-109(1), 10-3-529(4), 10-3-705, 10-6-129, 10-14-505 and 10-16-109, and provides standards regarding reinsurance agreements under Sections 10-3-701 et. seq., 10-6-122, 10-11-113, 10-14-304, 8-44-204, 8-44-205, 8-45-117, 24-10-115.5, and 29-13-102, C.R.S.

Section 2 Scope and Purpose

The purpose of this regulation is to set forth rules and procedural requirements that the Commissioner deems necessary to carry out the provisions of the Section 10-3-701 et. seq., C.R.S., regarding the conditions and circumstances under which a domestic insurer may reduce their liabilities, or establish an asset associated with risks reinsured. The actions and information required by this regulation are declared to be necessary and appropriate in the public interest and for the protection of the ceding insurers in this state. This regulation addresses credit for reinsurance associated with a valid reinsurance contract. The criteria as to what constitutes a valid reinsurance agreement, limitations on the amount of credit that can be claimed and other requirements as regards financial reporting are addressed in Colorado Insurance Regulations 3-3-4 and 3-3-5.

Section 3 Applicability

This regulation shall apply to all licensed insurers, as well as to each domestic group captive insurer, fraternal benefit society, health maintenance organization, licensed self-insurance pool, prepaid dental care plan organization, non-profit hospital, medical-surgical and health service corporation, Pinnacol Assurance, interinsurance exchange/reciprocal exchange and title insurance company.

Section 4 Credit for Reinsurance—Reinsurer Licensed in this State

Pursuant to Section 10-3-702(2), C.R.S., the Commissioner shall allow credit for reinsurance ceded by a domestic insurer to an assuming insurer that was licensed in this state as of any date on which statutory financial statement credit for reinsurance is claimed.

Section 5 Credit for Reinsurance—Accredited Reinsurers

- A. Pursuant to Section 10-3-702(3), C.R.S., the Commissioner shall allow credit for reinsurance ceded by a domestic insurer to an assuming insurer that is accredited as a reinsurer in this state as of the date on which statutory financial statement credit for reinsurance is claimed. An accredited reinsurer must:
1. File a properly executed Form AR-1 (attached as an exhibit to this regulation) as evidence of its submission to this state's jurisdiction and to this state's authority to examine its books and records;
 2. File with the Commissioner a certified copy of a certificate of authority or other acceptable evidence that it is licensed to transact insurance or reinsurance in at least one state, or, in the case of a U.S. branch of an alien assuming insurer, is entered through and licensed to transact insurance or reinsurance in at least one state;
 3. File annually with the Commissioner a copy of its annual statement filed with the insurance department of its state of domicile or, in the case of an alien assuming insurer, with the state through which it is entered and in which it is licensed to transact insurance or reinsurance, and a copy of its most recent audited financial statement; and
 4. Maintain a surplus as regards policyholders in an amount not less than \$20,000,000, or obtain the affirmative approval of the Commissioner upon a finding that it has adequate financial capacity to meet its reinsurance obligations and is otherwise qualified to assume reinsurance from domestic insurers.
- B. If the Commissioner determines that the assuming insurer has failed to meet or maintain any of these qualifications, the Commissioner may upon written notice and opportunity for hearing, suspend or revoke the accreditation. Credit shall not be allowed a domestic ceding insurer under this section if the assuming insurer's accreditation has been revoked by the Commissioner, or if the reinsurance was ceded while the assuming insurer's accreditation was under suspension by the Commissioner.

Section 6 Credit for Reinsurance—Reinsurer Domiciled in Another State

- A. Pursuant to Section 10-3-702(4), C.R.S., the Commissioner shall allow credit for reinsurance ceded by a domestic insurer to an assuming insurer that as of any date on which statutory financial statement credit for reinsurance is claimed:
1. Is domiciled in (or, in the case of a U.S. branch of an alien assuming insurer, is entered through) a state that employs standards regarding credit for reinsurance substantially similar to those applicable under Section 10-3-701, et. seq., and this regulation;
 2. Maintains a surplus as regards policyholders in an amount not less than \$20,000,000; and
 3. Files a properly executed Form AR-1 with the Commissioner as evidence of its submission to this state's authority to examine its books and records.

- B. The provisions of this section relating to surplus as regards policyholders shall not apply to reinsurance ceded and assumed pursuant to pooling arrangements among insurers in the same holding company system. As used in this section, "substantially similar" standards means credit for reinsurance standards that the Commissioner determines equal or exceed the standards of Section 10-3-701, et. seq., and this regulation.

Section 7 Credit for Reinsurance—Reinsurers Maintaining Trust Funds

- A. Pursuant to Section 10-3-702(5), C.R.S., the Commissioner shall allow credit for reinsurance ceded by a domestic insurer to an assuming insurer which, as of any date on which statutory financial statement credit for reinsurance is claimed, and thereafter for so long as credit for reinsurance is claimed, maintains a trust fund in an amount prescribed below in a qualified U.S. financial institution as defined in Section 10-3-704(2), C.R.S., for the payment of the valid claims of its U.S. domiciled ceding insurers, their assigns and successors in interest. The assuming insurer shall report annually to the Commissioner substantially the same information as that required to be reported on the National Association of Insurance Commissioners (NAIC) annual statement form by licensed insurers, to enable the Commissioner to determine the sufficiency of the trust fund.
- B. The following requirements apply to the following categories of assuming insurer.
1. The trust fund for a single assuming insurer shall consist of funds in trust in an amount not less than the assuming insurer's liabilities attributable to reinsurance ceded by U.S. domiciled insurers, and in addition, the assuming insurer shall maintain a trustee surplus of not less than \$20,000,000, except as provided in Paragraph (2) of this subsection.
 2. At any time after the assuming insurer has permanently discontinued underwriting new business secured by the trust for at least three full years, the commissioner with principal regulatory oversight of the trust may authorize a reduction in the required trustee surplus, but only after a finding, based on an assessment of the risk, that the new required surplus level is adequate for the protection of U.S. ceding insurers, policyholders and claimants in light of reasonably foreseeable adverse loss development. The risk assessment may involve an actuarial review, including an independent analysis of reserves and cash flows, and shall consider all material risk factors, including when applicable the lines of business involved, the stability of the incurred loss estimates and the effect of the surplus requirements on the assuming insurer's liquidity or solvency. The minimum required trustee surplus may not be reduced to an amount less than thirty percent (30%) of the assuming insurer's liabilities attributable to reinsurance ceded by U.S. ceding insurers covered by the trust.
 3. The trust fund for a group including incorporated and individual unincorporated underwriters shall consist of:
 - a. For reinsurance ceded under reinsurance agreements with an inception, amendment or renewal date on or after January 1, 1993, funds in trust in an amount not less than the respective underwriters' several liabilities attributable to business ceded by U.S. domiciled ceding insurers to any underwriter of the group;
 - b. For reinsurance ceded under reinsurance agreements with an inception date on or before December 31, 1992, and not amended or renewed after that date, notwithstanding the other provisions of this regulation, funds in trust in an amount not less than the respective underwriters' several insurance and reinsurance liabilities attributable to business written in the United States; and

- c. In addition to these trusts, the group shall maintain a trustee surplus of which \$100,000,000 shall be held jointly for the benefit of the U.S. domiciled ceding insurers of any member of the group for all the years of account.
 - 4. The incorporated members of the group shall not be engaged in any business other than underwriting as a member of the group and shall be subject to the same level of regulation and solvency control by the group's domiciliary regulator as are the unincorporated members. The group shall, within ninety (90) days after its financial statements are due to be filed with the group's domiciliary regulator, provide to the Commissioner:
 - a. An annual certification by the group's domiciliary regulator of the solvency of each underwriter member of the group; or
 - b. If a certification is unavailable, a financial statement, prepared by independent public accountants, of each underwriter member of the group.
 - 5. The trust fund for a group of incorporated insurers under common administration, whose members possess aggregate policyholders surplus of \$10,000,000,000 (calculated and reported in substantially the same manner as prescribed by the annual statement instructions and *Accounting Practices and Procedures Manual* of the NAIC) and which has continuously transacted an insurance business outside the United States for at least three (3) years immediately prior to making application for accreditation, shall:
 - a. Consist of funds in trust in an amount not less than the assuming insurers' several liabilities attributable to business ceded by U.S. domiciled ceding insurers to any members of the group pursuant to reinsurance contracts issued in the name of such group;
 - b. Maintain a joint trustee surplus of which \$100,000,000 shall be held jointly for the benefit of U.S. domiciled ceding insurers of any member of the group; and
 - c. File a properly executed Form AR-1 as evidence of the submission to this state's authority to examine the books and records of any of its members and shall certify that any member examined will bear the expense of any such examination.
 - 6. Within ninety (90) days after the statements are due to be filed with the group's domiciliary regulator, the group shall file with the Commissioner an annual certification of each underwriter member's solvency by the member's domiciliary regulators, and financial statements, prepared by independent public accountants, of each underwriter member of the group.
- C. Credit for reinsurance shall not be granted unless the form of the trust and any amendments to the trust have been approved by either the Commissioner of the state where the trust is domiciled or the commissioner of another state who, pursuant to the terms of the trust instrument, has accepted responsibility for regulatory oversight of the trust. The form of the trust and any trust amendments also shall be filed with the commissioner of every state in which the ceding insurer beneficiaries of the trust are domiciled.
 - 1. The trust instrument shall provide that:
 - a. Contested claims shall be valid and enforceable out of funds in trust to the extent remaining unsatisfied thirty (30) days after entry of the final order of any court of competent jurisdiction in the United States;

- b. Legal title to the assets of the trust shall be vested in the trustee for the benefit of the grantor's U.S. ceding insurers, their assigns and successors in interest;
 - c. The trust shall be subject to examination as determined by the Commissioner;
 - d. The trust shall remain in effect for as long as the assuming insurer, or any member or former member of a group of insurers, shall have outstanding obligations under reinsurance agreements subject to the trust; and
 - e. No later than February 28 of each year the trustee of the trust shall report to the Commissioner in writing setting forth the balance in the trust and listing the trust's investments at the preceding year-end, and shall certify the date of termination of the trust, if so planned, or certify that the trust shall not expire prior to the following December 31.
- 2. Notwithstanding any other provisions in the trust instrument, if the trust fund is inadequate because it contains an amount less than the amount required by this subsection or if the grantor of the trust has been declared insolvent or placed into receivership, rehabilitation, liquidation or similar proceedings under the laws of its state or country of domicile, the trustee shall comply with an order of the commissioner with regulatory oversight over the trust or with an order of a court of competent jurisdiction directing the trustee to transfer to the commissioner with regulatory oversight over the trust or other designated receiver all of the assets of the trust fund.
 - a. The assets shall be distributed by and claims shall be filed with and valued by the commissioner with regulatory oversight over the trust in accordance with the laws of the state in which the trust is domiciled applicable to the liquidation of domestic insurance companies.
 - b. If the commissioner with regulatory oversight over the trust determines that the assets of the trust fund or any part thereof are not necessary to satisfy the claims of the U.S. beneficiaries of the trust, the commissioner with regulatory oversight over the trust shall return the assets, or any part thereof, to the trustee for distribution in accordance with the trust agreement.
 - c. The grantor shall waive any right otherwise available to it under U.S. law that is inconsistent with this provision.
- D. For purposes of this section, the term "liabilities" shall mean the assuming insurer's gross liabilities attributable to reinsurance ceded by U.S. domiciled insurers excluding liabilities that are otherwise secured by acceptable means, and, shall include:
 - 1. For business ceded by domestic insurers authorized to write accident and health, and property and casualty insurance:
 - a. Losses and allocated loss expenses paid by the ceding insurer, recoverable from the assuming insurer;
 - b. Reserves for losses reported and outstanding;
 - c. Reserves for losses incurred but not reported;
 - d. Reserves for allocated loss expenses; and
 - e. Unearned premiums.

2. For business ceded by domestic insurers authorized to write life, health and annuity insurance:
 - a. Aggregate reserves for life policies and contracts net of policy loans and net due and deferred premiums;
 - b. Aggregate reserves for accident and health policies;
 - c. Deposit funds and other liabilities without life or disability contingencies; and
 - d. Liabilities for policy and contract claims.
- E. Assets deposited in trusts established pursuant to Section 10-3-702, C.R.S., and this section shall be valued according to their current fair market value and shall consist only of cash in U.S. dollars, certificates of deposit issued by a U.S. financial institution as defined in Section 10-3-704(1), C.R.S., clean, irrevocable, unconditional and "evergreen" letters of credit issued or confirmed by a qualified U.S. financial institution, as defined in Section 10-3-704(1), C.R.S., and investments of the type specified in this subsection, but investments in or issued by an entity controlling, controlled by or under common control with either the grantor or beneficiary of the trust shall not exceed five percent (5%) of total investments. No more than twenty percent (20%) of the total of the investments in the trust may be foreign investments authorized under Paragraphs (1)(e), (3), (6)(b) or (7) of this subsection, and no more than ten percent (10%) of the total of the investments in the trust may be securities denominated in foreign currencies. For purposes of applying the preceding sentence, a depository receipt denominated in U.S. dollars and representing rights conferred by a foreign security shall be classified as a foreign investment denominated in a foreign currency. The assets of a trust established to satisfy the requirements of Section 10-3-702, C.R.S. shall be invested only as follows:
 1. Government obligations that are not in default as to principal or interest, that are valid and legally authorized and that are issued, assumed or guaranteed by:
 - a. The United States or by any agency or instrumentality of the United States;
 - b. A state of the United States;
 - c. A territory, possession or other governmental unit of the United States;
 - d. An agency or instrumentality of a governmental unit referred to in Subparagraphs (b) and (c) of this paragraph if the obligations shall be by law (statutory or otherwise) payable, as to both principal and interest, from taxes levied or by law required to be levied or from adequate special revenues pledged or otherwise appropriated or by law required to be provided for making these payments, but shall not be obligations eligible for investment under this paragraph if payable solely out of special assessments on properties benefited by local improvements; or
 - e. The government of any other country that is a member of the Organization for Economic Cooperation and Development and whose government obligations are rated A or higher, or the equivalent, by a rating agency recognized by the Securities Valuation Office of the NAIC;
 2. Obligations that are issued in the United States, or that are dollar denominated and issued in a non-U.S. market, by a solvent U.S. institution (other than an insurance company) or that are assumed or guaranteed by a solvent U.S. institution (other than an insurance company) and that are not in default as to principal or interest if the obligations:

- a. Are rated A or higher (or the equivalent) by a securities rating agency recognized by the Securities Valuation Office of the NAIC, or if not so rated, are similar in structure and other material respects to other obligations of the same institution that are so rated;
 - b. Are insured by at least one authorized insurer (other than the investing insurer or a parent, subsidiary or affiliate of the investing insurer) licensed to insure obligations in this state and, after considering the insurance, are rated AAA (or the equivalent) by a securities rating agency recognized by the Securities Valuation Office of the NAIC; or
 - c. Have been designated as Class One or Class Two by the Securities Valuation Office of the NAIC;
- 3. Obligations issued, assumed or guaranteed by a solvent non-U.S. institution chartered in a country that is a member of the Organization for Economic Cooperation and Development or obligations of U.S. corporations issued in a non-U.S. currency, provided that in either case the obligations are rated A or higher, or the equivalent, by a rating agency recognized by the Securities Valuation Office of the NAIC;
- 4. An investment made pursuant to the provisions of Paragraph (1), (2) or (3) of this subsection shall be subject to the following additional limitations:
 - a. An investment in or loan upon the obligations of an institution other than an institution that issues mortgage-related securities shall not exceed five percent (5%) of the assets of the trust;
 - b. An investment in any one mortgage-related security shall not exceed five percent (5%) of the assets of the trust;
 - c. The aggregate total investment in mortgage-related securities shall not exceed twenty-five percent (25%) of the assets of the trust; and
 - d. Preferred or guaranteed shares issued or guaranteed by a solvent U.S. institution are permissible investments if all of the institution's obligations are eligible as investments under Paragraphs (2)(a) and (2)(c) of this subsection, but shall not exceed two percent (2%) of the assets of the trust.
- 5. As used in this regulation:
 - a. "Mortgage-related security" means an obligation that is rated AA or higher (or the equivalent) by a securities rating agency recognized by the Securities Valuation Office of the NAIC and that either:
 - (1) Represents ownership of one or more promissory notes or certificates of interest or participation in the notes (including any rights designed to assure servicing of, or the receipt or timeliness of receipt by the holders of the notes, certificates, or participation of amounts payable under, the notes, certificates or participation), that:

- (a) Are directly secured by a first lien on a single parcel of real estate, including stock allocated to a dwelling unit in a residential cooperative housing corporation, upon which is located a dwelling or mixed residential and commercial structure, or on a residential manufactured home as defined in 42 U.S.C. Section 5402(6), whether the manufactured home is considered real or personal property under the laws of the state in which it is located; and
 - (b) Were originated by a savings and loan association, savings bank, commercial bank, credit union, insurance company, or similar institution that is supervised and examined by a federal or state housing authority, or by a mortgagee approved by the Secretary of Housing and Urban Development pursuant to 12 U.S.C. Sections 1709 and 1715b, or, where the notes involve a lien on the manufactured home, by an institution or by a financial institution approved for insurance by the Secretary of Housing and Urban Development pursuant to 12 U.S.C. Section 1703; or
 - (2) Is secured by one or more promissory notes or certificates of deposit or participations in the notes (with or without recourse to the insurer of the notes) and, by its terms, provides for payments of principal in relation to payments, or reasonable projections of payments, or notes meeting the requirements of Items (1)(a) and (1)(b) of this subsection;
 - b. "Promissory note," when used in connection with a manufactured home, shall also include a loan, advance or credit sale as evidenced by a retail installment sales contract or other instrument.
6. Equity interests
- a. Investments in common shares or partnership interests of a solvent U.S. institution are permissible if:
 - (1) Its obligations and preferred shares, if any, are eligible as investments under this subsection; and
 - (2) The equity interests of the institution (except an insurance company) are registered on a national securities exchange as provided in the Securities Exchange Act of 1934, 15 U.S.C. §§ 78a to 78kk or otherwise registered pursuant to that Act, and if otherwise registered, price quotations for them are furnished through a nationwide automated quotations system approved by the Financial Industry Regulatory Authority, or successor organization. A trust shall not invest in equity interests under this paragraph an amount exceeding one percent (1%) of the assets of the trust even though the equity interests are not so registered and are not issued by an insurance company;
 - b. Investments in common shares of a solvent institution organized under the laws of a country that is a member of the Organization for Economic Cooperation and Development, if:
 - (1) All its obligations are rated A or higher, or the equivalent, by a rating agency recognized by the Securities Valuation Office of the NAIC; and

- (2) The equity interests of the institution are registered on a securities exchange regulated by the government of a country that is a member of the Organization for Economic Cooperation and Development;
 - c. An investment in or loan upon any one institution's outstanding equity interests shall not exceed one percent (1%) of the assets of the trust. The cost of an investment in equity interests made pursuant to this paragraph, when added to the aggregate cost of other investments in equity interests then held pursuant to this paragraph, shall not exceed ten percent (10%) of the assets in the trust;
- 7. Obligations issued, assumed or guaranteed by a multinational development bank, provided the obligations are rated A or higher, or the equivalent, by a rating agency recognized by the Securities Valuation Office of the NAIC.
- 8. Investment companies
 - a. Securities of an investment company registered pursuant to the Investment Company Act of 1940, 15 U.S.C. § 80a, are permissible investments if the investment company:
 - (1) Invests at least ninety percent (90%) of its assets in the types of securities that qualify as an investment under Paragraph (1), (2) or (3) of this subsection or invests in securities that are determined by the Commissioner to be substantively similar to the types of securities set forth in Paragraph (1), (2) or (3) of this subsection; or
 - (2) Invests at least ninety percent (90%) of its assets in the types of equity interests that qualify as an investment under Paragraph (6)(a) of this subsection;
 - b. Investments made by a trust in investment companies under this paragraph shall not exceed the following limitations:
 - (1) An investment in an investment company qualifying under Subparagraph (a)(1) of this paragraph shall not exceed ten percent (10%) of the assets in the trust and the aggregate amount of investment in qualifying investment companies shall not exceed twenty-five percent (25%) of the assets in the trust; and
 - (2) Investments in an investment company qualifying under Subparagraph (a)(2) of this paragraph shall not exceed five percent (5%) of the assets in the trust and the aggregate amount of investment in qualifying investment companies shall be included when calculating the permissible aggregate value of equity interests pursuant to Paragraph (6)(a) of this subsection.
- 9. Letters of Credit
 - a. In order for a letter of credit to qualify as an asset of the trust, the trustee shall have the right and the obligation pursuant to the deed of trust or some other binding agreement (as duly approved by the Commissioner), to immediately draw down the full amount of the letter of credit and hold the proceeds in trust for the beneficiaries of the trust if the letter of credit will otherwise expire without being renewed or replaced.

- b. The trust agreement shall provide that the trustee shall be liable for its negligence, willful misconduct or lack of good faith. The failure of the trustee to draw against the letter of credit in circumstances where such draw would be required shall be deemed to be negligence and/or willful misconduct.
- F. A specific security provided to a ceding insurer by an assuming insurer pursuant to Section 11 of this regulation shall be applied, until exhausted, to the payment of liabilities of the assuming insurer to the ceding insurer holding the specific security prior to, and as a condition precedent for, presentation of a claim by the ceding insurer for payment by a trustee of a trust established by the assuming insurer pursuant to this section.

Section 8 Credit for Reinsurance-Certified Reinsurers

- A. Pursuant to Section 10-3-702(6), C.R.S., the Commissioner shall allow credit for reinsurance ceded by a domestic insurer to an assuming insurer that has been certified as a reinsurer in this state at all times for which statutory financial statement credit for reinsurance is claimed under this section. The credit allowed shall be based upon the security held by or on behalf of the ceding insurer in accordance with a rating assigned to the certified reinsurer by the Commissioner. The security shall be in a form consistent with the provisions of Section 10-3-702(6), C.R.S., and Section 10-3-703, et. seq., and Sections 12, 13, or 14 of this regulation. The amount of security required in order for full credit to be allowed shall correspond with the following requirements:

- | 1. | Ratings | Security Required |
|----|----------------|-------------------|
| | Secure – 1 | 0% |
| | Secure – 2 | 10% |
| | Secure – 3 | 20% |
| | Secure – 4 | 50% |
| | Secure – 5 | 75% |
| | Vulnerable – 6 | 100% |
- 2. Affiliated reinsurance transactions shall receive the same opportunity for reduced security requirements as all other reinsurance transactions.
 - 3. The Commissioner shall require the certified reinsurer to post one hundred percent (100%), for the benefit of the ceding insurer or its estate, security upon the entry of an order of rehabilitation, liquidation or conservation against the ceding insurer.
 - 4. In order to facilitate the prompt payment of claims, a certified reinsurer shall not be required to post security for catastrophe recoverables for a period of one year from the date of the first instance of a liability reserve entry by the ceding company as a result of a loss from a catastrophic occurrence as recognized by the Commissioner. The one year deferral period is contingent upon the certified reinsurer continuing to pay claims in a timely manner. Reinsurance recoverables for only the following lines of business as reported on the NAIC annual financial statement related specifically to the catastrophic occurrence will be included in the deferral:
 - a. Line 1: Fire
 - b. Line 2: Allied Lines
 - c. Line 3: Farmowners multiple peril
 - d. Line 4: Homeowners multiple peril

- e. Line 5: Commercial multiple peril
 - f. Line 9: Inland Marine
 - g. Line 12: Earthquake
 - h. Line 21: Auto physical damage
 - 5. Credit for reinsurance under this section shall apply only to reinsurance contracts entered into or renewed on or after the effective date of the certification of the assuming insurer. Any reinsurance contract entered into prior to the effective date of the certification of the assuming insurer that is subsequently amended after the effective date of the certification of the assuming insurer, or a new reinsurance contract, covering any risk for which collateral was provided previously, shall only be subject to this section with respect to losses incurred and reserves reported from and after the effective date of the amendment or new contract.
 - 6. Nothing in this section shall prohibit the parties to a reinsurance agreement from agreeing to provisions establishing security requirements that exceed the minimum security requirements established for certified reinsurers under this section.
- B. Certification Procedure.**
- 1. The Commissioner shall post notice on the insurance department's website promptly upon receipt of any application for certification, including instructions on how members of the public may respond to the application. The Commissioner may not take final action on the application until at least thirty (30) days after posting the notice required by this paragraph.
 - 2. The Commissioner shall issue written notice to an assuming insurer that has made application and been approved as a certified reinsurer. Included in such notice shall be the rating assigned the certified reinsurer in accordance with Subsection A of this section. The Commissioner shall publish a list of all certified reinsurers and their ratings.
 - 3. In order to be eligible for certification, the assuming insurer shall meet the following requirements:
 - a. The assuming insurer must be domiciled and licensed to transact insurance or reinsurance in a Qualified Jurisdiction, as determined by the Commissioner pursuant to Subsection C of this section.
 - b. The assuming insurer must maintain capital and surplus, or its equivalent, of no less than \$250,000,000 calculated in accordance with Subparagraph (4)(h) of this subsection. This requirement may also be satisfied by an association including incorporated and individual unincorporated underwriters having minimum capital and surplus equivalents (net of liabilities) of at least \$250,000,000 and a central fund containing a balance of at least \$250,000,000.
 - c. The assuming insurer must maintain financial strength ratings from two or more rating agencies deemed acceptable by the Commissioner. These ratings shall be based on interactive communication between the rating agency and the assuming insurer and shall not be based solely on publicly available information. These financial strength ratings will be one factor used by the Commissioner in determining the rating that is assigned to the assuming insurer. Acceptable rating agencies include the following:

- (1) Standard & Poor's;
 - (2) Moody's Investors Service;
 - (3) Fitch Ratings;
 - (4) A.M. Best Company; or
 - (5) Any other Nationally Recognized Statistical Rating Organization.
- d. The certified reinsurer must comply with any other requirements reasonably imposed by the Commissioner.
4. Each certified reinsurer shall be rated on a legal entity basis, with due consideration being given to the group rating where appropriate, except that an association including incorporated and individual unincorporated underwriters that has been approved to do business as a single certified reinsurer may be evaluated on the basis of its group rating.

Factors that may be considered as part of the evaluation process include, but are not limited to, the following:

- a. The certified reinsurer's financial strength rating from an acceptable rating agency. The maximum rating that a certified reinsurer may be assigned will correspond to its financial strength rating as outlined in the table below. The Commissioner shall use the lowest financial strength rating received from an approved rating agency in establishing the maximum rating of a certified reinsurer. A failure to obtain or maintain at least two financial strength ratings from acceptable rating agencies will result in loss of eligibility for certification:

<u>Ratings</u>	<u>Best</u>	<u>S&P</u>	<u>Moody's</u>	<u>Fitch</u>
Secure - 1	A++	AAA	Aaa	AAA
Secure - 2	A+	AA+, AA, AA-	Aa1, Aa2, Aa3	AA+, AA, AA-
Secure - 3	A	A+, A	A1, A2	A+, A
Secure - 4	A-	A-	A3	A-
Secure - 5	B++, B+	BBB+, BBB, BBB-	Baa1, Baa2, Baa3	BBB+, BBB, BBB-
Vulnerable -6	B, B- C++, C+, C, C-, D, E, F	BB+, BB, BB-, B+, B, B-, CCC, CC, C, D, R	Ba1, Ba2, Ba3, B1, B2, B3, Caa, Ca, C	BB+, BB, BB-, B+, B, B-, CCC+, CC, CCC-, DD

- b. The business practices of the certified reinsurer in dealing with its ceding insurers, including its record of compliance with reinsurance contractual terms and obligations;
 - c. For certified reinsurers domiciled in the U.S., a review of the most recent applicable NAIC Annual Statement Blank, either Schedule F (for property/casualty reinsurers) or Schedule S (for life and health reinsurers);
 - d. For certified reinsurers not domiciled in the U.S., a review annually of Form CR-F (for property/casualty reinsurers) or Form CR-S (for life and health reinsurers) (attached as exhibits to this regulation);
 - e. The reputation of the certified reinsurer for prompt payment of claims under reinsurance agreements, based on an analysis of ceding insurers' Schedule F reporting of overdue reinsurance recoverables, including the proportion of obligations that are more than ninety (90) days past due or are in dispute, with specific attention given to obligations payable to companies that are in administrative supervision or receivership;
 - f. Regulatory actions against the certified reinsurer;
 - g. The report of the independent auditor on the financial statements of the insurance enterprise, on the basis described in Subparagraph (h) below;
 - h. For certified reinsurers not domiciled in the U.S., audited financial statements, regulatory filings, and actuarial opinion (as filed with the non-U.S. jurisdiction supervisor, with a translation into English). Upon the initial application for certification, the Commissioner will consider audited financial statements for the last two (2) years filed with its non-U.S. jurisdiction supervisor;
 - i. The liquidation priority of obligations to a ceding insurer in the certified reinsurer's domiciliary jurisdiction in the context of an insolvency proceeding;
 - j. A certified reinsurer's participation in any solvent scheme of arrangement, or similar procedure, which involves U.S. ceding insurers. The Commissioner shall receive prior notice from a certified reinsurer that proposes participation by the certified reinsurer in a solvent scheme of arrangement; and
 - k. Any other information deemed relevant by the Commissioner.
5. Based on the analysis conducted under Subparagraph (4)(e) of a certified reinsurer's reputation for prompt payment of claims, the Commissioner may make appropriate adjustments in the security the certified reinsurer is required to post to protect its liabilities to U.S. ceding insurers, provided that the Commissioner shall, at a minimum, increase the security the certified reinsurer is required to post by one rating level under Subparagraph (4)(a) if the Commissioner finds that:
- a. More than fifteen percent (15%) of the certified reinsurer's ceding insurance clients have overdue reinsurance recoverables on paid losses of ninety (90) days or more which are not in dispute and which exceed \$100,000 for each cedent; or
 - b. The aggregate amount of reinsurance recoverables on paid losses which are not in dispute that are overdue by ninety (90) days or more exceeds \$50,000,000.

6. The assuming insurer must submit a properly executed Form CR-1 (attached as an exhibit to this regulation) as evidence of its submission to the jurisdiction of this state, appointment of the Commissioner as an agent for service of process in this state, and agreement to provide security for one hundred percent (100%) of the assuming insurer's liabilities attributable to reinsurance ceded by U.S. ceding insurers if it resists enforcement of a final U.S. judgment. The Commissioner shall not certify any assuming insurer that is domiciled in a jurisdiction that the Commissioner has determined does not adequately and promptly enforce final U.S. judgments or arbitration awards.
7. The certified reinsurer must agree to meet applicable information filing requirements as determined by the Commissioner, both with respect to an initial application for certification and on an ongoing basis. All information submitted by certified reinsurers which are not otherwise public information subject to disclosure shall be exempted from disclosure under Section 24-72-204(3)(a)(IV), C.R.S. and shall be withheld from public disclosure. The applicable information filing requirements are, as follows:
 - a. Notification within ten (10) days of any regulatory actions taken against the certified reinsurer, any change in the provisions of its domiciliary license or any change in rating by an approved rating agency, including a statement describing such changes and the reasons therefore;
 - b. Annually, Form CR-F or CR-S, as applicable;
 - c. Annually, the report of the independent auditor on the financial statements of the insurance enterprise, on the basis described in Subsection (d) below;
 - d. Annually, the most recent audited financial statements, regulatory filings, and actuarial opinion (as filed with the certified reinsurer's supervisor, with a translation into English). Upon the initial certification, audited financial statements for the two (2) years filed with the certified reinsurer's supervisor;
 - e. At least annually, an updated list of all disputed and overdue reinsurance claims regarding reinsurance assumed from U.S. domestic ceding insurers;
 - f. A certification from the certified reinsurer's domestic regulator that the certified reinsurer is in good standing and maintains capital in excess of the jurisdiction's highest regulatory action level; and
 - g. Any other information that the Commissioner may reasonably require.
8. Change in Rating or Revocation of Certification.
 - a. In the case of a downgrade by a rating agency or other disqualifying circumstance, the Commissioner shall upon written notice assign a new rating to the certified reinsurer in accordance with the requirements of Subparagraph (4)(a).
 - b. The Commissioner shall have the authority to suspend, revoke, or otherwise modify a certified reinsurer's certification at any time if the certified reinsurer fails to meet its obligations or security requirements under this section, or if other financial or operating results of the certified reinsurer, or documented significant delays in payment by the certified reinsurer, lead the Commissioner to reconsider the certified reinsurer's ability or willingness to meet its contractual obligations.

- c. If the rating of a certified reinsurer is upgraded by the Commissioner, the certified reinsurer may meet the security requirements applicable to its new rating on a prospective basis, but the Commissioner shall require the certified reinsurer to post security under the previously applicable security requirements as to all contracts in force on or before the effective date of the upgraded rating. If the rating of a certified reinsurer is downgraded by the Commissioner, the Commissioner shall require the certified reinsurer to meet the security requirements applicable to its new rating for all business it has assumed as a certified reinsurer.
- d. Upon revocation of the certification of a certified reinsurer by the Commissioner, the assuming insurer shall be required to post security in accordance with Section 11 in order for the ceding insurer to continue to take credit for reinsurance ceded to the assuming insurer. If funds continue to be held in trust in accordance with Section 7, the Commissioner may allow additional credit equal to the ceding insurer's *pro rata* share of such funds, discounted to reflect the risk of uncollectibility and anticipated expenses of trust administration. Notwithstanding the change of a certified reinsurer's rating or revocation of its certification, a domestic insurer that has ceded reinsurance to that certified reinsurer may not be denied credit for reinsurance for a period of three (3) months for all reinsurance ceded to that certified reinsurer, unless the reinsurance is found by the Commissioner to be at high risk of uncollectibility.

C. Qualified Jurisdictions.

- 1. If, upon conducting an evaluation under this section with respect to the reinsurance supervisory system of any non-U.S. assuming insurer, the Commissioner determines that the jurisdiction qualifies to be recognized as a qualified jurisdiction, the Commissioner shall publish notice and evidence of such recognition in an appropriate manner. The Commissioner may establish a procedure to withdraw recognition of those jurisdictions that are no longer qualified.
- 2. In order to determine whether the domiciliary jurisdiction of a non-U.S. assuming insurer is eligible to be recognized as a qualified jurisdiction, the Commissioner shall evaluate the reinsurance supervisory system of the non-U.S. jurisdiction, both initially and on an ongoing basis, and consider the rights, benefits and the extent of reciprocal recognition afforded by the non-U.S. jurisdiction to reinsurers licensed and domiciled in the U.S. The Commissioner shall determine the appropriate approach for evaluating the qualifications of such jurisdictions, and create and publish a list of jurisdictions whose reinsurers may be approved by the Commissioner as eligible for certification. A qualified jurisdiction must agree to share information and cooperate with the Commissioner with respect to all certified reinsurers domiciled within that jurisdiction. Additional factors to be considered in determining whether to recognize a qualified jurisdiction, in the discretion of the Commissioner, include but are not limited to the following:
 - a. The framework under which the assuming insurer is regulated.
 - b. The structure and authority of the domiciliary regulator with regard to solvency regulation requirements and financial surveillance.
 - c. The substance of financial and operating standards for assuming insurers in the domiciliary jurisdiction.
 - d. The form and substance of financial reports required to be filed or made publicly available by reinsurers in the domiciliary jurisdiction and the accounting principles used.

- e. The domiciliary regulator's willingness to cooperate with U.S. regulators in general and the Commissioner in particular.
 - f. The history of performance by assuming insurers in the domiciliary jurisdiction.
 - g. Any documented evidence of substantial problems with the enforcement of final U.S. judgments in the domiciliary jurisdiction. A jurisdiction will not be considered to be a qualified jurisdiction if the Commissioner has determined that it does not adequately and promptly enforce final U.S. judgments or arbitration awards.
 - h. Any relevant international standards or guidance with respect to mutual recognition of reinsurance supervision adopted by the International Association of Insurance Supervisors or successor organization.
 - i. Any other matters deemed relevant by the Commissioner.
 - 3. A list of qualified jurisdictions shall be published through the NAIC Committee Process. The Commissioner shall consider this list in determining qualified jurisdictions. If the Commissioner approves a jurisdiction as qualified that does not appear on the list of qualified jurisdictions, the Commissioner shall provide thoroughly documented justification with respect to the criteria provided under Subsection 8C(2)(a) to (i).
 - 4. U.S. jurisdictions that meet the requirements for accreditation under the NAIC financial standards and accreditation program shall be recognized as qualified jurisdictions.
- D. Recognition of Certification Issued by an NAIC Accredited Jurisdiction.
- 1. If an applicant for certification has been certified as a reinsurer in an NAIC accredited jurisdiction, the Commissioner has the discretion to defer to that jurisdiction's certification, and to defer to the rating assigned by that jurisdiction, if the assuming insurer submits a properly executed Form CR- 1 and such additional information as the Commissioner requires. The assuming insurer shall be considered to be a certified reinsurer in this state.
 - 2. Any change in the certified reinsurer's status or rating in the other jurisdiction shall apply automatically in this state as of the date it takes effect in the other jurisdiction. The certified reinsurer shall notify the Commissioner of any change in its status or rating within 10 days after receiving notice of the change.
 - 3. The Commissioner may withdraw recognition of the other jurisdiction's rating at any time and assign a new rating in accordance with Subsection B(8) of this section.
 - 4. The Commissioner may withdraw recognition of the other jurisdiction's certification at any time, with written notice to the certified reinsurer. Unless the Commissioner suspends or revokes the certified reinsurer's certification in accordance with Subsection B(8) of this section, the certified reinsurer's certification shall remain in good standing in this state for a period of three (3) months, which shall be extended if additional time is necessary to consider the assuming insurer's application for certification in this state.
- E. Mandatory Funding Clause. In addition to the clauses required under Section 15, reinsurance contracts entered into or renewed under this section shall include a proper funding clause, which requires the certified reinsurer to provide and maintain security in an amount sufficient to avoid the imposition of any financial statement penalty on the ceding insurer under this section for reinsurance ceded to the certified reinsurer.

- F. The Commissioner shall comply with all reporting and notification requirements that may be established by the NAIC with respect to certified reinsurers and qualified jurisdictions.

Section 9 Credit for Reinsurance—Reciprocal Jurisdictions

- A. Pursuant to Section 10-3-702(6.5), C.R.S., the Commissioner shall allow credit for reinsurance ceded by a domestic insurer to an assuming insurer that is licensed to write reinsurance by, and has its head office or is domiciled in, a Reciprocal Jurisdiction, and which meets the other requirements of this regulation.
- B. A “Reciprocal Jurisdiction” is a jurisdiction, as designated by the Commissioner pursuant to Subsection D, that meets one of the following:
1. A non-U.S. jurisdiction that is subject to an in-force covered agreement with the United States, each within its legal authority, or, in the case of a covered agreement between the United States and the European Union, is a member state of the European Union. For purposes of this subsection, a “covered agreement” is an agreement entered into pursuant to the Dodd-Frank Wall Street Reform and Consumer Protection Act, 31 U.S.C. §§ 313 and 314, that is currently in effect or in a period of provisional application and addresses the elimination, under specified conditions, of collateral requirements as a condition for entering into any reinsurance agreement with a ceding insurer domiciled in this state or for allowing the ceding insurer to recognize credit for reinsurance;
 2. A U.S. jurisdiction that meets the requirements for accreditation under the NAIC financial standards and accreditation program; or
 3. A qualified jurisdiction, as determined by the Commissioner pursuant to Section 10-3-702(6), C.R.S. and Section 8C, which is not otherwise described in Paragraph (1) or (2) above and which the Commissioner determines meets all of the following additional requirements:
 - a. Provides that an insurer which has its head office or is domiciled in such qualified jurisdiction shall receive credit for reinsurance ceded to a U.S.-domiciled assuming insurer in the same manner as credit for reinsurance is received for reinsurance assumed by insurers domiciled in such qualified jurisdiction;
 - b. Does not require a U.S.-domiciled assuming insurer to establish or maintain a local presence as a condition for entering into a reinsurance agreement with any ceding insurer subject to regulation by the non-U.S. jurisdiction or as a condition to allow the ceding insurer to recognize credit for such reinsurance;
 - c. Recognizes the U.S. state regulatory approach to group supervision and group capital, by providing written confirmation by a competent regulatory authority, in such qualified jurisdiction, that insurers and insurance groups that are domiciled or maintain their headquarters in this state or another jurisdiction accredited by the NAIC shall be subject only to worldwide prudential insurance group supervision including worldwide group governance, solvency and capital, and reporting, as applicable, by the Commissioner or the Commissioner of the domiciliary state and will not be subject to group supervision at the level of the worldwide parent undertaking of the insurance or reinsurance group by the qualified jurisdiction; and

- d. Provides written confirmation by a competent regulatory authority in such qualified jurisdiction that information regarding insurers and their parent, subsidiary, or affiliated entities, if applicable, shall be provided to the Commissioner in accordance with a memorandum of understanding or similar document between the Commissioner and such qualified jurisdiction, including but not limited to the International Association of Insurance Supervisors Multilateral Memorandum of Understanding or other multilateral memoranda of understanding coordinated by the NAIC.
- C. Credit shall be allowed when the reinsurance is ceded from an insurer domiciled in this state to an assuming insurer meeting each of the conditions set forth below.
 - 1. The assuming insurer must be licensed to transact reinsurance by, and have its head office or be domiciled in, a Reciprocal Jurisdiction.
 - 2. The assuming insurer must have and maintain on an ongoing basis minimum capital and surplus, or its equivalent, calculated on at least an annual basis as of the preceding December 31 or at the annual date otherwise statutorily reported to the Reciprocal Jurisdiction, and confirmed as set forth in Subsection C(7) according to the methodology of its domiciliary jurisdiction, in the following amounts:
 - a. No less than \$250,000,000; or
 - b. If the assuming insurer is an association, including incorporated and individual unincorporated underwriters:
 - (1) Minimum capital and surplus equivalents (net of liabilities) or own funds of the equivalent of at least \$250,000,000; and
 - (2) A central fund containing a balance of the equivalent of at least \$250,000,000.
 - 3. The assuming insurer must have and maintain on an ongoing basis a minimum solvency or capital ratio, as applicable, as follows:
 - a. If the assuming insurer has its head office or is domiciled in a Reciprocal Jurisdiction as defined in Section 9B(1), the ratio specified in the applicable covered agreement;
 - b. If the assuming insurer is domiciled in a Reciprocal Jurisdiction as defined in Section 9B(2), a risk-based capital (RBC) ratio of three hundred percent (300%) of the authorized control level, calculated in accordance with the formula developed by the NAIC; or
 - c. If the assuming insurer is domiciled in a Reciprocal Jurisdiction as defined in Section 9B(3), after consultation with the Reciprocal Jurisdiction and considering any recommendations published through the NAIC Committee Process, such solvency or capital ratio as the Commissioner determines to be an effective measure of solvency.
 - 4. The assuming insurer must agree to and provide adequate assurance, in the form of a properly executed Form RJ-1 (attached as an exhibit to this regulation), of its agreement to the following:

- a. The assuming insurer must agree to provide prompt written notice and explanation to the Commissioner if it falls below the minimum requirements set forth in Paragraphs (2) or (3) of this subsection, or if any regulatory action is taken against it for serious noncompliance with applicable law.
 - b. The assuming insurer must consent in writing to the jurisdiction of the courts of this state and to the appointment of the Commissioner as agent for service of process.
 - (1) The Commissioner may also require that such consent be provided and included in each reinsurance agreement under the Commissioner's jurisdiction.
 - (2) Nothing in this provision shall limit or in any way alter the capacity of parties to a reinsurance agreement to agree to alternative dispute resolution mechanisms, except to the extent such agreements are unenforceable under applicable insolvency or delinquency laws.
 - c. The assuming insurer must consent in writing to pay all final judgments, wherever enforcement is sought, obtained by a ceding insurer, that have been declared enforceable in the territory where the judgment was obtained.
 - d. Each reinsurance agreement must include a provision requiring the assuming insurer to provide security in an amount equal to one hundred percent (100%) of the assuming insurer's liabilities attributable to reinsurance ceded pursuant to that agreement if the assuming insurer resists enforcement of a final judgment that is enforceable under the law of the jurisdiction in which it was obtained or a properly enforceable arbitration award, whether obtained by the ceding insurer or by its legal successor on behalf of its estate, if applicable.
 - e. The assuming insurer must confirm that it is not presently participating in any solvent scheme of arrangement, which involves this state's ceding insurers, and agrees to notify the ceding insurer and the Commissioner and to provide one hundred percent (100%) security to the ceding insurer consistent with the terms of the scheme, should the assuming insurer enter into such a solvent scheme of arrangement. Such security shall be in a form consistent with the provisions of Section 10-3-702(6), C.R.S., Section 10-3-703, C.R.S. and Section 12, 13 or 14 of this regulation. For purposes of this regulation, the term "solvent scheme of arrangement" means a foreign or alien statutory or regulatory compromise procedure subject to requisite majority creditor approval and judicial sanction in the assuming insurer's home jurisdiction either to finally commute liabilities of duly noticed classed members or creditors of a solvent debtor, or to reorganize or restructure the debts and obligations of a solvent debtor on a final basis, and which may be subject to judicial recognition and enforcement of the arrangement by a governing authority outside the ceding insurer's home jurisdiction.
 - f. The assuming insurer must agree in writing to meet the applicable information filing requirements as set forth in Paragraph (5) of this subsection.
5. The assuming insurer or its legal successor must provide, if requested by the Commissioner, on behalf of itself and any legal predecessors, the following documentation to the Commissioner:

- a. For the two years preceding entry into the reinsurance agreement and on an annual basis thereafter, the assuming insurer's annual audited financial statements, in accordance with the applicable law of the jurisdiction of its head office or domiciliary jurisdiction, as applicable, including the external audit report;
 - b. For the two years preceding entry into the reinsurance agreement, the solvency and financial condition report or actuarial opinion, if filed with the assuming insurer's supervisor;
 - c. Prior to entry into the reinsurance agreement and not more than semi-annually thereafter, an updated list of all disputed and overdue reinsurance claims outstanding for 90 days or more, regarding reinsurance assumed from ceding insurers domiciled in the United States; and
 - d. Prior to entry into the reinsurance agreement and not more than semi-annually thereafter, information regarding the assuming insurer's assumed reinsurance by ceding insurer, ceded reinsurance by the assuming insurer, and reinsurance recoverable on paid and unpaid losses by the assuming insurer to allow for the evaluation of the criteria set forth in Paragraph (6) of this subsection.
 - 6. The assuming insurer must maintain a practice of prompt payment of claims under reinsurance agreements. The lack of prompt payment will be evidenced if any of the following criteria is met:
 - a. More than fifteen percent (15%) of the reinsurance recoverables from the assuming insurer are overdue and in dispute as reported to the Commissioner;
 - b. More than fifteen percent (15%) of the assuming insurer's ceding insurers or reinsurers have overdue reinsurance recoverable on paid losses of 90 days or more which are not in dispute and which exceed for each ceding insurer \$100,000, or as otherwise specified in a covered agreement; or
 - c. The aggregate amount of reinsurance recoverable on paid losses which are not in dispute, but are overdue by 90 days or more, exceeds \$50,000,000, or as otherwise specified in a covered agreement.
 - 7. The assuming insurer's supervisory authority must confirm to the Commissioner on an annual basis that the assuming insurer complies with the requirements set forth in Paragraphs (2) and (3) of this subsection.
 - 8. Nothing in this provision precludes an assuming insurer from providing the Commissioner with information on a voluntary basis.
- D. The Commissioner shall timely create and publish a list of Reciprocal Jurisdictions.
- 1. A list of Reciprocal Jurisdictions is published through the NAIC Committee Process. The Commissioner's list shall include any Reciprocal Jurisdiction as defined under Section 9B(1) and (2), and shall consider any other Reciprocal Jurisdiction included on the NAIC list. The Commissioner may approve a jurisdiction that does not appear on the NAIC list of Reciprocal Jurisdictions as provided by applicable law, regulation, or in accordance with criteria published through the NAIC Committee Process.

2. The Commissioner may remove a jurisdiction from the list of Reciprocal Jurisdictions upon a determination that the jurisdiction no longer meets one or more of the requirements of a Reciprocal Jurisdiction, as provided by applicable law, regulation, or in accordance with a process published through the NAIC Committee Process, except that the Commissioner shall not remove from the list a Reciprocal Jurisdiction as defined under Section 9B(1) and (2). Upon removal of a Reciprocal Jurisdiction from this list credit for reinsurance ceded to an assuming insurer domiciled in that jurisdiction shall be allowed, if otherwise allowed pursuant to Section 10-3-701 et. seq., C.R.S. or this regulation.
- E. The Commissioner shall timely create and publish a list of assuming insurers that have satisfied the conditions set forth in this section and to which cessions shall be granted credit in accordance with this section.
1. If an NAIC accredited jurisdiction has determined that the conditions set forth in Subsection C have been met, the Commissioner has the discretion to defer to that jurisdiction's determination, and add such assuming insurer to the list of assuming insurers to which cessions shall be granted credit in accordance with this subsection. The Commissioner may accept financial documentation filed with another NAIC accredited jurisdiction or with the NAIC in satisfaction of the requirements of Subsection C.
 2. When requesting that the Commissioner defer to another NAIC accredited jurisdiction's determination, an assuming insurer must submit a properly executed Form RJ-1 and additional information as the Commissioner may require. A state that has received such a request will notify other states through the NAIC Committee Process and provide relevant information with respect to the determination of eligibility.
- F. If the Commissioner determines that an assuming insurer no longer meets one or more of the requirements under this section, the Commissioner may revoke or suspend the eligibility of the assuming insurer for recognition under this section.
1. While an assuming insurer's eligibility is suspended, no reinsurance agreement issued, amended or renewed after the effective date of the suspension qualifies for credit except to the extent that the assuming insurer's obligations under the contract are secured in accordance with Section 11.
 2. If an assuming insurer's eligibility is revoked, no credit for reinsurance may be granted after the effective date of the revocation with respect to any reinsurance agreements entered into by the assuming insurer, including reinsurance agreements entered into prior to the date of revocation, except to the extent that the assuming insurer's obligations under the contract are secured in a form acceptable to the Commissioner and consistent with the provisions of Section 11.
- G. Before denying statement credit or imposing a requirement to post security with respect to Section 9F of this regulation or adopting any similar requirement that will have substantially the same regulatory impact as security, the Commissioner shall:
1. Communicate with the ceding insurer, the assuming insurer, and the assuming insurer's supervisory authority that the assuming insurer no longer satisfies one of the conditions listed in Subsection C of this section;
 2. Provide the assuming insurer with 30 days from the initial communication to submit a plan to remedy the defect, and 90 days from the initial communication to remedy the defect, except in exceptional circumstances in which a shorter period is necessary for policyholder and other consumer protection;

3. After the expiration of 90 days or less, as set out in Paragraph (2), if the Commissioner determines that no or insufficient action was taken by the assuming insurer, the Commissioner may impose any of the requirements as set out in this subsection; and
 4. Provide a written explanation to the assuming insurer of any of the requirements set out in this subsection.
- H. If subject to a legal process of rehabilitation, liquidation or conservation, as applicable, the ceding insurer, or its representative, may seek and, if determined appropriate by the court in which the proceedings are pending, may obtain an order requiring that the assuming insurer post security for all outstanding liabilities.

Section 10 Credit for Reinsurance Required by Law

Pursuant to Section 10-3-702(7), C.R.S., the Commissioner shall allow credit for reinsurance ceded by a domestic insurer to an assuming insurer not meeting the requirements of Section 10-3-702(2,3,4,5,6, or 6.5), C.R.S., but only as to the insurance of risks located in jurisdictions where the reinsurance is required by the applicable law or regulation of that jurisdiction. As used in this section, "jurisdiction" means state, district or territory of the United States and any lawful national government.

Section 11 Asset or Reduction from Liability for Reinsurance Ceded to an Unauthorized Assuming Insurer not Meeting the Requirements of Sections 4 through 10

- A Pursuant to Section 10-3-703, C.R.S., the Commissioner shall allow a reduction from liability for reinsurance ceded by a domestic insurer to an assuming insurer not meeting the requirements of Section 10-3-702, et. seq., C.R.S. in an amount not exceeding the liabilities carried by the ceding insurer. The reduction shall be in the amount of funds held by or on behalf of the ceding insurer, including funds held in trust for the exclusive benefit of the ceding insurer, under a reinsurance contract with such assuming insurer as security for the payment of obligations under the reinsurance contract. The security shall be held in the United States subject to withdrawal solely by, and under the exclusive control of, the ceding insurer or, in the case of a trust, held in a qualified United States financial institution as defined in Section 10-3-704(2), C.R.S. This security may be in the form of any of the following:
1. Cash;
 2. Securities listed by the Securities Valuation Office of the NAIC, including those deemed exempt from filing as defined by the Purposes and Procedures Manual of the Securities Valuation Office, and qualifying as admitted assets;
 3. Clean, irrevocable, unconditional and "evergreen" letters of credit issued or confirmed by a qualified United States institution, as defined in Section 10-3-704(1), C.R.S., effective no later than December 31 of the year for which filing is being made, and in the possession of, or in trust for, the ceding insurer on or before the filing date of its annual statement. Letters of credit meeting applicable standards of issuer acceptability as of the dates of their issuance (or confirmation) shall, notwithstanding the issuing (or confirming) institution's subsequent failure to meet applicable standards of issuer acceptability, continue to be acceptable as security until their expiration, extension, renewal, modification or amendment, whichever first occurs; or
 4. Any other form of security acceptable to the Commissioner.
- B. An admitted asset or a reduction from liability for reinsurance ceded to an unauthorized assuming insurer pursuant to this section shall be allowed only when the requirements of Section -15 and the applicable portions of Sections 12, 13 or 14 of this regulation have been satisfied.

Section 12 Trust Agreements Qualified under Section 11

A. As used in this section:

1. “Beneficiary” means the entity for whose sole benefit the trust has been established and any successor of the beneficiary by operation of law. If a court of law appoints a successor in interest to the named beneficiary, then the named beneficiary includes and is limited to the court appointed domiciliary receiver (including conservator, rehabilitator or liquidator).
2. “Grantor” means the entity that has established a trust for the sole benefit of the beneficiary. When established in conjunction with a reinsurance agreement, the grantor is the unlicensed, unaccredited assuming insurer.
3. “Obligations,” as used in Subsection B(11) of this section means:
 - a. Reinsured losses and allocated loss expenses paid by the ceding company, but not recovered from the assuming insurer;
 - b. Reserves for reinsured losses reported and outstanding;
 - c. Reserves for reinsured losses incurred but not reported; and
 - d. Reserves for allocated reinsured loss expenses and unearned premiums.

B. Required conditions.

1. The trust agreement shall be entered into between the beneficiary, the grantor and a trustee, which shall be a qualified United States financial institution as defined in Section 10-3-704(2), C.R.S.
2. The trust agreement shall create a trust account into which assets shall be deposited.
3. All assets in the trust account shall be held by the trustee at the trustee's office in the United States.
4. The trust agreement shall provide that:
 - a. The beneficiary shall have the right to withdraw assets from the trust account at any time, without notice to the grantor, subject only to written notice from the beneficiary to the trustee;
 - b. No other statement or document is required to be presented to withdraw assets, except that the beneficiary may be required to acknowledge receipt of withdrawn assets;
 - c. It is not subject to any conditions or qualifications outside of the trust agreement; and
 - d. It shall not contain references to any other agreements or documents except as provided for in Paragraphs (11) and (12) of this subsection.
5. The trust agreement shall be established for the sole benefit of the beneficiary.
6. The trust agreement shall require the trustee to:

- a. Receive assets and hold all assets in a safe place;
 - b. Determine that all assets are in such form that the beneficiary, or the trustee upon direction by the beneficiary, may whenever necessary negotiate any such assets, without consent or signature from the grantor or any other person or entity;
 - c. Furnish to the grantor and the beneficiary a statement of all assets in the trust account upon its inception and at intervals no less frequent than the end of each calendar quarter;
 - d. Notify the grantor and the beneficiary within ten (10) days, of any deposits to or withdrawals from the trust account;
 - e. Upon written demand of the beneficiary, immediately take any and all steps necessary to transfer absolutely and unequivocally all right, title and interest in the assets held in the trust account to the beneficiary and deliver physical custody of the assets to the beneficiary; and
 - f. Allow no substitutions or withdrawals of assets from the trust account, except on written instructions from the beneficiary, except that the trustee may, without the consent of but with notice to the beneficiary, upon call or maturity of any trust asset, withdraw such asset upon condition that the proceeds are paid into the trust account.
7. The trust agreement shall provide that at least thirty (30) days, but not more than forty-five (45) days, prior to termination of the trust account, written notification of termination shall be delivered by the trustee to the beneficiary.
8. The trust agreement shall be made subject to and governed by the laws of the state in which the trust is domiciled.
9. The trust agreement shall prohibit invasion of the trust corpus for the purpose of paying commission to, or reimbursing the expenses of, the trustee. In order for a letter of credit to qualify as an asset of the trust, the trustee shall have the right and the obligation pursuant to the deed of trust or some other binding agreement (as duly approved by the Commissioner), to immediately draw down the full amount of the letter of credit and hold the proceeds in trust for the beneficiaries of the trust if the letter of credit will otherwise expire without being renewed or replaced.
10. The trust agreement shall provide that the trustee shall be liable for its negligence, willful misconduct or lack of good faith. The failure of the trustee to draw against the letter of credit in circumstances where such draw would be required shall be deemed to be negligence and/or willful misconduct.
11. Notwithstanding other provisions of this regulation, when a trust agreement is established in conjunction with a reinsurance agreement covering risks other than life, annuities and accident and health, where it is customary practice to provide a trust agreement for a specific purpose, the trust agreement may provide that the ceding insurer shall undertake to use and apply amounts drawn upon the trust account, without diminution because of the insolvency of the ceding insurer or the assuming insurer, only for the following purposes:

- a. To pay or reimburse the ceding insurer for the assuming insurer's share under the specific reinsurance agreement regarding any losses and allocated loss expenses paid by the ceding insurer, but not recovered from the assuming insurer, or for unearned premiums due to the ceding insurer if not otherwise paid by the assuming insurer;
 - b. To make payment to the assuming insurer of any amounts held in the trust account that exceed 102 percent of the actual amount required to fund the assuming insurer's obligations under the specific reinsurance agreement; or
 - c. Where the ceding insurer has received notification of termination of the trust account and where the assuming insurer's entire obligations under the specific reinsurance agreement remain unliquidated and undischarged ten (10) days prior to the termination date, to withdraw amounts equal to the obligations and deposit those amounts in a separate account, in the name of the ceding insurer in any qualified U.S. financial institution as defined in Section 10-3-704(2), C.R.S. apart from its general assets, in trust for such uses and purposes specified in Subparagraphs (a) and (b) above as may remain executory after such withdrawal and for any period after the termination date.
- 12. Notwithstanding other provisions of this regulation, when a trust agreement is established to meet the requirements of Section 11 in conjunction with a reinsurance agreement covering life, annuities or accident and health risks, where it is customary to provide a trust agreement for a specific purpose, the trust agreement may provide that the ceding insurer shall undertake to use and apply amounts drawn upon the trust account, without diminution because of the insolvency of the ceding insurer or the assuming insurer, only for the following purposes:
 - a. To pay or reimburse the ceding insurer for:
 - (1) The assuming insurer's share under the specific reinsurance agreement of premiums returned, but not yet recovered from the assuming insurer, to the owners of policies reinsured under the reinsurance agreement on account of cancellations of the policies; and
 - (2) The assuming insurer's share under the specific reinsurance agreement of surrenders and benefits or losses paid by the ceding insurer, but not yet recovered from the assuming insurer, under the terms and provisions of the policies reinsured under the reinsurance agreement;
 - b. To pay to the assuming insurer amounts held in the trust account in excess of the amount necessary to secure the credit or reduction from liability for reinsurance taken by the ceding insurer; or
 - c. Where the ceding insurer has received notification of termination of the trust and where the assuming insurer's entire obligations under the specific reinsurance agreement remain unliquidated and undischarged ten (10) days prior to the termination date, to withdraw amounts equal to the assuming insurer's share of liabilities, to the extent that the liabilities have not yet been funded by the assuming insurer, and deposit those amounts in a separate account, in the name of the ceding insurer in any qualified U.S. financial institution apart from its general assets, in trust for the uses and purposes specified in Subparagraphs (a) and (b) of this paragraph as may remain executory after withdrawal and for any period after the termination date.

13. Either the reinsurance agreement or the trust agreement must stipulate that assets deposited in the trust account shall be valued according to their current fair market value and shall consist only of cash in United States dollars, certificates of deposit issued by a United States bank and payable in United States dollars, and investments permitted by the Insurance Code or any combination of the above, provided investments in or issued by an entity controlling, controlled by or under common control with either the grantor or the beneficiary of the trust shall not exceed five percent (5%) of total investments. The agreement may further specify the types of investments to be deposited. If the reinsurance agreement covers life, annuities or accident and health risks, then the provisions required by this paragraph must be included in the reinsurance agreement.

C. Permitted conditions.

1. The trust agreement may provide that the trustee may resign upon delivery of a written notice of resignation, effective not less than ninety (90) days after the beneficiary and grantor receive the notice and that the trustee may be removed by the grantor by delivery to the trustee and the beneficiary of a written notice of removal, effective not less than ninety (90) days after the trustee and the beneficiary receive the notice, provided that no such resignation or removal shall be effective until a successor trustee has been duly appointed and approved by the beneficiary and the grantor and all assets in the trust have been duly transferred to the new trustee.
2. The grantor may have the full and unqualified right to vote any shares of stock in the trust account and to receive from time to time payments of any dividends or interest upon any shares of stock or obligations included in the trust account. Any interest or dividends shall be either forwarded promptly upon receipt to the grantor or deposited in a separate account established in the grantor's name.
3. The trustee may be given authority to invest, and accept substitutions of, any funds in the account, provided that no investment or substitution shall be made without prior approval of the beneficiary, unless the trust agreement specifies categories of investments acceptable to the beneficiary and authorizes the trustee to invest funds and to accept substitutions that the trustee determines are at least equal in current fair market value to the assets withdrawn and that are consistent with the restrictions in Subsection D(1)(b) of this section.
4. The trust agreement may provide that the beneficiary may at any time designate a party to which all or part of the trust assets are to be transferred. Transfer may be conditioned upon the trustee receiving, prior to or simultaneously, other specified assets.
5. The trust agreement may provide that, upon termination of the trust account, all assets not previously withdrawn by the beneficiary shall, with written approval by the beneficiary, be delivered over to the grantor.

D. Additional conditions applicable to reinsurance agreements:

1. A reinsurance agreement may contain provisions that:
 - a. Require the assuming insurer to enter into a trust agreement and to establish a trust account for the benefit of the ceding insurer, and specifying what the agreement is to cover;

- b. Require the assuming insurer, prior to depositing assets with the trustee, to execute assignments or endorsements in blank, or to transfer legal title to the trustee of all shares, obligations or any other assets requiring assignments, in order that the ceding insurer, or the trustee upon the direction of the ceding insurer, may whenever necessary negotiate these assets without consent or signature from the assuming insurer or any other entity;
 - c. Require that all settlements of account between the ceding insurer and the assuming insurer be made in cash or its equivalent; and
 - d. Stipulate that the assuming insurer and the ceding insurer agree that the assets in the trust account, established pursuant to the provisions of the reinsurance agreement, may be withdrawn by the ceding insurer at any time, notwithstanding any other provisions in the reinsurance agreement, and shall be utilized and applied by the ceding insurer or its successors in interest by operation of law, including without limitation any liquidator, rehabilitator, receiver or conservator of such company, without diminution because of insolvency on the part of the ceding insurer or the assuming insurer, only for the following purposes:
 - (1) To pay or reimburse the ceding insurer for:
 - (a) The assuming insurer's share under the specific reinsurance agreement of premiums returned, but not yet recovered from the assuming insurer, to the owners of policies reinsured under the reinsurance agreement because of cancellations of such policies;
 - (b) The assuming insurer's share of surrenders and benefits or losses paid by the ceding insurer pursuant to the provisions of the policies reinsured under the reinsurance agreement; and
 - (c) Any other amounts necessary to secure the credit or reduction from liability for reinsurance taken by the ceding insurer;
 - (2) To make payment to the assuming insurer of amounts held in the trust account in excess of the amount necessary to secure the credit or reduction from liability for reinsurance taken by the ceding insurer.
2. The reinsurance agreement also may contain provisions that:
- a. Give the assuming insurer the right to seek approval from the ceding insurer, which shall not be unreasonably or arbitrarily withheld, to withdraw from the trust account all or any part of the trust assets and transfer those assets to the assuming insurer, provided:
 - (1) The assuming insurer shall, at the time of withdrawal, replace the withdrawn assets with other qualified assets having a current fair market value equal to the market value of the assets withdrawn so as to maintain at all times the deposit in the required amount; or
 - (2) After withdrawal and transfer, the current fair market value of the trust account is no less than 102 percent of the required amount.

- b. Provide for the return of any amount withdrawn in excess of the actual amounts required for Paragraph (1)(d) of this subsection, and for interest payments at a rate not in excess of the prime rate of interest on such amounts;
 - c. Permit the award by any arbitration panel or court of competent jurisdiction of:
 - (1) Interest at a rate different from that provided in Subparagraph (b) of this paragraph;
 - (2) Court or arbitration costs;
 - (3) Attorney's fees; and
 - (4) Any other reasonable expenses.
- E. Financial reporting. A trust agreement may be used to reduce any liability for reinsurance ceded to an unauthorized assuming insurer in financial statements required to be filed with this department in compliance with the provisions of this regulation when established on or before the date of filing of the financial statement of the ceding insurer. Further, the reduction for the existence of an acceptable trust account may be up to the current fair market value of acceptable assets available to be withdrawn from the trust account at that time, but such reduction shall be no greater than the specific obligations under the reinsurance agreement that the trust account was established to secure.
- F. Existing agreements. Notwithstanding the effective date of this regulation, any trust agreement or underlying reinsurance agreement in existence prior to January 1, 2015 will continue to be acceptable until January 1, 2016, at which time the agreements will have to fully comply with this regulation for the trust agreement to be acceptable.
- G. The failure of any trust agreement to specifically identify the beneficiary as defined in Subsection A of this section shall not be construed to affect any actions or rights that the Commissioner may take or possess pursuant to the provisions of the laws of this state.

Section 13 Letters of Credit Qualified under Section 11

- A. The letter of credit must be clean, irrevocable, unconditional and issued or confirmed by a qualified United States financial institution as defined in Section 10-3-704(1), C.R.S. The letter of credit shall contain an issue date and expiration date and shall stipulate that the beneficiary need only draw a sight draft under the letter of credit and present it to obtain funds and that no other document need be presented. The letter of credit also shall indicate that it is not subject to any condition or qualifications outside of the letter of credit. In addition, the letter of credit itself shall not contain reference to any other agreements, documents or entities, except as provided in Subsection H(1) of this section. As used in this section, "beneficiary" means the domestic insurer for whose benefit the letter of credit has been established and any successor of the beneficiary by operation of law. If a court of law appoints a successor in interest to the named beneficiary, then the named beneficiary includes and is limited to the court appointed domiciliary receiver (including conservator, rehabilitator or liquidator).
- B. The heading of the letter of credit may include a boxed section containing the name of the applicant and other appropriate notations to provide a reference for the letter of credit. The boxed section shall be clearly marked to indicate that such information is for internal identification purposes only.

- C. The letter of credit shall contain a statement to the effect that the obligation of the qualified United States financial institution under the letter of credit is in no way contingent upon reimbursement with respect thereto.
- D. The term of the letter of credit shall be for at least one year and shall contain an "evergreen clause" that prevents the expiration of the letter of credit without due notice from the issuer. The "evergreen clause" shall provide for a period of no less than thirty (30) days notice prior to expiration date or nonrenewal.
- E. The letter of credit shall state whether it is subject to and governed by the laws of this state or the Uniform Customs and Practice for Documentary Credits of the International Chamber of Commerce Publication 600 (UCP 600) or International Standby Practices of the International Chamber of Commerce Publication 590 (ISP98), or any successor publication, and all drafts drawn thereunder shall be presentable at an office in the United States of a qualified United States financial institution.
- F. If the letter of credit is made subject to the Uniform Customs and Practice for Documentary Credits of the International Chamber of Commerce Publication 600 (UCP 600) or International Standby Practices of the International Chamber of Commerce Publication 590 (ISP98), or any successor publication, then the letter of credit shall specifically address and provide for an extension of time to draw against the letter of credit in the event that one or more of the occurrences specified in Article 36 of Publication 600 or any other successor publication, occur.
- G. If the letter of credit is issued by a financial institution authorized to issue letters of credit, other than a qualified United States financial institution as described in Subsection A of this section, then the following additional requirements shall be met:
 - 1. The issuing financial institution shall formally designate the confirming qualified United States financial institution as its agent for the receipt and payment of the drafts; and
 - 2. The "evergreen clause" shall provide for thirty (30) days notice prior to expiration date for nonrenewal.
- H. Reinsurance agreement provisions.
 - 1. The reinsurance agreement in conjunction with which the letter of credit is obtained may contain provisions that:
 - a. Require the assuming insurer to provide letters of credit to the ceding insurer and specify what they are to cover;
 - b. Stipulate that the assuming insurer and ceding insurer agree that the letter of credit provided by the assuming insurer pursuant to the provisions of the reinsurance agreement may be drawn upon at any time, notwithstanding any other provisions in the agreement, and shall be utilized by the ceding insurer or its successors in interest only for one or more of the following reasons:
 - (1) To pay or reimburse the ceding insurer for:
 - (a) The assuming insurer's share under the specific reinsurance agreement of premiums returned, but not yet recovered from the assuming insurers, to the owners of policies reinsured under the reinsurance agreement on account of cancellations of such policies;

- (b) The assuming insurer's share, under the specific reinsurance agreement, of surrenders and benefits or losses paid by the ceding insurer, but not yet recovered from the assuming insurers, under the terms and provisions of the policies reinsured under the reinsurance agreement; and
 - (c) Any other amounts necessary to secure the credit or reduction from liability for reinsurance taken by the ceding insurer;
 - (2) Where the letter of credit will expire without renewal or be reduced or replaced by a letter of credit for a reduced amount and where the assuming insurer's entire obligations under the reinsurance agreement remain unliquidated and undischarged ten (10) days prior to the termination date, to withdraw amounts equal to the assuming insurer's share of the liabilities, to the extent that the liabilities have not yet been funded by the assuming insurer and exceed the amount of any reduced or replacement letter of credit, and deposit those amounts in a separate account in the name of the ceding insurer in a qualified U.S. financial institution apart from its general assets, in trust for such uses and purposes specified in Subsection H(1)(b)(1) of this section as may remain after withdrawal and for any period after the termination date.
- c. All of the provisions of Paragraph (1) of this subsection shall be applied without diminution because of insolvency on the part of the ceding insurer or assuming insurer.
- 2. Nothing contained in Paragraph (1) of this subsection shall preclude the ceding insurer and assuming insurer from providing for:
 - a. An interest payment, at a rate not in excess of the prime rate of interest, on the amounts held pursuant to Subparagraph (1)(b) of this subsection; or
 - b. The return of any amounts drawn down on the letters of credit in excess of the actual amounts required for the above or any amounts that are subsequently determined not to be due.

Section 14 Other Security

A ceding insurer may take credit for unencumbered funds withheld by the ceding insurer in the United States subject to withdrawal solely by the ceding insurer and under its exclusive control.

Section 15 Reinsurance Contract

Credit will not be granted, nor an asset or reduction from liability allowed, to a ceding insurer for reinsurance effected with assuming insurers meeting the requirements of Sections 4, 5, 6, 7, 8, 9 or 11 of this regulation or otherwise in compliance with Section 10-3-702, et. seq. after the adoption of this regulation unless the reinsurance agreement:

- A. Includes a proper insolvency clause, which stipulates that reinsurance is payable directly to the liquidator or successor without diminution regardless of the status of the ceding company, pursuant to Section 10-3-531, C.R.S.;

- B. Includes a provision pursuant to Section 10-3-702, et. seq., whereby the assuming insurer, if an unauthorized assuming insurer, has submitted to the jurisdiction of an alternative dispute resolution panel or court of competent jurisdiction within the United States, has agreed to comply with all requirements necessary to give the court or panel jurisdiction, has designated an agent upon whom service of process may be effected, and has agreed to abide by the final decision of the court or panel; and
- C. Includes a proper reinsurance intermediary clause, if applicable, which stipulates that the credit risk for the intermediary is carried by the assuming insurer.

Section 16 Contracts Affected

All new and renewal reinsurance transactions entered into after January 1, 2015, shall conform to the requirements of Sections 10-3-701 through 10-3-706, C.R.S., and this regulation if credit is to be given to the ceding insurer for such reinsurance.

Section 17 Severability

If any provision of this regulation or the application of it to any person or circumstance is for any reason held to be invalid, the remainder of this regulation shall not be affected.

Section 18 Enforcement

Noncompliance with this regulation may result in the imposition of any of the sanctions made available in the Colorado statutes pertaining to the business of insurance, or other laws, which include the imposition of civil penalties, issuance of cease and desist orders, and/or suspensions or revocation of license, subject to the requirements of due process.

Section 19 Effective Date

This regulation shall become effective on January 1, 2022.

Section 20 History

Regulation effective January 1, 2007.

Repealed and repromulgated regulation effective January 1, 2015.

Amended regulation effective January 1, 2022.

FORM AR-1 CERTIFICATE OF ASSUMING INSURER

I, _____
(name of officer) (title of officer)

of _____, the assuming insurer
(name of assuming insurer)

under a reinsurance agreement with one or more insurers domiciled in

_____, hereby certify that
(name of state)

('Assuming Insurer') (name of assuming insurer)

1. Submits to the jurisdiction of any court of competent jurisdiction in _____
(ceding insurer's state of domicile)

for the adjudication of any issues arising out of the reinsurance agreement, agrees to comply with all requirements necessary to give such court jurisdiction, and will abide by the final decision of such court or any appellate court in the event of an appeal. Nothing in this paragraph constitutes or should be understood to constitute a waiver of Assuming Insurer's rights to commence an action in any court of competent jurisdiction in the United States, to remove an action to a United States District Court, or to seek a transfer of a case to another court as permitted by the laws of the United States or of any state in the United States. This paragraph is not intended to conflict with or override the obligation of the parties to the reinsurance agreement to arbitrate their disputes if such an obligation is created in the agreement.

2. Designates the Insurance Commissioner of _____
(ceding insurer's state of domicile)

as its lawful attorney upon whom may be served any lawful process in any action, suit or proceeding arising out of the reinsurance agreement instituted by or on behalf of the ceding insurer.

3. Submits to the authority of the Insurance Commissioner of _____ to
(ceding insurer's state of domicile)

examine its books and records and agrees to bear the expense of any such examination.

4. Submits with this form a current list of insurers domiciled in _____
(ceding insurer's state of domicile)

reinsured by Assuming Insurer and undertakes to submit additions to or deletions from the list to the Insurance Commissioner at least once per calendar quarter.

Dated: _____
(name of assuming insurer)

BY: _____
(name of officer)

(title of officer)

FORM CR-1 CERTIFICATE OF CERTIFIED REINSURER

I, _____, _____
(name of officer) (title of officer)

of _____, the assuming insurer
(name of assuming insurer)

under a reinsurance agreement with one or more insurers domiciled in _____
(name of state)

in order to be considered for approval in this state, hereby certify that

_____, ("Assuming insurer"):
(name of assuming insurer)

1. Submits to the jurisdiction of any court of competent jurisdiction in _____
(ceding insurer's state of domicile)

for the adjudication of any issues arising out of the reinsurance agreement, agrees to comply with all requirements necessary to give such court jurisdiction, and will abide by the final decision of such court or any appellate court in the event of an appeal. Nothing in this paragraph constitutes or should be understood to constitute a waiver of Assuming Insurer's rights to commence an action in any court of competent jurisdiction in the United States, to remove an action to a United States District Court, or to seek a transfer of a case to another court as permitted by the laws of the United States or of any state in the United States. This paragraph is not intended to conflict with or override the obligation of the parties to the reinsurance agreement to arbitrate their disputes if such an obligation is created in the agreement.

2. Designates the Insurance Commissioner of _____
(ceding insurer's state of domicile)

as its lawful attorney upon whom may be served any lawful process in any action, suit or proceeding arising out of the reinsurance agreement instituted by or on behalf of the ceding insurer.

3. Agrees to provide security in an amount equal to 100% of liabilities attributable to U.S. ceding insurers if it resists enforcement of a final U.S. judgment or properly enforceable arbitration award.
4. Agrees to provide notification within 10 days of any regulatory actions taken against it, any change in the provisions of its domiciliary license or any change in its rating by an approved rating agency, including a statement describing such changes and the reasons therefore.
5. Agrees to annually file information comparable to relevant provisions of the NAIC financial statement for use by insurance markets in accordance with Section 10-3-701, et. seq.
6. Agrees to annually file the report of the independent auditor on the financial statements of the insurance enterprise.
7. Agrees to annually file audited financial statements, regulatory filings, and actuarial opinion in accordance with Colorado Insurance Regulation 3-3-3(Section 8(B)(7)(d)).
8. Agrees to annually file an updated list of all disputed and overdue reinsurance claims regarding reinsurance assumed from U.S. domestic ceding insurers.
9. Is in good standing as an insurer or reinsurer with the supervisor of its domiciliary jurisdiction.

Dated: _____ (name of assuming insurer)

(name of officer)

(title of officer)

FORM RJ-1 CERTIFICATE OF REINSURER DOMICILED IN RECIPROCAL JURISDICTION

I, _____, _____
(name of officer) (title of officer)

of _____, the assuming
insurer (name of assuming insurer)

under a reinsurance agreement with one or more insurers domiciled in _____, in order to
(name of state)

be considered for approval in this state, hereby certify that _____ ("Assuming Insurer"):
(name of assuming insurer)

1. Submits to the jurisdiction of any court of competent jurisdiction in Colorado for the adjudication of any issues arising out of the reinsurance agreement, agrees to comply with all requirements necessary to give such court jurisdiction, and will abide by the final decision of such court or any appellate court in the event of an appeal. The assuming insurer agrees that it will include such consent in each reinsurance agreement, if requested by the Commissioner. Nothing in this paragraph constitutes or should be understood to constitute a waiver of assuming insurer's rights to commence an action in any court of competent jurisdiction in the United States, to remove an action to a United States District Court, or to seek a transfer of a case to another court as permitted by the laws of the United States or of any state in the United States. This paragraph is not intended to conflict with or override the obligation of the parties to the reinsurance agreement to arbitrate their disputes if such an obligation is created in the agreement, except to the extent such agreements are unenforceable under applicable insolvency or delinquency laws.
2. Designates the Insurance Commissioner of Colorado as its lawful attorney in and for the Colorado upon whom may be served any lawful process in any action, suit or proceeding in this state arising out of the reinsurance agreement instituted by or on behalf of the ceding insurer.
3. Agrees to pay all final judgments, wherever enforcement is sought, obtained by a ceding insurer, that have been declared enforceable in the territory where the judgment was obtained.
4. Agrees to provide prompt written notice and explanation if it falls below the minimum capital and surplus or capital or surplus ratio, or if any regulatory action is taken against it for serious noncompliance with applicable law.
5. Confirms that it is not presently participating in any solvent scheme of arrangement, which involves insurers domiciled in Colorado. If the assuming insurer enters into such an arrangement, the assuming insurer agrees to notify the ceding insurer and the Commissioner, and to provide 100% security to the ceding insurer consistent with the terms of the scheme.
6. Agrees that in each reinsurance agreement it will provide security in an amount equal to 100% of the assuming insurer's liabilities attributable to reinsurance ceded pursuant to that agreement if the assuming insurer resists enforcement of a final U.S. judgment, that is enforceable under the law of the territory in which it was obtained, or a properly enforceable arbitration award whether obtained by the ceding insurer or by its resolution estate, if applicable.
7. Agrees to provide the documentation in accordance with Colorado Insurance Regulation 3-3-3(Section 9(C)(5)), if requested by the Commissioner.

Dated: _____

(name of assuming insurer)

BY:

(name of officer)

(title of officer)

Assumed Reinsurance as of December 31, Current Year (000 Omitted)

233

Ceded Reinsurance as of December 31, Current Year (000 Omitted)

234

Reinsurance Assumed Life Insurance, Annuities, Deposit Funds and Other Liabilities
Without Life or Disability Contingencies, and Related Benefits Listed by Reinsured Company as of December 31, Current Year

235

Form CR-S – PART 1 – SECTION 2

Reinsurance Assumed Accident and Health Insurance Listed by Reinsured Company as of December 31, Current Year.

[illegible]

Reinsurance Recoverable on Paid and Unpaid Losses Listed by Reinsuring Company as of December 31, Current Year

237

Reinsurance Ceded Life Insurance, Annuities, Deposit Funds and Other Liabilities
Without Life or Disability Contingencies, and Related Benefits Listed by Reinsuring Company as of December 31, Current Year

238

Form CR-S – PART 3 – SECTION 2 Reinsurance Ceded Accident and Health Insurance Listed by Reinsuring Company as of December 31, Current Year

[illegible]

Totals							
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Regulation 3-3-4 LIFE AND HEALTH REINSURANCE AGREEMENTS

Section 1	Authority
Section 2	Scope and Purpose
Section 3	Applicability
Section 4	Definitions
Section 5	Accounting Requirements
Section 6	Written Agreements
Section 7	Filings
Section 8	Exemptions
Section 9	Severability
Section 10	Enforcement
Section 11	Effective Date
Section 12	History

Section 1 Authority

This regulation is promulgated and adopted by the Commissioner of Insurance under the authority of §§ 10-1-108(7), 10-1-109(1), 10-3-529(4), 10-3-705, 10-3-1110, 10-6-129, 10-14-505 and 10-16-109, C.R.S.

Section 2 Scope and Purpose

- A. The Colorado Division of Insurance recognizes that licensed insurers routinely enter into reinsurance agreements for many legitimate purposes. These purposes can include relief to the ceding insurer from strain to surplus.
- B. It is improper for a licensed insurer, in the capacity of ceding insurer, to enter into reinsurance agreements for the principal purpose of producing significant surplus aid for the ceding insurer, typically on a temporary basis, while not transferring all of the significant risks inherent in the business being reinsured. If, in substance or effect, the expected potential liability to the ceding insurer remains basically unchanged by the reinsurance transaction, notwithstanding certain risk elements in the reinsurance agreement, such as catastrophic mortality or extraordinary survival, the agreements violate:
1. Sections 10-3-109 and 10-3-208, C.R.S., relating to financial statements that do not properly reflect the financial condition of the ceding insurer;
 2. Section 10-3-702, C.R.S., relating to reinsurance credit for reinsurance, thus resulting in a ceding insurer improperly reducing liabilities or establishing assets for reinsurance ceded; and
 3. Sections 10-1-110(1)(i) and 10-1-110(1)(j), C.R.S., and Colorado Insurance Regulation 3-1-7 relating to creating a situation that may be hazardous to policyholders and the people of the state of Colorado.
- C. The purpose of this regulation is to establish requirements for acceptable reinsurance agreements to ensure that ceding insurers operate in a sound financial manner; correctly report their financial condition on required financial statements; and properly reduce liabilities or establish assets for reinsurance ceded. These requirements are necessary to protect the ceding insurers' policy and contract holders and the people of the state of Colorado.

Section 3 Applicability

This regulation shall apply to all domestic life, fraternal and health insurers and to all other licensed life, fraternal and health insurers that are not subject to a substantially similar regulation in their domiciliary state. This regulation shall also similarly apply to licensed property and casualty insurers with respect to their accident and health insurance business. This regulation shall not apply to assumption reinsurance; yearly renewable term reinsurance; or certain nonproportional reinsurance such as stop loss or catastrophe reinsurance.

Section 4 Definitions

- A. "Annual Statement" means, for the purpose of this regulation, the NAIC convention blank life, fraternal or health financial annual statement.
- B. "Credit for reinsurance" means, for the purpose of this regulation, any reduction of liability, establishment of asset or contra-liability, or any combination thereof.
- C. "Credit quality risk" means, for the purpose of this regulation, the risk that invested assets supporting the reinsured business will decrease in value. The main hazards are that assets will default or that there will be a decrease in earning power. It excludes market value declines due to changes in interest rates. It is commonly referred to as the "C1" risk.
- D. "Division" means, for the purpose of this regulation, the Colorado Division of Insurance.
- E. "Disintermediation risk" means, for the purpose of this regulation, the risk that interest rates rise and policy loans and surrenders increase, or that maturing contracts do not renew at anticipated rates of renewal. If asset durations are greater than the liability durations the mismatch will increase. Policyholders will move their funds into new products offering higher rates. The company may have to sell assets at a loss to provide for these withdrawals. It is commonly included in the "C3" risk.
- F. "Financial statement" means, for the purpose of this regulation, any monthly, quarterly or Annual Statement that is submitted to the Division.
- G. "Lapse risk" means, for the purpose of this regulation, the risk that the policy will voluntarily terminate prior to the recoupment of a statutory surplus strain experienced at issue of the policy.
- H. "LTC" means, for the purpose of this regulation, Long-Term Care Insurance.
- I. "LTD" means, for the purpose of this regulation, Long-Term Disability Insurance.
- J. "Reinvestment risk" means, for the purpose of this regulation, the risk that interest rates will fall and funds reinvested (coupon payments or monies received upon asset maturity or call) will therefore earn less than expected. If asset durations are less than liability durations, the mismatch will increase. It is commonly included in the "C3" risk.

Section 5 Accounting Requirements

All ceding insurers are responsible for establishing appropriate statutory gross reserves and reflecting appropriate credit for reinsurance, if any, for their reinsured business. A reinsurance agreement that does not comply with this regulation will be considered as a valid contract, unless terminated or voided by the parties to the agreement, where all terms and obligations are in effect, but no credit for reinsurance is permitted to be taken by the ceding insurer. The ceding insurer shall comply with the applicable provisions of law and this regulation before taking any credit for reinsurance in any financial statement for any reinsurance agreement.

- A. No insurer subject to this regulation shall, for reinsurance ceded, reduce any liability or establish any asset in any financial statement filed with the Division if, by the terms of the reinsurance agreement, in substance or effect, any of the following conditions exist:
1. Renewal expense allowances provided or to be provided to the ceding insurer by the reinsurer in any accounting period, are not sufficient to cover anticipated allocable renewal expenses of the ceding insurer on the portion of the business reinsured, unless a liability is established for the present value of the shortfall (using assumptions equal to the applicable statutory reserve basis on the business reinsured). Those expenses include commissions, premium taxes and direct expenses including, but not limited to, billing, valuation, claims and maintenance expected by the company at the time the business is reinsured;
 2. The ceding insurer can be deprived of surplus or assets at the reinsurer's option or automatically upon the occurrence of some event, such as the insolvency of the ceding insurer, except that termination of the reinsurance agreement by the reinsurer for nonpayment of reinsurance premiums or other amounts due, such as modified coinsurance reserve adjustments, interest and adjustments on funds withheld, and tax reimbursements, shall not be considered to be such a deprivation of surplus or assets;
 3. The ceding insurer is required to reimburse the reinsurer for negative experience under the reinsurance agreement, except that neither offsetting experience refunds against current and prior years' losses under the agreement nor payment by the ceding insurer of an amount equal to the current and prior years' losses under the agreement upon voluntary termination of in force reinsurance by the ceding insurer shall be considered such a reimbursement to the reinsurer for negative experience. Voluntary termination does not include situations where termination occurs because of unreasonable provisions that allow the reinsurer to reduce its risk under the agreement. An example of such a provision is the right of the reinsurer to increase reinsurance premiums or risk and expense charges to excessive levels forcing the ceding company to prematurely terminate the reinsurance treaty;
 4. The ceding insurer must, at specific points in time scheduled in the agreement, terminate or automatically recapture all or part of the reinsurance ceded;
 5. The reinsurance agreement involves the possible payment by the ceding insurer to the reinsurer of amounts other than from income realized from the reinsured policies. For example, it is improper for a ceding company to pay reinsurance premiums, or other fees or charges to a reinsurer that are greater than the direct premiums collected by the ceding company;
 6. The treaty does not transfer all of the significant risk inherent in the business being reinsured. The following table identifies for a representative sampling of products or type of business, the risks which are considered to be significant. For products not specifically included, the risks determined to be significant shall be consistent with the following risk category table:

Risk categories:
 - a. Morbidity;
 - b. Mortality;
 - c. Lapse Risk;

- d. Credit Quality Risk;
- e. Reinvestment Risk; and
- f. Disintermediation Risk.

RISK CATEGORY	a	b	c	d	e	f
Health Insurance - other than LTC /LTD	+	0	+	0	0	0
Health Insurance – LTC/LTD	+	0	+	+	+	0
Immediate Annuities	0	+	0	+	+	0
Single Premium Deferred Annuities	0	0	+	+	+	+
Flexible Premium Deferred Annuities	0	0	+	+	+	+
Guaranteed Interest Contracts	0	0	0	+	+	+
Other Annuity Deposit Business	0	0	+	+	+	+
Single Premium Whole Life	0	+	+	+	+	+
Traditional Non-Par Permanent	0	+	+	+	+	+
Traditional Non-Par Term	0	+	+	0	0	0
Traditional Par Permanent	0	+	+	+	+	+
Traditional Par Term	0	+	+	0	0	0
Adjustable Premium Permanent	0	+	+	+	+	+
Indeterminate Premium Permanent	0	+	+	+	+	+
Universal Life Flexible Premium	0	+	+	+	+	+
Universal Life Fixed Premium	0	+	+	+	+	+
Universal Life Fixed Premium (dump-in premiums allowed)	0	+	+	+	+	+
Key: + Significant 0 Insignificant						

- 7. Credit quality, reinvestment, or disintermediation risk.
 - a. The credit quality, reinvestment, or disintermediation risk is significant for the business reinsured and the ceding company does not (other than for the classes of business excepted in Paragraph 7.b.) either transfer the underlying assets to the reinsurer or legally segregate such assets in a trust or escrow account or otherwise establish a mechanism satisfactory to the commissioner which legally segregates, by contract or contract provision, the underlying assets.
 - b. Notwithstanding the requirements of Paragraph 7.a., the assets supporting the reserves for the following classes of business and any classes of business that do not have a significant credit quality, reinvestment or disintermediation risk may be held by the ceding company without segregation of such assets:
 - (1) Health Insurance - LTC/LTD;
 - (2) Traditional Non-Par Permanent;
 - (3) Traditional Par Permanent;
 - (4) Adjustable Premium Permanent;
 - (5) Indeterminate Premium Permanent; and
 - (6) Universal Life Fixed Premium (no dump-in premiums allowed).

8. The formula for determining the reserve interest rate adjustment does not use a formula that reflects the ceding company's investment earnings and/or fails to incorporate all realized and unrealized gains and losses reflected in the statutory statement. The following is an acceptable formula: $\text{Rate} = 2 * (I + CG) / (X + Y - I - CG)$.

"I" is the net investment income as identified in the Annual Statement. "CG" is capital gains less capital losses as identified in the Annual Statement. "X" is the current year cash and invested assets plus investment income due and accrued less borrowed money, all as identified in the Annual Statement. "Y" is the same as "X" but for the prior year;
 9. Settlements are made less frequently than quarterly or payments due from the reinsurer are not made in cash within ninety (90) days of the settlement date;
 10. The ceding insurer is required to make representations or warranties not reasonably related to the business being reinsured;
 11. The ceding insurer is required to make representations or warranties about future performance of the business being reinsured;
 12. The reinsurance agreement is entered into for the principal purpose of producing significant surplus aid for the ceding insurer, typically on a temporary basis, while not transferring all of the significant risks inherent in the business reinsured and, in substance or effect, the expected potential liability to the ceding insurer remains basically unchanged; or
 13. The reinsurance agreement contains provisions whereby the obligation of the assuming insurer to pay claims is conditioned upon some other event, such as the payment of reinsurance considerations. This does not preclude the reinsurer's ability to terminate the agreement for breach or default of contract terms.
- B. The following situations require the establishment of additional liabilities or limitations to credits taken by the ceding insurer:
1. Credit for reinsurance shall be allowed only to the degree of the risk transferred;
 2. The ceding insurer shall not take any credit for reinsurance in excess of the gross reserve it has established for the portion of the business or risks being reinsured;
 3. If commissions or other similar allowances received or credited to the ceding insurer are required to be repaid to the reinsurer, other than from emerging profits of the portion of the business reinsured, based on contract provisions or on future experience of the reinsured business, a liability shall be established or the credit for reinsurance reduced by the maximum amount of such future tentative repayment; and
 4. If the reinsurance agreement provides for financial guarantees by the ceding insurer to the reinsurer, a liability shall be established for the present value of such guarantee (using assumptions equal to the applicable statutory reserve basis on the business reinsured).
- C. Notwithstanding Subsection 5.A., an insurer subject to this regulation may, with the prior approval of the commissioner, take such credit for reinsurance or establish such asset as the commissioner may deem consistent with §10-3-702, C.R.S, Colorado Insurance Regulation 3-3-3, or other actuarial interpretations or standards adopted by the Division.

D. Retroactive reinsurance.

1. Agreements entered into after the effective date of this regulation which involve the reinsurance of business issued prior to the effective date of the agreements, along with any subsequent amendments thereto, shall be filed by the ceding company with the commissioner within thirty (30) days from its date of execution. Each filing shall include data detailing the financial impact of the transaction. The ceding insurer's actuary who signs the financial statement's actuarial opinion with respect to valuation of reserves shall consider this regulation and any applicable actuarial standards of practice when determining the proper credit in financial statements filed with the Division. The actuary should maintain adequate documentation and be prepared upon request to describe the actuarial work performed for inclusion in the financial statements and to demonstrate that such work conforms to this regulation.
2. Any increase in surplus net of federal income tax resulting from arrangements described in Subsection 5.D.1. shall be identified separately on the insurer's Annual Statement as a surplus item, and listed as an aggregate write-ins for gains and losses in surplus in the "Capital and Surplus" account of the Annual Statement's Balance Sheet. Further, the surplus increase shall be recognized as income and shall be reflected on a net of tax basis in the "Reinsurance ceded" line, on the "Statement of Income" page of the Annual Statement as earnings emerge from the business reinsured.

For example, on the last day of calendar year N, company XYZ pays a \$20 million initial commission and expense allowance to company ABC for reinsuring an existing block of business. Assuming a 34% tax rate, the net increase in surplus at inception is \$13.2 million (\$20 million - \$6.8 million) that is reported on the "Aggregate write-ins for gains and losses in surplus" line in the "Capital and Surplus" account. \$6.8 million (34% of \$20 million) is reported as income on the "Commissions and expense allowances on reinsurance ceded" line of the "Summary of Operations."

At the end of year N+1 the business has earned \$4 million. ABC has paid \$0.5 million in profit and risk charges in arrears for the year and has received a \$1 million experience refund. Company ABC's annual statement would report \$1.65 million (66% of (\$4 million - \$1 million - \$.5 million) up to a maximum of \$13.2 million) on the "Commissions and expense allowance on reinsurance ceded" line of the "Summary of Operations," and - \$1.65 million on the "Aggregate write-ins for gains and losses in surplus" line of the "Capital and Surplus" account. The experience refund would be reported separately as a miscellaneous income item in the "Summary of Operations."

Section 6 Written Agreements

- A. No reinsurance agreement or amendment to any agreement may be used to take any credit for reinsurance in any financial statement filed with the Division, unless the agreement, amendment or a binding letter of intent has been duly executed by both parties no later than the "as of date" of the financial statement.
- B. In the case of a letter of intent, a reinsurance agreement or an amendment to a reinsurance agreement must be executed within a reasonable period of time, not exceeding ninety (90) days from the execution date of the letter of intent, in order for credit to be granted for the reinsurance ceded.
- C. The reinsurance agreement shall contain provisions that provide that:

1. The agreement shall constitute the entire agreement between the parties with respect to the business being reinsured thereunder and that there are no understandings between the parties other than as expressed in the agreement; and
2. Any change or modification to the agreement shall be null and void unless made by amendment to the agreement and signed by both parties.

Section 7 Filings

Complete copies of all reinsurance contracts and agreements and other information requested shall be filed with the commissioner at the commissioner's request. Any information requested by the commissioner must be submitted no later than twenty (20) days after receipt of the request. Insurers who fail to submit the requested information may be assessed a penalty up to \$100 per day for each day after the date the information is due.

Section 8 Exceptions

- A. A reinsurance agreement is not required to transfer all contract benefits contained in the underlying business reinsured. Transfer of less than all contract benefits is permitted if the reinsurance agreement is otherwise in compliance with this regulation and the benefits being reinsured:
 1. Are independent, distinct and severable from the contract benefits not transferred; and
 2. The reserves, and therefore the credit for reinsurance available to be taken by the ceding insurer, for the benefits transferred are independently calculated, distinct and severable from the reserves of the remaining contract benefits not transferred.
- B. A ceding insurer, with the prior written approval of the Commissioner, may have alternative terms or conditions in a reinsurance agreement that are not otherwise in compliance with this regulation, if such alternatives are reasonably necessary for the protection of the public and the insured policyholders, and the terms or conditions substantially comply with the intent and provisions of this regulation.

Section 9 Severability

If any provision of this regulation or the application of it to any person or circumstance is for any reason held to be invalid, the remainder of this regulation shall not be affected

Section 10 Enforcement

Noncompliance with the regulation may result in the imposition of any of the sanctions made available in the Colorado statutes pertaining to the business of insurance, or other laws, which include the imposition of civil penalties, issuance of cease and desist orders, and/or suspensions or revocation of license, subject to the requirements of due process.

Section 11 Effective Date

This regulation is effective April 1, 2016.

Section 12 History

New regulation effective January 1, 2007.
Amended regulation effective April 1, 2016.

Regulation 3-3-5 PROPERTY AND CASUALTY REINSURANCE AGREEMENTS

Section 1	Authority
Section 2	Scope and Purpose
Section 3	Applicability
Section 4	Definitions
Section 5	Accounting Requirements
Section 6	Written Agreements
Section 7	Filings
Section 8	Other Requirements
Section 9	Exceptions
Section 10	Severability
Section 11	Enforcement
Section 12	Effective Date
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Section 1 Authority

This regulation is promulgated and adopted by the Commissioner of Insurance under the authority of §§ 10-1-108(7), 10-1-109(1), 10-3-529(4), 10-3-705, 10-6-129, 8-44-205(9), C.R.S.

Section 2 Scope and Purpose

- A. The Colorado Division of Insurance recognizes that licensed insurers routinely enter into reinsurance agreements for many legitimate purposes. These purposes can include relief to the ceding insurer from strain to surplus, and may legitimately limit the amount of risk transferred from the ceding company to the assuming company.
- B. It is improper for a licensed insurer to consider any contract as a reinsurance agreement if the principal purpose is not true risk transfer. If, in substance or effect, the expected potential liability of the ceding insurer remains basically unchanged by the reinsurance transaction, notwithstanding certain risk elements in the reinsurance agreement, such as catastrophic loss, the contracts violate:
 - 1. Sections 10-3-109 and 10-3-208, C.R.S., relating to financial statements that do not properly reflect the financial condition of the ceding insurer;
 - 2. Section 10-3-702, C.R.S., relating to credit for reinsurance, thus resulting in a ceding insurer improperly reducing liabilities or establishing assets for reinsurance ceded; and
 - 3. Sections 10-1-110(1)(i) and 10-1-110(1)(j), C.R.S., and Colorado Insurance Regulation 3-1-7 relating to creating a situation that may be hazardous to policyholders and the people of the state of Colorado.
- C. The purpose of this regulation is to establish requirements for acceptable reinsurance agreements to ensure that ceding insurers operate in a sound financial manner, correctly report their financial condition on required financial statements, and properly reduce liabilities or establish assets for reinsurance ceded. These requirements are necessary to protect the ceding insurers' policy and contract holders and the people of the State of Colorado.

Section 3 Applicability

This regulation shall apply to all domestic property and casualty insurers; title insurers; captive insurers; Pinnacol Assurance; and public entity self-insurance pools. However, any accident and health business issued by these insurers is specifically excluded from this regulation, and is, instead, subject to the requirements of Colorado Insurance Regulation 3-3-4.

Section 4 Definitions

- A. “Annual Statement” means, for the purpose of this regulation, the NAIC convention blank property and casualty financial annual statement.
- B. “Credit for reinsurance” means, for the purpose of this regulation, any reduction of liability, establishment or asset or contra-liability, or any combination thereof.
- C. “Division” means, for the purpose of this regulation, the Colorado Division of Insurance.
- D. “Financial statement” means, for the purpose of this regulation, any monthly, quarterly or Annual Statement that is submitted to the Division.

Section 5 Accounting Requirements

All ceding insurers are responsible for establishing appropriate statutory gross reserves and reflecting appropriate credit, if any, for reinsurance ceded. A reinsurance agreement that does not comply with this regulation will be considered as a valid contract, unless terminated or voided by the parties to the contract, where all terms and obligations are in effect, but no credit for reinsurance is permitted to be taken by the ceding insurer. The ceding insurer shall comply with the applicable provisions of law and this regulation before taking any credit for reinsurance in any statutory financial statement for any particular reinsurance agreement.

- A. The essential element of a reinsurance agreement is the transfer of risk. Unless the agreement contains this essential element of risk transfer, no credit shall be recorded. Therefore, no insurer subject to this regulation shall, for reinsurance ceded, establish any credit for reinsurance in any financial statement filed with the Division if, by the terms of the reinsurance agreement, in substance or effect, any of the following conditions exist:
 - 1. Single or multi year agreements in which the premium charged is, or can be reasonably assumed to be, equal to the present value of the maximum insured loss;
 - 2. The ceding insurer is required to make representations or warranties not reasonably related to the business being reinsured;
 - 3. The ceding insurer is required to make representations or warranties about future performance of the business being reinsured;
 - 4. The reinsurance agreement is entered into for the principal purpose of producing significant financial statement enhancement for the ceding insurer, typically on a temporary basis, while not transferring significant insurance risk under the reinsured portion of the underlying insurance agreement and, in substance or effect, the expected potential liability to the ceding insurer remains basically unchanged; or

5. Provisions exist whereby the obligation of the assuming insurer to pay claims is conditioned upon some event or situation unrelated to the performance of the underlying business and were not taken into account in the risk transfer analysis. These provisions include such situations as the payment of reinsurance considerations, or performance under a separate contract or agreement being a condition precedent to the payment of claims. This does not preclude the reinsurer's ability to terminate the agreement for breach or default of contract terms.
- B. The following situations require the establishment of additional liabilities or limitations to the credit for reinsurance taken by the ceding insurer:
1. The ceding insurer shall not take any credit for reinsurance in excess of the gross reserve it has established for the portion of the business or risks being reinsured;
 2. If commissions or other similar allowances received or credited to the ceding insurer are required to be repaid to the reinsurer, other than from emerging profits of the portion of the business reinsured, based on contract provisions or on future experience of the reinsured business, a liability shall be established or the credit for reinsurance reduced by the maximum amount of such future tentative repayment; and
 3. For multi-year agreements in which the renewal ceding commission percentage is less than the first year ceding commission percentage, and the agreement requires the ceding insurer to perform administrative, claim or maintenance services on the ceded business: if the renewal commission provided or to be provided to the ceding insurer by the reinsurer is materially less than the cost to the ceding insurer to perform the duties required in connection with the portion of the business reinsured, a liability is to be established for the present value of the shortfall.
- C. Notwithstanding Subsection 5.A., an insurer subject to this regulation may, with the prior written approval of the commissioner, take such credit for reinsurance as the commissioner may deem consistent with § 10-3-702, C.R.S., Colorado Insurance Regulation 3-3-3, or other actuarial interpretations or standards adopted by the Division.

Section 6 Written Agreements

The reinsurance agreement shall contain provisions that provide that:

- A. The agreement shall constitute the entire contract and agreement between the parties with respect to the business being reinsured thereunder and that there are no understandings between the parties other than as expressed in the agreement; and
- B. Any change or modification to the agreement shall be null and void unless made by amendment to the agreement and signed by both parties.
- C. The dual signature requirement of this section does not apply to facultative reinsurance agreements signed by the reinsurer.

Section 7 Filings

Complete copies of all reinsurance contracts and agreements and other information requested shall be filed with the commissioner at the commissioner's request. Any information requested by the commissioner must be submitted no later than twenty (20) days after receipt of the request. Insurers who fail to submit the requested information may be assessed a penalty up to \$100 per day for each day after the date the information is due.

Section 8 Other requirements

All companies subject to this regulation shall provide immediate notification to the commissioner upon the exhausting, or impending exhaustion, of any reinsurance coverage which is necessary for the ceding insurer to comply with the provisions of §§ 10-3-102(3) or 10-11-112, C.R.S.

Section 9 Exceptions

- A. A reinsurance agreement is not required to transfer all contract benefits contained in the underlying business reinsured. Transfer of less than all contract benefits is permitted if the reinsurance contract is otherwise in compliance with this regulation and the benefits being reinsured:
 - 1. Are independent, distinct and severable from the contract benefits not transferred; and
 - 2. The reserves, and therefore the credit for reinsurance available to be taken by the ceding insurer, for the benefits transferred, are independently calculated, distinct and severable from the reserves of the remaining contract benefits not transferred.
- B. A ceding insurer, with the prior written approval of the Commissioner, may have alternative terms or conditions in a reinsurance agreement that are not otherwise in compliance with this regulation, if such alternatives are reasonably necessary for the protection of the public and the insured policyholders, and the terms or conditions substantially comply with the intent and provisions of this regulation.

Section 10 Severability

If any provision of this regulation or the application of it to any person or circumstance is for any reason held to be invalid, the remainder of this regulation shall not be affected

Section 11 Enforcement

Noncompliance with this Regulation may result in the imposition of any of the sanctions made available in the Colorado statutes pertaining to the business of insurance, or other laws, which include the imposition of civil penalties, issuance of cease and desist orders, and/or suspensions or revocation of license, subject to the requirements of due process.

Section 12 Effective Date

This regulation is effective April 1, 2016

Section 13 History

New regulation effective January 1, 2007
Amended regulation effective April 1, 2016

**Regulation 3-4-1 HOLDING COMPANY SYSTEM REGULATION WITH REPORTING FORMS
AND INSTRUCTIONS**

Section 1	Authority
Section 2	Scope and Purpose
Section 3	Applicability
Section 4	Definitions
Section 5	Forms - General Requirements
Section 6	Forms - Incorporation by Reference, Summaries and Omissions
Section 7	Forms - Information Unknown or Unavailable and Extension of Time to Furnish
Section 8	Forms - Additional Information and Exhibits
Section 9	Subsidiaries of Domestic Insurers
Section 10	Acquisition of Control - Statement Filing (Form A)
Section 11	Amendments to Form A
Section 12	Acquisition of Section 3A(4) Insurers
Section 13	Pre-Acquisition Notification (Form E)
Section 14	Annual Registration of Insurers -Statement Filing (Form B)
Section 15	Summary of Changes to Registration - Statement Filing (Form C)
Section 16	Amendments to Form B
Section 17	Alternative and Consolidated Registration
Section 18	Disclaimers and Termination of Registration
Section 19	Transactions Subject to Prior Notice - Notice Filing (Form D)
Section 20	Enterprise Risk Report (Form F)
Section 21	Group Capital Calculation
Section 22	Extraordinary Dividends and Other Distributions
Section 23	Adequacy of Surplus
Section 24	Severability
Section 25	Incorporation by Reference
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Appendix A	Form A - Statement Regarding the Acquisition of Control of or Merger with a Domestic Insurer
Appendix B	Form B - Insurance Holding Company System Annual Registration Statement
Appendix C	Form C - Summary of Changes to Registration Statement
Appendix D	Form D - Prior Notice of a Transaction
Appendix E	Form E - Pre-Acquisition Notification Form
Appendix F	Form F - Enterprise Risk Report

Section 1 Authority

This regulation is promulgated and adopted by the Commissioner of Insurance under the authority of §§ 10-1-109(1) and 10-3-809, C.R.S.

Section 2 Scope and Purpose

The purpose of this regulation is to set forth rules and procedural requirements which the Commissioner deems necessary to carry out the provisions of the Insurance Holding Company Systems Act, Part 8 of Article 3 of Title 10 of the Colorado Revised Statutes. The information called for by this regulation is hereby declared to be necessary and appropriate in the public interest and for the protection of the policyholders in this State.

Section 3 Applicability

This regulation shall apply to all Colorado domestic insurers as well as to each domestic group captive insurer, fraternal benefit society, health maintenance organization, prepaid dental care plan organization, non-profit hospital, medical-surgical and health service corporation, and title insurance company.

Section 4 Definitions

- A. "Executive officer" means chief executive officer, chief operating officer, chief financial officer, treasurer, secretary, controller, and any other individual performing functions corresponding to those performed by the foregoing officers under whatever title.
- B. "Ultimate controlling person" means that person which is not controlled by any other person.
- C. Unless the context otherwise requires, other terms found in this regulation and in § 10-3-801, C.R.S. are used as defined in the said section. Other nomenclature or terminology is according to the Insurance Code, or industry usage if not defined by the Code.

Section 5 Forms - General Requirements

- A. Forms A, B, C, D, E and F are intended to be guides in the preparation of the statements required by §§ 10-3-803, 10-3-803.5, 10-3-804, and 10-3-805, C.R.S. They are not intended to be blank forms which are to be filled in. The statements filed shall contain the numbers and captions of all items, but the text of the items may be omitted provided the answers thereto are prepared in such a manner as to indicate clearly the scope and coverage of the items. All instructions, whether appearing under the items of the form or elsewhere therein, are to be omitted. Unless expressly provided otherwise, if any item is inapplicable or the answer thereto is in the negative, an appropriate statement to that effect shall be made.
- B. One complete digital copy of each statement including exhibits and all other papers and documents filed as a part thereof, shall be filed with the Commissioner. It shall be signed in the manner prescribed on the form. If the signature of any person is affixed pursuant to a power of attorney or other similar authority, a copy of the power of attorney or other authority shall also be filed with the statement. The Commissioner may require paper copies of each statement including exhibits and all other papers and documents upon written request.
- C. If an applicant requests a hearing on a consolidated basis under 10-3-803(8)(e), C.R.S., in addition to filing the Form A with the commissioner, the applicant shall file a copy of Form A with the National Association of Insurance Commissioners in electronic form.
- D. Statements should be prepared electronically. Statements shall be easily readable and suitable for review and reproduction. Debits in credit categories and credits in debit categories shall be designated so as to be clearly distinguishable as such on photocopies. Statements shall be in the English language and monetary values shall be stated in United States currency. If any exhibit or other paper or document filed with the statement is in a foreign language, it shall be accompanied by a translation into the English language and any monetary value shown in a foreign currency normally shall be converted into United States currency.

Section 6 Forms - Incorporation by Reference, Summaries and Omissions

- A. Information required by any item of Form A, Form B, Form D, Form E or Form F may be incorporated by reference in answer or partial answer to any other item. Information contained in any financial statement, annual report, proxy statement, statement filed with a governmental authority, or any other document may be incorporated by reference in answer or partial answer to any item of Form A, Form B, Form D, Form E or Form F provided the document is filed as an exhibit to the statement. Excerpts of documents may be filed as exhibits if the documents are extensive. Documents currently on file with the Commissioner which were filed within three years need not be attached as exhibits. References to information contained in exhibits or in documents already on file shall clearly identify the material and shall specifically indicate that such material is to be incorporated by reference in answer to the item. Matter shall not be incorporated by reference in any case where the incorporation would render the statement incomplete, unclear or confusing.
- B. Where an item requires a summary or outline of the provisions of any document, only a brief statement shall be made as to the pertinent provisions of the document. In addition to the statement, the summary or outline may incorporate by reference particular parts of any exhibit or document currently on file with the Commissioner which was filed within three years and may be qualified in its entirety by such reference. In any case where two or more documents required to be filed as exhibits are substantially identical in all material respects except as to the parties thereto, the dates of execution, or other details, a copy of only one of the documents need be filed with a schedule identifying the omitted documents and setting forth the material details in which the documents differ from the documents, a copy of which is filed.

Section 7 Forms-Information Unknown or Unavailable and Extension of Time to Furnish

If it is impractical to furnish any required information, document or report at the time it is required to be filed, there shall be filed with the Commissioner a separate document:

- A. Identifying the information, document or report in question;
- B. Stating why the filing thereof at the time required is impractical; and
- C. Requesting an extension of time for filing the information, document or report to a specified date. The request for extension shall be deemed granted unless the Commissioner within 60 days after receipt thereof enters an order denying the request.

Section 8 Forms - Additional Information and Exhibits

In addition to the information expressly required to be included in Form A, Form B, Form C, Form D, Form E and Form F, the Commissioner may request such further material information, if any, as may be necessary to make the information contained therein not misleading. The person filing may also file such exhibits as it may desire in addition to those expressly required by the statement. The exhibits shall be so marked as to indicate clearly the subject matters to which they refer. Changes to Forms A, B, C, D, E or F shall include on the top of the cover page the phrase: "Change No. (insert number) to" and shall indicate the date of the change and not the date of the original filing.

Section 9 Subsidiaries of Domestic Insurers

The authority to invest in subsidiaries under 10-3-802(2), C.R.S. is in addition to any authority to invest in subsidiaries which may be contained in any other provision of the Insurance Code.

Section 10 Acquisition of Control - Statement Filing

A person required to file a statement pursuant to § 10-3-803, C.R.S. shall furnish the required information on Form A, hereby made a part of this regulation. Such person shall also furnish the required information on Form E, hereby made a part of this regulation and described in Section 13 of this regulation.

Section 11 Amendments to Form A

The applicant shall promptly advise the Commissioner of any changes in the information furnished on Form A arising subsequent to the date upon which the information was furnished but prior to the Commissioner's disposition of the application.

Section 12 Acquisition of Section 10-3-803(1)(c), C.R.S. Insurers

- A. If the person being acquired is deemed to be a "domestic insurer" solely because of the provisions of § 10-3-803(1)(c), C.R.S., the name of the domestic insurer on the cover page should be indicated as follows:

"ABC Insurance Company, a subsidiary of XYZ Holding Company."

- B. Where a § 10-3-803(1)(c), C.R.S. insurer is being acquired, references to "the insurer" contained in Form A shall refer to both the domestic subsidiary insurer and the person being acquired.

Section 13 Pre-Acquisition Notification

If a domestic insurer, including any person controlling a domestic insurer, is proposing a merger or acquisition pursuant to § 10-3-803(1), C.R.S., that person shall file a pre-acquisition notification form, Form E, which was developed pursuant to § 10-3-803.5(3)(b), C.R.S.

Additionally, if a non-domiciliary insurer licensed to do business in this state is proposing a merger or acquisition pursuant to § 10-3-803.5, C.R.S., that person shall file a pre-acquisition notification form, Form E. No pre-acquisition notification form need be filed if the acquisition is beyond the scope of § 10-3-803.5, C.R.S., as set forth in § 10-3-803.5(2)(b), C.R.S.

In addition to the information required by Form E, the Commissioner may wish to require an expert opinion as to the competitive impact of the proposed acquisition.

Section 14 Annual Registration of Insurers - Statement Filing

An insurer required to file an annual registration statement pursuant to § 10-3-804, C.R.S., shall furnish the required information on Form B, hereby made a part of this regulation.

Section 15 Summary of Registration - Statement Filing

An insurer required to file an annual registration statement pursuant to § 10-3-804, C.R.S., is also required to furnish information required on Form C, hereby made a part of this regulation.

Section 16 Amendments to Form B

- A. An amendment to Form B shall be filed within fifteen days after the end of any month in which there is a material change to the information provided in the annual registration statement.

- B. Amendments shall be filed in the Form B format with only those items which are being amended reported. Each amendment shall include at the top of the cover page "Amendment No. (insert number) to Form B for (insert year)" and shall indicate the date of the change and not the date of the original filings.

Section 17 Alternative and Consolidated Registrations

- A. Any authorized insurer may file a registration statement on behalf of any affiliated insurer or insurers which are required to register under § 10-3-804, C.R.S. A registration statement may include information not required by § 10-3-804, C.R.S. regarding any insurer in the insurance holding company system even if the insurer is not authorized to do business in this State. In lieu of filing a registration statement on Form B, the authorized insurer may file a copy of the registration statement or similar report which it is required to file in its state of domicile, provided:
1. The statement or report contains substantially similar information required to be furnished on Form B; and
 2. The filing insurer is the principal insurance company in the insurance holding company system.
- B. The question of whether the filing insurer is the principal insurance company in the insurance holding company system is a question of fact and an insurer filing a registration statement or report in lieu of Form B on behalf of an affiliated insurer, shall set forth a brief statement of facts which will substantiate the filing insurer's claim that it, in fact, is the principal insurer in the insurance holding company system.
- C. With the prior approval of the Commissioner, an unauthorized insurer may follow any of the procedures which could be done by an authorized insurer under Subsection A above.
- D. Any insurer may take advantage of the provisions of §§ 10-3-804(8) and 10-3-804(9), C.R.S. without obtaining the prior approval of the Commissioner. The Commissioner, however, reserves the right to require individual filings if he or she deems such filings necessary in the interest of clarity, ease of administration or the public good.

Section 18 Disclaimers and Termination of Registration

- A. A disclaimer of affiliation or a request for termination of registration claiming that a person does not, or will not upon the taking of some proposed action, control another person (hereinafter referred to as the "subject") shall contain the following information:
1. The number of authorized, issued and outstanding voting securities of the subject;
 2. With respect to the person whose control is denied and all affiliates of such person, the number and percentage of shares of the subject's voting securities which are held of record or known to be beneficially owned, and the number of shares concerning which there is a right to acquire, directly or indirectly;
 3. All material relationships and bases for affiliation between the subject and the person whose control is denied and all affiliates of such person;
 4. A statement explaining why the person should not be considered to control the subject.
- B. A request for termination of registration shall be deemed to have been granted unless the Commissioner, within 30 days after receipt of the request, notifies the registrant otherwise.

Section 19 Transactions Subject to Prior Notice - Notice Filing

- A. An insurer required to give notice of a proposed transaction pursuant to § 10-3-805, C.R.S. shall furnish the required information on Form D, hereby made a part of this regulation.
- B. Agreements for cost sharing services and management services shall at a minimum and as applicable:
 - 1. Identify the person providing services and the nature of such services;
 - 2. Set forth the methods to allocate costs;
 - 3. Require timely settlement, not less frequently than on a quarterly basis, and compliance with the requirements in the Accounting Practices and Procedures Manual;
 - 4. Prohibit advancement of funds by the insurer to the affiliate except to pay for services defined in the agreement;
 - 5. State that the insurer will maintain oversight for functions provided to the insurer by the affiliate and that the insurer will monitor services annually for quality assurance;
 - 6. Define books and records of the insurer to include all books and records developed or maintained under or related to the agreement that are otherwise the property of the insurer, in whatever form maintained, including, but not limited to, claims and claim files, policyholder lists, application files, litigation files, premium records, rate books, underwriting manuals, personnel records, financial records or similar records within the possession, custody or control of the affiliate;
 - 7. Specify that all books and records of the insurer are and remain the property of the insurer and are subject to control of the insurer; are identifiable; and are segregated from all other persons' records and data or are readily capable of segregation at no additional cost to the insurer;
 - 8. State that all funds and invested assets of the insurer are the exclusive property of the insurer, held for the benefit of the insurer and are subject to the control of the insurer;
 - 9. Include standards for termination of the agreement with and without cause;
 - 10. Include provisions for indemnification of the insurer in the event of gross negligence or willful misconduct on the part of the affiliate providing the services and for any actions by the affiliate that violate provisions of the agreement required in subsections 19B(11), 19B(12), 19B(13), 19B(4), and 19B(15) of this regulation;
 - 11. Specify that, if the insurer is placed in receivership or seized by the Commissioner under Section 10-3-501, et. seq., C.R.S.:
 - a. All of the rights of the insurer under the agreement extend to the receiver or Commissioner; and,
 - b. All books and records will immediately be made available to the receiver or the Commissioner, and shall be turned over to the receiver or Commissioner immediately upon the receiver or the Commissioner's request; and

- c. A complete set of records and data of the insurer will immediately be made available to the receiver or the Commissioner, shall be made available in a usable format and shall be turned over to the receiver or commissioner immediately upon the receiver or the commissioner's request, and the cost to transfer data to the receiver or the commissioner shall be fair and reasonable; and,
 - d. The affiliated person(s) will make available all employees essential to the operations of the insurer and the services associated therewith for the immediate continued performance of the essential services ordered or directed by the receiver or Commissioner;
- 12. Specify that the affiliate has no automatic right to terminate the agreement if the insurer is placed in receivership pursuant to Section 10-3-501, et. seq., C.R.S.;
- 13. Specify that the affiliate will continue to maintain any systems, programs, or other infrastructure notwithstanding a seizure by the Commissioner under Section 10-3-501, et. seq., C.R.S., and will make them available to the receiver, for so long as the affiliate continues to receive timely payment for services rendered;
- 14. Specify that the affiliate will provide the essential services for a minimum period of time [specified in the agreement] after termination of the agreement, if the insurer is placed into supervision, seizure, conservatorship or receivership pursuant to under Section 10-3-501, et. seq., C.R.S., as ordered or directed by the receiver or commissioner. Performance of the essential services will continue to be provided without regard to pre-receivership unpaid fees, so long as the affiliate continues to receive timely payment for post-receivership services rendered, and unless released by the receiver, commissioner or supervising court; and
- 15. Specify that, in furtherance of the cooperation between the receiver and the affected guaranty associations and subject to the receiver's authority over the insurer, if the insurer is placed into supervision, seizure, conservatorship or receivership pursuant to Section 10-3-501, et. seq., C.R.S., and portions of the insurer's policies or contracts are eligible for coverage by one or more guaranty associations, the affiliate's commitments under Subsections 19B(11), 19B(12), 19B(13) and 19B(14) of this regulation will extend to such guaranty associations.

Section 20 Enterprise Risk Report

The ultimate controlling person of an insurer required to file an enterprise risk report pursuant to § 10-3-804(12), C.R.S. shall furnish the required information on Form F, hereby made a part of this regulation.

Section 21 Group Capital Calculation

- A. Where an insurance holding company system has previously filed the annual group capital calculation at least once, the lead state commissioner has the discretion to exempt the ultimate controlling person from filing the annual group capital calculation if the lead state commissioner makes a determination based upon that filing that the insurance holding company system meets all of the following criteria:
 - 1. Has annual direct written and unaffiliated assumed premium (including international direct and assumed premium), but excluding premiums reinsured with the Federal Crop Insurance Corporation and Federal Flood Program, of less than \$1,000,000,000;

-
2. Has no insurers within its holding company structure that are domiciled outside of the United States or one of its territories;
 3. Has no banking, depository or other financial entity that is subject to an identified regulatory capital framework within its holding company structure;
 4. The holding company system attests that there are no material changes in the transactions between insurers and non-insurers in the group that have occurred since the last filing of the annual group capital; and
 5. The non-insurers within the holding company system do not pose a material financial risk to the insurer's ability to honor policyholder obligations.
- B. Where an insurance holding company system has previously filed the annual group capital calculation at least once, the lead state commissioner has the discretion to accept in lieu of the group capital calculation a limited group capital filing if:
- The insurance holding company system has annual direct written and unaffiliated assumed premium (including international direct and assumed premium), but excluding premiums reinsured with the Federal Crop Insurance Corporation and Federal Flood Program, of less than \$1,000,000,000; and all of the following additional criteria are met:
1. Has no insurers within its holding company structure that are domiciled outside of the United States or one of its territories;
 2. Does not include a banking, depository or other financial entity that is subject to an identified regulatory capital framework; and
 3. The holding company system attests that there are no material changes in transactions between insurers and non-insurers in the group that have occurred since the last filing of the report to the lead state commissioner and the non-insurers within the holding company system do not pose a material financial risk to the insurers ability to honor policyholder obligations.
- C. For an insurance holding company that has previously met an exemption with respect to the group capital calculation pursuant Section 21A or 21B of this regulation, the lead state commissioner may require at any time the ultimate controlling person to file an annual group capital calculation, completed in accordance with the NAIC Group Capital Calculation Instructions, if any of the following criteria are met:
1. Any insurer within the insurance holding company system is in a Risk-Based Capital action level event as set forth in Colorado Insurance Regulations 3-1-11 and 3-1-12, or a similar standard for a non-U.S. insurer; or
 2. Any insurer within the insurance holding company system meets one or more of the standards of an insurer deemed to be in hazardous financial condition as defined in Colorado Insurance Regulation 3-1-7; or
 3. Any insurer within the insurance holding company system otherwise exhibits qualities of a troubled insurer as determined by the lead state commissioner based on unique circumstances including, but not limited to, the type and volume of business written, ownership and organizational structure, federal agency requests, and international supervisor requests.
-

- D. A non-U.S. jurisdiction is considered to “recognize and accept” the group capital calculation if it satisfies the following criteria:
1. With respect to Section 10-3-804(12)(b)(IV) C.R.S.:
 - a. The non-U.S. jurisdiction recognizes the U.S. state regulatory approach to group supervision and group capital, by providing confirmation by a competent regulatory authority, in such jurisdiction, that insurers and insurance groups whose lead state is accredited by the NAIC under the NAIC Accreditation Program shall be subject only to worldwide prudential insurance group supervision including worldwide group governance, solvency and capital, and reporting, as applicable, by the lead state and will not be subject to group supervision, including worldwide group governance, solvency and capital, and reporting, at the level of the worldwide parent undertaking of the insurance or reinsurance group by the non-U.S. jurisdiction; or
 - b. Where no U.S. insurance groups operate in the non-U.S. jurisdiction, that non-U.S. jurisdiction indicates formally in writing to the lead state with a copy to the International Association of Insurance Supervisors that the group capital calculation is an acceptable international capital standard. This will serve as the documentation otherwise required in Section 21D(1)(a).
 2. The non-U.S. jurisdiction provides confirmation by a competent regulatory authority in such jurisdiction that information regarding insurers and their parent, subsidiary, or affiliated entities, if applicable, shall be provided to the lead state commissioner in accordance with a memorandum of understanding or similar document between the commissioner and such jurisdiction, including but not limited to the International Association of Insurance Supervisors Multilateral Memorandum of Understanding or other multilateral memoranda of understanding coordinated by the NAIC. The commissioner shall determine, in consultation with the NAIC Committee Process, if the requirements of the information sharing agreements are in force.
- E. A list of non-U.S. jurisdictions that “recognize and accept” the group capital calculation will be published through the NAIC Committee Process:
1. A list of jurisdictions that “recognize and accept” the group capital calculation pursuant to Section 10-3-804(12)(b)(IV), C.R.S. is published through the NAIC Committee Process to assist the lead state commissioner in determining which insurers shall file an annual group capital calculation. The list will clarify those situations in which a jurisdiction is exempted from filing under Section 10-3-804(12)(b)(IV), C.R.S. To assist with a determination under Section 10-3-804(12)(b)(IV)(c), C.R.S., the list will also identify whether a jurisdiction that is exempted under either Section 10-3-804(12)(b)(III), C.R.S. and Section 10-3-804(12)(b)(IV), C.R.S. requires a group capital filing for any U.S. based insurance group’s operations in that non-U.S. jurisdiction.
 2. For a non-U.S. jurisdiction where no U.S. insurance groups operate, the confirmation provided to meet the requirement of Section 21D(1)(b) will serve as support for recommendation to be published as a jurisdiction that “recognizes and accepts” the group capital calculation through the NAIC Committee Process.
 3. If the lead state commissioner makes a determination pursuant to Section 10-3-804(12)(b)(IV), C.R.S. that differs from the NAIC List, the lead state commissioner shall provide thoroughly documented justification to the NAIC and other states.

4. Upon determination by the lead state commissioner that a non-U.S. jurisdiction no longer meets one or more of the requirements to “recognize and accept” the group capital calculation, the lead state commissioner may provide a recommendation to the NAIC that the non-U.S. jurisdiction be removed from the list of jurisdictions that “recognize and accepts” the group capital calculation.

Section 22 Extraordinary Dividends and Other Distributions

- A. Requests for approval of extraordinary dividends or any other extraordinary distribution to shareholders shall include the following:
 1. The amount of the proposed dividend;
 2. The date established for payment of the dividend;
 3. A statement as to whether the dividend is to be in cash or other property and, if in property, a description thereof, its cost, and its fair market value together with an explanation of the basis for valuation;
 4. A copy of the calculations determining that the proposed dividend is extraordinary. The work paper shall include the following information:
 - a. The amounts, dates and form of payment of all dividends or distributions (including regular dividends but excluding distributions of the insurer's own securities) paid within the period of twelve consecutive months ending on the date fixed for payment of the proposed dividend for which approval is sought and commencing on the day after the same day of the same month in the last preceding year;
 - b. Surplus as regards policyholders (total capital and surplus) as of the 31st day of December next preceding;
 - c. If the insurer is a life insurer, the net gain from operations for the 12- month period ending the 31st day of December next preceding;
 - d. If the insurer is not a life insurer, the net income less realized capital gains for the 12-month period ending the 31st day of December next preceding and the two preceding 12-month periods; and
 - e. If the insurer is not a life insurer, the dividends paid to stockholders excluding distributions of the insurer's own securities in the preceding two calendar years;
 5. A balance sheet and statement of income for the period intervening from the last Annual Statement filed with the Commissioner and the end of the month preceding the month in which the request for dividend approval is submitted; and
 6. A brief statement as to the effect of the proposed dividend upon the insurer's surplus and the reasonableness of surplus in relation to the insurer's outstanding liabilities and the adequacy of surplus relative to the insurer's financial needs.
- B. Subject to § 10-3-805(2), C.R.S., each registered insurer shall report to the Commissioner all dividends and other distributions to shareholders within fifteen business days following the declaration thereof, including the same information required by Subsection A(4).

Section 23 Adequacy of Surplus

The factors set forth in § 10-3-805(3), C.R.S. are not intended to be an exhaustive list. In determining the adequacy and reasonableness of an insurer's surplus, no single factor is necessarily controlling. The Commissioner instead will consider the net effect of all of these factors plus other factors bearing on the financial condition of the insurer. In comparing the surplus maintained by other insurers, the Commissioner will consider the extent to which each of these factors varies from company to company and in determining the quality and liquidity of investments in subsidiaries, the Commissioner will consider the individual subsidiary and may discount or disallow its valuation to the extent that the individual investments so warrant.

Section 24 Severability

If any provision of this regulation or the application of it to any person or circumstance is for any reason held to be invalid, the remainder of this regulation shall not be affected.

Section 25 Incorporation by Reference

The list of non-U.S. jurisdictions that “recognize and accept” the group capital calculation published by the National Association of Insurance Commissioners Committee Processes on the effective date of this regulation and does not include later amendments or editions of the List. A copy of the List may be examined during regular business hours at the Colorado Division of Insurance, 1560 Broadway, Suite 850, Denver, Colorado, 80202. A certified copy of the List may be requested from the Colorado Division of Insurance, 1560 Broadway, Suite 850, Denver, CO 80202. A charge for certification or copies may apply. A copy may also be obtained online from <https://content.naic.org/>. A copy may also be obtained from the NAIC Central Office, 1100 Walnut Street, Suite 1500, Kansas City, Missouri 64106.

Personal Financial Statements Guide as published by the American Institute of Certified Public Accountants means the May 1, 2000 version of the Guide and does not include later amendments or editions of the Guide. A copy of the Guide may be examined during regular business hours at the Colorado Division of Insurance, 1560 Broadway, Suite 850, Denver, Colorado, 80202. A certified copy of the Guide may be requested from the Colorado Division of Insurance, 1560 Broadway, Suite 850, Denver, CO 80202. A charge for certification or copies may apply. A copy may also be obtained online from: https://egrove.olemiss.edu/aicpa_indev/554/. A copy may also be obtained from the American Institute of Certified Public Accountants New York Office located at 1345 Avenue of the Americas, 27th Floor, New York, NY 10105.

NAIC Accounting Practices and Procedures Manual published by the National Association of Insurance Commissioners on the effective date of this regulation and does not include later amendments or editions of the NAIC Accounting Practices and Procedures Manual. A copy of the NAIC Accounting Practices and Procedures Manual may be examined during regular business hours at the Colorado Division of Insurance, 1560 Broadway, Suite 850, Denver, Colorado, 80202. A certified copy of the NAIC Accounting Practices and Procedures Manual may be requested from the Colorado Division of Insurance, 1560 Broadway, Suite 850, Denver, CO 80202. A charge for certification or copies may apply. A copy may also be obtained online from <https://content.naic.org/publications> A copy may also be obtained from the NAIC Central Office, 1100 Walnut Street, Suite 1500, Kansas City, Missouri 64106.

Section 26 Enforcement

Noncompliance with this regulation may result in the imposition of any of the sanctions made available in the Colorado statutes pertaining to the business of insurance, or other laws, which include the imposition of civil penalties, issuance of cease and desist orders, and/or suspensions or revocation of license, subject to the requirements of due process.

Section 27 Effective Date

This regulation shall become effective on January 1, 2025.

Section 28 History

Amended, effective April 30, 1995.

Amended, effective April 1, 2001.

Amended effective July 1, 2012.

Amended regulation effective January 1, 2015

Amended regulation effective January 1, 2025

APPENDIX A

FORM A

STATEMENT REGARDING THE
ACQUISITION OF CONTROL OF OR MERGER WITH A DOMESTIC INSURER

Name of Domestic Insurer

BY

Name of Acquiring Person (Applicant)

Filed with the Insurance Department of

(State of domicile of insurer being acquired)

Dated: _____, 20____.

Name, Title, address and telephone number of Individual to Whom Notices and Correspondence

Concerning this Statement Should be Addressed:

ITEM 1. METHOD OF ACQUISITION

State the name and address of the domestic insurer to which this application relates and a brief description of how control is to be acquired.

ITEM 2. IDENTITY AND BACKGROUND OF THE APPLICANT

State the name and address of the applicant seeking to acquire control over the insurer.

If the applicant is not an individual, state the nature of its business operations for the past five years or for such lesser period as such person and any predecessors thereof shall have been in existence. Briefly describe the business intended to be done by the applicant and the applicant's subsidiaries.

Furnish a chart or listing clearly presenting the identities of the interrelationships among the applicant and all affiliates of the applicant. Indicate in such chart or listing the percentage of voting securities of each such person which is owned or controlled by the applicant or by any other such person. If control of any person is maintained other than by the ownership or control of voting securities, indicate the basis of such control. As to each person specified in such chart or listing indicate the type of organization (e.g. corporation, trust, partnership) and the state or other jurisdiction of domicile. If court proceedings involving a reorganization or liquidation are pending with respect to any such person, indicate which person, and set forth the title of the court, nature of proceedings and the date when commenced.

ITEM 3. IDENTITY AND BACKGROUND OF INDIVIDUALS ASSOCIATED WITH THE APPLICANT

On the biographical affidavit, include a third party background check, and state the following with respect to (1) the applicant if (s)he is an individual, or (2) all persons who are directors, executive officers or owners of 10% or more of the voting securities of the applicant if the applicant is not an individual.

Name and business address.

Present principal business activity, occupation or employment including position and office held and the name, principal business and address of any corporation or other organization in which such employment is carried on.

Material occupations, positions, offices or employment during the last five years, giving the starting and ending dates of each and the name, principal business and address of any business corporation or other organization in which each such occupation, position, office or employment was carried on; if any such occupation, position, office or employment required licensing by or registration with any federal, state or municipal governmental agency, indicate such fact, the current status of such licensing or registration, and an explanation of any surrender, revocation, suspension or disciplinary proceedings in connection therewith.

Whether or not such person has ever been convicted in a criminal proceeding (excluding minor traffic violations) during the last ten years and, if so, give the date, nature of conviction, name and location of court, and penalty imposed or other disposition of the case.

ITEM 4. NATURE, SOURCE AND AMOUNT OF CONSIDERATION

Describe the nature, source and amount of funds or other considerations used or to be used in effecting the merger or other acquisition of control. If any part of the same is represented or is to be represented by funds or other consideration borrowed or otherwise obtained for the purpose of acquiring, holding or trading securities, furnish a description of the transaction, the names of the parties thereto, the relationship, if any, between the borrower and the lender, the amounts borrowed or to be borrowed, and copies of all agreements, promissory notes and security arrangements relating thereto.

Explain the criteria used in determining the nature and amount of such consideration.

If the source of the consideration is a loan made in the lender's ordinary course of business and if the applicant wishes the identity of the lender to remain confidential, he must specifically request that the identity be kept confidential.

ITEM 5. FUTURE PLANS OF INSURER

Describe any plans or proposals which the applicant may have to declare an extraordinary dividend, to liquidate the insurer, to sell its assets to or merge it with any person or persons or to make any other material change in its business operations or corporate structure or management.

ITEM 6. VOTING SECURITIES TO BE ACQUIRED

State the number of shares of the insurer's voting securities which the applicant, its affiliates and any person listed in Item 3 plan to acquire, and the terms of the offer, request, invitation, agreement or acquisition, and a statement as to the method by which the fairness of the proposal was arrived at.

ITEM 7. OWNERSHIP OF VOTING SECURITIES

State the amount of each class of any voting security of the insurer which is beneficially owned or concerning which there is a right to acquire beneficial ownership by the applicant, its affiliates or any person listed in Item 3.

ITEM 8. CONTRACTS, ARRANGEMENTS, OR UNDERSTANDINGS WITH RESPECT TO VOTING SECURITIES OF THE INSURER

Give a full description of any contracts, arrangements or understandings with respect to any voting security of the insurer in which the applicant, its affiliates or any person listed in Item 3 is involved, including but not limited to transfer of any of the securities, joint ventures, loan or option arrangements, puts or calls, guarantees of loans, guarantees against loss or guarantees of profits, division of losses or profits, or the giving or withholding of proxies. Such description shall identify the persons with whom the contracts, arrangements or understandings have been entered into.

ITEM 9. RECENT PURCHASES OF VOTING SECURITIES

Describe any purchases of any voting securities of the insurer by the applicant, its affiliates or any person listed in Item 3 during the twelve calendar months preceding the filing of this statement. Include in the description the dates of purchase, the names of the purchasers, and the consideration paid or agreed to be paid therefor. State whether any shares so purchased are hypothecated.

ITEM 10. RECENT RECOMMENDATIONS TO PURCHASE

Describe any recommendations to purchase any voting security of the insurer made by the applicant, its affiliates or any person listed in Item 3, or by anyone based upon interviews or at the suggestion of the applicant, its affiliates or any person listed in Item 3 during the twelve calendar months preceding the filing of this statement.

ITEM 11. AGREEMENTS WITH BROKER-DEALERS

Describe the terms of any agreement, contract or understanding made with any broker-dealer as to solicitation of voting securities of the insurer for tender and the amount of any fees, commissions or other compensation to be paid to broker-dealers with regard thereto.

ITEM 12. FINANCIAL STATEMENTS AND EXHIBITS

Financial statements, exhibits, and three year financial projections of the insurer(s) shall be attached to this statement as an appendix, but list under this item the financial statements and exhibits so attached.

The financial statements shall include the annual financial statements of the persons identified in Item 2(c) for the preceding five fiscal years (or for such lesser period as such applicant and its affiliates and any predecessors thereof shall have been in existence), and similar information covering the period from the end of such person's last fiscal year, if the information is available. The statements may be prepared on either an individual basis, or, unless the Commissioner otherwise requires, on a consolidated basis if consolidated statements are prepared in the usual course of business.

The annual financial statements of the applicant shall be accompanied by the certificate of an independent public accountant to the effect that such statements present fairly the financial position of the applicant and the results of its operations for the year then ended, in conformity with generally accepted accounting principles or with requirements of insurance or other accounting principles prescribed or permitted under law. If the applicant is an insurer which is actively engaged in the business of insurance, the financial statements need not be certified, provided they are based on the Annual Statement of the person filed with the insurance department of the person's domiciliary state and are in accordance with the requirements of insurance or other accounting principles prescribed or permitted under the law and regulations of the state.

File as exhibits copies of all tender offers for, requests or invitations for, tenders of, exchange offers for, and agreements to acquire or exchange any voting securities of the insurer and (if distributed) of additional soliciting material relating thereto, any proposed employment, consultation, advisory or management contracts concerning the insurer, annual reports to the stockholders of the insurer and the applicant for the last two fiscal years, and any additional documents or papers required by Form A or Regulation 3-4-1(Sections 5 and 7).

ITEM 13. AGREEMENT REQUIREMENTS FOR ENTERPRISE RISK MANAGEMENT

Applicant agrees to provide, to the best of its knowledge and belief, the information required by Form F within fifteen days after the end of the month in which the acquisition of control occurs.

ITEM 14. SIGNATURE AND CERTIFICATION

Signature and certification required as follows:

SIGNATURE

Pursuant to the requirements of Section 10-3-804, C.R.S. has caused this application to be duly signed on its behalf in the City of _____ and State of _____ on the _____ day of _____, 20____.

(SEAL) _____

Name of Applicant

BY _____

(Name) (Title)

Attest:

(Signature of Officer)

(Title)

CERTIFICATION

The undersigned deposes and says that (s)he has duly executed the attached application date _____, 20____, for and on behalf of _____(Name of Applicant); that (s)he is the (Title of Officer) of such company and that (s)he is authorized to execute and file such instrument. Deponent further says that (s)he is familiar with the instrument and the contents thereof, and that the facts therein set forth are true to the best of his/her knowledge, information and belief.

(Signature)_____

(Type or print name beneath)_____

APPENDIX B

FORM B

INSURANCE HOLDING COMPANY SYSTEM ANNUAL REGISTRATION STATEMENT

Filed with the Insurance Department of the State of _____

By

Name of Registrant

On Behalf of Following Insurance Companies

Name	Address
------	---------

_____	_____
_____	_____
_____	_____
_____	_____

Date: _____, 20____

Name, Title, Address and telephone number of Individual to Whom Notices and Correspondence Concerning This Statement Should Be Addressed:

ITEM 1. IDENTITY AND CONTROL OF REGISTRANT

Furnish the exact name of each insurer registering or being registered (hereinafter called "the Registrant"), the home office address and principal executive offices of each; the date on which each registrant became part of the insurance holding company system; and the method(s) by which control of each registrant was acquired and is maintained.

ITEM 2. ORGANIZATIONAL CHART

Furnish a chart or listing clearly presenting the identities of and interrelationships among all affiliated persons within the insurance holding company system. The chart or listing should show the percentage of each class of voting securities of each affiliate which is owned, directly or indirectly, by another affiliate. If control of any person within the system is maintained other than by the ownership or control of voting securities, indicate the basis of control. As to each person specified in the chart or listing indicate the type of organization (e.g., corporation, trust, partnership) and the state or other jurisdiction of domicile.

ITEM 3. THE ULTIMATE CONTROLLING PERSON

As to the ultimate controlling person in the insurance holding company system furnish the following information:

Name;

Home office address;

Principal executive office address;

The organizational structure of the person, i.e., corporation, partnership, individual, trust, etc.;

The principal business of the person;

The name and address of any person who holds or owns 10% or more of any class of voting security, the class of such security, the number of shares held of record or known to be beneficially owned, and the percentage of class so held or owned; and

If court proceedings involving a reorganization or liquidation are pending, indicate the title and location of the court, the nature of proceedings and the date when commenced.

ITEM 4. BIOGRAPHICAL INFORMATION

If the ultimate controlling person is a corporation, an organization, a limited liability company, or other legal entity, furnish the following information for the directors and executive officers of the ultimate controlling person: the individual's name and address, his or her principal occupation and all offices and positions held during the past five years, and any conviction of crimes other than minor traffic violations. If the ultimate controlling person is an individual, furnish the individual's name and address, his or her principal occupation and all offices and positions held during the past five years, and any conviction of crimes other than minor traffic violations.

ITEM 5. TRANSACTIONS AND AGREEMENTS

Briefly describe the following agreements in force, and transactions currently outstanding or which have occurred during the last calendar year between the registrant and its affiliates:

Loans, other investments, or purchases, sales or exchanges of securities of the affiliates by the Registrant or of the Registrant by its affiliates;

Purchases, sales or exchanges of assets;

Transactions not in the ordinary course of business;

Guarantees or undertakings for the benefit of an affiliate which result in an actual contingent exposure of the Registrant's assets to liability, other than insurance contracts entered into in the ordinary course of the registrant's business;

All management agreements, service contracts and all cost-sharing arrangements;

Reinsurance agreements;

Dividends and other distributions to shareholders;

Consolidated tax allocation agreements; and

Any pledge of the registrant's stock and/or of the stock of any subsidiary or controlling affiliate, for a loan made to any member of the insurance holding company system.

No information need be disclosed if such information is not material for purposes of Section 10-3-804, C.R.S.

Sales, purchases, exchanges, loans or extensions of credit, investments or guarantees involving one-half of 1% or less of the registrant's admitted assets as of the 31st day of December next preceding shall not be deemed material.

The description shall be in a manner as to permit the proper evaluation thereof by the Commissioner, and shall include at least the following: the nature and purpose of the transaction, the nature and amounts of any payments or transfers of assets between the parties, the identity of all parties to the transaction, and relationship of the affiliated parties to the registrant.

ITEM 6. LITIGATION OR ADMINISTRATIVE PROCEEDINGS

A brief description of any litigation or administrative proceedings of the following types, either then pending or concluded within the preceding fiscal year, to which the ultimate controlling person or any of its directors or executive officers was a party or of which the property of any such person is or was the subject; give the names of the parties and the court or agency in which the litigation or proceeding is or was pending:

Criminal prosecutions or administrative proceedings by any government agency or authority which may be relevant to the trustworthiness of any party thereto; and

Proceedings which may have a material effect upon the solvency or capital structure of the ultimate holding company including, but not necessarily limited to, bankruptcy, receivership or other corporate reorganizations.

ITEM 7. STATEMENT REGARDING PLAN OR SERIES OF TRANSACTIONS

The insurer shall furnish a statement that transactions entered into since the filing of the prior year's annual registration statement are not part of a plan or series of like transactions, the purpose of which is to avoid statutory threshold amounts and the review that might otherwise occur.

ITEM 8. FINANCIAL STATEMENTS AND EXHIBITS

Financial statements and exhibits should be attached to this statement as an appendix, but list under this item the financial statements and exhibits so attached.

If the ultimate controlling person is a corporation, an organization, a limited liability company, or other legal entity, the financial statements shall include the annual financial statements of the ultimate controlling person in the insurance holding company system as of the end of the person's latest fiscal year.

If at the time of the initial registration, the annual financial statements for the latest fiscal year are not available, annual statements for the previous fiscal year may be filed and similar financial information shall be filed for any subsequent period to the extent such information is available. Such financial statements may be prepared on either an individual basis; or, unless the Commissioner otherwise requires, on a consolidated basis if consolidated statements are prepared in the usual course of business.

Other than with respect to the foregoing, such financial statement shall be filed in a standard form and format adopted by the National Association of Insurance Commissioners, unless an alternative form is accepted by the Commissioner. Documentation and financial statements filed with the Securities and Exchange Commission or audited generally accepted accounting principles financial statements shall be deemed to be an appropriate form and format.

Unless the Commissioner otherwise permits, the annual financial statements shall be accompanied by the certificate of an independent public accountant to the effect that the statements present fairly the financial position of the ultimate controlling person and the results of its operations for the year then ended, in conformity with generally accepted accounting principles or with requirements of insurance or other accounting principles prescribed or permitted under law. If the ultimate controlling person is an insurer which is actively engaged in the business of insurance, the annual financial statements need not be certified, provided they are based on the Annual Statement of the insurer's domiciliary state and are in accordance with requirements of insurance or other accounting principles prescribed or permitted under the law and regulations of that state.

Any ultimate controlling person who is an individual may file personal financial statements that are reviewed rather than audited by an independent public accountant. The review shall be conducted in accordance with standards for review of personal financial statements published in the Personal Financial Statements Guide by the American Institute of Certified Public Accountants. Personal financial statements shall be accompanied by the independent public accountant's Standard Review Report stating that the accountant is not aware of any material modifications that should be made to the financial statements in order for the statements to be in conformity with generally accepted accounting principles.

Exhibits shall include copies of the latest annual reports to shareholders of the ultimate controlling person and proxy material used by the ultimate controlling person; and any additional documents or papers required by Form B or Regulation 3-4-1(Sections 5 and 7).

ITEM 9. FORM C REQUIRED

A Form C, Summary of Changes to Registration Statement, must be prepared and filed with this Form B.

ITEM 10. SIGNATURE AND CERTIFICATION

Signature and certification required as follows:

SIGNATURE

Pursuant to the requirements of Section 10-3-804, C.R.S. has caused this annual registration statement to be duly signed on its behalf in the City of _____ and State of _____ on the _____ day of _____, 20____.

(SEAL) _____

Name of Applicant

BY _____

(Name) (Title)

Attest:

(Signature of Officer)

(Title)

CERTIFICATION

The undersigned deposes and says that (s)he has duly executed the attached application dated _____, 20____, for and on behalf of _____ (Name of Applicant); that (s)he is the _____ (Title of Officer) of such company and that (s)he is authorized to execute and file such instrument. Deponent further says that (s)he is familiar with the instrument and the contents thereof, and that the facts therein set forth are true to the best of his/her knowledge, information and belief.

(Signature)_____

(Type or print name beneath)_____

APPENDIX C

FORM C

SUMMARY OF CHANGES TO REGISTRATION STATEMENT

Filed with the Insurance Department of the State of _____

By

Name of Registrant

On Behalf of Following Insurance Companies

Name Address

Date: _____, 20____

Name, Title, Address and telephone number of Individual to Whom Notices and Correspondence
Concerning This Statement Should Be Addressed:

Furnish a brief description of all items in the current annual registration statement which represent changes from the prior year's annual registration statement. The description shall be in a manner as to permit the proper evaluation thereof by the Commissioner, and shall include specific references to Item numbers in the annual registration statement and to the terms contained therein.

Changes occurring under Item 2 of Form B insofar as changes in the percentage of each class of voting securities held by each affiliate is concerned, need only be included where such changes are ones which result in ownership or holdings of 10% or more of voting securities, loss or transfer of control, or acquisition or loss of partnership interest.

Changes occurring under Item 4 of Form B need only be included where an individual is, for the first time, made a director or executive officer of the ultimate controlling person; a director or executive officer terminates his or her responsibilities with the ultimate controlling person; or in the event an individual is named president of the ultimate controlling person.

If a transaction disclosed on the prior year's annual registration statement has been changed, the nature of such change shall be included. If a transaction disclosed on the prior year's annual registration statement has been effectuated, furnish the mode of completion and any flow of funds between affiliates resulting from the transaction.

The insurer shall furnish a statement that transactions entered into since the filing of the prior year's annual registration statement are not part of a plan or series of like transactions whose purpose it is to avoid statutory threshold amounts and the review that might otherwise occur.

ITEM 10. SIGNATURE AND CERTIFICATION

Signature and certification required as follows:

Pursuant to the requirements of Section 10-3-804, C.R.S. has caused this annual registration statement to be duly signed on its behalf in the City of _____ and State of _____ on the _____ day of _____, 20____.

(SEAL) _____

Name of Applicant

BY _____

(Name) (Title)

Attest:

(Signature of Officer)

(Title)

CERTIFICATION

The undersigned deposes and says that (s)he has duly executed the attached application dated _____, 20____, for and on behalf of (Name of Applicant); that (s)he is the (Title of Officer) of such company and that (s)he is authorized to execute and file such instrument. Deponent further says that (s)he is familiar with the instrument and the contents thereof, and that the facts therein set forth are true to the best of his/her knowledge, information and belief.

(Signature) _____

(Type or print name beneath) _____

APPENDIX D

FORM D

PRIOR NOTICE OF A TRANSACTION

Filed with the Insurance Department of the State of _____

By

Name of Registrant

On Behalf of Following Insurance Companies

Name

Address

Date: _____, 20____

Name, Title, Address and telephone number of Individual to Whom Notices and Correspondence
Concerning This Statement Should Be Addressed:

ITEM 1. IDENTITY OF PARTIES TO TRANSACTION

Furnish the following information for each of the parties to the transaction:

Name;

Home office address;

Principal executive office address;

The organizational structure, i.e. corporation, partnership, individual, trust, etc.;

A description of the nature of the parties' business operations;

Relationship, if any, of other parties to the transaction to the insurer filing the notice, including any ownership or debtor/creditor interest by any other parties to the transaction in the insurer seeking approval, or by the insurer filing the notice in the affiliated parties;

Where the transaction is with a non-affiliate, the name(s) of the affiliate(s) which will receive, in whole or in substantial part, the proceeds of the transaction.

ITEM 2. DESCRIPTION OF THE TRANSACTION

Furnish the following information for each transaction for which notice is being given:

A statement as to whether notice is being given under Section 10-3-805(1)(b), C.R.S.;

A statement of the nature of the transaction;

A statement of how the transaction meets the 'fair and reasonable' standard of Section 10-3-805(1)(a)(I), C.R.S.; and

The proposed effective date of the transaction.

ITEM 3. SALES, PURCHASES, EXCHANGES, LOANS, EXTENSIONS OF CREDIT, GUARANTEES OR INVESTMENTS

Furnish a brief description of the amount and source of funds, securities, property or other consideration for the sale, purchase, exchange, loan, extension of credit, guarantee, or investment, whether any provision exists for purchase by the insurer filing notice, by any party to the transaction, or by any affiliate of the insurer filing notice, a description of the terms of any securities being received, if any, and a description of any other agreements relating to the transaction such as contracts or agreements for services, consulting agreements and the like. If the transaction involves other than cash, furnish a description of the consideration, its cost and its fair market value, together with an explanation of the basis for evaluation.

If the transaction involves a loan, extension of credit or a guarantee, furnish a description of the maximum amount which the insurer will be obligated to make available under such loan, extension of credit or guarantee, the date on which the credit or guarantee will terminate, and any provisions for the accrual of or deferral of interest.

If the transaction involves an investment, guarantee or other arrangement, state the time period during which the investment, guarantee or other arrangement will remain in effect, together with any provisions for extensions or renewals of such investments, guarantees or arrangements. Furnish a brief statement as to the effect of the transaction upon the insurer's surplus.

No notice need be given if the maximum amount which can at any time be outstanding or for which the insurer can be legally obligated under the loan, extension of credit or guarantee is less than (a) in the case of non-life insurers, the lesser of 3% of the insurer's admitted assets or 25% of surplus as regards policyholders, or (b) in the case of life insurers, 3% of the insurer's admitted assets, each as of the 31st day of December next preceding.

ITEM 4. LOANS OR EXTENSIONS OF CREDIT TO A NON-AFFILIATE

If the transaction involves a loan or extension of credit to any person who is not an affiliate, furnish a brief description of the agreement or understanding whereby the proceeds of the proposed transaction, in whole or in substantial part, are to be used to make loans or extensions of credit to, to purchase the assets of, or to make investments in, any affiliate of the insurer making such loans or extensions of credit, and specify in what manner the proceeds are to be used to loan to, extend credit to, purchase assets of or make investments in any affiliate. Describe the amount and source of funds, securities, property or other consideration for the loan or extension of credit and, if the transaction is one involving consideration other than cash, a description of its cost and its fair market value together with an explanation of the basis for evaluation. Furnish a brief statement as to the effect of the transaction upon the insurer's surplus.

No notice need be given if the loan or extension of credit is one which equals less than, in the case of non-life insurers, the lesser of 3% of the insurer's admitted assets or 25% of surplus as regards policyholders or, with respect to life insurers, 3% of the insurer's admitted assets, each as of the 31st day of December next preceding.

ITEM 5. REINSURANCE

If the transaction is a reinsurance agreement or modification thereto, as described by Section 10-3-805(1)(b)(III)(B), C.R.S., or a reinsurance pooling agreement or modification thereto as described by Section 10-3-805(1)(b)(III)(A), C.R.S., furnish a description of the known and/or estimated amount of liability to be ceded and/or assumed in each calendar year, the period of time during which the agreement will be in effect, and a statement whether an agreement or understanding exists between the insurer and non-affiliate to the effect that any portion of the assets constituting the consideration for the agreement will be transferred to one or more of the insurer's affiliates. Furnish a brief description of the consideration involved in the transaction, and a brief statement as to the effect of the transaction upon the insurer's surplus.

No notice need be given for reinsurance agreements or modifications thereto if the reinsurance premium or a change in the insurer's liabilities, or the projected reinsurance premium or change in the insurer's liabilities in any of the next three years, in connection with the reinsurance agreement or modification thereto is less than 5% of the insurer's surplus as regards policyholders, as of the 31st day of December next preceding. Notice shall be given for all reinsurance pooling agreements including modifications thereto.

ITEM 6. MANAGEMENT AGREEMENTS, SERVICE AGREEMENTS AND COST- SHARING ARRANGEMENTS.

For management and service agreements, furnish:

A brief description of the managerial responsibilities, or services to be performed;

A brief description of the agreement, including a statement of its duration, together with brief descriptions of the basis for compensation and the terms under which payment or compensation is to be made.

For cost-sharing arrangements, furnish:

A brief description of the purpose of the agreement;

A description of the period of time during which the agreement is to be in effect;

A brief description of each party's expenses or costs covered by the agreement;

A brief description of the accounting basis to be used in calculating each party's costs under the agreement;

A brief statement as to the effect of the transaction upon the insurer's policyholder surplus;

A statement regarding the cost allocation methods that specifies whether proposed charges are based on "cost or market." If market based, rationale for using market instead of cost, including justification for the company's determination that amounts are fair and reasonable; and

A statement regarding compliance with the National Association of Insurance Commissioners Accounting Practices and Procedure Manual regarding expense allocation.

ITEM 7. SIGNATURE AND CERTIFICATION

Signature and certification required as follows:

SIGNATURE

Pursuant to the requirements of Section 10-3-805, C.R.S. has caused this application to be duly signed on its behalf in the City of _____ and State of _____ on the _____ day of, _____ 20____.

(SEAL) _____

Name of Applicant

BY _____

(Name) (Title)

Attest:

(Signature of Officer)

(Title)

CERTIFICATION

The undersigned deposes and says that (s)he has duly executed the attached application dated

_____, 20____, for and on behalf of _____ (Name of Applicant); that (s)he is the _____ (Title of Officer) of such company and that (s)he is authorized to execute and file such instrument. Deponent further says that (s)he is familiar with the instrument and the contents thereof, and that the facts therein set forth are true to the best of his/her knowledge, information and belief.

(Signature) _____

(Type or print name beneath) _____

APPENDIX E

FORM E

**PRE-ACQUISITION NOTIFICATION FORM REGARDING THE POTENTIAL COMPETITIVE IMPACT OF
A PROPOSED MERGER OR ACQUISITION BY A NON-DOMICILIARY INSURER DOING BUSINESS IN
THIS STATE OR BY A DOMESTIC INSURER**

Name of Applicant

Name of Other Person Involved in Merger or Acquisition

Filed with the Insurance Department of

Dated: _____, 20____

Name, Title, address and telephone number of person completing this statement:

ITEM 1. NAME AND ADDRESS

State the names and addresses of the persons who hereby provide notice of their involvement in a pending acquisition or change in corporate control.

ITEM 2. NAME AND ADDRESSES OF AFFILIATED COMPANIES

State the names and addresses of the persons affiliated with those listed in Item 1. Describe their affiliations.

ITEM 3. NATURE AND PURPOSE OF THE PROPOSED MERGER OR ACQUISITION

State the nature and purpose of the proposed merger or acquisition.

ITEM 4. NATURE OF BUSINESS

State the nature of the business performed by each of the persons identified in response to Item 1 and Item 2.

ITEM 5. MARKET AND MARKET SHARE

State specifically what market and market share in each relevant insurance market the persons identified in Item 1 and Item 2 currently enjoy in this state. Provide historical market and market share data for each person identified in Item 1 and Item 2 for the past five years and identify the source of such data. Provide a determination as to whether the proposed acquisition or merger, if consummated, would violate the competitive standards of the state as stated in Section 10-3-803.5(4), C.R.S. If the proposed acquisition or merger would violate competitive standards, provide justification of why the acquisition or merger would not substantially lessen competition or create a monopoly in the state.

For purposes of this question, "market" means direct written insurance premium in this state for a line of business as contained in the Annual Statement required to be filed by insurers licensed to do business in this state.

APPENDIX F

FORM F

ENTERPRISE RISK REPORT

Filed with the Insurance Department of the State of. _____

By _____

Name of Applicant

On Behalf of/Related to Following Insurance Companies

Name Address

Date: _____, 20__

Name, Title, address and telephone number of individual to whom notices and correspondence concerning this statement should be addressed:

ITEM 1. ENTERPRISE RISK

The Registrant/Applicant, to the best of its knowledge and belief, shall provide information regarding the following areas that could produce enterprise risk as defined in Section 10-3-801(4), C.R.S., provided such information is not disclosed in the Insurance Holding Company System Annual Registration Statement filed on behalf of itself or another insurer for which it is the ultimate controlling person:

Any material developments regarding strategy, internal audit findings, compliance or risk management affecting the insurance holding company system;

Acquisition or disposal of insurance entities and reallocating of existing financial or insurance entities within the insurance holding company system;

Any changes of shareholders of the insurance holding company system exceeding 10% or more of voting securities;

Developments in various investigations, regulatory activities litigation that may have a significant bearing or impact on the insurance holding company system;

Business plan of the insurance holding company system and summarized strategies for next twelve months;

Identification of material concerns of the insurance holding company system raised by supervisory college, if any, in last year;

Identification of insurance holding company system capital resources and material distribution patterns;

Identification of any negative movement, or discussions with rating agencies which may have caused, or may cause, potential negative movement in the credit ratings and individual insurer financial strength ratings assessment of the insurance holding company system (including both the rating score and outlook);

Information on corporate or parental guarantees throughout the holding company and the expected source of liquidity should such guarantees be called upon; and

Identification of any material activity or development of the insurance holding company system that, in the opinion of senior management, could adversely affect the insurance holding company system.

The Registrant/Applicant may attach the appropriate form most recently filed with the U.S. Securities and Exchange Commission, provided the Registrant/Applicant includes specific references to those areas listed in Item 1 for which the form provides responsive information. If the Registrant/Applicant is not domiciled in the U.S., it may attach its most recent public audited financial statement filed in its country of domicile, provided the Registrant/Applicant includes specific references to those areas listed in Item 1 for which the financial statement provides responsive information.

ITEM 2: OBLIGATION TO REPORT.

If the Registrant/Applicant has not disclosed any information pursuant to Item 1, the Registrant/Applicant shall include a statement affirming that, to the best of its knowledge and belief, it has not identified enterprise risk subject to disclosure pursuant to Item 1

Regulation 3-5-1 TITLE INSURANCE [Repealed eff. 03/15/2017]

Regulation 3-5-2 TITLE INSURER ASSESSMENT

Section 1	Authority
Section 2	Scope and Purpose
Section 3	Applicability
Section 4	Definitions
Section 5	Rules
Section 6	Severability
Section 7	Enforcement
Section 8	Effective Date
Section 9	History

Section 1 Authority

This regulation is promulgated and adopted by the Commissioner of Insurance under the authority of § § 10-1-109 and 10-3-207, C.R.S.

Section 2 Scope and Purpose

The purpose of this regulation is to establish the standard to determine the amount each title insurer shall be assessed in accordance with § 10-3-207, C.R.S.

Section 3 Applicability and Scope

This regulation shall apply to all title insurers authorized to conduct business in Colorado on December 31, 2007 and on December 31 of each subsequent year.

Section 4 Definitions

- A. "Two full-time equivalents" for the purpose of this regulation means two full-time employees of the Division of Insurance.
- B. "Assessment" for the purpose of this regulation means the amount invoiced by the Division of Insurance.
- C. "Business of title insurance" has the same meaning as set forth in § 10-11-102(3), C.R.S.

Section 5 Rules

- A. Commencing on or before March 1, 2008 and every March 1 thereafter, each insurer authorized to transact the business of title insurance in Colorado as of December 31 of the previous year, shall pay an assessment.
- B. Each title insurer authorized to transact the business of title insurance shall be assessed an annual fee sufficient to support two full-time equivalents within the Division of Insurance. Such fee shall be:
 - 1. Calculated as a pro-rata share of the total premiums derived from the insurer's title insurance business conducted in Colorado; and
 - 2. Determined based on the written premiums reported on Schedule T of the annual financial statement submitted on or before March 31 of the previous year.

- C. The Division of Insurance shall determine the assessment amount and issue invoices to each title insurer no later than February 1 of the year such assessment is due and payable.

Section 6 Severability

If any provision of this regulation or the application of it to any person or circumstance is for any reason held to be invalid, the remainder of this regulation shall not be affected.

Section 7 Enforcement

Noncompliance with this Regulation may result, after proper notice and hearing, in the imposition of any of the sanctions made available in the Colorado statutes pertaining to the business of insurance or other laws which include the imposition of fines, issuance of cease and desist orders and/or suspension or revocation of license. Among others, the penalties provided for in § 10-3-1108, C.R.S. may be applied.

Section 8 Effective Date

This regulation shall become effective on January 1, 2008.

Section 9 History

New regulation effective January 1, 2008.

**Regulation 3-5-3 CONCERNING CERTIFICATE OF TAXES DUE – ALTERNATIVE
DOCUMENTATION PERMITTED**

Section 1	Authority
Section 2	Scope and Purpose
Section 3	Applicability
Section 4	Definitions
Section 5	Rules
Section 6	Severability
Section 7	Enforcement
Section 8	Effective Date
Section 9	History

Section 1 Authority

This regulation is promulgated and adopted by the Commissioner of Insurance under the authority of §§ 10-1-109, and 10-11-122, C.R.S.

Section 2 Scope and Purpose

The purpose of this regulation is to establish the requirements of alternative documentation a title entity may use and rely upon during the annual period when county treasurers are certifying the tax rolls and cannot issue a certificate of taxes due.

Section 3 Applicability

This regulation shall apply to all title insurance entities licensed to transact the business of title insurance in the state of Colorado.

Section 4 Definitions

- A. "Title insurance agent" shall have the same meaning as defined in § 10-11-102, C.R.S.
- B. "Title insurance company" shall have the same meaning as defined in § 10-11-102, C.R.S.
- C. "Title Entity" means title insurance agents, title insurance agencies, and title insurance companies.

Section 5 Rules

- A. Alternative Documentation
 - 1. Alternative documentation shall be specific to the residential real property to be insured and provide information and verification of the following, when such item is standard on that county's certificate of taxes due:
 - a. Owner name
 - b. Property address
 - c. Legal description
 - d. Schedule, account or parcel number

- e. Total current year property tax amounts and payments
 - f. Total current year assessments and mill levy
 - g. Tax distribution including tax entity or authority
 - h. Special Taxing/Improvement Districts including installment amounts
 - i. Special Assessments including installment and/or payoff amounts
 - j. Prior year(s) tax lien(s), delinquencies and tax sale(s) including redemption amounts
 - k. Service liens including payoff amounts
2. Documentation to support the information in Section 1 can be obtained electronically through the county treasurer website and/or verbally from county treasurer staff.
- a. Documentation obtained electronically must contain the date the information was retrieved from the county treasurer's website and/or the printout from the county treasurer's website containing the information.
 - b. Documentation obtained verbally, from county treasurer staff, must contain the date the information was obtained, the name of the person obtaining the information and the name of the county treasurer staff that provided the information.
- B. Each title entity shall maintain adequate documentation and records sufficient to show compliance with this regulation for a period of not less than seven (7) years.

Section 6 Severability

If any provision of this regulation or the application of it to any person or circumstance is for any reason held to be invalid, the remainder of this regulation shall not be affected.

Section 7 Enforcement

Noncompliance with this regulation may result in the imposition of any of the sanctions made available in the Colorado statutes pertaining to the business of insurance, or other laws, which include the imposition of civil penalties, issuance of cease and desist orders, and/or suspensions or revocation of license, subject to the requirements of due process.

Section 8 Effective Date

This regulation shall become effective on October 1, 2013.

Section 9 History

New regulation effective October 1, 2013.

Editor's Notes

History

Regulation 3-1-3 eff. 10/01/2007.
Regulation 3-5-2 eff. 01/01/2008.
Regulation 3-1-4 eff. 01/01/2010.
Regulation 3-5-1 eff. 05/01/2010.
Regulation 3-1-8 eff. 11/01/2010.
Regulation 3-1-11 eff. 02/01/2012.
Regulation 3-1-12 eff. 03/01/2012.
Regulation 3-1-15 eff. 06/01/2012.
Regulation 3-3-1 eff. 06/01/2012.
Regulations 3-1-10, 3-1-14, 3-4-1 eff. 07/01/2012.
Regulation 3-1-2 eff. 08/01/2012. Regulation 3-2-6 repealed eff. 08/01/2012.
Regulation 3-1-5 eff. 09/01/2012.
Regulation 3-1-7 eff. 12/01/2012. Regulation 3-2-7 repealed eff. 12/01/2012.
Regulation 3-1-9 eff. 01/01/2013.
Regulation 3-1-7 eff. 05/01/2013.
Regulations 3-1-11, 3-1-12 eff. 08/01/2013.
Regulation 3-5-3 eff. 10/01/2013.
Regulations 3-2-1, 3-2-2 eff. 11/15/2014.
Regulations 3-2-8, 3-3-3, 3-4-1 eff. 01/01/2015.
Regulation 3-5-1 eff. 10/01/2015.
Regulations 3-1-1, 3-3-1, 3-3-4, 3-3-5 eff. 04/01/2016.
Regulation 3-5-1 eff. 08/15/2016.
Regulation 3-1-4 eff. 01/01/2017.
Regulation 3-5-1 repealed eff. 03/15/2017.
Regulation 3-1-16 eff. 04/01/2017.
Regulation 3-1-11 eff. 08/01/2017.
Regulation 3-1-8 eff. 11/01/2017.
Regulation 3-1-17 eff. 04/15/2020.
Regulation 3-1-15 eff. 03/15/2021.
Regulation 3-3-3 eff. 01/01/2022.
Regulation 3-1-9 eff. 03/02/2023.
Regulation 3-1-18 eff. 12/30/2023.
Regulation 3-4-1 eff. 01/01/2025.